

In the opinion of Best Best & Krieger LLP, Riverside, California, Bond Counsel, subject to certain qualifications described herein, under existing statutes, regulations, rules and court decisions, and assuming certain representations and compliance with certain covenants and requirements described herein, the interest on the Bonds is excluded from gross income for federal income tax purposes and is not an item of tax preference for purposes of the federal alternative minimum tax. In the further opinion of Bond Counsel, such interest is exempt from California personal income taxes. See “TAX MATTERS” herein.



\$79,575,000
WEST COUNTY FACILITIES FINANCING AUTHORITY
2021 WASTEWATER REVENUE BONDS
(GREEN BONDS)

**Dated: Date of Delivery****Due: June 1, as shown herein**

The above-referenced bonds (the “Bonds”) are being issued pursuant to an Indenture of Trust, dated as of September 1, 2021 (the “Indenture”) between the West County Facilities Financing Authority (the “Authority”) and U.S. Bank National Association, San Francisco, California (the “Trustee”), and will be secured as described herein. The Bonds are being issued (i) to provide funds for the purpose of acquiring, designing, constructing and installing improvements to the wastewater system (the “Project”) of the West County Water District (the “District”), (ii) pay capitalized interest on the Bonds through June, 2023, and (iii) to pay certain costs of issuing the Bonds. See “FINANCING PLAN” herein.

The Bonds will be issued in book-entry form, initially registered in the name of Cede & Co., New York, New York, as nominee of The Depository Trust Company (“DTC”), New York, New York. Interest on the Bonds will be payable on June 1 and December 1 of each year, commencing December 1, 2021. Purchasers will not receive certificates representing their interest in the Bonds. Individual purchases will be in principal amounts of \$5,000 or in any integral multiples of \$5,000. Payments of principal and interest will be paid by the Trustee to DTC for subsequent disbursement to DTC Participants who will remit such payments to the beneficial owners of the Bonds.

The Bonds are payable from revenues of the Authority, consisting principally of Installment Payments to be paid by the District pursuant to an Installment Purchase Agreement (the “Installment Purchase Agreement”) between the Authority and the District. The Authority has assigned, among other things, its right to receive Installment Payments to the Trustee. The Installment Payments are a special limited obligation of the District, payable from and secured by a pledge of and first lien on all Net Revenues of the District in the Revenue Fund held by the District in trust under the Installment Purchase Agreement. The lien on the Revenue Fund is on parity with certain outstanding obligations of the District and subject to the parity lien, if any, of any additional obligations as provided for in the Installment Purchase Agreement.

MATURITY SCHEDULE

(See Inside Cover Page)

The Bonds are subject to redemption prior to maturity as set forth herein. See “THE BONDS - Redemption of the Bonds” herein.

THE BONDS ARE LIMITED OBLIGATIONS OF THE AUTHORITY PAYABLE SOLELY FROM AND SECURED SOLELY BY THE INSTALLMENT PAYMENTS PLEDGED THEREFOR IN THE INDENTURE AND ARE NOT SECURED BY A LEGAL OR EQUITABLE PLEDGE OF, OR CHARGE OR LIEN UPON ANY PROPERTY OF THE AUTHORITY OR THE DISTRICT OR ANY OF THE AUTHORITY’S INCOME OR RECEIPTS, EXCEPT THE INSTALLMENT PAYMENTS. THE BONDS ARE NOT A DEBT OF THE STATE OF CALIFORNIA (THE “STATE”) OR ANY OF ITS POLITICAL SUBDIVISIONS. NEITHER THE FAITH AND CREDIT OF THE DISTRICT, THE STATE NOR ANY OF ITS POLITICAL SUBDIVISIONS ARE PLEDGED TO THE PAYMENT OF THE BONDS, AND NEITHER THE AUTHORITY OR THE DISTRICT ARE OBLIGATED TO LEVY OR PLEDGE ANY FORM OF TAXATION THEREFOR. NEITHER THE DISTRICT, THE STATE NOR ANY OF ITS POLITICAL SUBDIVISIONS ARE LIABLE THEREFOR, NOR IN ANY EVENT SHALL THE BONDS OR ANY INTEREST OR REDEMPTION PREMIUM THEREON BE PAYABLE OUT OF ANY FUNDS OR PROPERTIES OTHER THAN THOSE OF THE AUTHORITY AS SET FORTH IN THE INDENTURE. NEITHER THE BONDS NOR THE OBLIGATION TO MAKE INSTALLMENT PAYMENTS CONSTITUTES AN INDEBTEDNESS OF THE DISTRICT, THE STATE OR ANY POLITICAL SUBDIVISION THEREOF WITHIN THE MEANING OF ANY CONSTITUTIONAL OR STATUTORY DEBT LIMITATION OR RESTRICTION.

This cover page contains information for general reference only. It is not a summary of the security or terms of this issue. Investors must read the entire Official Statement, including the section entitled “RISK FACTORS,” for a discussion of special factors which should be considered, in addition to the other matters set forth herein, in considering the investment quality of the Bonds. Capitalized terms used on this cover page and not otherwise defined shall have the meanings set forth herein.

The Bonds have received a “Green Bonds” designation by Kestrel Verifiers. The Bonds are offered when, as and if sold, executed and delivered, subject to the approval as to their legality by Best Best & Krieger LLP, Riverside, California, Bond Counsel. Certain legal matters will be passed upon for the Authority and the District by Best Best & Krieger LLP, as disclosure counsel, Hanson Bridgett LLP, Los Angeles, California, as general counsel for the District and the Authority and Stradling Yocca Carlson & Rauth, A Professional Corporation, Newport Beach, California, as underwriter’s counsel for Piper Sandler & Co. (the “Underwriter”). It is anticipated that the Bonds in book-entry form, will be available for delivery to DTC in New York, New York, on or about September 30, 2021.

\$79,575,000
WEST COUNTY FACILITIES FINANCING AUTHORITY
2021 WASTEWATER REVENUE BONDS
(GREEN BONDS)

MATURITY SCHEDULE
Base CUSIP[†] 95236E

\$40,845,000 Serial Bonds

<u>Maturity</u> <u>(June 1)</u>	<u>Principal</u> <u>Amount</u>	<u>Interest</u> <u>Rate</u>	<u>Yield</u>	<u>Price</u>	<u>CUSIP[†]</u>
2024	1,595,000	4.000%	0.140%	110.281	AA3
2025	1,655,000	4.000	0.230	113.767	AB1
2026	1,725,000	4.000	0.340	116.940	AC9
2027	1,790,000	4.000	0.510	119.478	AD7
2028	1,865,000	4.000	0.620	122.048	AE5
2029	1,940,000	4.000	0.740	124.261	AF2
2030	2,015,000	4.000	0.870	126.081	AG0
2031	2,095,000	4.000	0.970	127.900	AH8
2032	2,180,000	4.000	1.120	126.322 ^C	AJ4
2033	2,265,000	4.000	1.200	125.489 ^C	AK1
2034	2,355,000	4.000	1.330	124.149 ^C	AL9
2035	2,450,000	4.000	1.370	123.740 ^C	AM7
2036	2,550,000	4.000	1.420	123.231 ^C	AN5
2037	2,650,000	4.000	1.470	122.725 ^C	AP0
2038	2,760,000	4.000	1.560	121.819 ^C	AQ8
2039	2,870,000	4.000	1.610	121.319 ^C	AR6
2040	2,985,000	4.000	1.650	120.921 ^C	AS4
2041	3,100,000	4.000	1.680	120.624 ^C	AT2

\$38,730,000 Term Bonds

\$17,475,000 4.000% Term Bond Due June 1, 2046, Price 118.856^C, Yield 1.860%, CUSIP[†] AU9
\$21,255,000 4.000% Term Bond Due June 1, 2051, Price 118.177^C, Yield 1.930%, CUSIP[†] AV7

^C Priced to first optional redemption date of June 1, 2031 at par.

[†] CUSIP® is a registered trademark of the American Bankers Association. CUSIP Global Services (CGS) is managed on behalf of American Bankers Association by S&P Capital IQ. Copyright© 2021 CUSIP Global Services. All rights reserved. This data is not intended to create a database and does not serve in any way a substitute for the CUSIP Service Bureau. CUSIP® numbers are provided for convenience of reference only. The Authority, the District and the Underwriters do not take any responsibility for the accuracy of the CUSIP® numbers.

**WEST COUNTY FACILITIES FINANCING AUTHORITY
(Contra Costa County, California)**

BOARD OF DIRECTORS OF AUTHORITY AND DISTRICT

Cheryl Sudduth, *Chair and President (At-Large)**
Cesar Zepeda, *Vice-Chair and Vice President (Division 1)*
David Alvarado, *Director (At-Large)**
Sheryl Ann Stanley, *Director (Division 2)*
Harry Wiener, *Director (Division 4)*

AUTHORITY AND DISTRICT STAFF

Lisa Malek-Zadeh, *Executive Director and General Manager*
Andrew Clough, *Deputy General Manager*
Aaron Winer, *Director of Water Quality & Resource Recovery*
Justin Lovell, *Director of Administrative Services*
Michael Savannah, *Director of Infrastructure & Planning*

SPECIAL SERVICES

Authority General Counsel and District General Counsel

Hanson Bridgett LLP
Los Angeles, California

Bond Counsel and Disclosure Counsel

Best Best & Krieger LLP
Riverside, California

Municipal Advisor

NHA Advisors, LLC
San Rafael, California

Trustee

U.S. Bank National Association
San Francisco, California

* Such board members were elected at large. Elections for Divisions 3 and 5 will occur in November 2022.

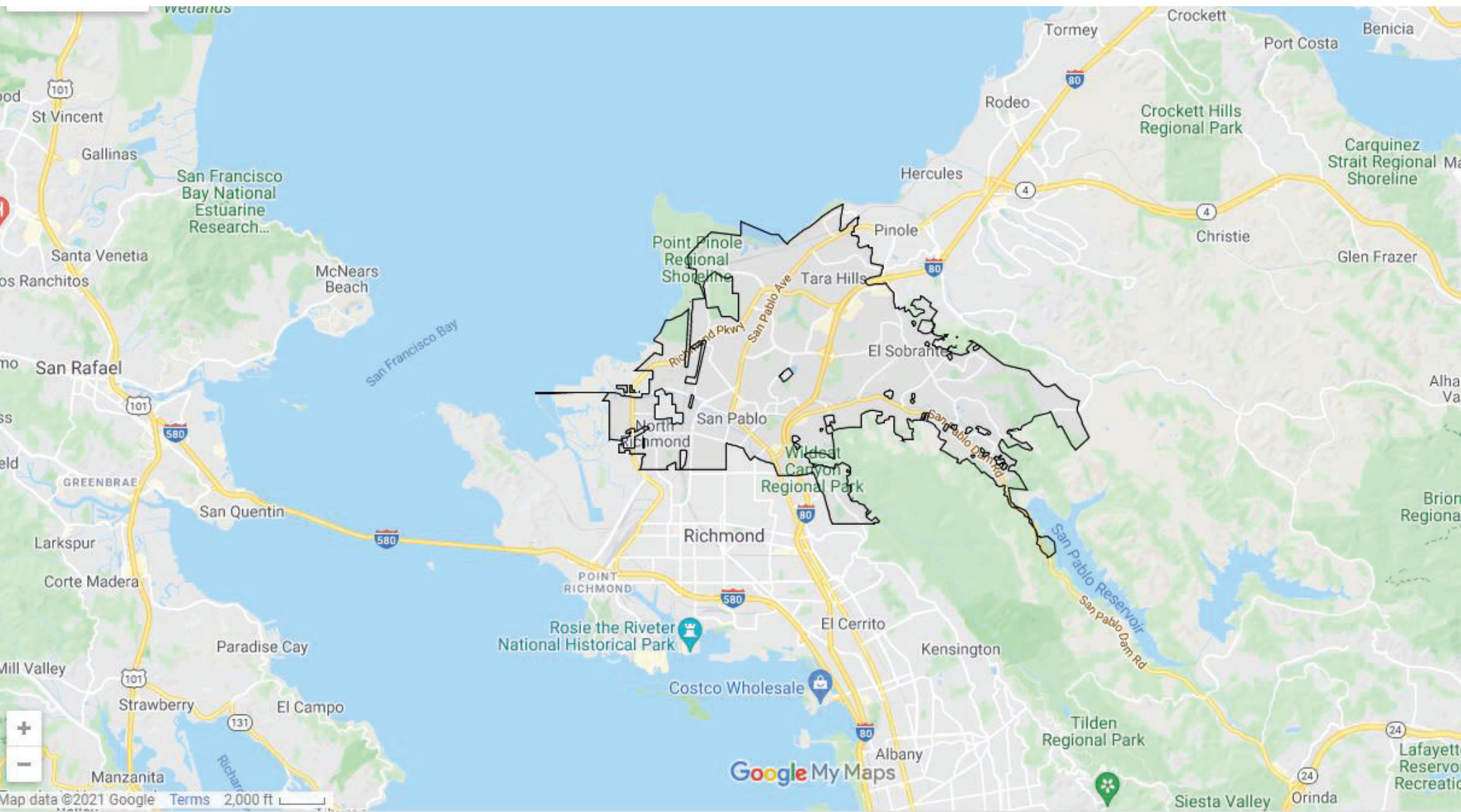


TABLE OF CONTENTS

INTRODUCTION	1	Long Term Obligations of the Enterprise.....	37
General.....	1	RISK FACTORS	38
The Authority and the District	1	Enterprise Demand and Growth	38
Purpose	1	Net Revenues; Rate Covenants	38
The Bonds; Security for the Bonds.....	1	District Expenses.....	38
Designation of Bonds as Green Bonds	2	Future Land Use Regulations	38
Risk Factors	2	Proposition 218	39
Limited Obligations	3	Constitutional Limit on Appropriations, Fees	
Forward-Looking Statements	3	and Charges.....	40
Summaries Not Definitive	3	Limitations on Remedies Available to	
FINANCING PLAN	4	Bondowners	41
The Project.....	4	Droughts	41
Estimated Sources and Uses of Funds	4	Natural Disasters	41
DEBT SERVICE	5	Cybersecurity	42
THE BONDS	6	Climate Change	42
Description of the Bonds	6	Environmental Regulation.....	43
Redemption of the Bonds	6	No Obligation to Tax.....	43
Existing Parity Obligations.....	8	Change in Law	43
Exchange of Bonds	8	Secondary Market for Bonds.....	43
Parity Obligations	8	Federal Tax-Exempt Status of the Bonds.....	44
Book-Entry Only System.....	10	IRS Audit of Tax-Exempt Issues.....	44
Covenant to Provide Continuing Disclosure.....	10	Parity Debt.....	44
SECURITY FOR THE BONDS	10	COVID-19 Outbreak	44
General.....	10	TAX MATTERS	45
Installment Payments	12	RATINGS	46
Rate Covenant.....	12	LITIGATION	46
Rate Stabilization Fund.....	13	MUNICIPAL ADVISOR	46
Application of Revenues.....	13	PROFESSIONAL FEES.....	46
Additional Covenants	13	APPROVAL OF LEGALITY	46
THE DISTRICT	16	CONTINUING DISCLOSURE	46
General.....	17	UNDERWRITING	47
Management and Personnel	17	ADDITIONAL INFORMATION	47
Employees and Employee Benefits	18		
Pension Plan.....	19	APPENDIX A - SUMMARY OF CERTAIN	
Other Post-Employment Benefits	20	DEFINED TERMS AND PRINCIPAL	
THE ENTERPRISE	22	LEGAL DOCUMENTS	A-1
Description of Enterprise	22	APPENDIX B - GENERAL DEMOGRAPHIC DATA	
Operating Agreements	22	AND FINANCIAL INFORMATION	B-1
Sanitary Sewer Management Plan	23	APPENDIX C - FORM OF FINAL OPINION OF	
Master Plan	24	BOND COUNSEL	C-1
Capital Improvement Plan	24	APPENDIX D - FORM OF CONTINUING	
Historical Sewage Flow and Costs	27	DISCLOSURE CERTIFICATE	D-1
Historical Wastewater Connections.....	27	APPENDIX E - INFORMATION CONCERNING	
Rates and Charges.....	28	DTC	E-1
Billing and Collection Procedures	31	APPENDIX F - AUDITED FINANCIAL	
Sewer System Regulatory Issues	31	STATEMENTS OF WEST COUNTY	
Insurance.....	33	WASTEWATER DISTRICT	F-1
Statement of Net Position	34	APPENDIX G - FORM OF GREEN BOND PROJECT	
Financial Information	34	REPORT.....	G-1
Historical Revenues and Expenditures	35	APPENDIX H - FORM OF SECOND PARTY	
Historical and Projected Operating Results and		OPINION.....	H-1
Debt Service Coverage	36		

GENERAL INFORMATION ABOUT THIS OFFICIAL STATEMENT

No dealer, broker, salesperson or other person has been authorized by the District to give any information or to make any representations in connection with the offer or sale of the Bonds other than as contained in this Official Statement, and if given or made, such other information or representations must not be relied upon as having been authorized by any of the foregoing. This Official Statement does not constitute an offer to sell or the solicitation of an offer to buy, nor shall there be any sale of the Bonds by any person, in any jurisdiction where such offer, solicitation or sale would be unlawful. This Official Statement has been deemed final, as of its date, by the Authority for the purpose of Rule 15c2-12 under the Securities Exchange Act of 1934, as amended.

The information set forth herein has been obtained from sources that are believed to be reliable, but is not guaranteed as to accuracy or completeness, and is not to be construed as a representation, by the District or the Authority. Neither the delivery of this Official Statement nor any sale made hereunder will, under any circumstances, create any implication that there has been no change in the affairs of the District since the date hereof. The information and expressions of opinion stated herein are subject to change without notice.

Certain statements included or incorporated by reference in this Official Statement constitute “forward-looking” statements within the meaning of the United States Private Securities Litigation Reform Act of 1995, Section 21E of the United States Securities Exchange Act of 1934, as amended, and Section 27A of the United States Securities Act of 1933, as amended. Such statements are generally identifiable by the words “expects,” “forecasts,” “projects,” “intends,” “anticipates,” “estimates,” “assumes” and analogous expressions. The achievement of certain results or other expectations contained in such forward-looking statements are subject to a variety of risks and uncertainties that could cause actual results to differ materially from those that have been projected. No assurance is given that actual results will meet the forecasts of the District in any way, regardless of the optimism communicated in the information, and such statements speak only as of the date of this Official Statement. The District disclaims any obligation or undertaking to release publicly any updates or revisions to any forward-looking statement contained herein to reflect any changes in the expectations of the District with regard thereto or any change in events, conditions or circumstances on which any such statement is based.

All summaries of the Installment Purchase Agreement and Indenture (as defined herein), and of statutes and other documents referred to herein do not purport to be comprehensive or definitive and are qualified in their entireties by reference to each such statute and document. This Official Statement, including any amendment or supplement hereto, is intended to be deposited with one or more depositories. This Official Statement does not constitute a contract between any owner of a Bond (the “Owner”) and the District.

Piper Sandler & Co. (the “Underwriter”) has provided the following sentence for inclusion in this Official Statement: The Underwriter has reviewed the information in this Official Statement in accordance with, and as part of, its responsibilities to investors under the federal securities laws as applied to the facts and circumstances of this transaction, but the Underwriter does not guarantee the accuracy or completeness of such information.

The issuance and sale of the Bonds have not been registered under the Securities Act of 1933 or the Securities Exchange Act of 1934, both as amended, in reliance upon exemptions provided thereunder by Sections 3(a)(2) and 3(a)(12), respectively, for the issuance and sale of municipal securities.

While the District maintains an internet website for various purposes, the information provided on that website is not incorporated by reference as part of this Official Statement and none of the information on that website is intended to assist investors in making any investment decision or to provide any continuing information with respect to the Bonds or any other bonds or obligations of the District.

OFFICIAL STATEMENT

\$79,575,000

WEST COUNTY FACILITIES FINANCING AUTHORITY 2021 WASTEWATER REVENUE BONDS (GREEN BONDS)

INTRODUCTION

General

The purpose of this Official Statement of the West County Facilities Financing Authority (the “Authority”) is to furnish information regarding the issuance and sale of \$79,575,000 principal amount of West County Facilities Financing Authority 2021 Wastewater Revenue Bonds (the “Bonds”) pursuant to the provisions of an Indenture of Trust, dated as of September 1, 2021 (the “Indenture”) between the Authority and U.S. Bank National Association (the “Trustee”).

The Authority and the District

The Authority was established pursuant to a Joint Exercise of Powers Agreement dated August 1, 2021, by and between the West County Wastewater District (the “District”) and the California Statewide Communities Development Authority (“CSCDA”). The Authority was created for the purpose of providing financing for public capital improvements jointly owned and operated by the District or CSCDA.

The District, founded in 1921, is a sanitary district which is located in the western portion of Contra Costa County (the “County”). The District’s jurisdiction includes the city of San Pablo (“San Pablo”), portions of the cities of Pinole (“Pinole”) and the City of Richmond (“Richmond”), and unincorporated Contra Costa County areas commonly known as Tara Hills, North Richmond, East Richmond Heights, El Sobrante, Rollingwood, and Bayview. The District collects and treats wastewater from its service area. Additionally, the District facilitates the diversion of treated effluent for use as recycled water and discharges the remainder of the effluent as described herein. The District encompasses approximately 16.9 square miles and serves approximately 34,000 residences and 900 commercial and industrial businesses with a population of approximately 104,000. See APPENDIX B – “GENERAL DEMOGRAPHIC DATA AND FINANCIAL INFORMATION.”

Purpose

The Bonds are being issued (i) to provide funds of approximately \$90 million for the design, acquisition, construction, installation and equipping of certain energy efficiency and other improvements to certain force mains and the gravity sewer (the “Project”) of the District’s wastewater enterprise (the “Enterprise”), (ii) to pay capitalized interest on the Bonds through June 1, 2023, and (iii) to pay certain costs of issuance of the Bonds. See “FINANCING PLAN” herein. See “THE ENTERPRISE” herein for a description of the District’s Enterprise.

The Bonds; Security for the Bonds

The Bonds will be issued pursuant to the Marks-Roos Local Bond Pooling Act of 1985 (Article 4, Chapter 5, Division 7, Title 1 of the State Government Code) (the “Bond Law”). The Bonds are payable from amounts received by the Authority from the District, consisting principally of Installment Payments to be paid by the District pursuant to an Installment Purchase Agreement, dated as of September 1, 2021 (the “Installment Purchase Agreement”) between the Authority and the District. The Authority has assigned to the Trustee, pursuant to the Indenture, among other things, its right to receive Installment Payments. The Installment Payments are a special limited obligation of the District, payable from and secured by a pledge of and first lien on all Net Revenues of the District in the Revenue Fund held by the District in trust under the Installment Purchase Agreement. The lien on the Revenue Fund is subject to the parity lien, of any additional obligations as provided for in the Installment Purchase Agreement. See “SECURITY FOR THE BONDS” herein. The Installment Payments are calculated to

be an amount sufficient to permit the Authority to pay all scheduled debt service on the Bonds when due. See APPENDIX A – “SUMMARY OF CERTAIN DEFINED TERMS AND PRINCIPAL LEGAL DOCUMENTS” herein.

Designation of Bonds as Green Bonds

Green Bonds Designation. Per the International Capital Market Association (“ICMA”), Green Bonds are any type of bond instrument where the proceeds will be exclusively applied to finance or re-finance, in part or in full, new and/or existing eligible Green Projects and which are aligned with the four core components of the Green Bond Principles. The four core components are: 1. Use of Proceeds; 2. Process for Project Evaluation and Selection; 3. Management of Proceeds; and 4. Reporting.

Kestrel Verifiers has determined that the Bonds are in conformance with the four core components of the ICMA Green Bond Principles, as described in Kestrel Verifiers’ ‘Second Party Opinion’, which is attached hereto as APPENDIX H.

Independent Second Party Opinion on Green Bond Designation and Disclaimer. For over 20 years, Kestrel Verifiers has been consulting in sustainable finance. Kestrel Verifiers, a division of Kestrel 360, Inc. is an Approved Verifier accredited by the Climate Bonds Initiative (“CBI”) and an Observer for the ICMA Green Bond Principles and Social Bond Principles. Kestrel Verifiers reviews transactions in all asset classes worldwide for alignment with ICMA Green Bond Principles, Social Bond Principles, Sustainability Bond Guidelines and the Climate Bonds Initiative Standards and criteria.

The Second Party Opinion issued by Kestrel Verifiers does not and is not intended to make any representation or give any assurance with respect to any other matter relating to the Bonds. Designations by Kestrel Verifiers are not a recommendation to any person to purchase, hold, or sell the Bonds and such labeling does not address the market price or suitability of these bonds for a particular investor and does not and is not in any way intended to address the likelihood of timely payment of interest or principal when due.

In issuing the Second Party Opinion, Kestrel Verifiers has assumed and relied upon the accuracy and completeness of the information made publicly available by the Authority or that was otherwise made available to Kestrel Verifiers.

Use of the proceeds of the Bonds will be tracked by the District. The District will post updates regarding the use of proceeds of the Bonds with the Municipal Securities Rulemaking Board’s Electronic Municipal Market Access (“EMMA”) system, currently located at www.emma.msrb.org (which website is not incorporated into this Official Statement by reference), annually, and will post a final list of projects funded once all proceeds of the Bonds have been spent. A form of this report is attached as APPENDIX D. Once all proceeds of the Bonds have been spent, no further updates regarding the projects will be provided or filed.

Risk Factors

There can be no assurance that the local demand for the services provided by the District’s Enterprise will be maintained at levels described in this Official Statement, or that the expenses for the Enterprise will be consistent with the levels described in this Official Statement. Changes in technology, decreased demand, new regulatory requirements, increases in the cost of energy or other expenses would reduce Net Revenues, and could require substantial increases in rates or charges in order to comply with the rate covenant in the Installment Purchase Agreement. Such rate increases could increase the likelihood of nonpayment.

If the District defaults on its obligation to make payments under the Installment Purchase Agreement, the Trustee has the right to accelerate the total unpaid principal amount of the Bonds. However, in the event of a default and such acceleration there can be no assurance that the District will have sufficient Net Revenues to pay the accelerated Installment Payments.

See “THE DISTRICT” and “THE ENTERPRISE” herein for a discussion of the District and the Enterprise.

See also “RISK FACTORS” herein for a discussion of special factors which should be considered, in addition to the other matters set forth herein, in considering the investment quality of the Bonds, including a discussion of the impact of Proposition 218, constitutional limits on fees and charges, seismic considerations, limitation on remedies and changes in law.

Limited Obligations

The obligations of the District to make the Installment Payments and the Additional Payments from the Net Revenues and to perform and observe the other agreements contained in the Installment Purchase Agreement shall be absolute and unconditional and shall not be subject to any defense or any right of setoff, counterclaim or recoupment arising out of any breach of the District, the Authority or the Trustee of any obligation to the District or otherwise with respect to the Project or out of indebtedness or liability at any time owing to the District by the Authority or the Trustee.

THE BONDS ARE LIMITED OBLIGATIONS OF THE AUTHORITY PAYABLE SOLELY FROM AND SECURED SOLELY BY THE INSTALLMENT PAYMENTS PLEDGED THEREFOR IN THE INDENTURE AND ARE NOT SECURED BY A LEGAL OR EQUITABLE PLEDGE OF, OR CHARGE OR LIEN UPON ANY PROPERTY OF THE AUTHORITY OR THE DISTRICT, OR ANY OF THE AUTHORITY’S INCOME OR RECEIPTS, EXCEPT THE INSTALLMENT PAYMENTS. THE BONDS ARE NOT A DEBT OF THE STATE OR ANY OF ITS POLITICAL SUBDIVISIONS. NEITHER THE FAITH AND CREDIT OF THE DISTRICT, THE COUNTY, THE STATE NOR ANY OF ITS POLITICAL SUBDIVISIONS ARE PLEDGED TO THE PAYMENT OF THE BONDS, AND NEITHER THE AUTHORITY NOR THE DISTRICT ARE OBLIGATED TO LEVY OR PLEDGE ANY FORM OF TAXATION THEREFOR. NEITHER THE DISTRICT, THE COUNTY, THE STATE NOR ANY OF ITS POLITICAL SUBDIVISIONS ARE LIABLE THEREFOR, NOR IN ANY EVENT SHALL THE BONDS OR ANY INTEREST OR REDEMPTION PREMIUM THEREON BE PAYABLE OUT OF ANY FUNDS OR PROPERTIES OTHER THAN THOSE OF THE AUTHORITY AS SET FORTH IN THE INDENTURE. NEITHER THE BONDS NOR THE OBLIGATION TO MAKE INSTALLMENT PAYMENTS CONSTITUTES AN INDEBTEDNESS OF THE DISTRICT, THE COUNTY, THE STATE OR ANY POLITICAL SUBDIVISION THEREOF WITHIN THE MEANING OF ANY CONSTITUTIONAL OR STATUTORY DEBT LIMITATION OR RESTRICTION.

Forward-Looking Statements

Certain statements included or incorporated by reference in the Official Statement constitute “forward-looking statements.” Such statements are generally identifiable by the terminology used such as “plan,” “expect,” “estimate,” “budget” or other similar words. The achievement of certain results or other expectations contained in such forward-looking statements involve known and unknown risks, uncertainties and other factors which may cause actual results, performance or achievements described to be materially different from any future results, performance or achievements expressed or implied by such forward-looking statements. Although such expectations reflected in such forward-looking statements are reasonable, there can be no assurance that such expectations will prove to be correct. The District is not obligated to issue any updates or revisions to the forward-looking statements if or when its expectations, or events, conditions or circumstances on which such statements are based occur.

Summaries Not Definitive

Definitions of certain capitalized terms herein are contained in APPENDIX A hereto, and are incorporated herein by reference. Definitions of certain terms used in this Official Statement, and the summaries of and references contained herein to the Indenture, the Bonds, the Installment Purchase Agreement, the Continuing Disclosure Certificate, statutes and other documents do not purport to be comprehensive or definitive and are

qualified by reference to each such document, instrument or statute. Additional copies of this Official Statement and copies of the Indenture and the Installment Purchase Agreement may be obtained during the initial offering period from the Municipal Advisor. After delivery of the Bonds, copies of these documents may be obtained from the Authority at 2910 Hilltop Drive, Richmond, California 94806.

FINANCING PLAN

The Project

The District anticipates utilizing the proceeds of the Bonds to finance approximately \$90 million in improvements. The District plans on constructing approximately \$79.99 million dollars in energy efficiency and sustainability projects which include replacement of influent pumps, a carbon reduction system, new gut separation system, primary sludge pumps and other sludge upgrades, high efficiency aeration blowers, rotary drum thickeners, new digesters, a cogeneration system, solar panels, electric vehicle charging stations and LED lighting upgrades. Additionally, the District plans on utilizing Bond proceeds to finance the replacement of the gravity sewer, and upgrades to various force mains. See “THE ENTERPRISE – Capital Improvement Plan.”

Estimated Sources and Uses of Funds

The estimated sources and uses of funds relating to the Bonds are as follows:

Sources:

Principal Amount of Bonds	\$79,575,000.00
Plus Net Premium	16,157,183.05
Less Underwriter’s Discount	<u>(130,087.55)</u>
Total Sources	\$95,602,095.50

Uses:

Deposit to Project Fund	\$90,000,000.00
Deposit to Capitalized Interest Fund	5,313,841.67
Deposit to Costs of Issuance Fund ⁽¹⁾	<u>288,253.83</u>
Total Uses	\$95,602,095.50

⁽¹⁾ Costs of Issuance include legal fees, printing costs, rating agency fees and other miscellaneous expenses.

DEBT SERVICE

The Installment Purchase Agreement requires the District to make Installment Payments May 15 and November 15 of each year, beginning November 15, 2021, and continuing until the end of the term of the Installment Purchase Agreement.

The following is a schedule of annual debt service on the Bonds for each year until maturity.

WEST COUNTY FACILITIES FINANCING AUTHORITY ANNUAL DEBT SERVICE SCHEDULE

Period Ending (June 1)	<u>Principal</u>	<u>Interest</u>	<u>Bond Year Debt Service</u>
2022*	-	\$ 2,130,841.67	\$ 2,130,841.67
2023*	-	3,183,000.00	3,183,000.00
2024	\$ 1,595,000.00	3,183,000.00	4,778,000.00
2025	1,655,000.00	3,119,200.00	4,774,200.00
2026	1,725,000.00	3,053,000.00	4,778,000.00
2027	1,790,000.00	2,984,000.00	4,774,000.00
2028	1,865,000.00	2,912,400.00	4,777,400.00
2029	1,940,000.00	2,837,800.00	4,777,800.00
2030	2,015,000.00	2,760,200.00	4,775,200.00
2031	2,095,000.00	2,679,600.00	4,774,600.00
2032	2,180,000.00	2,595,800.00	4,775,800.00
2033	2,265,000.00	2,508,600.00	4,773,600.00
2034	2,355,000.00	2,418,000.00	4,773,000.00
2035	2,450,000.00	2,323,800.00	4,773,800.00
2036	2,550,000.00	2,225,800.00	4,775,800.00
2037	2,650,000.00	2,123,800.00	4,773,800.00
2038	2,760,000.00	2,017,800.00	4,777,800.00
2039	2,870,000.00	1,907,400.00	4,777,400.00
2040	2,985,000.00	1,792,600.00	4,777,600.00
2041	3,100,000.00	1,673,200.00	4,773,200.00
2042	3,225,000.00	1,549,200.00	4,774,200.00
2043	3,355,000.00	1,420,200.00	4,775,200.00
2044	3,490,000.00	1,286,000.00	4,776,000.00
2045	3,630,000.00	1,146,400.00	4,776,400.00
2046	3,775,000.00	1,001,200.00	4,776,200.00
2047	3,925,000.00	850,200.00	4,775,200.00
2048	4,080,000.00	693,200.00	4,773,200.00
2049	4,245,000.00	530,000.00	4,775,000.00
2050	4,415,000.00	360,200.00	4,775,200.00
2051	<u>4,590,000.00</u>	<u>183,600.00</u>	<u>4,773,600.00</u>
Total	\$79,575,000.00	\$59,450,041.67	\$139,025,041.67

* Capitalized interest.

THE BONDS

Description of the Bonds

The Bonds will be issued as fully registered bonds in the denomination of \$5,000 (an “Authorized Denomination”), or any integral multiple of \$5,000. The Bonds will be dated the date of delivery to the original purchaser thereof. The Bonds will bear or accrue interest at the rates per annum and will mature, subject to the redemption provisions set forth below, on the dates and in the principal amounts, all as set forth on the cover page hereof.

Interest on the Bonds is payable semiannually on June 1 and December 1 of each year (commencing December 1, 2021) (each, an “Interest Payment Date”) to the person whose name appears on the Bond register (the “Bond Register”) of the Trustee as the registered owner thereof on the Record Date. If the book-entry system is not then in effect, such interest will be paid by check mailed by the Trustee on such Interest Payment Date, by first class mail, to such registered owner at the address which appears on Bond Register; provided however, that payment of interest may be by wire transfer in immediately available funds to an account in the continental United States of America to any Owner of Bonds in the aggregate principal amount of \$1,000,000 or more who shall furnish written wire instructions to the Trustee prior to the applicable Record Date. Interest on the Bonds shall be payable in lawful money of the United States of America and shall be calculated on the basis of a 360-day year consisting of twelve 30-day months. See “Book-Entry Only System” below for a description of how interest and principal will be paid while the book-entry system is in effect.

Principal of and redemption premium, if any, on the Bonds will be payable at the Trust Office of the Trustee in San Francisco, California. Principal of, redemption premium, if any, and interest on the Bonds shall be paid in lawful money of the United States of America.

Redemption of the Bonds

Optional Redemption. The Bonds maturing on or before June 1, 2031 are not subject to optional redemption prior to maturity. The Bonds maturing on June 1, 2032 and thereafter are subject to redemption prior to their stated maturity at the option of the Authority, as a whole or in part on any date, by such maturities as are selected by the Authority from any available source of funds on or after June 1, 2031 at a redemption price equal to the principal amount of the Bonds to be redeemed, together with accrued interest thereon to the date fixed for redemption, without premium.

Mandatory Sinking Fund Redemption. The Term Bonds are subject to mandatory redemption, in part by lot, from Sinking Account payments set forth in the following schedule beginning on June 1, 2042 and June 1, 2047 with respect to Term Bonds maturing June 1, 2046 and June 1, 2051, respectively, at a redemption price equal to the principal amount thereof to be redeemed (without premium), together with interest accrued thereon to the date fixed for redemption; provided, however, that if some but not all of the Bonds have been redeemed pursuant to subsections (b) or (c) below, the total amount of Sinking Account payments to be made subsequent to such redemption shall be reduced in an amount equal to the principal amount of the Bonds so redeemed by reducing each such future Sinking Account payment on a pro rata basis (as nearly as practicable) in integral multiples of \$5,000, as shall be designated pursuant to written notice filed by the Authority with the Trustee.

Term Bonds Maturing June 1, 2046

Redemption Date (June 1)	Principal Amount
2042	\$3,225,000
2043	3,355,000
2044	3,490,000
2045	3,630,000
2046 (maturity)	3,775,000

Term Bonds Maturing June 1, 2051

Redemption Date (June 1)	Principal Amount
2047	\$3,925,000
2048	4,080,000
2049	4,245,000
2050	4,415,000
2051 (maturity)	4,590,000

Special Mandatory Redemption. The Bonds shall also be subject to redemption as a whole or in part on any date, among maturities in a manner determined by the Authority to the extent insurance proceeds received with respect to the Enterprise are not used by the District to repair, rebuild or replace the Enterprise pursuant to the Installment Purchase Agreement, or to the extent of condemnation proceeds received with respect to the Enterprise and elected by the District to be used for such purpose pursuant to the related Installment Purchase Agreement, at a redemption price equal to the principal amount thereof plus interest accrued thereon to the date fixed for redemption, without premium.

Purchase in Lieu of Redemption. In lieu of mandatory sinking fund redemption, the Trustee may apply amounts in the sinking account to the purchase of Term Bonds at public or private sale for cancellation, as and when and at such prices (including brokerage and other charges, but excluding accrued interest, which is payable from the Interest Account) as may be directed by the Authority, except that the purchase price (exclusive of accrued interest) may not exceed the redemption price then applicable to the Term Bonds, as set forth in a Written Request of the Authority and subsequently cancelled or surrendered to the Trustee for cancellation. The par amount of any Term Bonds so purchased by the Authority in any twelve-month period immediately preceding any May 15 in the table above will be credited towards and will reduce the principal amount of Term Bonds required to be redeemed on the succeeding June 1.

Selection of Bonds for Redemption. Whenever provision is made for the redemption of less than all of the Bonds, the Trustee shall select the Bonds to be redeemed from all Bonds or such given portion thereof not previously called for redemption, as directed by the Authority and by lot within a maturity in any manner which the Trustee in its sole discretion shall deem appropriate and fair, provided, however, that if less than all of the Bonds are called for redemption at any one time. Upon the written direction of the Authority, the Authority shall specify a reduction in any pending Sinking Account payments required to be made hereunder which, to the extent practicable, results in Debt Service which will approximately equal annual Installment Payments remaining to be paid under the Installment Purchase Agreement so outstanding after such redemption and provide such schedule to the Trustee. For purposes of such selection, the Trustee shall treat each Bond as consisting of separate \$5,000 portions and each such portion shall be subject to redemption as if such portion were a separate Bond.

Notice of Redemption. Notice of redemption shall be mailed by first class mail, postage prepaid, not less than twenty (20) nor more than sixty (60) days before any redemption date, to the respective Owners of any Bonds designated for redemption at their addresses appearing on the Bond Register. Each notice of redemption shall state the date of the notice, the redemption date, the place or places of redemption, whether less than all of

the Bonds (or all Bonds of a single maturity) are to be redeemed, the CUSIP numbers and (if less than all Bonds are redeemed) Bond numbers of the Bonds to be redeemed, the maturity or maturities of the Bonds to be redeemed and in the case of Bonds to be redeemed in part only, the respective portions of the principal amount thereof to be redeemed. Each such notice shall also state that on the redemption date there will become due and payable on each of said Bonds the redemption price thereof, and that from and after such redemption date interest thereon shall cease to accrue, and shall require that such Bonds be then surrendered. Neither the failure to receive any notice nor any defect therein shall affect the proceedings for such redemption or the cessation of accrual of interest from and after the redemption date.

Effect of Redemption. Notice of redemption having been duly given, and moneys for payment of the redemption price of, together with interest accrued to the date fixed for redemption on, the Bonds (or portions thereof) so called for redemption being held by the Trustee, on the redemption date designated in such notice, the Bonds (or portions thereof) so called for redemption shall become due and payable, interest on the Bonds so called for redemption shall cease to accrue, said Bonds (or portions thereof) shall cease to be entitled to any benefit or security under the Indenture, and the Owners of said Bonds shall have no rights in respect thereof except to receive payment of the redemption price thereof.

Existing Parity Obligations

The District currently has four outstanding loans with the California State Water Resource Control Board which are payable on parity with the bonds (collectively the “SRF Loans”). See “THE ENTERPRISE – Long Term Obligations of the Enterprise” for additional information on the SRF Loans.

Exchange of Bonds

Bonds may be exchanged at the Trust Office of the Trustee for a like aggregate principal amount of Bonds of other Authorized Denominations of the same maturity. The Trustee shall require the payment by the Owner requesting such exchange of any tax or other governmental charge required to be paid with respect to such exchange. The Trustee shall not be required to register the transfer or exchange of any Bond (i) during the fifteen (15) day period preceding the selection of Bonds for redemption, or (ii) which has been selected for redemption in whole or in part.

Parity Obligations

Issuance of Additional Parity Obligations. The District has covenanted in the Installment Purchase Agreement not to issue or incur evidences of indebtedness or other obligations (other than Operation and Maintenance Costs) having any priority in payment over its Installment Payments.

The District shall have the right, from time to time, to issue Parity Obligations in any Fiscal Year, upon such terms and conditions as the District shall deem advisable, but only upon compliance with the following conditions which are conditions precedent to the issuance of any such Parity Obligations.

(a) No Event of Default shall have occurred and be continuing under the Installment Purchase Agreement or any Parity Obligations.

(b) The Net Revenues, calculated in accordance with generally accepted accounting principles, as shown by the books of the District for the most recent twelve (12) month period selected by the District, but excluding any transfers from the Rate Stabilization Fund, ending not more than sixty (60) days prior to the adoption of the Parity Obligations Instrument, pursuant to which such Parity Obligations are to be issued, as shown by the books of the District, plus, at the option of the District, shall at least equal one hundred twenty percent (120%) of Maximum Annual Debt Service, with Maximum Annual Debt Service calculated on the Installment Payments and all Parity Obligations to be Outstanding immediately subsequent to the issuance of such Parity Obligations which have a lien on Net Revenues. Additional Revenues may be added to such Net Revenues for the purpose of issuing or incurring additional Parity Obligations under the Installment Purchase Agreement.

(c) Any Parity Obligations which are issued as refunding obligations and are lowering the total aggregate debt service in any Fiscal Year can be issued without complying with (a) and (b) above.

(d) The Parity Obligations Instrument providing for the issuance of such Parity Obligations under this provision shall provide that:

(i) The proceeds of such Parity Obligations shall be applied to the acquisition, construction, improvement, financing or refinancing of additional facilities, improvements or extensions of existing facilities within the Enterprise, or otherwise for facilities, improvements or property which the District determines are of benefit to the Enterprise, or for the purpose of refunding any Installment Payments or Parity Obligations in whole or in part, including all costs (including costs of issuing such Parity Obligations and including capitalized interest on such Parity Obligations during any period which the District deems necessary or advisable) relating thereto;

(ii) Interest on such Parity Obligations shall be payable on an Interest Payment Date; and

(iii) The principal of such Parity Obligations shall be payable on July 1 in any year in which principal is payable.

Subordinate Obligations. Nothing in the Installment Purchase Agreement shall prohibit or impair the authority of the District to issue bonds or other obligations secured by a lien on Net Revenues which is subordinate to the lien established under the Installment Purchase Agreement, upon such terms and in such principal amounts as the District may determine; provided, that the District may issue or incur any such Subordinate Obligations subject to the following specific conditions which are hereby made conditions precedent to the issuance and delivery of such Subordinate Obligations:

(a) The District shall be in compliance with all covenants set forth in the Installment Purchase Agreement.

(b) The Net Revenues calculated on sound accounting principles, as shown by the books of the District for the latest Fiscal Year or any more recent twelve (12) month period selected by the District ending not more than sixty (60) days prior to the adoption of the Subordinate Obligations Instrument pursuant to which such Subordinate Obligations are issued, as shown by the books of the District, shall at least equal One Hundred percent (100%) of Maximum Annual Debt Service, with Maximum Annual Debt Service calculated on the Installment Payments and all Parity Obligations plus Maximum Annual Debt Service on Subordinate Obligations to be Outstanding immediately subsequent to the issuance of such Subordinate Obligations which have a lien on Net Revenues. Additional Revenues may be added to such Net Revenues for the purpose of issuing or incurring Subordinate Obligations under this Installment Purchase Agreement.

(c) The Subordinate Bonds Instrument providing for the issuance of such Subordinate Obligations under the Indenture shall provide that:

(i) The proceeds of such Subordinate Obligations shall be applied to the acquisition, construction, improvement, financing or refinancing of additional facilities, improvements or extensions of existing facilities within the Enterprise, or otherwise for facilities, improvements or property which the District determines are of benefit to the Enterprise, or for the purpose of refunding any obligations in whole or in part, including all costs (including costs of issuing such Subordinate Obligations and including capitalized interest on such Subordinate Obligations during any period which the District deems necessary or advisable) relating thereto;

(ii) Interest on such Subordinate Obligations shall be payable on an Interest Payment Date; and

(iii) The principal of such Subordinate Bonds shall be payable on July 1 in any year in which principal is payable.

Book-Entry Only System

One fully registered Bond will be issued for each maturity of the Bonds in the principal amount of the Bonds of such maturity, registered in the name of Cede & Co. and deposited with DTC. As long as the ownership of the Bonds is registered in the name of Cede & Co., the term “Owner” as used in this Official Statement will refer to Cede & Co. and not to the actual purchasers of the Bonds (the “Beneficial Owners”).

The Authority may decide to discontinue use of the system of book-entry transfers through DTC (or a successor securities depository). In such event, the Bonds will be printed and delivered and will be governed by the provisions of the Indenture with respect to payment of principal and interest and rights of exchange and transfer.

The Authority cannot and does not give any assurances that DTC participants or others will distribute payments with respect to the Bonds received by DTC or its nominee as the registered Owner, or any redemption or other notices, to the Beneficial Owners, or that they will do so on a timely basis, or that DTC will serve and act in the manner described in this Official Statement. See APPENDIX E – “INFORMATION CONCERNING DTC” for additional information concerning DTC.

Covenant to Provide Continuing Disclosure

The District has covenanted, pursuant to the Installment Purchase Agreement, to comply with the provisions of the Continuing Disclosure Certificate. The specific nature of the information to be contained in the Annual Report or the notices of material events is summarized below under the caption APPENDIX D – “FORM OF CONTINUING DISCLOSURE CERTIFICATE.” See also “CONTINUING DISCLOSURE” herein.

SECURITY FOR THE BONDS

General

THE BONDS ARE LIMITED OBLIGATIONS OF THE AUTHORITY PAYABLE SOLELY FROM AND SECURED SOLELY BY THE INSTALLMENT PAYMENTS PLEDGED THEREFOR IN THE INDENTURE AND ARE NOT SECURED BY A LEGAL OR EQUITABLE PLEDGE OF, OR CHARGE OR LIEN UPON ANY PROPERTY OF THE AUTHORITY OR THE DISTRICT, OR ANY OF THE AUTHORITY’S INCOME OR RECEIPTS, EXCEPT THE INSTALLMENT PAYMENTS. THE BONDS ARE NOT A DEBT OF THE COUNTY, THE STATE OR ANY OF ITS POLITICAL SUBDIVISIONS. NEITHER THE FAITH AND CREDIT OF THE DISTRICT, THE STATE NOR ANY OF ITS POLITICAL SUBDIVISIONS ARE PLEDGED TO THE PAYMENT OF THE BONDS, AND NEITHER THE AUTHORITY NOR THE DISTRICT ARE OBLIGATED TO LEVY OR PLEDGE ANY FORM OF TAXATION THEREFOR. NEITHER THE DISTRICT, THE COUNTY, THE STATE NOR ANY OF ITS POLITICAL SUBDIVISIONS ARE LIABLE THEREFOR, NOR IN ANY EVENT SHALL THE BONDS OR ANY INTEREST OR REDEMPTION PREMIUM THEREON BE PAYABLE OUT OF ANY FUNDS OR PROPERTIES OTHER THAN THOSE OF THE AUTHORITY AS SET FORTH IN THE INDENTURE. NEITHER THE BONDS NOR THE OBLIGATION TO MAKE INSTALLMENT PAYMENTS CONSTITUTES AN INDEBTEDNESS OF THE DISTRICT, THE COUNTY, THE STATE OR ANY POLITICAL SUBDIVISION THEREOF WITHIN THE MEANING OF ANY CONSTITUTIONAL OR STATUTORY DEBT LIMITATION OR RESTRICTION.

The Authority shall pay to the Trustee all Installment Payments, which the Trustee shall deposit in the Bond Fund to be used for payment of debt service (including mandatory sinking account redemptions). See APPENDIX A herein. The Authority, pursuant to the Indenture, has assigned to the Trustee its right to receive all Installment Payments from the District under the Installment Purchase Agreement and any and all of the other

rights of the Authority under the Installment Purchase Agreement as may be necessary to enforce payment of the Installment Payments when due or otherwise to protect the interests of the Owners of the Bonds.

All Net Revenues of the District (defined below) are irrevocably pledged by the District to the payment of the applicable Installment Payments and debt service on Parity Obligations of the District as provided in the Installment Purchase Agreement, and such Net Revenues shall not be used for any other purpose while any of the Installment Payments remain unpaid; provided, however, that out of the Net Revenues there may be apportioned such sums for such purposes as are expressly permitted by the Installment Purchase Agreement, including payment of debt service on any Parity Obligations. This pledge shall constitute a first lien on the Net Revenues for the payment of the Installment Payments and debt service on any Parity Obligations in accordance with the Installment Purchase Agreement. **The Bonds are not secured by a direct lien on the Project, the Enterprise or any other property of the Authority or the District.**

The obligations of the District to make the Installment Payments and the Additional Payments from the applicable Net Revenues and to perform and observe the other agreements contained in the Installment Purchase Agreement shall be absolute and unconditional and shall not be subject to any defense or any right of setoff, counterclaim or recoupment arising out of any breach the District, Authority or the Trustee of any obligation to the District or otherwise with respect to the Project or out of indebtedness or liability at any time owing to the District by the Authority or the Trustee.

The District is authorized to issue additional Parity Obligations secured by Net Revenues with a lien on a parity basis with the lien of the Installment Payments, provided it complies with certain provisions in the Installment Purchase Agreement. See “THE BONDS - Parity Obligations” herein. The District is also authorized to issue subordinate debt secured by Net Revenues.

The District has covenanted to fix, prescribe and collect rates and charges for the Enterprise sufficient to annually provide Net Revenues equal to 120% of its Installment Payments and the payment of debt service on any of its Parity Obligations, plus certain reserves. See “Rate Covenant” below.

“Net Revenues” means for any period, the Gross Revenues for such period plus the amount, if any, transferred to the Authority by the District from the Rate Stabilization Fund, less the Operation and Maintenance Costs for such period.

“Operation and Maintenance Costs” means the reasonable and necessary costs and expenses paid by the District for maintaining and operating the Enterprise, including but not limited to (a) costs of electricity and other forms of energy supplied to the Enterprise, (b) the reasonable expenses of management and repair and other costs and expenses necessary to maintain and preserve the Enterprise in good repair and working order, and (c) the reasonable administrative costs of the District attributable to the operation and maintenance of the Enterprise; but in all cases excluding (i) debt service payable on obligations incurred by the District with respect to the Enterprise, including but not limited to the Installment Payments, and any Parity Obligations, (ii) depreciation, replacement and obsolescence of charges or reserves therefor and (iii) amortization of intangibles or other bookkeeping entries of a similar nature.

“Gross Revenues” means all gross Charges received for, and all other gross income and receipts derived by the District from, the ownership and operation of the Enterprise or otherwise arising from the Enterprise, including but not limited to property tax revenues, tax increment revenues, and the District’s share of the County’s property tax and investment earnings on any funds held by the District and interest earnings on Trustee held moneys; but excluding (a) the proceeds of any ad valorem property taxes levied for the purpose of paying general obligation bonds of the District relating to the Enterprise, and (b) Connection Fees, unless otherwise permitted pursuant to the District’s capital facility plan, and (c) the proceeds of any special assessments or special taxes levied upon real property within any improvement district served by the District levied for the purpose of paying special assessment bonds or special tax obligations of the District relating to the Enterprise.

“Charges” means fees, tolls, assessments, rates and charges for the services and facilities of the Enterprise furnished by the District.

“Parity Obligations” means the SRF Loans and any indebtedness or other obligations (including leases and installment sale agreements) issued or incurred by the District and secured by a pledge of and lien on Net Revenues equally and ratably with the Installment Payments.

“Rate Stabilization Fund” means the fund by that name established pursuant to the Installment Purchase Agreement. See “Rate Stabilization Fund” below.

In the Installment Purchase Agreement, the District covenants that, so long as any Bonds are outstanding, the District will not issue or incur any obligations payable from their Net Revenues superior to the payment of the Installment Payments. The District has the right to issue or incur indebtedness or other obligations on a parity with or subordinate to the related Installment Payments. (See “THE BONDS - Parity Obligations” herein).

Installment Payments

The Installment Purchase Agreement requires the District to make Installment Payments on May 15 and November 15 of each year, commencing November 15, 2021, and continuing thereafter during the term of the Bonds, in amounts as specified in the Installment Purchase Agreement (see “Application of Revenues” below). The Installment Payments shall be paid directly to the Trustee, and if received by the Authority shall be deposited with the Trustee within one (1) Business Day thereof.

The District’s obligation to make Installment Payments is a special obligation of the District payable solely from Net Revenues and other funds provided for in the Installment Purchase Agreement. Neither the Bonds nor the obligation of the District to make Installment Payments constitutes a debt of the Authority, the District or of the State or of any political subdivision thereof within the meaning of any constitutional or statutory debt limit or restriction or an obligation for which the Authority, the District or the State is obligated to levy or pledge any form of taxation or for which the Authority, the District or the State has levied or pledged any form of taxation.

Rate Covenant

The District covenants in the Installment Purchase Agreement to fix, prescribe, revise and collect rates and charges for the services and facilities furnished by the Enterprise during each Fiscal Year which are at least sufficient, after making allowances for contingencies and errors in estimates, to pay the following amounts in the following order:

- (i) all Operation and Maintenance Costs estimated by the District to become due and payable in such Fiscal Year;
- (ii) the Installment Payments and the principal of and interest on any Parity Obligations as they become due and payable during such Fiscal Year;
- (iii) all other payments required for compliance with the Indenture and this Installment Purchase Agreement and the instruments pursuant to which any Parity Obligations relating to the Enterprise shall have been issued; and
- (iv) all Additional Payments and other payments required to meet any other obligations of the District which are charges, liens, encumbrances upon, or which are otherwise payable from, Gross Revenues or Net Revenues during such Fiscal Year.

In addition, the District shall fix, prescribe, revise and collect Charges for the services and facilities furnished by the Enterprise during each Fiscal Year which are sufficient to yield Net Revenues, which, are at least

equal to one hundred twenty percent (120%) of the aggregate amount described in the preceding clauses (a)(ii) and (iii) in such Fiscal Year for Installment Payments and Parity Obligations which have a lien on Net Revenues.

Rate Stabilization Fund

The Installment Purchase Agreement establishes a Rate Stabilization Fund to be held and maintained by the District. From time to time the District may deposit in the Rate Stabilization Fund, from Gross Revenues or other available funds of the District after the payment of Installment Payments and the payment of principal of and interest on Parity Obligations, such amounts as the District shall determine; provided deposits for each Fiscal Year may be made until (but not after) one-hundred twenty (120) days after the end of such Fiscal Year. The District may withdraw amounts from the Rate Stabilization Fund only for inclusion in Gross Revenues for any Fiscal Year, such withdrawals to be made until (but not after) one-hundred twenty (120) days after the end of such Fiscal Year. Moneys in the Rate Stabilization Fund may be withdrawn and used by the District for any lawful purpose of the Enterprise, including but not limited to, payment of Operation and Maintenance Costs or payment of Installment Payments and Parity Obligations. Except as otherwise provided in the Installment Purchase Agreement, moneys in the Rate Stabilization Fund are not pledged to secure payment of the Installment Payments.

Application of Revenues

The District has covenanted that all Gross Revenues, when and as received, will be received and held by the District and will be deposited by the District in the Revenue Fund, which the District has covenanted to establish and maintain throughout the term of the Bonds. All Net Revenues shall be disbursed, allocated and applied solely to the uses and purposes set forth in the related Installment Purchase Agreement, and shall be accounted for separately and apart from all other money, funds, accounts or other resources of the District.

All Gross Revenues of the District in its Revenue Fund shall be set aside by the District and applied in the following order of priority:

(1) **Operation and Maintenance Costs.** The District has covenanted to pay all Operation and Maintenance Costs of the Enterprise (including amounts reasonably required to be set aside in contingency reserves for Operation and Maintenance Costs of the Enterprise, the payment of which is not then immediately required) as they become due and payable.

(2) **Installment Payments.** All of the Net Revenues of the District shall be deposited immediately upon receipt in its Revenue Fund. The District covenants and agrees that its Net Revenues will be held in its Revenue Fund. On or before each Installment Payment Date (commencing November 15, 2021) the District shall withdraw from its Revenue Fund and transfer to the Trustee, for deposit in the Bond Fund, an amount which, together with the balance then on deposit in the Bond Fund, the Interest Account, the Sinking Account and the Principal Account, is equal to the aggregate amount of the Installment Payment coming due and payable on the next succeeding Interest Payment Date. Payment of the Installment Payment and all other payments relating to principal and interest on or with respect to Parity Obligations of the District shall be paid in accordance with the terms of the Installment Purchase Agreement and of such Parity Obligations without preference or priority, and in the event of any insufficiency of such moneys, ratably without any discrimination or preference.

(3) **General Expenditures.** All Gross Revenues not required to be withdrawn pursuant to the provisions of (1) and (2) above may be expended by the District at any time for any lawful purpose of the District, including, but not limited to, deposit in the Rebate Fund or for payment of any subordinate obligation.

Additional Covenants

Additional covenants of the District contained in the Installment Purchase Agreement include, but are not limited to, the following:

Maintenance, Utilities, Taxes and Assessments. Throughout the term of the Installment Purchase Agreement, all improvement, repair and maintenance of the Enterprise shall be the responsibility of the District, and the District shall maintain and repair the Enterprise or cause the Enterprise to be maintained and repaired and shall pay for, or otherwise arrange for the payment of, utility services, if any, supplied to the Enterprise all costs of operation of the Enterprise and all costs of repair and replacement of the Enterprise resulting from ordinary wear and tear or want of care.

The District will pay or cause to be paid all taxes, assessments and other governmental charges, if any, that may be levied, assessed or charged upon the Enterprise promptly as and when the same shall become due and payable, provided, however, that the District shall not be required to pay any such tax, assessment, or charge, if the validity thereof shall concurrently be contested in good faith by appropriate proceedings, if the District shall set aside reserves in a form and amount which is adequate with respect thereto; and provided further, that the District, upon the commencement of any proceedings to foreclose the lien of any such tax, assessment, or charge, forthwith pay, or cause to be paid, any such tax, assessment or charge, unless contested in good faith as aforesaid. The District will not suffer the Enterprise, or any part thereof, to be sold for any taxes, assessments or other charges whatsoever, or to be forfeited therefor. Nothing herein contained shall be deemed to impose any liability to pay taxes, assessments or charges where none is imposed by law.

Operation of Enterprise. The District covenants and agrees to operate, maintain and preserve, or to cause to be operated, maintained and preserved, the Enterprise in good repair and working order and will operate or cause to be operated the Enterprise in an efficient and economical manner.

Payment of Additional Payments. In addition to the Installment Payments, the District shall pay when due all costs and expenses incurred by the Authority to comply with the provisions of the Indenture, and shall pay to the Trustee upon request all compensation for fees due to the Trustee and all of its costs and expenses payable as a result of the performance of and compliance with its duties, together with all amounts required to indemnify the Trustee, and all related costs and expenses of attorneys, auditors, engineers and accountants.

Insurance. The District shall maintain or cause to be maintained the following policies of insurance (which may be maintained in whole or in part in the form of a pooled insurance program):

(1) Insurance against loss or damage to any structures constituting any part of the Enterprise, as is customarily maintained with respect to works and properties of a like character, which may be carried in conjunction with any other policies of fire and extended coverage insurance;

(2) Public liability and property damage insurance the minimum coverages of which shall be \$1,000,000 for personal injury or death per person and \$3,000,000 for personal injury or deaths of two or more persons in each accident or event, and property damage insurance in the minimum coverage of \$100,000 per event, respectively, the property damage being subject to a maximum \$10,000 deductible per accident. Such insurance may be maintained in the form of a minimum \$3,000,000 single limit policy covering all such risks;

(3) Workers' compensation insurance issued by a responsible carrier authorized under the laws of the State to insure employers against liability for compensation under the Workers' Compensation Insurance and Safety Act now in force in the State, or any act hereafter enacted as an amendment or supplement thereto or in lieu thereof, such worker's compensation insurance to cover all persons employed in connection with the Enterprise and to cover full liability for compensation under any such act aforesaid, based upon death or bodily injury claims made by, for or on behalf of any person incurring or suffering injury or death during or in connection with the Enterprise or the business of the District.

Insurance Net Proceeds. Any Net Proceeds of any such insurance required by the Installment Purchase Agreement relating to the loss or destruction of any part of the Enterprise which is collected by the District shall be applied and disbursed as set forth below:

(a) If the District determines that such Net Proceeds are sufficient to repair, reconstruct or replace the damaged or destroyed portion of the Enterprise, then the District shall cause such portion of the Enterprise to be repaired, reconstructed or replaced to at least the same good order, repair and condition as it was in prior to the damage or destruction, insofar as the same may be accomplished by the use of said Net Proceeds, and the District shall direct the Trustee to disburse said Net Proceeds for said purpose. Any balance of said Net Proceeds not required for such repair, reconstruction or replacement shall be transferred by the Trustee to the Bond Fund and the District shall direct the Trustee that said balance be applied as a prepayment of the Installment Payments, except that no such prepayment shall be in an amount less than \$5,000. The District shall be obligated to continue to make Installment Payments required by the Installment Purchase Agreement notwithstanding accident to or destruction of all or a portion of the Enterprise unless and until the Bonds relating to the Installment Payment and all amounts owed thereunder and under the Indenture by the District are paid in full.

(b) In the event that such Net Proceeds are not sufficient to repair, reconstruct or replace the damaged or destroyed portion of the Enterprise, the District shall direct the Trustee to apply such Net Proceeds to the prepayment in full, on the next succeeding Installment Payment Date, of the balance of the District's Installment Payments, or if such Net Proceeds are insufficient to prepay the balance of such Installment Payments in full then the District shall direct the Trustee to apply such Net Proceeds to prepayment of its Installment Payments except that no such prepayment shall be in an amount less than \$5,000.

(c) If the District is unable to obtain or maintain insurance on reasonable terms, either as to amounts or as to risks, the failure to maintain such insurance shall not constitute a default under the Installment Purchase Agreement if the District shall cause the employment of an independent insurance consultant for the purpose of reviewing such insurance requirements and making recommendations respecting the types, amounts and provisions of reasonably obtainable insurance, or the establishment of other generally accepted forms of alternative protection that should be carried in lieu thereof, or the infeasibility of obtaining insurance, and if the District shall comply with the recommendations made in such report; provided that in any such case the District shall be required to self-insure in lieu of such other insurance and use the best efforts to establish and maintain reserves in connection with such self-insurance in such amounts as may be determined by such independent insurance consultant or the District's risk manager.

Eminent Domain. All Net Proceeds received in any condemnation proceeding undertaken by any governmental authority relating to all or a portion of the Enterprise shall be paid by the District to the Trustee for deposit in the Bond Fund and the District shall assure that such Net Proceeds are applied and disbursed as set forth below:

(a) If the District determines that such condemnation has not materially affected the operation of its Enterprise or the ability of the District to meet any of its obligations hereunder, and if such Net Proceeds are insufficient to enable the District to prepay its Installment Payments in full on the next succeeding Installment Payment Date, the District shall direct the Trustee to retain such Net Proceeds in the Bond Fund and to cause such Net Proceeds to be applied as a credit against its next succeeding Installment Payments. The District shall be obligated to continue to make its Installment Payments required by the Installment Purchase Agreement notwithstanding condemnation of all or a portion of the Enterprise unless and until the Bonds relating to its Installment Payments and all amounts owed hereunder and under the Indenture by District are paid in full.

(b) If the District determines that such condemnation has materially affected the operation of its Enterprise or the ability of the District to meet any of its obligations, or if such Net Proceeds are sufficient to enable the District to prepay its Installment Payments in full on the next succeeding Installment Payment Date, the District shall direct the Trustee to apply such Net Proceeds to the prepayment in full or (to the extent that such condemnation pertains only to a portion of the Enterprise) in part on the next succeeding Installment Payment Date of its Installment Payments except that no such prepayment shall be in an amount less than \$5,000.

Payment of Taxes. The District will pay or cause to be paid all taxes, assessments and other governmental charges, if any, that may be levied, assessed or charged upon the Enterprise promptly as and when

the same shall become due and payable; provided, however, that the District shall not be required to pay any such tax, assessment, or charge, if the validity thereof shall concurrently be contested in good faith by appropriate proceedings, if the District shall set aside, or cause to be set aside, reserves in a form and amount which is adequate with respect thereto and if the District shall hold the Authority and its assignee harmless as to any loss or forfeiture which might arise from the nonpayment of any such item; and provided further, that the District, upon the commencement of any proceedings to foreclose the lien of any such tax, assessment, or charge, forthwith pay, or cause to be paid, any such tax, assessment or charge, unless contested in good faith as aforesaid. The District will not suffer the Enterprise or any part thereof, to be sold for any taxes, assessments or other charges whatsoever, or to be forfeited therefor. Nothing herein contained shall be deemed to impose any liability to pay taxes, assessments or charges where none is imposed by law.

Observance of Laws and Regulations. The District will well and truly keep, observe and perform or cause to be kept, observed and performed all valid and lawful obligations or regulations now or hereafter imposed on it by contract, or prescribed by any law of the United States, or of the State of California, or by any officer, board or commission having jurisdiction or control, as a condition of the continued enjoyment of any and every right, privilege or franchise now owned or hereafter acquired by the District, including its right to exist and carry on business as a public body, corporate and political, to the end that such rights, privileges and franchises shall be maintained and preserved, and shall not become abandoned, forfeited or in any manner impaired.

Maintain and Preserve the Enterprise. The District will operate, maintain and preserve, or will cause to be operated, maintained and preserved, the Project and the Enterprise in good repair and working order and will operate or cause to be operated the Project and the Enterprise, in an efficient and economical manner.

Further Assurances. Whenever and so often as requested so to do by the Authority or its assignee, the District will promptly execute and deliver or cause to be executed and delivered all such other and further instruments, documents or assurances, and promptly do or cause to be done all such other and further things, as may be necessary or reasonably required in order to further and more fully vest in the Authority or its assignee all rights, interest, powers, benefits, privileges and advantages conferred or intended to be conferred upon the Authority and its assignee by the Installment Purchase Agreement.

Against Encumbrances or Sales. The District covenants not to create or suffer to be created any mortgage, pledge, lien, charge or encumbrance upon its Enterprise, or upon any real or personal property essential to the operation of the Enterprise, other than as permitted in the Installment Purchase Agreement. The District will not sell or otherwise dispose of any property essential to the proper operation of the Enterprise, except as otherwise permitted by the Installment Purchase Agreement.

Maintenance of Tax-Exemption. The District and the Authority shall take all actions necessary to assure the exclusion of interest on the Bonds from the gross income of the Owners of the Bonds to the same extent as such interest is permitted to be excluded from gross income under the Code as in effect on the date of issuance of the Bonds until the expiration of the term of the Installment Purchase Agreement, as provided in the Indenture.

THE DISTRICT

The following material is descriptive of the District. It has been prepared by or excerpted from sources as noted herein and has not been verified by Bond Counsel, Disclosure Counsel, the Authority's Municipal Advisor or the Underwriter. For further information, see "THE ENTERPRISE," APPENDIX B – "GENERAL DEMOGRAPHIC DATA AND FINANCIAL INFORMATION," and APPENDIX F – "AUDITED FINANCIAL STATEMENTS OF WEST COUNTY WASTEWATER DISTRICT" attached hereto.

General

The Authority was established pursuant to a Joint Exercise of Powers Agreement dated August 1, 2021, by and between the District and CSCDA. The Authority was created for the purpose of providing financing for public capital improvements jointly owned and operated by the District and CSCDA.

The District, founded in 1921, is a sanitary district that is located in the western portion of Contra Costa County (the “County”). The District’s jurisdiction includes San Pablo, portions of the Pinole and Richmond, and portions of unincorporated Contra Costa County commonly known as Tara Hills, North Richmond, East Richmond Heights, El Sobrante, Rollingwood, and Bayview. The District collects and treats wastewater from its service area. Additionally, the District facilitates the diversion of treated effluent for use as recycled water and discharges the remainder of the effluent as described herein. The District encompasses approximately 16.9 square miles and serves approximately 34,000 residences and 900 commercial and industrial businesses with a population of approximately 104,000. See APPENDIX B – “GENERAL DEMOGRAPHIC DATA AND FINANCIAL INFORMATION.”

Management and Personnel

The District has a staff of approximately 61 full-time employees, over half of whom are operational staff. Following are brief biographies of the District’s management personnel.

Lisa Malek-Zadeh – General Manager. Ms. Malek-Zadeh has worked in the public sector for over 20 years. She joined the District in April 2016 as Business Services Manager, was promoted to Deputy General Manager/Chief Operating Officer in January 2018 and later became the Interim General Manager. She was named General Manager in January 2019. Ms. Malek-Zadeh manages the District’s team of employees in planning for future wastewater needs of the community, collaborating with local, regional and national partners, and building trust among the public and stakeholders. Prior to joining the District Ms. Malek-Zadeh served as the Finance Director/Treasurer at the City of El Cerrito. She previously worked for the City of Berkeley, where she held various positions in business administration and financial management. She also spent six years working in public works, including capital projects, sewer, solid waste and transportation. Ms. Malek-Zadeh holds a Master of Business Administration from Golden Gate University and a Bachelor of Arts from UCLA. Ms. Malek-Zadeh is a member of the Board of Directors of the California Sanitation Risk Management Agency.

Andrew Clough – Deputy General Manager. Mr. Clough has more than 30 years of management and operations experience. As Deputy General Manager Mr. Clough is responsible for strategic planning, budget creation and fiscal management, managing cross-functional project teams, staff development, public speaking, community engagement and more. Mr. Clough has served as the Public Works Director for the city of Emeryville and the city of Berkeley. In his role at the city of Berkeley, he implemented data-driven improvements that produced a sustained reduction in sanitary sewer overflows of over 80%. He is experienced in agency management, leadership and project delivery. Mr. Clough developed the city of Berkeley public works department’s “Our Commitment to Customer Service Program,” which transformed its culture and helped achieve the city’s vision. As a professional geologist and environmental scientist, Mr. Clough brings a unique blend of technical, environmental, organizational development and management experience to the District.

Aaron Winer – Director of Water Quality & Resource Recovery. Mr. Winer’s career includes a variety of roles in project management, environmental compliance, workplace safety, laboratory, maintenance and collections systems operations, as well as serving as plant operations superintendent. He is experienced in presenting to boards, communicating with customers, regulators and other stakeholders, and leading, developing and collaborating with staff. Mr. Winer worked for eight years at Richmond as a Veolia Water employee under contract to Richmond, where he collaborated with the West County Agency and managed wastewater operations and related activities for Richmond. In that role, he oversaw operations, maintenance, laboratory, sewer and storm operations and maintenance, customer and client relations, capital planning and construction, budgeting and financial oversight, and regulatory and safety compliance. Prior to his time in Richmond, Mr. Winer worked for

15 years in various operational, environmental compliance and safety roles for public and private organizations and companies. He holds certifications in Plant Operations, Environmental Compliance, Laboratory, Industrial Waste Treatment, and Safety. He earned his Master of Public Administration from the University of Southern California in 2006.

Justin Lovell – Director of Administrative Services. Mr. Lovell brings more than 15 years of local government management experience to the District. He serves as the Director of Administrative Services overseeing the Finance, Human Resources, Information Technology and District clerk areas. Mr. Lovell has led several initiatives to upgrade technology, strengthen security practices and modify processes to support the remote work environment. His background includes an emphasis on policy development, budget and financial forecasting, project management, sustainability initiatives, and process improvements. In 2019, Mr. Lovell completed a two-year International City/County Management Association leadership and management program for local government professionals. His experience includes multiple positions with the city of South San Francisco overseeing accounting functions, operating and capital improvement program budget, sewer rate financial forecasting, parking and transportation policy, sustainability initiatives, and providing project management support for elected officials. Mr. Lovell also served as an AmeriCorps member working with at-risk youth, and a Peace Corps Volunteer working in environmental education in Bolivia. Mr. Lovell earned a Master of Science in Urban Policy Analysis and Management from The New School in New York, New York and a Bachelor of Science from San Diego State University.

Michael Savannah – Director of Infrastructure & Planning. Mr. Savannah has experience in both the private sector and on local, state and international projects for a wide variety of government clients. He possesses personnel and project management skills, as well as planning and design experience. He joined the District five years ago, starting in the Engineering Department as a senior engineering technician. He was promoted to Senior Project Manager of the Capital Projects Division in 2018. Mr. Savannah then became the District's first Capital Programs Manager where, working with a team of stakeholders and project management staff, he led the creation and approval of the five capital plan and capital project budget process. He previously served as the District's Interim Infrastructure and Planning Department Manager and as a member of the General Manager's Resource Team, an advisory body for the General Manager. He is a Project Management Professional (PMP) and was awarded a PMP certification by the Project Management Institute. Individuals with this certification are globally recognized for their skills, standards and successful project completion rates.

Employees and Employee Benefits

The District employs approximately 61 employees.

The District's Administrative Services Department is responsible for labor relations with its 3 recognized bargaining units that presently represent approximately 49 District full-time employees. The Department also manages the benefits as outlined in the District's Memoranda of Understanding (MOUs) with its labor unions. The District has not experienced a strike in the past 10 years.

The District's recognized bargaining units are as follows:

<u>Name of Bargaining Unit</u>	<u>Number of Active Members</u>	<u>MOU Expiration Date</u>
Administrative Clerical Unit	4	June 30, 2022
Field Operators Unit	39	December 31, 2021
Management Employees Unit ⁽¹⁾	6	June 30, 2021

⁽¹⁾ The District is currently in negotiations with this unit. The existing MOU will continue to operate until such time as a new MOU is effective.

Source: The District.

Pension Plan

The District contributes to the California Public Employees Retirement System (“PERS”), a multiple-employer, public employee defined benefit plan, which acts as a common investment and administrative agent for participating public entities within the State. The District participates in the Public Agency Cost-Sharing Multiple-Employer Defined Benefit Pension Plan (the “Plan”) administered by PERS. The Plan consists of a miscellaneous risk pool, which is comprised of individual employer miscellaneous plans, respectively. Individual employers may sponsor more than one miscellaneous plan. Each individual employer rate plan generally has less than 100 active members. The District’s membership is reported as miscellaneous members. For Fiscal Year 2020-21, the District is responsible for approximately \$13,911,458 in PERS pension costs (unfunded actuarial liability). PERS issues a separate comprehensive annual financial report, and annual actuarial reports for the District’s retirement plans. Copies of PERS’ annual financial report may be obtained from their executive office at 400 “P” Street, Sacramento, California 95814, or at their website at <http://www.calpers.ca.gov>. The foregoing reference to an internet website is made for reference and convenience only; the information contained within the website has not been reviewed by the District and is not incorporated in this Official Statement by reference.

All District personnel are eligible to participate in PERS, becoming vested after five years of service. Classic PERS Miscellaneous employees who retire at or after age 55 with five years of credited service are entitled to retirement benefits. Public Employees’ Pension Reform Act (“PEPRA”) Miscellaneous members become eligible for service retirement upon attainment of age 62 with at least 5 years of service. For employees hired on or before December 31, 2012 (“classic” employees), the benefits are calculated at the highest consecutive 12 months for miscellaneous employees multiplied by a total number of years employed. For new PEPRA members, hired January 1, 2013 or later, final compensation is the average annual pensionable compensation for a 36-consecutive-month period of employment. Monthly retirement benefits are payable for life in an amount equal to a specified percentage as follows:

	Miscellaneous Risk Pool	
	<u>Tier 1</u>	<u>PEPRA Misc. Plan</u>
Hire Date	On or Before 31-Dec-12	On or After 1-Jan-13
Benefit formula	3.0% at 60	2.0% at 62
Benefit vesting schedule	5 years of service	5 years of service
Benefit payments	Monthly for life	Monthly for life
Retirement age	50-67 & up	52-67 & up
Required employer contribution rates 2020	14.398%	6.985%
Required employer contribution rates 2019	13.439%	6.842%

For employees hired on or before December 31, 2012, required employee contributions to PERS are 8% of compensation for miscellaneous employees. Under PEPRA, for new employees hired on or after January 1, 2013, the required employee contributions to PERS is 6.75% of compensation for miscellaneous employees. The District is required to contribute the remaining amounts necessary to fund the benefits for its members, using the actuarial basis recommended by the PERS actuaries and actuarial consultants and adopted by the PERS Board of Administration.

PERS uses a modification of the entry age normal actuarial cost method, which is a projected benefit cost method. That is, it takes into account those benefits that are expected to be earned in the future as well as those already accrued. The District’s contributions to PERS for the fiscal years ended June 30, 2021, 2020 and 2019 were \$1,431,021, \$1,546,872 and \$1,332,090, respectively and are estimated to be \$1,717,177 for the fiscal year 2021-22. Contribution rates for each participating employer are determined based on the benefit structure established.

The funded status of each plan as of June 30, 2019, on an actuarial value of assets basis is as follows (dollar amounts in thousands):

	Market Value of Assets (MVA)⁽¹⁾	Actuarial Accrued Liability (AAL) Entry Age⁽¹⁾	Unfunded AAL (UAAL)⁽¹⁾	Funded Ratio (MVA / AAL)⁽¹⁾	Covered Payroll⁽¹⁾
Classic	\$44,211,304	\$59,413,970	\$15,202,666	74.4%	\$3,503,137
PEPRA	870,343	944,531	74,188	92.1%	1,765,525

⁽¹⁾ The amounts represent the District's share of the PERS risk pool, which includes multiple agencies under 100 employees as well as the District's employees.

Source: PERS June 30, 2019 actuarial valuations.

The actuarial studies referenced above incorporate recent changes in actuarial methods and assumptions. In the PERS' June 30, 2019 actuarial valuations, PERS used the new actuarial methods for the calculation of the projected contribution rates. PERS states that *"projected results reflect the adopted changes to the discount rate. The projections also assume that all actuarial assumptions will be realized and that no further changes to assumptions, contributions, benefits, or funding will occur during the projection period. The projected normal cost percentages in the projections below do not reflect that the normal cost will decline over time as new employees are hired into PEPRA or other lower cost benefit tiers."*

The projected rates for each plan as of June 30, 2019, the most recent actuarial valuation, are as follows:

Projected Future Employer Contribution Rates⁽¹⁾

	<u>2022-23</u>	<u>2023-24</u>	<u>2024-25</u>	<u>2025-26</u>
Classic	\$1,294,000	\$1,373,000	\$1,457,000	\$1,502,000
PEPRA	6,200	7,600	8,800	9,100

⁽¹⁾ Assume 7.00% return for each Fiscal Year.

Source: PERS June 30, 2019, actuarial valuations.

The District cannot anticipate the accuracy of the projections above or to what extent the contribution requirements of the District will increase in future years.

The announcement on July 12, 2021 that PERS achieved preliminary investment returns of 21.3% could cause the PERS Board of Administration to lower PERS' discount rate from 7.00% to 6.80% in accordance with a risk mitigation policy that was adopted in 2015, which calls for the discount rate to be lowered if returns exceed the then-current discount rate by two or more percentage points. There can be no assurance as to whether or when the PERS Board of Administration will consider lowering the discount rate.

For additional information relating to the PERS plan, see Note 8 the District's audited financial statements set forth in APPENDIX F.

Other Post-Employment Benefits

The District provides post-retirement health care benefits through a single-employer defined benefit Other Post Employment Benefits ("OPEB") plan to employees that have (a) qualified for a PERS retirement, attained the age of 50 and have five years of full-time service if hired prior to January 1, 2013 or (b) for employees hired after January 1, 2013, have attained the age of 52 and have five years of full time service. There are two tiers of the retirement benefit. Tier 1 applies to employees within the District's field operating unit hired prior to January 1, 2009, certain units represented by a union and unrepresented employees hired prior to September 1, 2007, and any general manager hired prior to December 1, 2018. Tier 1 benefits include the 100% of the monthly non-Medicare premium for Kaiser Bay Area region 1.

All other employees are eligible under tier 2 and must have five years of service with the District and at least 10 years of PERS service. At 10 years of PERS service employees receive 50% of the greater of the amount required pursuant to Public Employees' Medical & Hospital Care Act Section 22893 or non-Medicare Kaiser premium for coverage elected multiplied by vested percent, no more than the Kaiser premium. For every additional year of service five percent is added to the benefit amount until employees reach the 100% benefit coverage after 20 years of PERS service.

The District contributes an actuarially determined amount for retiree health care benefits the retiree and their dependents. As of June 30, 2020, the District's total liability for post-employment healthcare benefits consisted of the following:

<u>OPEB Plan</u>	<u>Net OPEB Liability</u>	<u>Deferred Outflows of Resources</u>	<u>Deferred Inflows of Resources</u>	<u>OPEB Expense</u>
Retiree Benefits Plan	\$1,290,000	\$63,000	(\$1,499,000)	\$557,000

Source: West County Wastewater District Comprehensive Annual Financial Reports for Fiscal Years June 30, 2020 and June 30, 2019.

Membership in the OPEB plan consisted of the following on June 30, 2020, the date of the latest actuarial valuation:

<u>Participant Type</u>	<u>Number of Participants</u>
Inactive employees or beneficiaries currently receiving benefits	48
Inactive employees or beneficiaries entitled to but not yet receiving benefit payments	1
Active employees member	56
Total	105

Source: West County Wastewater District Comprehensive Annual Financial Reports for Fiscal Year June 30, 2020 and June 30, 2019.

The District's net OPEB liability as of June 30, 2020 was \$1,290,000.

The District contracts with PERS to administer its retiree health benefits plan (an agent multiple employer defined benefit plan). In 2009, the District created a trust with Public Agency Retirement Services (PARS) for the purpose of prefunding obligations for past services. As of June 30, 2021, the District held \$14,454,957 in its PARS trust to pay OPEB liabilities. The District has budgeted 14.8% of the actuarial determined contribution of covered payroll in the amount of \$1,312,888 to the trust for Fiscal Year 2021-22.

For additional details on the District's OPEB liability, see Note 7 in APPENDIX F.

Actuarial valuations of an ongoing plan involve estimates of the value of reported amounts and assumptions about the probability of occurrence of events far into the future. Examples include assumptions about future employment, mortality, and healthcare cost trends. Amounts determined regarding the funded status are subject to continual revisions as actual results are compared with past expectations and new estimates are made about the future.

THE ENTERPRISE

Description of Enterprise

The District owns, operates, and maintains: (i) a wastewater collection system with 249 miles of gravity sewer pipelines, 17 lift stations, 6 miles of pressure force mains, and (ii) the Water Quality and Resource Recovery Plant (“WQRRP”), which is a secondary treatment wastewater treatment plant with a capacity of 12.5 million gallons per day (“mgd”), average dry weather flow.

West County Agency. The District is a member of the West County Agency (“WCA”), which is a joint exercise of powers agency formed pursuant to the provisions of California Government Code §6500 whose members include Richmond and the District. WCA was formed in order to facilitate the operation and maintenance of a joint outfall system. A portion of the District’s treated effluent is diverted from the WQRRP to East Bay Municipal Utility District (“EBMUD”) for further treatment and use as recycled water by the Chevron Refinery. The treated effluent from the WQRRP that is not diverted to EBMUD is transferred by pipeline to the Richmond Treatment Plant, which is owned by Richmond, where it is dechlorinated and then discharged to San Francisco Bay via the joint outfall. The joint outfall is an asset owned by the WCA. Collection and treatment of wastewater is performed by the member agencies while the WCA operates and maintains the joint outfall system. Each member agency is responsible for its proportionate share of WCA’s operating and maintenance expenses. Pursuant to an operating agreement between the District, EBMUD and certain additional parties, as described below, a portion of the District’s wastewater is diverted to EBMUD for further treatment and use as recycled water by the Chevron Refinery. Pursuant to the joint exercise of powers agreement forming WCA, WCA is an agency separate from each of its member agencies and the debts, liability and obligations of WCA do not constitute debts, liabilities or obligations of the District.

Operating Agreements

A series of intertwined agreements identify the operating relationships between Richmond, West County Landfill (“WCL”), EBMUD and the District and are summarized below.

1. **Leachate Permit Agreement.** The District and Republic Services, Inc. (“RSS”) entered into that certain Leachate Permit Agreement in March 1999 (the “Permit Agreement”). WCL subsequently succeeded RSS. Pursuant to the Permit Agreement the District must accept, treat and dispose of Class I and Class II leachate from WCL. WCL must sample Class I and Class II leachate and send to the District only such quantities of leachate as directed by the District at the times directed by the District. Additionally, the Permit Agreement requires that WCL must dispose of Richmond’s sludge if Richmond accepts the bypass of Class II leachate from the District. The Permit Agreement provides that WCL and the District will calculate the cost of sludge disposal and apply a 10% discount. That amount will be offset against the value of leachate disposal. The difference will either be paid by the District to WCL or by WCL to the District. The term of this agreement ends on January 1, 2029. The District anticipates negotiating an amendment to this Permit Agreement as the construction of the Comprehensive Energy and Sustainability Upgrades will eliminate the need for sludge lagoons.

2. **Leachate Bypass Agreement.** The Leachate Bypass Agreement dated April 24, 2001 (the “Bypass Agreement”) was entered into by and between the District and Richmond. Pursuant to the Bypass Agreement, Richmond must accept diversion of Class II leachate in order to benefit from the “free” sludge disposal benefits of the Permit Agreement no less than two days per week except when (i) the leachate does not comply with the agreement, (ii) acceptance becomes impossible for reasons not caused by Richmond, (iii) with the District’s consent, (iv) the leachate does not meet regulatory requirements, (v) peak wet weather when Richmond needs to blend to avoid hydraulic overload, or (vi) when the District is not contractually obligated to send effluent to EBMUD. There is no termination date for the Bypass Agreement.

3. **Agreement for Construction, Operation and Maintenance of The West County Wastewater District Class II Leachate Bypass Pipeline.** The District has entered into that certain Agreement for Construction,

Operation and Maintenance of the West County Wastewater District Class II Leachate Bypass Pipeline effective as of April 30, 2001 (the “Pipeline Agreement”) between the District, EBMUD and Richmond pursuant to which EBMUD has paid for the design and construction of a pipeline to be used to divert Class II leachate from the District to Richmond. The District diverts Class II leachate to Richmond as long as Richmond is willing to accept it and certain other conditions are met. Pursuant to the Pipeline Agreement, the District owns the facilities constructed on its property and Richmond owns the facilities constructed on its property. Richmond is required to accept diversion of leachate except (i) when doing so becomes illegal or impossible, (ii) with EBMUD’s consent, (iii) when EBMUD is not accepting effluent from the District, (iv) leachate does not meet applicable standards, (v) during peak wet weather, (vi) when the District is not contractually required to deliver effluent to EBMUD; and (vii) when leachate flows reach specified minimum levels which require the District to divert such flow. The term of the Pipeline Agreement terminates in 2031 or when the District is no longer obligated to deliver chlorinated secondary effluent to EBMUD’s advanced wastewater treatment plant.

4. *Second Amended Agreement for Supply of Chlorinated Secondary Effluent and Modification and Operation of Effluent Conveyance Facilities.* The Second Amended Agreement for Supply of Chlorinated Secondary Effluent and Modification and Operation of Effluent Conveyance Facilities dated March 14, 2020 (the “Effluent Agreement”) was entered into between the District and EBMUD and amends the Agreement for Supply of Chlorinated Secondary Effluent and Modification and Operation of Effluent Conveyance Facilities dated April 24, 2007 (the “2007 Agreement”), which required the District to supply chlorinated secondary effluent to EBMUD for micro filtration and reverse osmosis to provide water suitable for Chevron Refinery’s boilers. The 2007 Agreement required EBMUD to design and construct recycled water projects consisting of a supply pipeline from the District’s force main to the Chevron property boundary, a micro filtration backwash recycle pipeline back into the District’s system, modifications to the WQRRP to enable the District to store and equalize the District’s primary flows in wet weather and all other facilities needed to convey the District’s chlorinated secondary effluent to the Richmond Advanced Recycled Expansion project. Additionally, the District is responsible for the following: (1) pay for 50% of the generator, (2) review and approve plans, (3) allow EBMUD contractors access to the District’s land to build the needed facilities, (4) own, operate and maintain the equalization basin (“EQ Basin”) modifications, the replacement blower excluding power costs, and the standby generator, (5) deliver up to 12.5 mgd of chlorinated secondary effluent to EBMUD, (6) equalize primary flows during dry weather, (7) allow EBMUD seasonal use of EQ Basins 2 & 3 during drought or emergency conditions, (8) use its best efforts to meet specific effluent quality standards, (9) regulate Class 1 leachate flows so they do not adversely affect effluent quality and (10) accept and treat EBMUD’s micro filtration backwash. The Effluent Agreement updated operating requirements, definitions, performance standards and payment methodology. The Effluent Agreement terminates on March 14, 2030.

Sanitary Sewer Management Plan

The District has established a Sanitary Sewer Management Plan (the “Management Plan”) which sets forth the District’s goals, organizational structure, fats, oils and grease (“FOG”) control program, legal authority for services, operation and maintenance program, design and construction standards, capacity management, sanitary sewer overflow (“SSO”) response plan, monitoring, measurement and program modifications and audits. The Management Plan also sets forth the guidelines for the management and maintenance of the District’s physical collection system assets and provides roughly 104,000 customers with sanitary sewer complaint response services.

The District uses databases to track inspections, maintenance of the District’s facilities and other data sets. The District utilizes comprehensive digital mapping software called “GIS” to access detailed information online, via the District’s intranet.

The District also utilizes software called InfoSWMM which provides geospatial wastewater and storm water modeling and management. The District utilizes the modeling results and other reports to update the CIP as well as schedule regular sewer facilities cleanings, routine inspections, and careful planning to prevent SSOs. All SSOs are reported through the California Integrated Water Quality System (“CIWQS”). The District has

developed an overflow emergency response plan (“OERP”) to train workers on SSO containment, procedures to efficiently dispatch crews to SSO sites, and to restore collection system functionality.

The management of the Enterprise relies heavily on software and technology. The District works closely with its information technology partner to monitor and respond to threats and deploy new technologies as they become available. See “RISK FACTORS – Cyber security” for a detailed description of the District’s cyber security efforts.

Additionally, the District provides outreach materials to customers to educate them about proper grease disposal and operates a grease pretreatment program to minimize the amount of FOG introduced into the collection system.

Master Plan

In 2011, the District initiated an assessment (the “Master Plan”) of all District facilities, including its collection system, the WQRRP, as well as the facilities needed to support the operations, maintenance, engineering, administrative, and finance departments. The assessment determined that the District needed to implement capital improvements to address aging and failing infrastructure, a shortage of wet weather storage and potentially unreliable treatment process equipment. The Master Plan also includes a recommended Capital Improvement Plan (the “CIP”) for implementing proposed improvements over the next 20 years. The District adopted the Master Plan in December 2014. The Master Plan still serves as a basis for developing a 10-year CIP. The CIP was updated in 2021 based on the recommendations of the Master Plan, improvements required to be completed and additional condition assessments. See “-Capital Improvement Plan” below.

Capital Improvement Plan

The current CIP has identified numerous improvements to the District’s facilities. Construction of certain such improvements is currently in progress. The CIP both prioritizes and schedules CIP spending for the next 10 years that allow the District to effectively and transparently manage its fiscal and staffing resources while ensuring that no projects are overlooked and highest priority projects are delivered first. The CIP consists of projections based on the most current information including condition and needs assessments as well as regulatory requirements. The CIP will be updated every two years to make plan adjustments where necessary to accommodate changing operational needs, regulatory requirements, and updated condition assessments.

The CIP is organized by program and priority. There are seven program areas in the CIP - Comprehensive Energy Project, Facility, Force Main, Gravity Sewer Main, Lift Station, Plant Process and Other. Each project is listed under a program and includes detailed information for the next five years, fiscal years 2021-22 to 2025-26. The CIP is updated every two years.

Comprehensive Energy and Sustainability Upgrades. The District proposes to utilize proceeds of the Bonds to implement a comprehensive energy project (the “Energy Project”) at its existing facilities, including the WQRRP. The Energy Project includes (i) upgrades to influent pumps that lift the wastewater to a level sufficient to allow it to flow through the rest of the WQRRP by gravity, (ii) upgrades to the grit removal system to allow for the removal of grit, (iii) implementation of a carbon redirection to improve settling in the primary clarifier, increase the production of primary sludge and increase the biogas yield, (iv) installation of high efficiency turbo blowers to provide oxygen to the microorganisms that break down the waste, (v) installation of redundant rotary drum thickeners to increase the solids retention time and allow digestion to take place more efficiently, since anaerobic digestion is a biological process and microorganisms require time to digest the sludge, (vi) installation of two new anaerobic digesters, which stabilize the biosolids by accelerating decomposition and yield energy in the form of biogas, which can be used for digester heating, power generation, and drying sludge, allowing Class A biosolids to be produced, (vii) installation of a biogas-powered co-generation system to provide a renewable form of energy that can be used to produce electricity without increasing greenhouse gas emissions and thereby reducing the greenhouse gas emissions of the District, (viii) installation of a centrifuge to facilitate drying of

sludge, (ix) installation of a thermal dryer for the digested sludge to dry the sludge to 80 percent solids, significantly reduce disposal costs, (x) increase capacity of the influent equalization basins to contain the influent until it can be processed by the WQRRP, which prevents the discharge of untreated wastewater into the bay; (xi) installation of solar photovoltaic power generating facilities to numerous District facilities, (xii) retrofitting of existing lighting fixtures with light-emitting diode (LED) lighting at the District's headquarters and the WQRRP and (xiii) installation of two electric vehicle charging stations at the District's headquarters.

Facilities. The District has completed an inspection of the Hilltop administration building and is currently continuing an evaluation of future space planning requirements. Funding has been budgeted in the CIP to complete the potential improvements and to improve outdoor lighting conditions. Additional CIP funding in future years has been allocated for significant roof repairs, seismic upgrades, and for an overall renovation of the current Collection System Operations ("CSO") offices and yard facilities. The exact scope and timing of these upgrades is still being evaluated. The CIP also includes funds for the replacement of the facility maintenance buildings at the WQRRP. The scope and timing of these upgrades is still being evaluated.

Force Mains. Over the past two years, the District has experienced some force main failures that have resulted in the need for emergency repairs. In an effort to identify any other locations that may require replacement or repair, the District has entered into an agreement with Pipeline Inspection and Condition Analysis Corporation to conduct a condition assessment of 13 force mains. The assessment commenced in June 2021 and is scheduled to be completed by December 2021.

The District has 16 active force mains of which 3 are currently under design and will be replaced without further assessment. The assessment will investigate the remaining 13 active force mains in the service area and provide a comprehensive evaluation of their condition. The assessment will inform the District's force main repair and replacement schedule, prioritizing the most critical work. The District will update the CIP Force Main Program based upon the results of the assessment.

Gravity Sewer Mains. The District has aging collection system infrastructure that requires replacement to reduce inflow and infiltration. Reduction of inflow and infiltration will reduce the risk of SSOs and illicit discharges at the WQRRP. The collection system includes 249 miles of gravity sewer pipelines. The District completed an inflow and infiltration ("I&I") study that identified the highest areas of I&I in the service area. This report coupled with a closed caption television program have been used to identify and prioritize gravity mains for replacement. The District has planned for \$60 million worth of sewer main replacement and rehabilitation over the next 10 years. The District is coordinating with other local agencies to minimize the construction impacts to the community.

Lift Stations. The District operates seventeen lift stations. Electrical, mechanical and/or structural upgrades will be performed at nine lift stations, including new back-up generators at five locations. In addition to the physical upgrades, the District has received a grant from California Office of Emergency Services to draft and implement a power resiliency plan to be better prepared for public safety power shutdowns and other interruptions to electrical service that could negatively impact lift station operations. The plan is expected to be completed by the spring of 2022.

Plant Process. Currently, both dewatering facilities at the WQRRP have been taken out of service. They are old and worn pieces of infrastructure which are scheduled to be replaced as part of the Comprehensive Energy Project. As an interim measure, the District has contracted with Synagro Inc. to operate an onsite belt press to reduce the water content and allow for offsite disposal of the biosolids. This operation has proven to be safe and effective, but has resulted in an increased operations budget that will continue until the Energy Project is completed.

Other. The District currently uses Infor/Hansen software for asset management of the collection system. It is not fully utilized for all the District assets. In the fall of 2020, the District completed a Computerized Maintenance Management System ("CMMS") needs assessment. The assessment recommended an upgrade to

the existing software system that includes all of the District's assets at the WQRRP and throughout the collection system, is compatible with mobile devices and includes enhanced staff training and utilization. The District has engaged Infor/Hansen to assist with improving the District's CMMS capabilities. Efforts to make system improvements are underway, including entering into an expanded contract with Infor/Hansen, purchasing new mobile devices, training staff and implementing upgraded software. The software upgrades and effectiveness of the training programs will be evaluated over a six to nine month period at which time a decision will be made as to whether to continue to work with and expand the capabilities of the Infor/Hansen systems or to issue a request for proposals for CMMS services.

The District approved a ten-year CIP for the Enterprise in June 2021 which includes approximately \$118 million in capital expenditure replacement and will be reviewed and revised every two years.

TABLE 1
WEST COUNTY WASTEWATER DISTRICT – SEWER SYSTEM
Capital Improvement Plan
Fiscal Years 2019-20 through 2030-31

<u>Program Description</u>	<u>2020⁽¹⁾</u>	<u>2021⁽²⁾</u>	<u>2022⁽³⁾</u>	<u>2023⁽³⁾</u>	<u>2024 through 2031⁽³⁾</u>
Comprehensive Energy and Sustainability Upgrades	\$ -	\$ 150,000	\$23,949,834	\$27,941,473	\$ 27,941,473
Emergency Facilities	1,405,428	-	-	-	-
Force Main	1,114,649	186,433	5,218,776	5,000,000	15,600,000
Gravity Sewer Mains	-	220,873	3,284,269	1,212,000	4,500,000
Lift Stations	1,433,326	4,205,557	7,985,140	2,726,237	41,298,297
Other (Studies)	1,186,046	3,393,236	1,644,302	368,689	3,459,311
Plant Processes	55,776	-	380,000	380,000	3,040,000
	<u>1,398,679</u>	<u>1,162,318</u>	<u>1,841,940</u>	<u>-</u>	<u>22,177,133</u>
Total	\$6,593,904	\$9,318,417	\$44,304,261	\$37,628,399	\$118,016,214

(1) Actual.

(2) Estimated.

(3) Projected.

Source: West County Wastewater District.

The District plans on financing the Capital Improvement Plan through a combination of working capital, facilities fees as shown in the following table:

TABLE 2
WEST COUNTY WASTEWATER DISTRICT – SEWER SYSTEM
Sources for Financing Capital Improvement Plan
Bond Proceeds & Other Sources
Fiscal Years 2019-20 through 2030-31

<u>Sources</u>	<u>2020</u>	<u>2021</u>	<u>2022</u>	<u>2023</u>	<u>2024 through 2031</u>
Working Capital (Rates)	\$4,831,943	\$2,955,576	\$8,712,207	\$2,000,000	\$56,343,451
Connection Fees	192,005	0	475,000	485,000	3,395,000
SRF Loan Proceeds	0	4,635,369	0	0	0
Property Taxes	1,569,956	1,727,472	1,000,000	1,000,000	7,000,000
Bond Proceeds	<u>0</u>	<u>0</u>	<u>34,117,054</u>	<u>34,143,399</u>	<u>51,277,763</u>
Total	\$6,593,904	\$9,318,417	\$44,304,261	\$37,628,399	\$118,016,214

Source: West County Wastewater District.

Historical Sewage Flow and Costs

The WQRRP has a capacity of 12.5 millions of gallons (mgd) during average day weather flow and 21.0 mgd during net weather flow. The WQRRP's dry weather flow capacity is approximately 1.5 times higher than the 5-year average historical flow. The following table sets forth sewage flow in the past five fiscal years:

TABLE 3
WEST COUNTY WASTEWATER DISTRICT
Historical Sewage Flow
(shown in millions of gallons)
Fiscal Years 2015-16 through 2019-20

<u>Facility</u>	<u>2015-16</u>	<u>2016-17⁽¹⁾</u>	<u>2017-18</u>	<u>2018-19⁽¹⁾</u>	<u>2019-20</u>	<u>2020-21⁽²⁾</u>
WQRRP	2,820	3,675	2,884	3,247	2,670	2,738

⁽¹⁾ Increase in flow due to significantly higher rainfall resulting in high levels of inflow and infiltration.

⁽²⁾ Estimated.

Source: West County Wastewater District.

The following table sets forth the sewage flow charges to the District in the past five years.

TABLE 4
WEST COUNTY WASTEWATER DISTRICT
Historical Flow Charges
(shown in dollars)
Fiscal Years 2015-16 through 2019-20

<u>Facility</u>	<u>2015-16</u>	<u>2016-17</u>	<u>2017-18</u>	<u>2018-19</u>	<u>2019-20</u>	<u>2020-21</u>
WQRRP	\$17,290,831	\$19,780,211	\$21,047,634	\$23,664,880	\$25,522,924	\$25,346,169

⁽¹⁾ Estimated.

Source: West County Wastewater District.

The District believes its capacity rights are sufficient for existing development. In the event of new development, the District will revisit its rate structure in order to generate additional capacity charges to purchase additional capacity rights.

Historical Wastewater Connections

The District is the sole provider of wastewater service for residential and industrial commercial enterprises within the District. The Enterprise currently includes a total of 35,002 connections, including 34,117 residential service connections, 878 commercial service connections and 7 industrial service connections. The following table illustrates historical connections to the Enterprise.

TABLE 5
WEST COUNTY WASTEWATER DISTRICT
Historical Wastewater Connections
(Fiscal Years Ended June 30, 2017 through 2021)⁽¹⁾

<u>Fiscal Year</u> <u>(Ended June 30)</u>	<u>Residential</u>	<u>Commercial</u>	<u>Industrial</u>	<u>Total</u>
2017	33,653	684	3	34,340
2018	34,021	916	6	34,943
2019	34,021	916	6	34,943
2020	34,046	892	6	34,945
2021	34,117	878	7	35,002

⁽¹⁾ Reported as equivalent dwelling units
Source: West County Wastewater District.

Rates and Charges

Rate Setting Procedure. In accordance with California law, the District may, from time to time and at its discretion, fix, alter, change, amend or revise any user fees, connection charges and all other fees related to the Enterprise. No other governmental authority, board, body or commission has jurisdiction over or is required to approve the Enterprise rates established by the District.

Sewer Rates. On June 16, 2021 the District held a public hearing to consider increases on its water rates in accordance with Proposition 218. At that meeting, the District only received one written protest and as such, the District adopted a resolution establishing new maximum wastewater rates and charges – called Environmental Quality (Sewer Use) Charges – from July 1, 2021 through June 30, 2026. The District’s wastewater rate structure is based on class of user: residential, commercial, or industrial. Residential customers pay a fixed annual charge based on number of dwelling units on a parcel in a given category (single family residential, multi-family residential, or mobile homes). Commercial customers are segregated into high strength (usually food-related) or domestic strength users. Using water consumption data obtained from retail water provider EBMUD, the prior year’s estimated water consumption per 1000 gallons is multiplied by either the high strength or domestic strength rate; the minimum charge is equal to a single-family residential parcel. Industrial users are charged a unit cost for flow and strength (biological oxygen demand and suspended solids). Flow is determined using estimated water consumption data obtained from EBMUD; strength is derived from self-monitoring reports submitted by the customer and validated by staff.

The Fiscal Year 2021-22 annual rate for wastewater service in the District is shown in the table below. The District adopted monthly rates on June 16, 2021 for the Enterprise which are shown below and are effective July 1, 2021. The Board of Directors has adopted a 5-year rate structure that will escalate every July 1st beginning July 1, 2022 to the maximum values as shown on the table below. The wastewater charges represent an increase of 5.5% for fiscal years 2021-22 through 2024-25 and 3.0% for fiscal year 2025-26.

TABLE 6
WEST COUNTY WASTEWATER DISTRICT
Wastewater Service Fee Schedule
(For Fiscal Years Ended June 30, 2021 through 2025)

Classification	<u>2020-21</u>		<u>2021-22</u>		<u>2022-23</u>		<u>2023-24</u>		<u>2024-25</u>		<u>2025-26</u>	
	Fixed Charge	Charge per 1000 gallons	Fixed Charge	Charge per 1000 gallons	Fixed Charge	Charge per 1000 gallons	Fixed Charge	Charge per 1000 gallons	Fixed Charge	Charge per 1000 gallons	Fixed Charge	Charge per 1000 gallons
Residential Single Family	\$639.00	-	\$674.00	-	\$711.00	-	\$750.00		\$791.00		\$815.00	
Residential Multi-Family	\$557.00	-	\$588.00	-	\$620.00	-	\$654.00		\$690.00		\$711.00	
Residential – Mobile Home	\$557.00	-	\$588.00	-	\$620.00	-	\$654.00		\$690.00		\$711.00	
Commercial – Domestic Strength	\$639.00		\$674.00		\$711.00		\$750.00		\$791.00		\$815.00	
Flow Charge		\$6.84		\$7.22		\$7.62		\$8.04		\$8.48		\$8.73
Commercial – High Strength	\$639.00		\$674.00		\$711.00		\$750.00		\$791.00		\$815.00	
Flow Charge		\$11.52		\$12.15		\$12.82		\$13.53		\$14.27		\$14.70
Industrial												
Flow Charge		\$4.40	-	\$4.64	-	\$4.90	-		-		-	
Biochemical Oxygen Demand		0.45	-	0.47	-	0.50	-	0.53	-	0.56	-	0.58
Suspended Solids ⁽¹⁾		0.54	-	0.57	-	0.60	-	0.63	-	0.66	-	0.68

⁽¹⁾ Charged per pound.

Source: West County Wastewater District.

The table below sets forth a list of the top ten wastewater rate payers in the District.

TABLE 7
WEST COUNTY WASTEWATER DISTRICT
Top Ten Wastewater Rate Payers
(For Fiscal Year Ended June 30, 2020)

<u>Customer Name</u>	<u>Type of Business</u>	<u>Bill Amount</u>	<u>Percent of Total Sewer Use Charges</u>
EBMUD	Public Agency/Industrial	\$1,119,943	4.4%
Guardian & KW Hilltop LLC	Multi-family residential	561,456	2.2
Richmond Essex LP	Multi-family residential	240,624	0.9
FF Hills LP	Multi-family residential	190,494	0.7
Steadfast Hilltop Commons LP	Multi-family residential	180,468	0.7
Pacific Mobile IV LP	Mobile Home Park	139,250	0.5
US REIF Sierra Ridge CA LLC	Multi-family residential	133,680	0.5
Contra Costa County Junior College District	Schools	122,109	0.5
West Contra Costa Unified School District	Schools	114,793	0.4
BRE Piper MF Tides CA LLC	Multi-family residential	<u>111,400</u>	<u>0.4</u>
Total		\$2,914,217	11.2%

Source: West County Wastewater District Comprehensive Annual Financial Report for Fiscal Year Ended June 30, 2020 and 2019.

The table below sets forth a comparison of a monthly bill for a single family residential unit in the District to those of surrounding communities:

TABLE 8
WEST COUNTY WASTEWATER DISTRICT
Wastewater Fee Comparison
West County Wastewater District Versus Area Averages⁽¹⁾
(For Fiscal Year Ended June 30, 2021)

<u>Agency</u>	<u>Flat Rate (Annual)</u>	<u>Average Monthly Bill</u>
Delta Diablo Sanitation District - Antioch	\$395.00	\$32.92
Delta Diablo Sanitation District - Pittsburg	\$400.00	\$33.33
City of Brentwood	\$466.00	\$38.83
Dublin San Ramon Services District	\$469.00	\$39.09
Delta Diablo Sanitation District – Bay Point	\$545.00	\$45.42
Central Contra Costa Sanitary District	\$629.00	\$52.42
West County Wastewater District	\$639.00	\$53.25
Mt. View Sanitary District	\$673.00	\$56.09
Crockett Sanitary Department	\$819.00	\$68.25
City of Pinole	\$832.00	\$69.33
Ironhouse Sanitary District	\$847.00	\$70.58
City of Richmond	\$924.00	\$77.00
Rodeo Sanitary District	\$1,006.00	\$83.83
Town of Discovery Bay CSD	\$1,030.00	\$85.83

Source: West County Wastewater District.

Connection Fees. Connection fees received by the District are used for capital improvements (or repayment of debt related to capital improvements) and are not accounted for as operating revenues. The District's current connection fees were established pursuant to Ordinance 16-001 adopted by the District's Board of Directors June 15, 2016 and are as follows:

TABLE 9
WEST COUNTY WASTEWATER DISTRICT
Connection Fees

<u>Description</u>	<u>Fee</u>
Single Family	\$9,756 ⁽¹⁾
Multi-Family	\$7,000 ⁽¹⁾
Commercial Domestic Strength	Minimum \$9,756 ⁽²⁾
Commercial High Strength	Minimum \$9,756 ⁽²⁾
Flow Zone Charges	\$456-3,626 ⁽²⁾

⁽¹⁾ Per equivalent dwelling unit.

⁽²⁾ Per unit.

Source: West County Wastewater District.

Billing and Collection Procedures

Sewer charges are billed to customers on the property tax roll for all of the District's customers except for EBMUD El Sobrante Treatment Plant, Chevron and EBMUB Richmond Advanced Recycled Expansion Facility, who are hand billed. The three customers receiving hand bills constitute approximately 5.4% of the District's collections for fiscal year 2020-21. For the 2020-21 fiscal year, all three customers have paid outstanding invoices within 30 days of receipt of the invoice. The District experiences no delinquencies for the customers that are billed on the property tax roll as the County has implemented the tax distribution system commonly known as a "Teeter Plan" pursuant to the provisions of Revenue and Taxation Code 4701 et seq. and the District participates in such Teeter Plan. As a result, the District receives 100% of the amounts billed, with the County collecting any delinquency charges and penalties.

On March 4, 2020, Governor Newsom issued Executive Order No. N-42-20 which prohibited the District from shutting off wastewater services to its customers. Such order is in place until September 30, 2021. The District has not experienced delinquent revenues as a result of such Executive Order since the District participates in the County's Teeter Plan.

Sewer System Regulatory Issues

Regulatory requirements applicable to the Enterprise are contained in or imposed by regulation pursuant to the Federal Water Pollution Control Act, as amended, and the State of California Porter Cologne Water Quality Control Act of 1969, as amended. Both federal and State regulations are administered through the National Pollution Discharge Elimination System ("NPDES") order # R2-2019-0003 and CA0038539 (the "NPDES Order") and are effective through 2023. The NPDES permit requires the District to take four actions to eliminate overflows as follows:

Task 1: Progress Reports on Collection System Improvements - The District shall report the number and length of sewer lines, gravity sewer interceptors, and pump stations repaired or replaced during the previous year and summarize that information in an annual report due February 1. The District has complied and completed the annual reports on time and intends to continue such annual reporting.

Task 2: Collection System Improvements – The District is required to submit a report documenting the completion of at least 2.5 miles of sewer line replacements by January 1, 2021. The District provided the report on time and informed the Regional Wastewater Quality Control Board.

Task 3: Equalization Basin Capacity Assessment – The District shall submit a report that estimates the storage capacity of the basins, the storm size that will result in overflows, and an evaluation of treatment plant and collection system options to reduce the size and frequency of equalization basin overflows by January 1, 2020. The District submitted a report on time.

Task 4: Implement Basin Overflow Strategy – The District shall propose a time schedule to implement any feasible options identified in Task 3 by January 1, 2021. The District proposed a timeline to implement the expansion of the equalization basins. The task will be completed as part of the Comprehensive Energy Project. The WQRRP upgrades include sludge drying options that will allow for some of the existing lagoons that will no longer be required for sludge de-watering to be converted to equalization basin storage, greatly expanding the District's wet weather storage capacity.

The District has received one notice of violation related to three incidents over the past five years which are described below.

On March 19, 2021, the District received a Notice of Violation ("NOV") from the San Francisco Bay Regional Water Quality Control Board for a discharge of approximately 430,000 gallons of untreated sewage to waters of the State over a period from February 2019 through January 2021. The largest of these SSOs was due to a force main failure near the Hilltop Lake Lift Station from March 30 through April 2, 2020. The NOV requires the District to submit a technical report by December 31, 2021 that discusses the results of the force main condition assessment program, including corrective actions identified and implemented to eliminate force main failures like the one causing the March 30, 2020 SSO and a summary of any revisions to the District's sewer pipe rehabilitation and replacement plan as a result of the force main condition assessment. The District is currently working on the required technical report and will submit the report prior to the deadline of December 31, 2021. Work to address the concerns with the District's force mains has already begun and the preliminary results of this work will be included in the technical report. The District has entered into an agreement with Pipeline Inspection and Condition Analysis Corporation to conduct a condition assessment of 13 force mains. The assessment commenced in June 2021 and is scheduled to be completed by December 31, 2021.

The District has had two unauthorized discharges from the EQ Basins in the past five years. There were no NOV's issued for either incident, but there were mitigating actions that were identified and incorporated into the NPDES Order and through a settlement agreement with California River Watch. Both of these incidents are described below.

The first discharge occurred between January 11, 2017 and January 13, 2017. The District facilities were inspected by San Francisco Bay Regional Water Quality Control Board staff on January 12, 2017. During the inspection, the flow was 25 mgd, which exceeds the wet weather treatment capacity of 21 mgd. The discharge was the result of a very large storm that caused influent rates to exceed the treatment capacity of the WQRRP and the storage capacity of the EQ Basins. The District normally diverts influent in excess of the treatment capacity to EQ Basins for later treatment, but this storm exceeded the storage capacity of the EQ Basins and they overflowed to the adjacent slough. An NOV was not issued, but measures to assess and expand the EQ Basins were included in the NPDES permit under which the District currently operates. Those requirements are included in the NPDES Order. The specific requirements and actions taken by the District are described above.

The second discharge from the EQ Basins occurred between February 14, 2019 and February 17, 2019. Such event was also caused by a significant storm that exceeded the WQRRP's design capacity. The WQRRP inflow was steady at 51 mgd for approximately two days, overwhelming the treatment and storage capacity of the WQRRP. An NOV was not issued. However, a Settlement Agreement was entered into on September 27, 2019 with California River Watch. The agreement contained a number of actions to be performed by the District, including performing sewer main condition assessments, urgent repair of sewer line segments identified as grade 4 or 5 on the pipeline assessment and certification program rating system, improved training and SSO response procedures, Sewer System Management Plan updates, annual reporting, and a supplemental environmental project that establishes a grant program to assist residents with the costs of inspection and/or repair of privately-owned

sewer laterals. The field and assessment activities required to date have been completed. The supplemental environmental project, known as the Public Incentive Program for Efficiency of Sewers (“PIPES”) Program was authorized by the WCW Board on June 17, 2021. Staff has been in touch with California River Watch regarding implementation status. An additional report is due by September 27, 2021, at which time it is anticipated that the District will have completed all required implementation and reporting actions pursuant to such agreement. If all actions have been completed, then the Settlement Agreement will expire on September 27, 2021. The District will continue to meet its legal obligations to maintain and update a Sewer System Management Plan, adequate spill response training and sampling procedures.

Additionally, on September 22, 2005, San Francisco Bay Keeper and West County Toxics Coalition filed a lawsuit against the District and Richmond alleging violations of the then-existing NPDES permit to operate and maintain the sanitary sewer collection system. In connection with the lawsuit the District entered into a settlement agreement in November 2006 which required the District to implement a Sewer System Management Plan and spend at least \$5 million on collection system capital improvements. The District has satisfied its portion of the settlement agreement. Although the original settlement agreement terminated in 2016, the agreement was extended to allow additional time for Richmond to comply with the provisions thereof.

The District does not believe that its compliance with the regulatory actions that are described above will have a material adverse impact on its ability to generate sufficient Net Revenues to pay the Bonds. The District believes that it has implemented procedures and is undertaking capital improvements (including the Project) that will minimize the risk of violations of the NPDES Order and applicable laws in the future.

Insurance

The insurance currently carried by the District is presented below:

<u>Coverage</u>	<u>Amount</u>
General Liability and Automobile Liability, including Errors and Omissions and Employment Practices liability	\$15,500,000
Reinsurance – two companies	\$10,000,000 ultimate net loss \$5,000,000 ultimate net loss
Excess Liability – two companies	\$10,000,000
Special Form Property	\$157,415,281 total insured value
Public Entity Pollution Liability	\$25,000,000 Policy \$2,000,000 per pollution condition Limit/member
ACIP CSRMA Mater Crime Policy	\$2,000,000
ID Fraud Master Policy	\$25,000
ADWRP – Alliant Deadly Weapons Response	\$500,000 each and every event \$2,500,000 annual aggregate \$250,000 Various sublimit
Workers Compensation Employers Liability	\$750,000
Excess Workers Compensation Employers Liability	\$1,000,000

Statement of Net Position

The following table shows the Enterprise's statement of net position for the last five fiscal years.

TABLE 10
WEST COUNTY WASTEWATER DISTRICT
Wastewater Enterprise
Statement of Net Position
(Fiscal Years Ending June 30, 2016 through 2020)

	<u>2016</u>	<u>2017</u>	<u>2018</u>	<u>2019</u>	<u>2020</u>
Current assets:					
Cash and investments	\$ 14,692,196	\$ 26,348,460	\$ 32,042,212	\$ 41,131,727	\$ 46,158,316
Accrued interest receivable	23,000	43,960	138,985	233,731	158,167
Accounts receivable, net	259,137	556,715	345,114	424,761	659,210
Materials and supplies inventory	155,405	148,014	155,119	106,600	145,325
Prepaid items and deposits	<u>94,851</u>	<u>88,030</u>	<u>96,520</u>	<u>107,689</u>	<u>94,311</u>
Total current assets	\$15,224,589	\$ 27,185,179	\$ 32,777,950	\$ 42,004,508	\$ 47,215,329
Noncurrent assets:					
Notes receivable	\$ 409,500	\$ 307,000	-	-	-
Other post-employment benefits	202,948	363,721	-	-	-
Capital assets, net of accumulated depreciation	82,570,051	105,000,168	\$116,926,919	\$116,917,945	\$115,302,073
Total noncurrent assets	<u>83,182,499</u>	<u>105,670,889</u>	<u>116,926,919</u>	<u>116,917,945</u>	<u>115,302,073</u>
Total assets	\$98,407,088	\$132,856,068	\$149,704,869	\$158,922,453	\$162,517,402
Deferred outflows:					
Other post-employment benefits	-	-	\$ 1,191,000	-	\$ 63,000
Pension	\$ 978,212	\$ 3,189,791	4,210,992	\$ 3,637,274	3,587,038
Adjustment due to differences in proportions	71,692	-	-	-	-
Differences between expected and actual experience	<u>53,130</u>	<u>-</u>	<u>-</u>	<u>-</u>	<u>-</u>
Total deferred outflows	\$ 1,103,034	\$ 3,189,791	\$ 5,401,992	\$ 3,637,274	\$ 3,650,038
Current liabilities:					
Accounts payable and accrued expenses	\$ 3,848,093	\$ 3,463,895	\$ 6,826,684	\$ 4,900,103	\$ 4,917,275
Accrued salaries and benefits	431,875	129,875	148,984	139,387	290,923
Accrued interest payable	15,414	41,154	166,720	201,677	226,420
Current portions of long-term liabilities					
Compensated absences	879,261	906,254	851,451	687,042	882,189
Loans payable	<u>2,575</u>	<u>741,901</u>	<u>1,456,929</u>	<u>1,696,526</u>	<u>1,782,859</u>
Total current liabilities	\$5,177,218	\$ 5,283,079	\$ 9,450,768	\$ 7,624,735	\$ 8,099,666
Non-Current liabilities:					
Compensated absences	\$ 636,707	\$ 579,409	\$ 500,059	\$ 283,564	\$ 518,111
Loans payable	2,560,725	24,863,183	30,231,243	32,960,462	33,345,062
Net OPEB liability	-	-	4,334,000	3,803,000	1,290,000
Net pension liability	<u>8,304,443</u>	<u>11,041,346</u>	<u>12,937,710</u>	<u>12,677,363</u>	<u>13,911,458</u>
Total noncurrent liabilities	\$11,501,875	\$ 36,483,938	\$ 48,003,012	\$ 49,724,389	\$ 49,064,631
Total liabilities	\$16,679,093	\$ 41,767,017	\$ 57,453,780	\$ 57,349,124	\$ 57,164,297
Deferred inflows:					
Differences between projected and actual earnings on pension plan investments	\$ 251,991	-	-	-	-
Difference between actual and proportionate share of employer contributions	411,098	-	-	-	-
Adjustment due to differences in proportions	132,869	-	-	-	-
Changes in assumptions	502,668	-	-	-	-
Other post-employment benefits	-	-	\$ 172,000	\$ 171,000	\$ 1,499,000
Pension	-	<u>\$ 934,787</u>	<u>1,000,404</u>	<u>1,063,654</u>	<u>1,219,489</u>
Total deferred inflows	\$ 1,298,626	\$ 934,787	\$ 1,172,404	\$ 1,234,654	\$ 2,718,489
Net Position:					
Net investment in capital assets	\$80,006,751	\$ 79,395,084	\$85,238,747	\$82,260,957	\$ 80,174,152
Restricted	-	918,426	1,861,014	2,538,276	2,814,140
Unrestricted	<u>1,525,652</u>	<u>13,030,545</u>	<u>9,380,916</u>	<u>19,176,716</u>	<u>23,296,362</u>
Total net position	\$81,532,403	\$93,344,055	\$96,480,677	\$103,975,949	\$106,284,654

Source: West County Wastewater District Comprehensive Annual Financial Reports for Fiscal Years Ended June 30, 2016 through 2020.

Financial Information

Financial Statements. A copy of the most recent audited financial statements (the “Financial Statements”) of the District, including information on the Enterprise, prepared by the District’s Finance Department and audited by Cropper Accountancy Corporation, Walnut Creek, California (the “Auditor”) is included as APPENDIX F hereto. The Auditor’s letter concludes that the Financial Statements present fairly, in all material respects, the financial position of the District as of June 30, 2020, and the results of its operations and the cash flows of its proprietary fund types for the year then ended in conformity with generally accepted

accounting principles. The Financial Statements should be read in their entirety with particular emphasis on those pages dealing with the District's enterprise funds. The Auditor has not reviewed or audited this Official Statement.

The summary historical operating results contained under "Historical, Estimated and Projected Operating Results and Debt Service Coverage" are derived from the Financial Statements (excluding certain non-cash items and after certain other adjustments) and are qualified in their entirety by reference to such statements, including the notes thereto. The Auditor has not reviewed or audited the summary operating results or any other portion of this Official Statement.

Historical Revenues and Expenditures

A five year summary of the District's historical revenues and expenses for its operation and maintenance of the Enterprise is shown in the following table.

TABLE 11
WEST COUNTY WASTEWATER DISTRICT
Historical Revenues and Expenditures
of Wastewater Enterprise
(For Fiscal Years Ended June 30, 2016 through 2020)

	<u>2016</u>	<u>2017</u>	<u>2018</u>	<u>2019</u>	<u>2020</u>
Operating Revenues:					
Sewer use charge	\$ 17,290,831	\$ 19,780,211	\$ 21,047,634	\$ 23,795,768	\$ 25,625,752
Inspection/permit fees	248,888	300,183	231,481	277,981	192,230
Contract services	300,737	221,643	106,279	87,091	69,193
Other revenue	221,698	170,067	194,610	48,072	91,056
Total operating revenues	\$ 18,062,154	\$ 20,472,104	\$ 21,580,004	\$ 24,208,912	\$ 25,978,231
Operating expenses:					
Sewage collection	\$ 3,815,139	\$ 3,783,288	\$ 4,236,904	\$ 2,197,399 ⁽¹⁾	\$ 5,351,979
Sewage treatment	5,976,699	6,784,087	7,298,501	7,197,285	9,453,524 ⁽²⁾
Administration	2,631,540	3,899,443	4,553,523	5,718,627	5,677,700
Contract services	272,421	147,060	84,834	64,076	31,311
West County Agency ⁽³⁾	148,541	174,212	121,698	268,066	537,834
Total operating expenses before depreciation	\$ 12,844,340	\$ 14,788,090	\$ 16,295,460	\$ 15,445,453	\$ 21,052,348
Operating income before depreciation	\$ 5,217,814	\$ 5,684,014	\$ 5,284,544	\$ 8,763,459	\$ 4,925,883
Depreciation expense	<u>(3,119,615)</u>	<u>(3,071,113)</u>	<u>(3,198,839)</u>	<u>(4,634,050)</u>	<u>(5,754,097)</u>
Operating income	\$ 2,098,199	\$ 2,612,901	\$ 2,085,705	\$ 4,129,409	\$ (828,214)
Non-operating revenues:					
Property taxes	\$ 977,876	\$ 1,057,151	\$ 1,082,059	\$ 1,192,713	\$ 1,257,113
Redevelopment allocation	141,994	160,943	312,470	322,356	339,844
Rental income	353,536	90,941	311,948	675,254	507,694
Investment earnings	70,451	61,556	298,133	817,201	922,465
Interest expense	-	-	(390,000)	(450,324)	(463,090)
Student scholarship	-	-	-	-	(5,000)
Gain (loss) on disposal of assets	-	-	-	-	(1,597)
Other non-operating revenue (expense)	-	(109,312)	(97,276)	(417)	515
Total non-operating revenues, net	\$ 1,543,857	\$ 1,261,279	\$ 1,517,334	\$ 2,556,783	\$ 2,557,944
Net income before capital contributions	\$ 3,642,056	\$ 3,874,180	\$ 3,603,039	\$ 6,686,192	\$ 1,729,730
Capital contributions:					
State capital grants	-	\$ 6,966,498	\$ 2,034,947	\$ 354,885	-
Connection fees	<u>\$ 453,178</u>	<u>970,975</u>	<u>1,423,356</u>	<u>454,195</u>	<u>\$ 578,975</u>
Total capital contributions	453,178	7,937,473	3,458,303	809,080	578,975
Change in net position	\$ 4,095,234	\$11,811,653	\$ 7,061,342	\$ 7,495,272	\$ 2,308,705
Net position, beginning – as previously stated	\$ 77,437,169	\$81,532,403	\$93,344,056	\$96,480,677	\$103,975,949
Prior period adjustment – change in accounting principle (Note 13)	-	-	(3,924,721)	-	-
Net position, beginning – as restated	-	-	89,419,335	-	-
Net position, ending	\$81,532,403	\$93,344,056	\$96,480,677	\$103,975,949	\$106,284,654

⁽¹⁾ Decrease due to accounting entries which related to capitalization from fiscal year 2017-18 that posted in 2018-19 thereby reducing operating increases.

⁽²⁾ Staff ceased operations of the two digesters and began a temporary dewatering processes in 2020. See "Capital Improvement Plan."

⁽³⁾ The District's share of expenses for WCA. See "Description of Enterprise."

Source: West County Wastewater District Comprehensive Annual Financial Reports for Fiscal Years Ended June 30, 2016 through 2020.

Historical and Projected Operating Results and Debt Service Coverage

The following table shows the District's historical, estimated and projected operating results and debt service coverage for the Enterprise for the fiscal years 2016-17 through 2025-26. For estimates and projections, actual revenues and expenses may vary materially from these projections, and the projections are based on the assumptions stated in the table. On July 8, 2021, the Governor Newsom issued Executive Order No. 10-21 which declared a drought state of emergency in 50 counties in northern and central California (including the County) and requested that all water users voluntarily reduce water use by 15%. Table 12 below does not take into consideration the impact of Executive Order 10-21. Approximately 91% of the District's sewer revenues are derived from flat sewer charges which are not tied to water consumption. If the District's commercial customers reduce water consumption in accordance with Executive Order 10-21, the District anticipates a decline of \$450,000 annually in sewer use charge revenues. The District does not believe that such decline would impact its ability to pay debt service on the Bonds.

TABLE 12
WEST COUNTY WASTEWATER DISTRICT
Historical, Estimated and Projected
Operating Results and Debt Service Coverage
(For Fiscal Years Ended June 30, 2017 through 2026)

	Audited				Estimated		Projected			
	2016-17	2017-18	2018-1 ¹	2019-20	2020-21	2021-22	2022-23	2023-24	2024-25	2025-26
Gross Revenues										
Sewer Use Charge	\$19,780,211	\$21,047,634	\$23,795,768	\$25,625,752	\$25,923,000	\$27,348,765	\$28,852,947	\$30,439,859	\$32,114,051	\$33,077,473
Investment Earnings	61,556	298,133	817,201	922,465	191,485	268,478	432,602	455,079	471,223	558,314
Connection Fees	970,975	1,423,356	454,195	578,975	-	-	-	-	-	-
Property Taxes & Redevelopment Allocation	1,218,094	1,394,529	1,515,069	1,596,957	1,638,699	1,671,363	1,704,680	1,738,664	1,773,327	1,808,684
Other Revenue ⁽¹⁾	782,834	844,318	1,088,398	860,173	1,116,122	1,131,242	1,146,816	1,162,856	1,089,295	1,106,313
Total Gross Revenues ⁽²⁾	\$22,813,670	\$25,007,970	\$27,670,631	\$29,584,322	\$28,869,306	\$30,419,848	\$32,137,045	\$33,796,458	\$35,447,896	\$36,550,784
Total Operation and Maintenance Costs ⁽³⁾⁽⁴⁾⁽⁵⁾	\$14,788,090	\$16,295,460	\$14,409,832	\$20,860,182	\$24,034,378	\$25,068,678	\$25,934,902	\$21,520,118	\$22,471,700	\$23,354,234
Net Revenues	\$ 8,025,580	\$ 8,712,510	\$13,260,799	\$ 8,724,140	\$ 4,834,928	\$ 5,351,170	\$ 6,202,143	\$12,276,340	\$12,976,196	\$13,196,550
Debt Obligations										
2015 SRF Loan (Phase I, Segment 1)	\$ 89,775	\$ 89,775	\$ 89,775	\$ 89,775	\$ 89,775	\$ 89,775	\$ 89,775	\$ 89,775	\$ 89,775	\$ 89,775
2015 SRF Loan (Phase I, Segment 2)	0	0	0	0	0	0	139,436	139,436	139,436	139,436
2015 SRF Loan (Phase I, Segment 2) – 2 nd Draw*	0	0	0	0	0	0	421,164	421,164	421,164	421,164
2015 SRF Loan (Phase I, Segment 3)	0	0	653,012	866,751	878,648	878,648	878,648	878,648	878,648	878,648
2015 SRF Loan – Recycled Water Reliability Upgrades	0	1,049,337	1,178,347	1,178,347	1,178,347	1,178,347	1,178,347	1,178,347	1,178,347	1,178,347
2021 Revenue Bonds	0	0	0	0	0	0	0	4,778,500	4,774,200	4,778,000
Total Debt Service	\$ 89,775	\$1,139,111	\$1,921,134	\$2,134,873	\$2,146,770	\$2,146,770	\$2,707,370	\$7,485,370	\$7,481,570	\$7,485,370
Debt Service Coverage	N/A	7.65	6.90	4.09	2.25	2.49	2.29	1.64	1.73	1.76

* Preliminary, subject to change.

⁽¹⁾ Includes inspection permits/fees, contract services, and other revenue from the District's Audits; excludes state capital grants.

⁽²⁾ Projected total Gross Revenues assumed to increase at an average of 5.3% per year through fiscal year 2024-25 and 3% in fiscal years 2025-26 in line with adopted rate increases.

⁽³⁾ Excludes non-cash items (such as depreciation and adjustments related to GASB 68 and GASB 75) and capital expenditures.

⁽⁴⁾ Projected Operations & Maintenance Costs assumed to increase at an average of 4% per year in fiscal years 2021-22 through fiscal year 2025-26, with the exception of fiscal year 2023-24 (explained in greater detail in Footnote 5).

⁽⁵⁾ Decrease in total Operations & Maintenance Costs in fiscal year 2023-24 due completion of the Project resulting in lower anticipated energy-related costs (approximately \$2,815,000) and lower anticipated de-watering costs (approximately \$2,500,000); these operating cost reductions are anticipated to remain in place for subsequent years as well.

Source: West County Wastewater District Comprehensive Annual Financial Reports for Fiscal Years Ended June 30, 2016 through 2020.

Long Term Obligations of the Enterprise

The following SRF Loans represent obligations of the Enterprise system which are payable on a parity basis to the Bonds.

SRF Loan Payable – Wastewater Facility and Collection System Rehabilitation Project Phase I, Segment 1. In 2015, the District entered into an agreement with the California State Water Resources Control Board (“SWRCB”) for a 20-year loan in an amount not-to-exceed \$1,502,561 with an interest rate of 1.90% per annum for capital projects. As of July 1, 2021, this loan is outstanding in the approximate amount of \$1,162,219.

SRF Loan Payable - Wastewater Facility and Collection System Rehabilitation Project Phase I, Segment 2. In 2015, the District entered into an agreement with the SWRCB for a 20-year loan in an amount not-to-exceed \$2,881,758 with an interest rate of 1.90% per annum for capital projects. In 2016 Amendment 3 was executed increasing the amount to \$8,918,272. To date, the District has drawn \$2,253,766 of the loan amount. As of July 1, 2021, this loan is outstanding in the amount of \$2,253,766.

SRF Loan Payable - Wastewater Facility and Collection System Rehabilitation Project Phase I, Segment 3. In fiscal year 2015, the District entered into an agreement with the SWRCB for a 20-year loan in an amount not-to-exceed \$14,305,856 with an interest rate of 1.90% per annum for capital projects. As of July 1, 2021, this loan is outstanding in the approximate amount of \$12,663,122.

SRF Loan Payable - Recycled Water Reliability Upgrades. In 2015, the District entered into an agreement with the SWRCB for a 20-year loan in an amount not-to-exceed \$30,457,093 with an interest rate of 1.00% per annum for capital projects. Of the amount, \$5,356,330 was Proposition 1 Grant funded and \$4,000,000 Proposition 13 grant funded. As of July 1, 2021, this loan is outstanding in the approximate amount of \$17,342,769.

Principal and interest payments on all current outstanding balances of such loans are due and payable each year as follows:

<u>Fiscal</u>			
<u>Year</u>	<u>Principal</u>	<u>Interest</u>	<u>Total</u>
2021	\$ 1,782,859	\$ 501,484	\$ 2,284,343
2022	1,806,872	477,471	2,284,343
2023	1,832,158	452,185	2,284,343
2024	1,857,834	426,508	2,284,342
2025	1,883,907	400,436	2,284,343
Thereafter	<u>25,964,291</u>	<u>2,649,413</u>	<u>28,613,704</u>
Total	\$35,127,921	\$4,907,497	\$40,035,418

RISK FACTORS

The following describes certain special considerations and risk factors affecting the payment of and security for the Bonds. The following discussion is not meant to be an exhaustive list of the risks associated with the purchase of any Bonds and the order in which the matters below are presented does not necessarily reflect the relative importance of the various risks. Potential investors in the Bonds are advised to consider the following special factors along with all other information in this Official Statement in evaluating the Bonds. There can be no assurance that other considerations will not materialize in the future.

Enterprise Demand and Growth

There can be no assurance that the local demand for the services provided by the Enterprise will be maintained at levels described in this Official Statement under the heading “THE ENTERPRISE.” Reduction in the level of demand due to conservation efforts of the District, or other factors, could require an increase in rates or charges in order to produce Net Revenues sufficient to comply with the District’s rate covenant in the Installment Purchase Agreement. Such rate increases could increase the likelihood of nonpayment, and could also further decrease demand. There can be no assurance that any other entity with regulatory authority over the Enterprise will not adopt further restrictions on operation of the Enterprise.

Net Revenues; Rate Covenants

Net Revenues are dependent upon the demand for wastewater services, which can be affected by population factors, more stringent regulations, or problems with the District’s treatment facilities. There can be no assurance that wastewater service demand will be consistent with the levels contemplated in this Official Statement. A decrease in the demand for wastewater service could require an increase in rates or charges in order to comply with the rate covenant contained in the Installment Purchase Agreement. The District’s ability to meet its rate covenant is dependent upon its capacity to increase rates without driving down demand to a level insufficient to meet debt service on the Bonds.

District Expenses

There can be no assurance that expenses of the District will be consistent with the levels contemplated in this Official Statement. Changes in technology, changes in regulatory standards, increases in the cost of operation or other expenses could require substantial increases in rates or charges in order to comply with the rate covenant in the Installment Purchase Agreement. Such rate increases could drive down demand for water and related services or otherwise increase the possibility of nonpayment of the Bonds.

Future Land Use Regulations

Development within the District’s service area is contingent upon the future construction and acquisition of a number of public improvements such as arterial streets, water distribution facilities, sewage collection and transmission facilities, drainage facilities and street lighting, as well as the necessary local in-tract improvements. The installation of the necessary infrastructure improvements and the construction of the residential development are subject to the receipt of discretionary approvals from a number of public agencies concerning the layout and design of the development, the nature and extent of the improvements, land use, health and safety requirements and other matters. The failure to obtain any such approval could adversely affect the planned land development within the District.

In addition, there can be no assurance that land development operations within the District will not be adversely affected by future government policies, including, but not limited to, governmental policies to restrict or control development.

Proposition 218

Proposition 218, a state ballot initiative known as the “Right to Vote on Taxes Act,” was approved by California voters on November 5, 1996 and, except for certain provisions that became effective on July 1, 1997, became effective on November 6, 1996. Proposition 218 added Article XIIC, entitled “Voter Approval of Local Tax Levies” (“Article XIIC”), and Article XIID, entitled “Assessment and Property Related Fee Reform” (“Article XIID”), to the California Constitution. Article XIIC and Article XIID limit the imposition by a local government of “general taxes,” “special taxes,” “assessments” and “fees” or “charges.” The District is a local government within the meaning of Article XIIC and Article XIID.

Article XIIC, provides, among other things, that the initiative power shall not be prohibited or otherwise limited in matters of reducing or repealing any local fee or charge. This extension of the initiative power is not limited by the terms of Article XIIC to fees and charges imposed after November 6, 1996 and, absent other authority, could result in retroactive reduction in existing fees and charges. Although the terms “fees” and “charges” are not defined in Article XIIC, the California Supreme Court, in *Bighorn-Desert View Water Agency v. Kari Verjil*; E.W. Kelley (July 2006), has stated that there is no basis for excluding from Article XIIC’s authorization any of the fees subject to Article XIID. If fees or charges charged or collected by the District for the Enterprise are subjected to the initiative process and the outcome of any initiative proceedings results in a reduction or repeal of such fees or charges, respectively, the ability of the Enterprise to generate revenues sufficient to comply with the District’s covenants under the Indenture may be adversely affected. Furthermore, if voters were to approve an initiative lowering the District’s water rates, sewer rates, or other charges, the District would need voter approval before it could change the rate or charge that had been set by initiative. The District could, however, increase a charge that was not affected by initiative or to impose an entirely new charge without voter approval.

The California Supreme Court further stated in *Bighorn* that it was not holding that the initiative power is free of all limitations and was not determining whether the initiative power is subject to the statutory provision requiring that water service charges be set at a level that will pay debt service on bonded debt and operating expenses. Such initiative power could be subject to the limitations imposed on the impairment of contracts under the contract clause of the United States Constitution. On July 1, 1997, a bill was signed into law by the Governor of the State enacting Government Code Section 5854, which states: “Section 3 of Article XIIC of the California Constitution, as adopted at the November 5, 1996 general election, shall not be construed to mean that any owner or beneficial owner of a municipal security, purchased before or after that date, assumes the risk of, or in any way consents to, any action by initiative measure that constitutes an impairment of contractual rights protection by Section 10 of Article I of the United States Constitution.” Government Code Section 5854 appears to limit the voters’ power to repeal or reduce the Enterprise fees and charges if such reductions would interfere with the District’s payment of debt service on the Bonds. If Government Code Section 5854 becomes the subject of a challenge, however, no guarantee can be made that the courts will agree with such interpretation.

Article XIID prohibits the assessment upon any parcel of property or upon any person “as an incident of property ownership” (defined to exclude fees for the provision of electrical or gas service) by a local government of any tax, assessment, fee or charge except voter-approved ad valorem property taxes and special taxes, fees or charges as a condition of property development, and assessments and “fees or charges for property related services” levied or imposed in accordance with the provisions of Article XIID.

Under Article XIID, revenues derived from a “fee” or “charge” (defined as “any levy other than an ad valorem tax, a special tax or an assessment, imposed by a local government upon a parcel or upon a person as an incident of property ownership, including user fees or charges for a property related service”) may not exceed the funds required to provide the “property-related service” and may not be used for any purpose other than that for which the fee or charge was imposed. Further, the amount of a “fee” or “charge” may not exceed the proportional cost of the service attributable to the parcel, no “fee” or “charge” may be imposed for a service unless that service is actually used by, or is immediately available to, the owner of the property in question, and no “fee” or “charge”

may be imposed for general governmental service where the service is “available to the public at large in substantially the same manner as it is to the property owners.”

In addition, in order for a “fee” or “charge” to be imposed or increased, Article XIID provides that, among other things, the parcel upon which a fee or charge is proposed for imposition must be identified, the amount of the fee or charge proposed to be imposed on each such parcel must be calculated, written notice by mail of the proposed fee or charge must be provided to the “record owner” of each identified parcel, and a public hearing must be conducted upon the proposed fee or charge. If written protests against the proposed “fee” or “charge” are presented by a majority of owners of the identified parcels, the fee or charge may not be imposed. The California Supreme Court in Bighorn indicated that once a property owner or resident has paid the connection charges and has become a customer of a public water agency, all charges for water delivery incurred thereafter are charges for a property-related service, whether the charge is calculated on the basis of consumption or is imposed as a fixed monthly fee. Accordingly, the imposition or increase of any fee or charge by the District for water service or sewer service will be the subject of such a majority protest. If such a majority protest occurs, the ability of the Enterprise to generate revenues sufficient to comply with the District’s covenants under the Installment Purchase Agreement may be adversely affected.

Article XIID states that, beginning July 1, 1997, all “fees” or “charges” must comply with its provisions. It is unclear how the provisions of Article XIID will be applied to fees or charges established prior to such date. It is also unclear how the provisions of Article XIID will be applied to fees or charges established after such date but prior to the Bighorn decision.

As a result of the Bighorn decision, there can be no assurance that Proposition 218 will not limit the ability of the District to impose, levy, charge and collect increased fees and charges for water and sewer service.

Numerous recent appellate court opinions interpret and apply Proposition 218 in the context of evaluating the validity of water-related fees and charges. The District is unable to predict at this time how Proposition 218 will ultimately be interpreted by the courts and what, if any, further implementing legislation will be enacted, and there can be no assurance that Proposition 218 will not limit the future ability of the District to impose, levy, charge and collect increased fees and charges for water service and sewer service.

Constitutional Limit on Appropriations, Fees and Charges

If a portion of the Enterprise rates or connection charges were determined by a court to exceed the reasonable costs of providing service, any fee which the District charges may be considered to be a “special tax,” which under Articles XIII A or XIID of the California Constitution must be authorized by a two-thirds vote of the affected electorate. This requirement is applicable to the District’s rates for service provided by the Enterprise. The reasonable cost of service provided by the Enterprise has been determined by the State Controller to include depreciation and allowance for the cost of capital improvements. In addition, the State courts have determined that fees such as connection fees (capacity charges) will not be special taxes if they approximate the reasonable cost of constructing Enterprise improvements contemplated by the local agency imposing the fee. Such court determinations have been codified in the Government Code of the State of California (Section 66000 et seq.).

Under Article XIIB of the California Constitution, state and local government entities have an annual “appropriations limit” which limits their ability to spend certain moneys called “appropriations subject to limitation,” which consists of tax revenues, certain state subventions and certain other moneys, including user charges to the extent they exceed the costs reasonably borne by the entity in providing the service for which it is levying the charge. In general terms, the “appropriations limit” is to be based on certain fiscal year 1978-79 expenditures, and is to be adjusted annually to reflect changes in the consumer price index, population and services provided by these entities. Among other provisions of Article XIIB, if an entity’s revenues in any year exceed the amount permitted to be spent, the excess would have to be returned by revising tax rates or fee schedules over the subsequent two years.

The District is of the opinion that the rates and use charges imposed by the District in connection with the Enterprise do not exceed the costs it reasonably bears in providing such services.

Limitations on Remedies Available to Bondowners

The ability of the District to comply with its covenants under the Installment Purchase Agreement and to generate Net Revenues sufficient to pay principal of and interest on the Bonds may be adversely affected by actions and events outside of the control of the District, and may be adversely affected by actions taken (or not taken) by voters, property owners, taxpayers or payers of assessments, fees and charges. See “Proposition 218” above. Furthermore, any remedies available to the owners of the Bonds upon the occurrence of an event of default under the Indenture are in many respects dependent upon judicial actions, which are often subject to discretion and delay and could prove both expensive and time consuming to obtain.

In addition to the limitations on remedies contained in the Indenture, the rights and obligations under the Bonds and the Indenture may be subject to the following: the United States Bankruptcy Code and applicable bankruptcy, insolvency, reorganization, moratorium, or similar laws relating to or affecting the enforcement of creditors’ rights generally, now or hereafter in effect; usual equity principles which may limit the specific enforcement under State law of certain remedies; the exercise by the United States of America of the powers delegated to it by the Federal Constitution; and the reasonable and necessary exercise, in certain exceptional situations, of the police power inherent in the sovereignty of the State of California and its governmental bodies in the interest of serving a significant and legitimate public purpose. Bankruptcy proceedings, or the exercise of powers by the federal or state government, if initiated, could subject the Owners of the Bonds to judicial discretion and interpretation of their rights in bankruptcy or otherwise, and consequently may entail risks of delay, limitation or modification of their rights.

Droughts

From time to time, areas of the State have experienced significant drought conditions that resulted in severe impacts to water supplies and restrictions on water use. On July 8, 2021, Governor Newsom issued Executive Order No. 10-21 declared a drought state of emergency in 50 counties in northern and central California (including the County) and requested that all water users voluntarily reduce water use by 15%. Approximately 91% of the District’s sewer revenues are derived from flat sewer charges which are not tied to water consumption. If the District’s commercial customers reduce water consumption in accordance with Executive Order 10-21, the District anticipates a decline of \$450,000 annually in sewer use charge revenues. The District does not believe that such decline would impact its ability to pay debt service on the Bonds. See “THE ENTERPRISE — Historical and Projected Operating Results and Debt Service Coverage.” There can be no assurance that subsequent declarations will not result in mandatory restrictions on water use in the District’s service area should dry conditions persist in 2021 or future years. An increase in drought conditions could also lead to wildfires which may cause damage within the District. See “Natural Disasters” below.

Natural Disasters

The District, like all California communities, may be subject to unpredictable seismic activity, fires, flood, or other natural disasters. Northern California is a seismically active area. Seismic activity represents a potential risk for damage to buildings, roads, bridges and property within the District. In addition, land susceptible to seismic activity may be subject to liquefaction during the occurrence of such event. The Hayward Fault runs from south to north through the District boundaries, under Contra Costa College and Point Pinole Shoreline Regional Park. According to the California Geological Survey, there is a 31% chance the Hayward Fault will produce a magnitude 6.7 or greater earthquake within the next 30 years. The fault has the potential to impact District facilities through ground shaking and lateral ground movements. Shake impacts could occur anywhere within the District. The District facility most susceptible to lateral earth movement is the Parchester Village force main. A force main condition assessment is being completed and will be used as a baseline for monitoring potential movement of these key District assets. In recent years, wildfires have caused extensive damage throughout the State. In some

instances, entire neighborhoods have been destroyed. Several of the fires that occurred in recent years damaged or destroyed property in areas that were not previously considered to be at risk from such events. Some commentators believe that climate change will lead to even more frequent and more damaging wildfires in the future. Such areas affected by wildfires are more prone to flooding and mudslides that can lead to the destruction of homes. While the District is not aware of any particular risk of wildfire within the District, there can be no assurances that wildfires will not occur within the District and damage the Enterprise or reduce demand for wastewater services as a result of the destruction of property.

In the event of a severe earthquake, fire, flood or other natural disaster, there could be an interruption in the service provided by the Water System, resulting in a temporary reduction in the amount of Net Revenues available to pay debt service when due on the Bonds. The Installment Purchase Agreement does not require the District to maintain earthquake or flood insurance on the Water System.

Cybersecurity

As a recipient and provider of personal, private and sensitive information, the District and its departments face multiple cyber threats including, but not limited to, hacking, viruses, ransomware and other attacks on computers and other sensitive digital networks and systems. The District has not experienced a material cyber attack.

The District works closely with its information technology partner to monitor and respond to threats and independent new technologies as they become available. The District has a firewall and antivirus configuration and several cybersecurity measures to minimize exposure to service interruptions and hacking through the following services:

- Multi-Factor Authentication;
- User cybersecurity awareness training to educate users on how to identify a malicious email or link. This is a monthly education that includes tests and monthly reports;
- Web Content Filtration;
- Endpoint protection and detection to provide comprehensive “application-layer” protection on laptops and desktops which is backed by Security Operating Center which allows the immediate quarantine, remediation and provision of forensics on threats or breaches;
- Email advanced threat protection providing Intelligent phishing and attachment screening; and
- Mobile Application Management.

No assurances can be given that the District’s security and operational control measures will be successful in guarding against any and each cyber threat and attack. The results of any attack on the District’s computer and information technology systems could impact its operations and damage the District’s digital networks and systems, and the costs of remedying any such damage could be substantial.

Climate Change

The change in the earth’s average atmospheric temperature, generally referred to as “climate change,” is expected to, among other things, increase the frequency and severity of extreme weather events, such as droughts, and cause substantial flooding.

In 2018, the State prepared its Fourth Climate Change Assessment which predicted that within the District’s region there will be increased variability in precipitation annually resulting in very dry and very wet

years, winters are likely to become more intense, warming temperatures, rising sea levels and continued Statewide drought conditions.

The District has implemented a climate action plan (the “Climate Action Plan”) which is designed to reduce the District’s carbon footprint and greenhouse gas emissions by updating its infrastructure to incorporate energy efficiency, water conservation and pollution prevention measures. See “THE ENTERPRISE – Capital Improvement Plan.”

The District cannot predict the timing, extent, or severity of climate change and its impact on the District’s operations and finances. Also, additional actions to address climate change may be necessary and the District can give no assurances regarding the impact of such actions on the District’s operations and finances.

Environmental Regulation

The kind and degree of wastewater treatment which is effected through the Enterprise is regulated, to a large extent, by the federal government and the State of California. Treatment standards set forth in federal and State law control the operations of the Enterprise and mandate its use of technology. In the event that the federal government, acting through the Environmental Protection Agency, or the State of California, acting through the Department of Health Services or other agencies, or additional federal or State legislation, should impose stricter wastewater treatment standards upon the Enterprise, the District’s expenses could increase accordingly, and rates and charges would have to be increased to offset those expenses. It is not possible to predict the direction which federal or state regulation will take with respect to wastewater treatment standards, although it is likely that both will impose more stringent standards with attendant higher costs.

No Obligation to Tax

The obligation of the District to pay the principal of and interest on the Bonds does not constitute an obligation of the District for which the District is obligated to levy or pledge any form of taxation or for which the District has levied or pledged any form of taxation. The obligation of the District to pay principal of and interest on the Bonds does not constitute a debt or indebtedness of the District, the Authority, the State of California or any of its political subdivisions, within the meaning of any constitutional or statutory debt limitation or restriction.

Change in Law

The State has experienced budgetary shortfalls in recent Fiscal Years, although it is currently expected to finish the current Fiscal Year with a budget surplus. The District cannot predict what actions will be taken in the future by the State Legislature and the Governor to deal with changing State revenues and expenditures, and it is possible that future legislation will impact revenues of local agencies. These developments at the State level will most likely adversely affect local governments. However, the District does not currently anticipate that the State budget problems will materially adversely impact the operation of the Enterprise.

Secondary Market for Bonds

There can be no guarantee that there will be a secondary market for the Bonds or, if a secondary market exists, that any Bonds can be sold for any particular price. Occasionally, because of general market conditions or because of adverse history or economic prospects connected with a particular issue, secondary marketing practices in connection with a particular issue are suspended or terminated. Additionally, prices of issues for which a market is being made will depend upon then-prevailing circumstances. Such prices could be substantially different from the original purchase price.

Federal Tax-Exempt Status of the Bonds

The Internal Revenue Code of 1986, as amended (the “Code”) imposes a number of requirements that must be satisfied for interest on state and local obligations, such as the Bonds, to be excludable from gross income for federal income tax purposes. These requirements include limitations on the use of Bond proceeds, limitations on the investment earnings on Bonds proceeds prior to expenditure, a requirement that certain investment earnings on the Bond proceeds be paid periodically to the United States and a requirement that the issuers file an information report with the Internal Revenue Service (the “IRS”). The District has covenanted in certain of the documents referred to herein that they will comply with such requirements. Failure to comply with the requirements stated in the Code and related regulations, rulings and policies may result in the treatment of interest on the Bonds as taxable, retroactively to the date of issuance of such Bonds. Under such circumstances, the Bonds are not subject to early redemption.

IRS Audit of Tax-Exempt Issues

The IRS has initiated an expanded program for the auditing of tax-exempt issues, including both random and targeted audits. It is possible that the Bonds will be selected for audit by the IRS. It is also possible that the market value of the Bonds might be affected as a result of such an audit of the Bonds (or by an audit of similar obligations).

Parity Debt

As described in “THE BONDS – Parity Obligations” above, the Installment Purchase Agreement permits the District to issue Parity Obligations, which would be payable on a parity with the payment of Installment Payments. In the event of a decline in Net Revenues available to pay the Installment Payments, the existence of Parity Obligations could adversely affect the District’s ability to pay the Installment Payments.

COVID-19 Outbreak

The spread of the novel strain of coronavirus called COVID-19 (“COVID-19”) is having significant negative impacts throughout the world, including in the County. The World Health Organization has declared the COVID-19 outbreak to be a pandemic, and states of emergency have been declared by the County, State and the United States. The purpose behind these declarations is to coordinate and formalize emergency actions across federal, state and local governmental agencies, and to proactively prepare for a wider spread of the virus.

There have been confirmed cases of and fatalities from COVID-19 in the County, and confirmed cases of COVID-19 are growing throughout the State and health officials are expecting the number of confirmed cases to continue to grow. The outbreak has resulted in the imposition of restrictions on mass gatherings and widespread temporary closings of businesses, universities and schools. The U.S. is restricting certain non-US citizens and permanent residents from entering the country. In addition, stock markets in the U.S. and globally have been volatile, with significant declines attributed to coronavirus concerns.

The District has closed certain non-essential functions of the District, has complied with the Governor’s executive order regarding a moratorium on water shut offs. See “THE ENTERPRISE – Billing and Collection Procedures.” The COVID-19 outbreak is ongoing, and the duration and severity of the outbreak, and the economic and other actions that may be taken by governmental authorities to contain the outbreak or to treat its impact are uncertain. The ultimate impact of COVID-19 on the District’s revenues in general is unknown at this time. Based on information available to the District as of the date of this Official Statement and taking into consideration the District’s recent rate increase, which became effective on July 1, 2021, as well as estimated financial results for fiscal year 2020-21, the District does not anticipate the impact of the COVID-19 outbreak will impact its ability to pay debt service on the Bonds. See “THE ENTERPRISE – Rates and Charges.” However, due to the changing nature of the COVID-19 outbreak, no assurance is given that actual results will meet the forecasts of the District in any way.

TAX MATTERS

In the opinion of Bond Counsel, based upon an analysis of existing laws, regulations, rulings and court decisions, and assuming, among other matters, compliance with certain covenants, interest on the Bonds is excluded from gross income for federal income tax purposes under Section 103 of the Code and is exempt from State of California personal income taxes. Bond Counsel is of the further opinion that interest on the Bonds is not a specific preference item for purposes of federal alternative minimum taxes.

The Code imposes various restrictions, conditions and requirements relating to the exclusion from gross income for federal income tax purposes of interest on obligations such as the Bonds. The Authority and the District have covenanted to comply with certain restrictions designed to ensure that interest on the Bonds will not be included in federal gross income. Failure to comply with these covenants may result in interest on the Bonds being included in federal gross income, possibly from the date of original issuance of the Bonds. The opinion of Bond Counsel assumes compliance with these covenants. Bond Counsel has not undertaken to determine (or to inform any person) whether any actions taken (or not taken) or events occurring (or not occurring) after the date of issuance of the Bonds may adversely affect the value of, or the tax status of interest on, the Bonds.

Current and future legislative proposals, if enacted into law, clarification of the Code or court decisions may cause interest on the Bonds to be subject, directly or indirectly, to federal income taxation or to be subject to or exempted from state income taxation, or otherwise prevent Owners from realizing the full current benefit of the tax status of such interest. For example, legislative proposals are announced from time to time which generally would limit the exclusion from gross income of interest on obligations like the Bonds to some extent for taxpayers who are individuals and whose income is subject to higher marginal income tax rates. Other proposals have been made that could significantly reduce the benefit of, or otherwise affect, the exclusion from gross income of interest on obligations like the Bonds. The introduction or enactment of any such legislative proposals, clarification of the Code or court decisions may also affect, perhaps significantly, the market price for, or marketability of, the Bonds. Prospective purchasers of the Bonds should consult their own tax advisors regarding any pending or proposed federal or state tax legislation, regulations or litigation, and regarding the impact of future legislation, regulations or litigation, as to which Bond Counsel expresses no opinion.

Certain requirements and procedures contained or referred to in the Indenture, the tax certificate, and other relevant documents may be changed and certain actions (including, without limitation, defeasance of the Bonds) may be taken or omitted under the circumstances and subject to the terms and conditions set forth in such documents. Bond Counsel expresses no opinion as to the exclusion from gross income of interest on any Bond if any such change occurs or action is taken or omitted upon the advice or approval of counsel other than Best Best & Krieger LLP.

The IRS has initiated an expanded program for the auditing of tax-exempt bond issues, including both random and targeted audits. It is possible that the Bonds will be selected for audit by the IRS. It is also possible that the market value of the Bonds might be affected as a result of such an audit of the Bonds (or by an audit of other similar bonds).

Although Bond Counsel is of the opinion that interest on the Bonds is excluded from gross income for federal income tax purposes and is exempt from State of California personal income taxes, the ownership or disposition of, or the accrual or receipt of interest on, the Bonds may otherwise affect an Owner's federal or state tax liability. The nature and extent of these other tax consequences will depend upon the particular tax status of the Bond Owner or the Owner's other items of income or deduction, and Bond Counsel expresses no opinion regarding any such other tax consequences.

A copy of the proposed form of opinion of Bond Counsel is attached hereto as APPENDIX C.

RATINGS

In connection with the issuance and delivery of the Bonds, S&P Global Ratings (“S&P”) and Moody’s Investors Service, Inc. (“Moody’s”) have assigned underlying municipal bond ratings of “AA-” and “Aa3,” respectively, to the Bonds. Such ratings reflect only the views of such organization and any desired explanation of the significance of such rating should be obtained from the rating agency furnishing the same. Generally, a rating agency bases its rating on the information and materials furnished to it and on investigations, studies and assumptions of its own. There is no assurance that these ratings will continue for any given period of time or that this rating will not be revised downward or withdrawn entirely by S&P or Moody’s, if in the judgment of the respective rating agency, circumstances so warrant. Any such downward revision or withdrawal of any rating obtained may have an adverse effect on the market price of the Bonds.

LITIGATION

There is no controversy or litigation of any nature now pending against the District or the Authority (with service of process having been completed), or to the knowledge of its officers, threatened, restraining or enjoining the issuance, sale, execution or delivery of the Bonds, or contesting the validity of the Bonds, any proceeds of the District or the Authority, concerning the issuance or sale thereof, pledge or application of the money or security provided for payment of the Bonds, or the existence or powers of the District or the Authority.

MUNICIPAL ADVISOR

NHA Advisors, LLC, is employed as Municipal Advisor to the District in connection with the issuance of the Bonds. The Municipal Advisor does not assume any responsibility for the information, covenants and representations contained in any of the legal documents with respect to the federal income tax status of the Bonds, or the possible impact of any present, pending, or future actions taken by any legislative or judicial bodies.

The Municipal Advisor has provided the following sentence for inclusion in this Official Statement. The Municipal Advisor has reviewed the information in this Official Statement in accordance with, and as part of, its responsibilities to the District and, as applicable, to investors under the federal securities laws as applied to the facts and circumstances of this transaction, but the Municipal Advisor does not guarantee the accuracy or completeness of such information.

PROFESSIONAL FEES

In connection with the issuance of the Bonds, fees payable to NHA Advisors, LLC, as Municipal Advisor, and U.S. Bank National Association as Trustee, and Stradling Yocca Carlson & Rauth, a Professional Corporation, as Underwriter’s Counsel, are contingent upon the issuance of the Bonds.

APPROVAL OF LEGALITY

All legal matters in connection with the issuance of the Bonds are subject to the approval of Best Best & Krieger LLP, Riverside, California, Bond Counsel. A copy of the approving opinion of Bond Counsel will be provided to the registered owners of the Bonds, and the form of such opinion is attached hereto as APPENDIX C. Certain legal matters will be passed upon for the Authority and the District by Hanson Bridgett LLP, as general counsel to the Authority and the District, respectively, and Best Best & Krieger LLP as disclosure counsel.

CONTINUING DISCLOSURE

The District and the Authority have covenanted for the benefit of owners of the Bonds to provide certain financial information and operating data relating to the District and the Enterprise by not later than April 1 of each year commencing April 1, 2022 with the report for Fiscal Year 2020-21 (the “Annual Report”) and to provide notices of the occurrence of certain enumerated events. The Annual Report and the notices of enumerated events will be filed by the District’s Dissemination Agent with EMMA or any successor assigned by the Municipal

Securities Rulemaking Board or Securities and Exchange Commission. These covenants have been made in order to assist the Underwriter in complying with Rule 15c2-12 promulgated under the Securities Exchange Act of 1934, as amended (the “Rule”). The specific nature of the information to be contained in the Annual Report or the notices of enumerated events by the District is set forth in “APPENDIX D — FORM OF CONTINUING DISCLOSURE CERTIFICATE.”

Neither the District nor the Authority have undertaken responsibilities with regard to Rule 15c2-12 to provide annual reports or notices of listed events in the last five years.

In addition, in connection with the designation of the Bonds as “Green Bonds,” the District has agreed to file periodic updates regarding the expenditure of Bond proceeds on capital projects with the EMMA system. See APPENDICES D AND G. These filings may, but need not, be included in the District’s Annual Report.

UNDERWRITING

The Bonds are being purchased by the Underwriter. The Underwriter has agreed to purchase the Bonds at a price of \$95,602,095.50 (being \$79,575,000.00 aggregate principal amount thereof, less Underwriter’s discount of \$130,087.55 and plus original issue premium of \$16,157,183.05). The purchase agreement relating to the Bonds provides that the Underwriter will purchase all of the Bonds if any are purchased. The obligation to make such purchase is subject to certain terms and conditions set forth in such purchase agreement, the approval of certain legal matters by counsel and certain other conditions.

The Underwriter may offer and sell the Bonds to certain dealers and others at prices lower or yields greater than the offering prices or yields stated on the inside cover page of the Official Statement. The offering prices or yields may be changed from time to time by the Underwriter.

ADDITIONAL INFORMATION

All of the descriptions of the State Government Code, the State Constitution, other applicable legislation, the Installment Purchase Agreement, the Indenture, the Enterprise, the District, the Authority, agreements and other documents are made subject to the provisions of such legislation and documents respectively and do not purport to be complete statements of any or all of such provisions. Reference is hereby made to such documents on file with the Authority for further information in connection therewith.

(Balance of this page intentionally left blank.)

Any statements in this Official Statement involving matters of opinion, whether or not expressly so stated, are intended as such and not as representations of fact. This Official Statement is not to be construed as a contract or agreement between the Authority and the purchasers or Owners of any of the Bonds.

The execution and delivery of this Official Statement have been authorized by the members of the Authority.

**WEST COUNTY FACILITIES FINANCING
AUTHORITY**

By: /s/ Lisa Malek-Zadeh
Lisa Malek-Zadeh, Executive Director

APPENDIX A

SUMMARY OF CERTAIN DEFINED TERMS AND PRINCIPAL LEGAL DOCUMENTS

The following is a summary of certain provisions of the Indenture of Trust and the Installment Purchase Agreement which are not described elsewhere. This summary does not purport to be comprehensive and reference should be made to the respective agreements for a full and complete statement of the provisions thereof.

DEFINITIONS; CONTENT OF CERTIFICATES AND OPINIONS

Definitions

Unless the context otherwise requires, the terms defined in the Indenture of Trust (the “Indenture”) shall, for all purposes of the Indenture and of any indenture supplemental thereto and of any certificate, opinion or other document mentioned in the Indenture, have the meanings specified therein, to be equally applicable to both the singular and plural forms of any of the terms defined in the Indenture. In addition, all capitalized terms used in the Indenture and not otherwise defined therein shall have the respective meanings given such terms in the Installment Purchase Agreement.

“Additional Payments” means the amounts payable by the District under the Installment Purchase Agreement.

“Agency Agreement” means that certain Agency Agreement, dated as of September 1, 2021, by and between the District and the Authority.

“Agreement” means that certain Joint Exercise of Powers Agreement, dated August 1, 2021, by and between the District and CSCDA, creating the Authority, together with any amendments thereof and supplements thereto.

“Authority” means the West County Facilities Financing Authority, a joint powers authority duly organized and existing under the laws of the State.

“Authorized Representative” means: (a) with respect to the Authority, its Chair, Vice-Chair, Executive Director, Treasurer, Authority Secretary or any other person designated as an Authorized Representative of the Authority by a Written Certificate of the Authority signed by its Chair and filed with the Trustee; and (b) with respect to the District, its President, Vice President, General Manager, District Clerk, Director of Administrative Services or any other person designated as an Authorized Representative of the District by a Written Certificate of the District signed by its President and filed with the Trustee.

“Board” means the Board of Directors of the Authority.

“Bond Counsel” means (a) Best Best & Krieger LLP, or (b) any other attorney or firm of attorneys appointed by or acceptable to the Authority of nationally-recognized experience in the issuance of obligations the interest on which is excludable from gross income for federal income tax purposes under the Code.

“Bond Fund” means the fund by that name established and held by the Trustee pursuant to the Indenture.

“Bond Law” means the Marks-Roos Local Bond Pooling Act of 1985, constituting Article 4 (commencing with section 6584) of Chapter 5 of Division 7 of Title 1 of the Government Code of the State, as in existence on the Closing Date or as thereafter amended from time to time.

“Bond Register” means the records for registration maintained by Trustee pursuant to the Indenture.

“Bond Year” means each twelve-month period extending from July 2 in one calendar year to July 1 of the succeeding calendar year, both dates inclusive, the first such Bond Year commencing on the Closing Date and ending July 1, 2022.

“Bonds” means the aggregate principal amount of West County Facilities Financing Authority 2021 Wastewater Revenue Bonds authorized by and at any time Outstanding pursuant to the Bond Law and the Indenture.

“Book-Entry Depository” shall mean DTC or any successor as Book-Entry Depository for the Bonds, appointed pursuant to the Indenture.

“Business Day” means a day (other than a Saturday or a Sunday) on which banks are not required or authorized to remain closed in the city in which the Trust Office is located.

“Capitalized Interest Account” means the account by that name established in the Bond Fund pursuant to the Indenture.

“Closing Date” means September 30, 2021, being the date of delivery of the Bonds to the Original Purchaser.

“Code” means the Internal Revenue Code of 1986, as amended.

“Completion Date” means the date of completion of the acquisition, development and construction of the Project.

“Connection Fees” means any fee or fees collected by the District, respectively from property owners as a condition of the District providing wastewater service from the Enterprise to residential, commercial or industrial property.

“Costs of Issuance” means all expenses incurred in connection with the authorization, issuance, sale and delivery of the Bonds and the application of the proceeds of the Bonds, including but not limited to all compensation, fees and expenses (including but not limited to fees and expenses for legal counsel) of the Authority and the costs of the District for administration and supervision of the Project, initial fees and expenses of the Trustee, title insurance premiums, appraisal fees, compensation to any financial consultants or underwriters, legal fees and expenses, filing and recording costs, rating agency fees, costs of preparation and reproduction of documents and costs of printing.

“Costs of Issuance Fund” means the fund by that name established and held by the Trustee pursuant to the Indenture.

“CSCDA” means California Statewide Communities Development Authority.

“Debt Service” means, during any period of computation, the amount obtained for such period by totaling the following amounts: (a) the principal amount of all Outstanding Serial Bonds coming due and payable by their terms in such period; (b) the minimum principal amount of all Outstanding Term Bonds scheduled to be redeemed by operation of mandatory sinking account deposits in such period; and (c) the interest which would be due during such period on the aggregate principal amount of Bonds which would be Outstanding in such period if the Bonds are retired as scheduled, but deducting and excluding from such aggregate amount the amount of Bonds no longer Outstanding.

“District” means the West County Wastewater District.

“DTC” means The Depository Trust Company, New York, New York, and its successors and assigns.

“Enterprise” means the entire wastewater collection, transmission, and disposition system owned, controlled or operated by the District, including but not limited to all facilities, properties and improvements at any time owned or operated by the District for the collection, transmission, and disposition of wastewater of residents and properties served thereby, and any necessary lands, rights, entitlements and other property useful in connection therewith, together with all extensions thereof and improvements thereto hereafter acquired, constructed, or installed by the District.

“Event of Default” means any of the events specified in the Indenture and the events described in the Installment Purchase Agreement.

“Federal Securities” means bills, certificates of indebtedness, notes, bonds, or other similar securities which are direct, non-callable obligations of the United States of America, CATS, TIGERS, STRPS, or defeased municipal bonds rated “AAA” by S&P and “Aaa” by Moody’s.

“Fiscal Year” means any twelve-month period extending from July 1 in one calendar year to June 30 of the succeeding calendar year, both dates inclusive, or any other twelve-month period selected and designated by the Authority as its official fiscal year period.

“Gross Revenues” means all gross Charges received for, and all other gross income and receipts derived by the District from, the ownership and operation of the Enterprise or otherwise arising from the Enterprise, including but not limited to property tax revenues, tax increment revenues, and the District’s share of the County’s property tax and investment earnings on any funds held by the District and interest earnings on Trustee held moneys; but excluding (a) the proceeds of any *ad valorem* property taxes levied for the purpose of paying general obligation bonds of the District relating to the Enterprise, and (b) Connection Fees, unless otherwise permitted pursuant to the District’s capital facility plan, and (c) the proceeds of any special assessments or special taxes levied upon real property within any improvement district served by the District levied for the purpose of paying special assessment bonds or special tax obligations of the District relating to the Enterprise.

“Indenture” means the Indenture of Trust, as originally executed or as it may from time to time be supplemented, modified or amended by any Supplemental Indenture pursuant to the provisions of the Indenture.

“Independent Financial Consultant,” or “Independent Certified Public Accountant” means any individual or firm engaged in the profession involved, appointed by Authority, and who, or each of whom, has a favorable reputation in the field in which his/her opinion or certificate will be given, and:

- (1) is in fact independent and not under domination of Authority;
- (2) does not have any substantial interest, direct or indirect, with Authority; and
- (3) is not connected with Authority as an officer or employee of Authority, but who may be regularly retained to make reports to Authority.

“Information Services” means Electronic Municipal Market Access System (referred to as “EMMA”), a facility of the Municipal Securities Rulemaking Board, at www.emma.msrb.org; and, in accordance with then current guidelines of the Securities and Exchange Commission, such other addresses and/or such other information services providing information with respect to called bonds as the Authority may designate in a Written Certificate of the Authority delivered to the Trustee.

“Installment Payment Date” shall mean the fifteenth day of May and November or if such date is not a Business Day, the preceding Business Day.

“Installment Purchase Agreement” means that certain Installment Purchase Agreement by and between the Authority as seller and the District, as purchaser of the Project, dated as of September 1, 2021, as originally

executed and as it may from time to time be supplemented, modified or amended in accordance with the terms thereof and of the Indenture

“Installment Payments” means the payments required to be paid by the District pursuant to the Installment Purchase Agreement, including all prepayments thereof.

“Insurance Fund” means the fund by that name established pursuant to the Indenture.

“Interest Account” means the account by that name established in the Bond Fund pursuant to the Indenture.

“Interest Payment Date” means each December 1 and June 1 commencing December 1, 2021, or if such date is not a Business Day, then on the next succeeding Business Day.

“Minimum Rating” means a rating of “A” or better by Moody’s and S&P if Moody’s and S&P are then rating the Bonds. In the event the rating system of Moody’s and S&P with respect to any particular Permitted Investment does not include a rating category of “A”, the term “A” or better as used in the preceding sentence shall mean the highest general rating category applicable to such Permitted Investment (determined without regard to any refinement or gradation of such rating category by a numerical modifier, a plus or a minus sign, or otherwise).

“Moody’s” means Moody’s Investors Service, its successors and assigns.

“Net Proceeds” when used with respect to any insurance or condemnation award, means the gross proceeds from such insurance or condemnation award, paid with respect to the Enterprise, remaining after payment therefrom of all expenses incurred in the collection of such gross proceeds.

“Net Revenues” means for any period, the Gross Revenues for such period plus the amount, if any, transferred to the Authority by the District from the Rate Stabilization Fund, less the Operation and Maintenance Costs for such period.

“Nonpurpose Investment” means an “investment property” within the meaning of Section 1.148-8T(e) of the Regulations in which Gross Proceeds are invested other than the Installment Purchase Agreement.

“Operation and Maintenance Costs” means the reasonable and necessary costs and expenses paid by the District for maintaining and operating the Enterprise, including but not limited to (a) costs of electricity and other forms of energy supplied to the Enterprise, (b) the reasonable expenses of management and repair and other costs and expenses necessary to maintain and preserve the Enterprise in good repair and working order, and (c) the reasonable administrative costs of the District attributable to the operation and maintenance of the Enterprise; but in all cases excluding (i) debt service payable on obligations incurred by the District with respect to the Enterprise, including but not limited to the Installment Payments, and any Parity Obligations, (ii) depreciation, replacement and obsolescence of charges or reserves therefor and (iii) amortization of intangibles or other bookkeeping entries of a similar nature.

“Original Purchaser” means Piper Sandler & Co. as the original purchaser of the Bonds upon their delivery by the Trustee on the Closing Date.

“Outstanding,” when used as of any particular time with reference to Bonds, means, subject to the provisions of the Indenture, all Bonds except:

- (a) Bonds theretofore canceled by the Trustee or surrendered to the Trustee for cancellation;
- (b) Bonds paid or deemed to have been paid pursuant to the Indenture; and

(c) Bonds in lieu of or in substitution for which other Bonds shall have been authorized, executed, issued and delivered by Authority pursuant to the Indenture.

“Owner,” whenever used in the Indenture with respect to a Bond, means the person in whose name the ownership of such Bond is registered on the Bond Register.

“Parity Instrument” means any resolution, indenture of trust, trust agreement or other instrument authorizing the issuance of any Parity Obligations.

“Parity Obligations” means the SRF Loans and any indebtedness or other obligations (including leases and installment sale agreements) issued or incurred by the District and secured by a pledge of and lien on Net Revenues of the District equally and ratably with the Installment Payments.

“Participant” means a member of, or participant in, DTC.

“Permitted Investments” means any of the following which at the time of investment are legal investments under the laws of the State for the moneys proposed to be invested therein (provided that the Trustee shall be entitled to rely upon any Written Request of the Authority as conclusive certification to the Trustee that the investments described therein are permissible under the laws of the State):

1. Direct obligations of the United States of America (including obligations issued or held in book-entry form on the books of the Department of the Treasury) or obligations the principal of and interest on which are unconditionally guaranteed by the United States of America.

2. Bonds, debentures, notes or other evidence of indebtedness issued or guaranteed by any of the following federal agencies and provided such obligations are backed by the full faith and credit of the United States of America (stripped securities are only permitted if they have been stripped by the agency itself):

- a. Farmers Home Administration (FmHA)
Certificates of beneficial ownership
- b. Federal Housing Administration Debentures (FHA)
- c. General Services Administration
Participation certificates
- d. Government National Mortgage Association (GNMA or “Ginnie Mae”)
GNMA - guaranteed mortgage-backed bonds
GHMA - guaranteed pass-through obligations (participation certificates)
(not acceptable for certain cash-flow sensitive issues.)
- e. U.S. Maritime Administration
Guaranteed Title XI financing
- f. U.S. Department of Housing and Urban Development (HUD)
Project Notes
Local Authority Bonds

3. Bonds, debentures, notes or other evidence of indebtedness issued or guaranteed by any of the following non-full faith and credit U.S. government agencies (stripped securities are only permitted if they have been stripped by the agency itself):

- a. Federal Home Loan Bank System
Senior debt obligations (Consolidated debt obligations)
 - b. Federal Home Loan Mortgage Corporation (FHLMC or “Freddie Mae”)
Participation Certificates (Mortgage-backed securities)
Senior debt obligations
 - c. Federal National Mortgage Association (FNMA or “Fannie Mae”) Mortgage-backed securities and senior debt obligations (excluded are stripped mortgage securities which are valued greater than par on the portion of unpaid principal).
 - d. Student Loan Marketing Association (SLMA or “Sallie Mae”)
Senior debt obligations
 - e. Resolution Funding Corp. (REFCORP) Only the interest component of REFCORP strips which have been stripped by request to the Federal Reserve Bank of New York in book entry form are acceptable.
 - f. Farm Credit System
Consolidated systemwide bonds and notes
4. Money market funds registered under the Federal Investment Company of 1940, whose shares are registered under the Federal Securities Act of 1933, and having a rating by S&P of AAAm-G; AAAm, or AA-m and if rated by Moody’s rated Aaa, Aa1 or Aa2 including funds for which the Trustee or an affiliate advises or services, but excluding funds with a floating net asset value.
5. Certificates of deposit secured at all times by collateral described in (1) and/or (2) above. CD’s must have a one year or less maturity. Such certificates must be issued by commercial banks, savings and loan associations or mutual savings banks whose term obligations are rated “A-1” or better by S&P and “Prime-1” by Moody’s.
- The collateral must be held by a third party and the bondholders must have a perfected first security interest in the collateral.
6. Certificates of deposit, savings accounts, deposit accounts or money market deposits which are fully insured by FDIC, including BIF and SAIF, or secured at all times by collateral described in (1) or (2) above.
7. Investment agreements with a domestic or foreign bank or corporation, the long-term debt or financial strength of which, or, in the case of a guaranteed corporation the long-term debt, or, in the case of a monoline financial guarantee insurance company, financial strength, of the guarantor is rated in at least the “double A” category by Moody’s and S&P; provided, that, by the terms of the investment agreement:
- a. interest payments are to be made to the Trustee at all times and in the amounts as necessary to pay debt service, applied as directed in the Indenture (or, if the investment agreement is for the construction fund, construction draws) on the Bonds;
 - b. the invested funds are available for withdrawal without penalty or premium, at any time upon not more than seven days’ prior notice; the Authority and the Trustee agree by the Indenture to give or cause to be given notice in accordance with the terms of the investment agreement so as to receive funds thereunder with no penalty or premium paid;

c. the investment agreement shall state that it is the unconditional and general obligation of; and is not subordinated to any other obligation of, the provider thereof or, if the provider is a bank, the agreement or the opinion of counsel shall state that the obligation of the provider to make payments thereunder ranks pari passu with the obligations of the provider to its other depositors and its other unsecured and unsubordinated creditors;

d. the Authority or the Trustee receives the opinion of domestic counsel (which opinion shall be addressed to the Authority and Trustee) that such investment agreement is legal, valid, binding and unenforceable upon the provider in accordance with its terms and of foreign counsel (if applicable) in a form and substance acceptable by the Authority;

e. the investment agreement shall provide that if during its term

(i) the provider's rating by either S&P or Moody's falls below "AA-" or "Aa3", respectively, the provider shall, at its option, within 10 days of receipt of publication of such downgrade, either (a) collateralize the investment agreement by delivering or transferring in accordance with the applicable state and federal laws (other than by means of entries on the provider's books) to the Authority, the Trustee or a third party acting solely as agent therefor (the "Holder of the Collateral") collateral free and clear of any third party liens or claims the market value of which collateral is maintained at levels and upon such conditions as would be acceptable to S&P and Moody's to maintain an "A" rating in an "A" rated structured financing (with a market value approach); or (b) repay the principal of and accrued but unpaid interest on the investment (including such other amounts as are required to permit the Trustee to receive the initially contemplated yield through the term of the Indenture), or (c) assign its obligations thereunder to a financial counter-party, acceptable to the Authority, and rated in the double A category by both Moody's and S&P; and

(ii) the provider's rating by either S&P or Moody's is withdrawn or suspended or falls below "A-" or "A3", respectively, the provider must, at the direction of the Authority or the Trustee (who shall give such direction if so directed by the Authority), within 10 days of receipt of such direction, repay the principal of and accrued but unpaid interest on the investment, in either case with no penalty or premium to the Authority or Trustee; and

f. the investment agreement shall state and an opinion of counsel shall be rendered, in the event collateral is required to be pledged by the provider under the terms of the investment agreement, at the time such collateral is delivered, that the Holder of the Collateral has a perfected first priority security interest in the collateral, any substituted collateral and all proceeds thereof (in the case of bearer securities, this means the Holder of the Collateral is in possession); or

g. the investment agreement must provide that if during its term

(i) the provider shall default in its payment obligations, the provider's obligation under the investment agreement shall, at the direction of the Authority or the Trustee (who shall give such direction if so directed by the Authority), be accelerated and amounts invested and accrued but unpaid interest thereon shall be repaid to the Authority or Trustee, as appropriate; and

(ii) the provider shall become insolvent, not pay its debts as they become due, be declared or petition to be declared bankrupt, etc. ("event of insolvency"), the provider's obligations shall automatically be accelerated and the amounts invested and

accrued but unpaid interest thereon shall be repaid to the Authority or Trustee, as appropriate.

8. Commercial paper rated “Prime-1” by Moody’s and “A-1+” or better by S&P.

9. Bonds or notes issued by any state or municipality which are rated by Moody’s and S&P in the highest long-term rating categories assigned by such agencies unless such obligations are issued by the State, in which case such obligations are rated in one of the two highest long-term rating categories of S&P and Moody’s.

10. U.S. dollar denominated deposit accounts, Federal funds or bankers acceptances with a maximum term of one year of any bank which has an unsecured, uninsured and unguaranteed obligation rating of “Prime-1” or better by Moody’s and “A-1” or better by S&P.

11. Repurchase agreements that provide for the transfer of securities from a dealer bank or securities firm (seller/borrower) to the Trustee (buyer/lender), and the transfer of cash from the Trustee to the dealer bank or securities firm with an agreement that the dealer bank or securities firm will repay the cash plus a yield to the Trustee in exchange for the securities at a specified date.

Repurchase Agreements must satisfy the following criteria:

a. Repos must be between the municipal entity and a dealer bank or securities firm.

- (1) Primary dealers on the Federal Reserve reporting dealer list which fall under the jurisdiction of the SIPC and which are rated A or better by Standard & Poor’s Ratings Group and Moody’, or
- (2) Banks rated “A” or above by Standard & Poor’s Ratings Group and Moody’s Investor Services.

b. The written repo contract must include the following:

- (1) Securities which are acceptable for transfer are:
 - (a) Direct U.S. governments.
 - (b) Federal agencies backed by the full faith and credit of the U.S. Government (and FNMA & FHLMC)
- (2) The term of the repo may be up to 30 years.
- (3) The collateral must be delivered to the municipal entity, trustee (if trustee is not supplying the collateral) or third party acting as agent for the trustee (if the trustee is supplying the collateral) before/simultaneous with payment (perfection by possession of certificated securities).
- (4) The trustee has perfected first priority security interest in the collateral.
- (5) Collateral is free and clear of third-party liens and in the case of SIPC broker was not acquired pursuant to a repo or reverse repo.
- (6) Failure to maintain the requisite collateral percentage, after a two day restoration period, will require the trustee to liquidate collateral.

(7) Valuation of Collateral

- (a) The securities must be valued weekly, marked-to-market at a current market price plus interest.
- (b) The value of collateral must be equal to 104% of the amount of cash transferred by the municipal entity to the dealer bank or security firm under the repo plus accrued interest. If the value of securities held as collateral slips below 104% of the value of the cash transferred by municipality, then additional cash and/or acceptable securities must be transferred. If, however, the securities used as collateral are FNMA or FHLMC, then the value of collateral must equal 105%.
- c. Legal opinion which must be delivered to the municipal entity:

Repo meets guidelines under state law for legal investment of public funds.

12. Pre-refunded municipal bonds rated “Aaa” by Moody’s and “AAA” by S&P. If, however, the issue is only rated by S&P (i.e., there is no Moody’s rating), then the pre-refunded bonds must have been pre-refunded with cash, direct U.S. or U.S. guaranteed obligations, or AAA rated pre-refunded municipals to satisfy this condition.

“Principal Account” means the account by that name established in the Bond Fund pursuant to the Indenture.

“Project” means improvements to the District’s Enterprise, including equipment, all as more fully described in the Installment Purchase Agreement or such improvements or betterments to the Enterprise as may be permitted under the Installment Purchase Agreement.

“Project Costs” means all costs of payment of, or reimbursement for, acquisition, construction and financing of the Project, including but not limited to, architect and engineering fees, construction contractor payments, costs of feasibility and other reports, inspection costs, permit fees, filing and recording costs, printing costs, reproduction and binding costs, fees and charges of the Trustee, legal fees and charges, financial and other professional consultant fees in connection with the foregoing.

“Project Fund” means the fund by that name established pursuant to the Indenture.

“Rate Stabilization Fund” means the fund by that name established by the Installment Purchase Agreement and to be held by the District.

“Rebate Regulations” means the Proposed and Temporary Treasury Regulations issued under Section 148(f) of the Code.

“Record Date” means, with respect to any Interest Payment Date, the fifteenth (15th) calendar day of the month preceding such Interest Payment Date.

“Redemption Fund” means the fund by that name established pursuant to the Indenture.

“Representation Letter” means the letter of representations from the Authority to, or other instrument or agreement of the Authority with, a Book-Entry Depository in which the Authority, among other things, makes certain representations to such Book-Entry Depository with respect to the Bonds, the payment thereof and delivery of notices with respect thereto.

“Responsible Trust Officer” means an authorized representative of the Trustee.

“Revenue Fund” means the fund by that name established by the District into which all Gross Revenues are deposited.

“S&P” means Standard & Poor’s Ratings Group, its successors and assigns.

“Securities Depositories” means The Depository Trust Company, 55 Water Street, 50th Floor, New York, New York 10041 Attn: Call Notification Department, Fax (212) 855-1000; and, in accordance with then current guidelines of the Securities and Exchange Commission, such other addresses and/or such other securities depositories as the Authority may designate in a Written Certificate of the Authority delivered to the Trustee.

“Serial Bonds” means all of the Bonds excluding Term Bonds.

“Sinking Account” means the account by that name established in the Indenture.

“SRF Loans” means collectively the (a) SRF Loan Payable – Wastewater Facility and Collection System Rehabilitation Project Phase I, Segment 1 by and between the District and the California State Water Resources Control Board in an amount not-to-exceed \$1,654,505, (b) SRF Loan Payable - Wastewater Facility and Collection System Rehabilitation Project Phase I, Segment 2 by and between the District and the California State Water Resources Control Board in an amount not-to-exceed \$2,881,758, (c) SRF Loan Payable - Wastewater Facility and Collection System Rehabilitation Project Phase I, Segment 3 by and between the District and the California State Water Resources Control Board in an amount not-to-exceed \$14,593,521 and (d) SRF Loan Payable - Recycled Water Reliability Upgrades by and between the District and the California State Water Resources Control Board in an amount not-to-exceed \$30,457,093.

“State” means the State of California.

“Supplemental Indenture” means any indenture hereafter duly authorized and entered into between the Authority and the Trustee, supplementing, modifying or amending the Indenture; but only if and to the extent that such Supplemental Indenture is specifically authorized under the Indenture.

“Tax Certificate” means that No Arbitrage and Tax Compliance Certificate executed on the Closing Date by the Authority and the District with respect to the Bonds .

“Tax Regulations” means temporary and permanent regulations promulgated under or with respect to sections 103 and 141 through 150, inclusive, of the Code.

“Term Bonds” means the Bonds maturing on June 1, 2046 and June 1, 2051.

“Trustee” means U.S. Bank National Association, a national banking association organized and existing under the laws of the United States, or its successor, as Trustee under the Indenture as provided therein.

“Trust Office” means the corporate trust office of the Trustee at 1 California Street, Suite 1000, San Francisco, California, 94111 or at such other or additional offices as may be specified in writing to the Authority except that with respect to presentation of Bonds for payment or for registration of transfer and exchange such term shall mean the office or agency of the Trustee at which, at any particular time, its corporate agency business shall be conducted.

“Written Certificate,” “Written Request” and “Written Requisition” of the Authority or the District mean, respectively, a written certificate, request or requisition signed in the name of the Authority or the District by their Authorized Representative. Any such instrument and supporting opinions or representations, if any, may, but need not, be combined in a single instrument with any other instrument, opinion or representation, and the two or more so combined shall be read and construed as a single instrument.

APPLICATION OF PROCEEDS

Establishment and Application of Costs of Issuance Fund

The Trustee shall establish, maintain and hold in trust a separate fund designated as the “Costs of Issuance Fund”. The moneys in the Costs of Issuance Fund shall be used and withdrawn by the Trustee to pay the Costs of Issuance upon submission of Written Requisitions of the Authority stating the person to whom payment is to be made, the amount to be paid, the purpose for which the obligation was incurred and that such payment is a proper charge against said fund. The Trustee shall not be responsible for the representations made in such Written Requisitions and may conclusively rely thereon and shall be under no duty to investigate or verify any statements made therein. On December 1, 2021, or upon the earlier Written Request of the Authority, all amounts remaining in the Costs of Issuance Fund shall be transferred by the Trustee to the Project Fund.

Project Fund

The Trustee shall establish, maintain and hold in trust a separate fund to be known as the “Project Fund”. Except as otherwise provided in the Indenture, moneys in the Project Fund shall be used solely for the acquisition and construction by the Authority of the Project. The Trustee shall disburse moneys in the Project Fund from time to time to pay Project Costs (or to reimburse the Authority or the District, respectively, for payment of Project Costs as specified in the Agency Agreement) upon receipt by the Trustee of a Written Requisition of the Authority or the District which: (a) states with respect to each disbursement to be made (i) the requisition number, (ii) the name and address of the person, firm or corporation to whom payment will be made, (iii) the amount to be disbursed, along with payment instructions, (iv) that each obligation mentioned therein is a proper charge against the Project Fund and has not previously been disbursed by the Trustee from amounts in the Project Fund, (v) that all conditions precedent set forth in the Installment Purchase Agreement with respect to such disbursement have been satisfied, and (vi) that the amount of such disbursement is for a Project Cost and (b) specifies in reasonable detail the nature of the obligation. The Trustee shall not be responsible for the representations made in such Written Requisitions and may conclusively rely thereon and shall be under no duty to investigate or verify any statements made therein. Upon the filing with the Trustee of a Written Certificate of the Authority stating that the Project has been completed or that all Written Requisitions intended to be filed by the Authority have been filed, the Trustee shall withdraw all amounts then on deposit in the Project Fund and transfer such amounts to the Bond Fund.

Notwithstanding the provisions of the Indenture, upon the occurrence and continuation of an Event of Default under and as defined in the Indenture, the Trustee shall immediately withdraw all amounts then on deposit in the Project Fund and apply such amounts in accordance with the provisions therein.

Insurance Fund

The Trustee shall, upon receipt of a Written Certificate from the Authority, establish, maintain and hold in trust a separate fund known as the “Insurance Fund.” Except as otherwise provided in the Indenture, moneys in the Insurance Fund shall be used as provided for in the Installment Purchase Agreement. The Trustee shall not be responsible for the representations made in Written Requisitions provided by the Authority in connection with the Insurance Fund and may conclusively rely on such Written Requisitions and shall be under no duty to investigate or verify any statements made therein.

Validity of Bonds

The validity of the authorization and issuance of the Bonds is not dependent on and shall not be affected in any way by any proceedings taken by the Authority or the Trustee with respect to or in connection with the Installment Purchase Agreement. The recital contained in the Bonds that the same are issued pursuant to the Constitution and laws of the State shall be conclusive evidence of their validity and of compliance with the provisions of law in their issuance.

Issuance of Parity Obligations

The Authority may issue Parity Obligations in accordance with the Installment Sale Agreement.

INSTALLMENT PAYMENTS; FUNDS AND ACCOUNTS; PAYMENT OF PRINCIPAL AND INTEREST

Pledge and Assignment; Bond Fund

(a) Subject only to the provisions of the Indenture permitting the application thereof for the purposes and on the terms and conditions set forth in the Indenture, all of the Installment Payments and any other amounts (including proceeds of the sale of the Bonds) held in any fund or account established pursuant to the Indenture are thereby pledged to secure the payment of the principal of and interest on the Bonds in accordance with their terms and the provisions of the Indenture. Said pledge shall constitute a lien on and security interest in such assets and shall attach, be perfected and be valid and binding from and after the Closing Date, without any physical delivery thereof or further act.

(b) Under the Indenture, the Authority transfers in trust, grants a security interest in and assigns to the Trustee, for the benefit of the Owners from time to time of the Bonds, all of the Installment Payments and all of the rights of the Authority (but none of its duties or obligations pursuant to the Installment Purchase Agreement) in the Installment Purchase Agreement. The Trustee shall be entitled to and shall collect and receive all of the Installment Payments, and any Installment Payments collected or received by the Authority shall be deemed to be held, and to have been collected or received, by the Authority as the agent of the Trustee and shall forthwith be paid by the Authority to the Trustee. The Trustee also shall be entitled to and shall, subject to the provisions of the Indenture, take all steps, actions and proceedings which the Trustee determines to be reasonably necessary in its judgment to enforce, either jointly with the Authority or separately, all of the rights of the Authority and all of the obligations of the District under the Installment Purchase Agreement.

The assignment of the Installment Purchase Agreement to the Trustee is solely in its capacity as Trustee under the Indenture and the duties, powers and liabilities of the Trustee in acting thereunder shall be subject to the provisions of the Indenture, including, without limitation, the provisions of the Indenture. The Trustee shall not be responsible for any representations, warranties, covenants or obligations of the Authority.

(c) All Installment Payments shall be promptly deposited by the Trustee upon receipt thereof in a special fund designated as the "Bond Fund" which the Trustee shall establish, maintain and hold in trust; except that all moneys received by the Trustee and required under the Indenture or under the Installment Purchase Agreement to be deposited in the Redemption Fund shall be promptly deposited in such Fund. All Installment Payments deposited with the Trustee shall be held, disbursed, allocated and applied by the Trustee only as provided in the Indenture.

Installment Payments

Not later than the first Business Day preceding each date on which principal of or interest on the Bonds becomes due and payable, the Trustee shall transfer from the Bond Fund and deposit into the following respective accounts (each of which the Trustee shall establish and maintain within the Bond Fund), the following amounts in the following order of priority, the requirements of each such account at the time of deposit to be satisfied before any transfer is made to any account subsequent in priority:

(a) The Trustee shall deposit in the Capitalized Interest Account the amount of \$5,313,841.67 from proceeds of the Bonds which shall be used to pay interest due and payable on the Bonds on each Interest Payment Date through June 1, 2023.

(b) The Trustee shall deposit in the Interest Account an amount required to cause the aggregate amount on deposit in the Interest Account to be at least equal to the amount of interest becoming due and payable on such date on all Bonds then Outstanding.

(c) The Trustee shall deposit in the Principal Account an amount required to cause the aggregate amount on deposit in the Principal Account to equal the principal amount of the Bonds coming due and payable on such date.

(d) The Trustee shall deposit in the Sinking Account an amount equal to the aggregate principal amount of the Term Bonds required to be redeemed on such date, if any, pursuant to the Indenture.

Application of Interest Account

All amounts in the Interest Account shall be used and withdrawn by the Trustee solely for the purpose of paying interest on the Bonds as it shall become due and payable (including accrued interest on any Bonds purchased or redeemed prior to maturity pursuant to the Indenture).

Application of Principal Account

All amounts in the Principal Account shall be used and withdrawn by the Trustee solely to pay the principal amount of the Bonds at their respective maturity dates.

Application of Sinking Account

All moneys on deposit in the Sinking Account shall be used and withdrawn by the Trustee for the sole purpose of redeeming or purchasing (in lieu of redemption) Term Bonds pursuant to the Indenture.

Application of Redemption Fund

The Trustee shall establish and maintain the Redemption Fund, amounts in which shall be used and withdrawn by the Trustee solely for the purpose of paying the principal of the Bonds to be redeemed pursuant to the Indenture; provided, however, that at any time prior to selection for redemption of any such Bonds, the Trustee may apply such amounts to the purchase of Bonds at public or private sale, as and when and at such prices (including brokerage and other charges, but excluding accrued interest, which is payable from the Interest Account) as shall be directed pursuant to a Written Request of the Authority, except that the purchase price (exclusive of accrued interest) may not exceed the redemption price then applicable to the Bonds.

Investments

All moneys in any of the funds or accounts established with the Trustee pursuant to the Indenture shall be invested by the Trustee solely in Permitted Investments. Such investments shall be directed by the Authority or the District pursuant to a Written Request of the Authority or the District filed with the Responsible Trust Officer of the Trustee at least two (2) Business Days in advance of the making of such investments. In the absence of any such directions from the Authority or the District, the Trustee shall invest any such moneys in Permitted Investments described in clause (4) of the definition thereof; provided, however, that any such investment shall be made by the Trustee only if, prior to the date on which such investment is to be made, the Trustee shall have received a Written Certificate of the Authority or the District specifying a specific money market fund and, if no such Written Certificate of the Authority or the District is so received, the Trustee shall hold such moneys uninvested. Permitted Investments purchased as an investment of moneys in any fund shall be deemed to be part of such fund or account.

For purposes of acquiring any investments under the Indenture, the Trustee may commingle funds held by it under the Indenture. The Trustee may act as principal or agent in the acquisition or disposition of any

investment and may impose its customary charges therefor. The Trustee shall incur no liability for losses arising from any investments made pursuant to the Indenture.

The Authority and the District (by its execution of the Installment Purchase Agreement) acknowledge that to the extent regulations of the Comptroller of the Currency or other applicable regulatory entity grant the Authority or the District the right to receive brokerage confirmations of security transactions as they occur, the Authority and the District specifically waive receipt of such confirmations to the extent permitted by law. The Authority and the District further understand that trade confirmations for securities transactions effected by the Trustee will be available upon request and at no additional cost and other trade confirmations may be obtained from the applicable broker. The Trustee will furnish the Authority and the District periodic cash transaction statements which include detail for all investment transactions made by the Trustee under the Indenture. Upon the Authority's or the District's election, such statements will be delivered via the Trustee's online service and upon electing such service, paper statements will be provided only upon request.

Valuation of Investments

For the purpose of determining the amount in any fund or account, the value of Permitted Investments credited to such fund shall be valued on each Interest Payment Date by the Trustee at the market value thereof (excluding any accrued interest). The Trustee may utilize computer pricing services as are available to it in making such valuations. Any deficiency in a fund or account resulting from a decline in market value shall be restored by the Authority no later than the next Interest Payment Date.

PARTICULAR COVENANTS

Punctual Payment

The Authority shall punctually pay or cause to be paid the principal of and interest and premium (if any) on all the Bonds in strict conformity with the terms of the Bonds and of the Indenture, according to the true intent and meaning thereof, but only out of Installment Payments and other assets pledged for such payment as provided in the Indenture.

Extension of Payment of Bonds

The Authority shall not directly or indirectly extend or assent to the extension of the maturity of any of the Bonds or the time of payment of any claims for interest by the purchase of such Bonds or by any other arrangement, and in case the maturity of any of the Bonds or the time of payment of any such claims for interest shall be extended, such Bonds or claims for interest shall not be entitled, in case of any default under the Indenture, to the benefits of the Indenture, except subject to the prior payment in full of the principal of all of the Bonds then Outstanding and of all claims for interest thereon which shall not have been so extended. Nothing in the Indenture shall be deemed to limit the right of the Authority to issue Bonds for the purpose of refunding any Outstanding Bonds, and such issuance shall not be deemed to constitute an extension of maturity of the Bonds.

Against Encumbrances

The Authority shall not create, or permit the creation of, any pledge, lien, charge or other encumbrance upon the Installment Payments and other assets pledged or assigned under the Indenture while any of the Bonds are Outstanding, except the pledge and assignment created by the Indenture. Subject to this limitation, the Authority expressly reserves the right to enter into one or more other indentures for any of its corporate purposes, and reserves the right to issue other obligations for such purposes.

Power to Issue Bonds and Make Pledge and Assignment

The Authority is duly authorized pursuant to law to issue the Bonds and to enter into the Indenture and to pledge and assign the Installment Payments and other assets purported to be pledged and assigned, respectively,

under the Indenture in the manner and to the extent provided in the Indenture. The Bonds and the provisions of the Indenture are and will be the legal, valid and binding special obligations of the Authority in accordance with their terms, and the Authority and the Trustee shall at all times, subject to the provisions of the Indenture and to the extent permitted by law, defend, preserve and protect said pledge and assignment of Installment Payments and other assets and all the rights of the Bond Owners under the Indenture against all claims and demands of all persons whomsoever.

Accounting Records and Financial Statements

The Trustee shall at all times keep, or cause to be kept, proper books of record and account, prepared in accordance with corporate trust industry standards, in which complete and accurate entries shall be made of all transactions made by it relating to the proceeds of Bonds, the Gross Revenues, the Installment Payments, the Installment Purchase Agreement and all funds and accounts established pursuant to the Indenture. Such books of record and account shall be available for inspection by the Authority and the District, during business hours and under reasonable circumstances.

No Additional Obligations

The Authority covenants that no additional bonds, notes or other indebtedness shall be issued or incurred which are payable out of the Installment Payments in whole or in part.

No Arbitrage

The Authority shall not take, or permit to be taken by the Trustee or otherwise, any action with respect to the proceeds of the Bonds which, if such action had been reasonably expected to have been taken, or had been deliberately and intentionally taken, on the date of issuance of the Bonds would have caused the Bonds to be “arbitrage bonds” within the meaning of Section 148 of the Code.

Rebate Requirement

The Authority shall take any and all actions necessary to assure compliance with Section 148(f) of the Code, relating to the rebate of excess investments earnings, if any, to the federal government.

Private Activity Bond Limitation

The Authority shall assure that the proceeds of the Bonds are not so used as to cause the Bonds to satisfy the private business tests of Section 141(b) of the Code.

Private Loan Financing Limitation

The Authority shall assure that the proceeds of the Bonds are not so used as to cause the Bonds to satisfy the private loan financing test of Section 141(c) of the Code.

Federal Guaranty Prohibition

The Authority shall not take any action or permit or suffer any action to be taken if the result of the same would be to cause any of the Bonds to be “federally guaranteed” within the meaning of Section 149(b) of the Code.

Maintenance of Tax-Exemption

The Authority shall take any and all actions necessary to assure the exclusion of interest on the Bonds from the gross income of the Owners of the Bonds to the same extent as such interest is permitted to be excluded from gross income under the Code as in effect on the date of issuance of the Bonds.

Installment Purchase Agreement

The Trustee shall promptly collect all amounts due to the Trustee from the District pursuant to the Installment Purchase Agreement. Subject to the provisions of the Indenture, the Trustee shall enforce, and take all steps, actions and proceedings which the Trustee determines to be reasonably necessary for the enforcement of all of its rights thereunder as assignee of the Authority and for the enforcement of all of the obligations of the District under the Installment Purchase Agreement.

Waiver of Laws

The Authority shall not at any time insist upon or plead in any manner whatsoever, or claim or take the benefit or advantage of, any stay or extension law now or at any time hereafter in force that may affect the covenants and agreements contained in the Indenture or in the Bonds, and all benefit or advantage of any such law or laws is expressly waived by the Authority by the Indenture to the extent permitted by law.

Protection of Security and Rights of Owners

The Authority will preserve and protect the security of the Bonds and the rights of the Owners. From and after the date of issuance of any Bonds, such Bonds shall be incontestable by the Authority.

Continuing Disclosure

The Authority covenants and agrees by the Indenture that it will comply with and carry out all of the provisions of the Continuing Disclosure Agreement. Notwithstanding any other provision of the Indenture, failure of the Authority or the Trustee to comply with the Continuing Disclosure Agreement shall not be considered an Event of Default; however, the Trustee may (and, at the request of any participating underwriter or the Owners of at least 25% aggregate principal amount of Outstanding Bonds and upon being indemnified to its satisfaction therefor, shall) or any Bondowner may but shall not be obligated to seek mandamus or specific performance by court order, to cause the Authority to comply with its obligations under the Indenture.

Further Assurances

The Authority will make, execute and deliver any and all such further indentures, instruments and assurances as may be reasonably necessary or proper to carry out the intention or to facilitate the performance of the Indenture and for the better assuring and confirming unto the Owners of the Bonds of the rights and benefits provided in the Indenture.

EVENTS OF DEFAULT AND REMEDIES

Events of Default

The following events shall be Events of Default under the Indenture:

- (a) Default in the due and punctual payment by the Authority of the principal of any Bonds when and as the same shall become due and payable, whether at maturity as therein expressed, by proceedings for redemption, by acceleration, or otherwise.
- (b) Default in the due and punctual payment by the Authority of any installment of interest on any Bonds when and as the same shall become due and payable.
- (c) Default by the Authority in the observance of any of the other covenants, agreements or conditions on its part in the Indenture or in the Bonds contained, if such default shall have continued for a period of thirty (30) days after written notice thereof, specifying such default and requiring the same to be remedied, shall have been given to the Authority by the Trustee; provided, however, that if in the

reasonable opinion of the Authority the default stated in the notice can be corrected, but not within such thirty (30) day period, such default shall not constitute an Event of Default under the Indenture if the Authority shall commence to cure such default within such thirty (30) day period and thereafter diligently and in good faith cure such failure in a reasonable period of time.

(d) The occurrence and continuation of an event of default under and as defined in the Installment Purchase Agreement or any other obligation of the Authority or the District secured by a pledge of Net Revenues on a parity with the pledge made under the Installment Purchase Agreement.

The failure of the District to make deposits to the Rate Stabilization Fund pursuant to the Installment Purchase Agreement shall not be an Event of Default under the Indenture.

Remedies Upon Event of Default

If any Event of Default shall occur, then, and in each and every such case during the continuance of such Event of Default, at the written direction of the Owners of not less than a majority in aggregate principal amount of the Bonds at the time Outstanding and upon notice in writing to the Authority and the District, to the extent of the proportionate share of the deficiency, declare the principal of all of the Bonds then Outstanding, and the interest accrued thereon, to be due and payable immediately, and upon any such declaration the same shall become and shall be immediately due and payable, anything in the Indenture or in the Bonds contained to the contrary notwithstanding.

Any such declaration is subject to the condition that if, at any time after such declaration and before any judgment or decree for the payment of the moneys due shall have been obtained or entered, the Authority or the District, to the extent of the proportionate share of the deficiency, shall deposit with the Trustee a sum sufficient to pay all the principal of and installments of interest on the Bonds payment of which is overdue, with interest on such overdue principal at the rate borne by the respective Bonds to the extent permitted by law, and the reasonable fees, charges and expenses (including those of its attorneys) of the Trustee, and any and all other Events of Default known to the Trustee (other than in the payment of principal of and interest on the Bonds due and payable solely by reason of such declaration) shall have been made good or cured to the satisfaction of the Trustee or provision deemed by the Trustee to be adequate shall have been made therefor, then, and in every such case, with the prior consent of the Owners of not less than a majority in aggregate principal amount of the Bonds then Outstanding, by written notice to the Authority, the District and the Trustee, the Trustee, may, on behalf of the Owners of all of the Bonds, rescind and annul such declaration and its consequences and waive such Event of Default; but no such rescission and annulment shall extend to or shall affect any subsequent Event of Default, or shall impair or exhaust any right or power consequent thereon.

Application of Installment Payments and Other Funds After Default

If an Event of Default shall occur and be continuing, all Installment Payments and any other funds then held or thereafter received by the Trustee under any of the provisions of the Indenture shall be applied by the Trustee as follows and in the following order:

(a) To the payment of any expenses necessary in the opinion of the Trustee to protect the interests of the Owners of the Bonds and payment of reasonable fees, charges and expenses of the Trustee (including reasonable fees and disbursements of its counsel) incurred in and about the performance of its powers and duties under the Indenture;

(b) To the payment of the principal of and interest then due on the Bonds (upon presentation of the Bonds to be paid, and stamping or otherwise noting thereon of the payment if only partially paid, or surrender thereof if fully paid) in accordance with the provisions of the Indenture, as follows:

First: To the payment to the persons entitled thereto of all installments of interest then due in the order of the maturity of such installments, and, if the amount available shall not be sufficient to pay in

full any installment or installments maturing on the same date, then to the payment thereof ratably, according to the amounts due thereon, to the persons entitled thereto, without any discrimination or preference; and

Second: To the payment to the persons entitled thereto of the unpaid principal of any Bonds which shall have become due, whether at maturity or by acceleration or redemption, with interest on the overdue principal at the rate borne by the respective Bonds (to the extent permitted by law), and, if the amount available shall not be sufficient to pay in full all the Bonds, together with such interest, then to the payment thereof ratably, according to the amounts of principal due on such date to the persons entitled thereto, without any discrimination or preference.

Trustee to Represent Bond Owners

The Trustee is irrevocably appointed by the Indenture (and the successive respective Owners of the Bonds, by taking and holding the same, shall be conclusively deemed to have so appointed the Trustee) as trustee and true and lawful attorney-in-fact of the Owners of the Bonds for the purpose of exercising and prosecuting on their behalf such rights and remedies as may be available to such Owners under the provisions of the Bonds, the Indenture and applicable provisions of any law. Upon the occurrence and continuance of an Event of Default or other occasion giving rise to a right in the Trustee to represent the Bond Owners, the Trustee in its discretion may and upon the written request of the Owners of a majority in aggregate principal amount of the Bonds then Outstanding, and upon being indemnified to its satisfaction therefor, shall, proceed to protect or enforce its rights or the rights of such Owners by such appropriate action, suit, mandamus or other proceedings as it shall deem most effectual to protect and enforce any such right, at law or in equity, either for the specific performance of any covenant or agreement contained in the Indenture, or in aid of the execution of any power granted in the Indenture, or for the enforcement of any other appropriate legal or equitable right or remedy vested in the Trustee or in such Owners under the Bonds, the Indenture or any other law; and upon instituting such proceeding, the Trustee shall be entitled, as a matter of right, to the appointment of a receiver of the Installment Payments and other assets pledged under the Indenture, pending such proceedings. All rights of action under the Indenture or the Bonds or otherwise may be prosecuted and enforced by the Trustee without the possession of any of the Bonds or the production thereof in any proceeding relating thereto, and any such suit, action or proceeding instituted by the Trustee shall be brought in the name of the Trustee for the benefit and protection of all the Owners of such Bonds, subject to the provisions of the Indenture.

Bond Owners' Direction of Proceedings

Anything in the Indenture to the contrary notwithstanding, the Owners of a majority in aggregate principal amount of the Bonds then Outstanding shall have the right, by an instrument or concurrent instruments in writing executed and delivered to the Trustee, and upon indemnification of the Trustee to its reasonable satisfaction, to direct the method of conducting all remedial proceedings taken by the Trustee under the Indenture, provided that such direction shall not be otherwise than in accordance with law and the provisions of the Indenture, and that the Trustee shall have the right to decline to follow any such direction which in the opinion of the Trustee would expose it to liability.

Limitation on Bond Owners' Right to Sue

Notwithstanding any other provision of the Indenture, no Owner of any Bonds shall have the right to institute any suit, action or proceeding at law or in equity, for the protection or enforcement of any right or remedy under the Indenture, the Installment Purchase Agreements or any other applicable law with respect to such Bonds, unless (a) such Owner shall have given to the Trustee written notice of the occurrence of an Event of Default; (b) the Owners of a majority in aggregate principal amount of the Bonds then Outstanding shall have made written request upon the Trustee to exercise the powers granted in the Indenture or to institute such suit, action or proceeding in its own name; (c) such Owner or Owners shall have tendered to the Trustee reasonable indemnity against the costs, expenses and liabilities to be incurred in compliance with such request; (d) the Trustee shall

have failed to comply with such request for a period of sixty (60) days after such written request shall have been received by, and said tender of indemnity shall have been made to, the Trustee; and (e) no direction inconsistent with such written request shall have been given to the Trustee during such sixty (60) day period by the Owners of a majority in aggregate principal amount of the Bonds then Outstanding.

Such notification, request, tender of indemnity and refusal or omission are declared by the Indenture, in every case, to be conditions precedent to the exercise by any Owner of Bonds of any remedy under the Indenture or under law; it being understood and intended that no one or more Owners of Bonds shall have any right in any manner whatever by his or their action to affect, disturb or prejudice the security of the Indenture or the rights of any other Owners of Bonds, or to enforce any right under the Bonds, the Indenture, the Installment Purchase Agreements or other applicable law with respect to the Bonds, except in the manner provided in the Indenture, and that all proceedings at law or in equity to enforce any such right shall be instituted, had and maintained in the manner provided in the Indenture and for the benefit and protection of all Owners of the Outstanding Bonds, subject to the provisions of the Indenture.

Absolute Obligation of Authority

Nothing in any provision of the Indenture or in the Bonds contained shall affect or impair the obligation of the Authority, which is absolute and unconditional, to pay the principal of and interest and premium (if any) on the Bonds to the respective Owners of the Bonds at their respective dates of maturity, or upon call for redemption, as provided in the Indenture, but only out of the Installment Payments and other assets pledged in the Indenture, or affect or impair the right of such Owners, which is also absolute and unconditional, to enforce such payment by virtue of the contract embodied in the Bonds.

Termination of Proceedings

In case any proceedings taken by the Trustee, or any one or more Bond Owners on account of any Event of Default shall have been discontinued or abandoned for any reason or shall have been determined adversely to the Trustee, or the Bond Owners, then in every such case the Authority, the Trustee and the Bond Owners, subject to any determination in such proceedings, shall be restored to their former positions and rights under the Indenture, severally and respectively, and all rights, remedies, powers and duties of the Authority, the Trustee and the Bond Owners shall continue as though no such proceedings had been taken.

Remedies Not Exclusive

No remedy conferred upon or reserved to the Trustee or to the Owners of the Bonds in the Indenture is intended to be exclusive of any other remedy or remedies, and each and every such remedy, to the extent permitted by law, shall be cumulative and in addition to any other remedy given under the Indenture or now or hereafter existing at law or in equity or otherwise.

No Waiver of Default

No delay or omission of the Trustee or of any Owner of the Bonds to exercise any right or power arising upon the occurrence of any Event of Default shall impair any such right or power or shall be construed to be a waiver of any such Event of Default or an acquiescence therein; and every power and remedy given by the Indenture to the Trustee or the Owners of the Bonds may be exercised from time to time and as often as may be deemed expedient.

THE TRUSTEE

Duties, Immunities and Liabilities of Trustee

(a) The Trustee shall, prior to an Event of Default, and after the curing of all Events of Default which may have occurred, perform such duties and only such duties as are expressly and specifically set forth in the

Indenture and no implied duties or covenants shall be read into the Indenture against the Trustee. The Trustee shall, during the existence of any Event of Default (which has not been cured), exercise such of the rights and powers vested in it by the Indenture, and use the same degree of care and skill in its exercise, as a responsible person would exercise or use under the circumstances in the conduct of his or her own affairs.

(b) The Authority may remove the Trustee at any time unless an Event of Default shall have occurred and then be continuing, and the Authority shall remove the Trustee, following the provision of 30 days written notice, if at any time requested to do so the Owners of not less than a majority in aggregate principal amount of the Bonds then Outstanding (or their attorneys duly authorized in writing) or if at any time the Trustee shall cease to be eligible in accordance with the Indenture, or shall become incapable of acting, or shall be adjudged a bankrupt or insolvent, or a receiver of the Trustee or its property shall be appointed, or any public officer shall take control or charge of the Trustee or of its property or affairs for the purpose of rehabilitation, conservation or liquidation, in each case by giving written notice of such removal to the Trustee and the District and thereupon shall appoint a successor Trustee by an instrument in writing. Any such removal shall be made upon at least thirty (30) days' prior written notice to the Trustee.

(c) The Trustee may at any time resign by giving written notice of such resignation to the Authority and the District and by giving the Bond Owners notice of such resignation by mail at the respective addresses shown on the Bond Register at least 45 days prior to the date of resignation. Upon receiving such notice of resignation, the Authority shall promptly appoint a successor Trustee by an instrument in writing.

(d) Any removal or resignation of the Trustee and appointment of a successor Trustee shall become effective upon acceptance of appointment by the successor Trustee. If no successor Trustee shall have been appointed and have accepted appointment within forty-five (45) days of giving notice of removal or notice of resignation as aforesaid, the Authority shall petition any federal or state court for the appointment of a successor Trustee, and such court may thereupon, after such notice (if any) as it may deem proper, appoint such successor Trustee. Any successor Trustee appointed under the Indenture, shall signify its acceptance of such appointment by executing and delivering to the Authority and to its predecessor Trustee a written acceptance thereof, and thereupon such successor Trustee, without any further act, deed or conveyance, shall become vested with all the moneys, estates, properties, rights, powers, trusts, duties and obligations of such predecessor Trustee, with like effect as if originally named Trustee in the Indenture; but, nevertheless at the Written Request of the Authority or the request of the successor Trustee, such predecessor Trustee shall execute and deliver any and all instruments of conveyance or further assurance and do such other things as may reasonably be required for more fully and certainly vesting in and confirming to such successor Trustee all the right, title and interest of such predecessor Trustee in and to any property held by it under the Indenture and shall pay over, transfer, assign and deliver to the successor Trustee any money or other property subject to the trusts and conditions set forth in the Indenture. Upon request of the successor Trustee, the Authority shall execute and deliver any and all instruments as may be reasonably required for more fully and certainly vesting in and confirming to such successor Trustee all such moneys, estates, properties, rights, powers, trusts, duties and obligations. Upon acceptance of appointment by a successor Trustee as provided in the Indenture, the Authority shall mail or cause the successor Trustee to mail a notice of the succession of such Trustee to the trusts under the Indenture to each rating agency which is then rating the Bonds and to the Bond Owners at the respective addresses shown on the Bond Register. If the Authority fails to mail such notice within fifteen (15) days after acceptance of appointment by the successor Trustee, the successor Trustee shall cause such notice to be mailed at the expense of the Authority.

(e) Any Trustee appointed under the Indenture shall be a corporation or association organized and doing business under the laws of any state or the United States of America or the District of Columbia, authorized under such laws to exercise corporate trust powers, which shall have (or, in the case of a corporation included in a bank holding company system, the related bank holding company shall have) a combined capital and surplus of at least Fifty Million Dollars (\$50,000,000), and subject to supervision or examination by federal or State agency, so long as any Bonds are Outstanding. If such corporation or association publishes a report of condition at least annually pursuant to law or to the requirements of any supervising or examining agency above referred to then for the purpose of the Indenture, the combined capital and surplus of such corporation shall be deemed to be its

combined capital and surplus as set forth in its most recent report of condition so published. In case at any time the Trustee shall cease to be eligible in accordance with the provisions of the Indenture, the Trustee shall resign immediately in the manner and with the effect specified therein.

(f) The Trustee shall have no responsibility or liability with respect to any information, statements or recital in any offering memorandum or other disclosure material prepared or distributed with respect to the issuance of the Bonds other than for statements which relate directly to the status of the Trustee's corporate trust business.

Merger or Consolidation

Any bank, national banking association or trust company into which the Trustee may be merged or converted or with which it may be consolidated or any bank, national banking association or trust company resulting from any merger, conversion or consolidation to which it shall be a party or any bank, national banking association or trust company to which the Trustee may sell or transfer all or substantially all of its corporate trust business, provided such bank, national banking association or trust company shall be eligible under the Indenture shall be the successor to such Trustee, without the execution or filing of any paper or any further act, anything in the Indenture to the contrary notwithstanding.

Liability of Trustee

(a) The recitals of facts in the Indenture and in the Bonds contained shall be taken as statements of the Authority, and the Trustee shall not assume responsibility or liability for the correctness of the same, or make any representations as to the validity or sufficiency of the Indenture, the Bonds or the Installment Purchase Agreement, nor shall the Trustee incur any responsibility nor liability in respect thereof, other than as expressly stated in the Indenture in connection with the respective duties or obligations in the Indenture or in the Bonds assigned to or imposed upon it. The Trustee shall, however, be responsible for its representations contained in its certificate of authentication on the Bonds. The Trustee shall not be liable in connection with the performance of its duties under the Indenture, except for its own negligence or willful misconduct. The Trustee may become the Owner of Bonds with the same rights it would have if it were not Trustee, and, to the extent permitted by law, may act as depository for and permit any of its officers or directors to act as a member of, or in any other capacity with respect to, any committee formed to protect the rights of Bond Owners, whether or not such committee shall represent the Owners of a majority in principal amount of the Bonds then Outstanding.

(b) The Trustee shall not be liable for any error of judgment made in good faith by a responsible officer, unless it shall be proved that the Trustee was negligent in ascertaining the pertinent facts.

(c) The Trustee shall not be liable with respect to any action taken or omitted to be taken by it in good faith in accordance with the direction of the Owners of not less than a majority in aggregate principal amount of the Bonds at the time Outstanding relating to the time, method and place of conducting any proceeding for any remedy available to the Trustee, or exercising any trust or power conferred upon the Trustee under the Indenture.

(d) The Trustee shall not be liable for any action taken by it in good faith and believed by it to be authorized or within the discretion or rights or powers conferred upon it by the Indenture.

(e) The Trustee shall not be deemed to have knowledge of any Event of Default under the Indenture, or under the Installment Purchase Agreement, or any other event which, with the passage of time, the giving of notice, or both, would constitute an Event of Default under the Indenture, or under the Installment Purchase Agreement, unless and until the responsible trust officer shall have actual knowledge thereof, or shall have received written notice thereof at its Trust Office. Except as otherwise expressly provided in the Indenture, the Trustee shall not be bound to ascertain or inquire as to the performance or observance by the Authority or the District of any of the terms, conditions, covenants or agreements in the Indenture, under the Installment Purchase Agreement or of any of the documents executed in connection with the Bonds, or as to the existence of an Event

of Default or an event which would, with the giving of notice, the passage of time, or both, constitute an Event of Default. The Trustee shall not be responsible for the validity, effectiveness or priority of any collateral given to or held by it. Without limiting the generality of the foregoing, the Trustee shall not be required to ascertain or inquire as to the performance or observance by the District and the Authority of the terms, conditions, covenants or agreements set forth in the Installment Purchase Agreement, other than the covenants of the District to make Installment Payments to the Trustee when due and to file with the Trustee when due, such reports and certifications as the District is required to file with the Trustee thereunder.

(f) No provision of the Indenture shall require the Trustee to expend or risk its own funds or otherwise incur any financial liability in the performance of any of its duties under the Indenture, or in the exercise of any of its rights or powers, if it is not assured to its satisfaction that the repayment of such funds or adequate indemnity against such risk or liability is not reasonably assured to it.

(g) The Trustee may execute any of the trusts or powers under the Indenture or perform any duties under the Indenture either directly or through agents or attorneys.

(h) The Trustee shall be under no obligation to exercise any of the rights or powers vested in it by the Indenture at the request or direction of Owners pursuant to the Indenture, unless such Owners shall have offered to the Trustee reasonable security or indemnity against the costs, expenses and liabilities which might be incurred by it in compliance with such request or direction. No permissive power, right or remedy conferred upon the Trustee under the Indenture shall be construed to impose a duty to exercise such power, right or remedy.

(i) Whether or not therein expressly so provided, every provision of the Indenture and the Installment Purchase Agreement relating to the conduct or affecting the liability of or affording protection to the Trustee shall be subject to the provisions of the Indenture.

(j) The Trustee shall not be concerned with or accountable to anyone for the subsequent use or application of any moneys which shall be released or withdrawn in accordance with the provisions of the Indenture.

(k) The Trustee makes no representation or warranty, expressed or implied as to the title, value, design, compliance with specifications or legal requirements, quality, durability, operation, condition, merchantability or fitness for any particular purpose for the use contemplated by the Authority or the District of the Project. In no event shall the Trustee be liable for incidental, indirect, special or consequential damages in connection with or arising from the Installment Purchase Agreement or the Indenture for the existence, furnishing or use of the Project.

(l) The Trustee shall not be liable to the parties to the Indenture or deemed in breach or default under the Indenture if and to the extent its performance under the Indenture is prevented by reason of force majeure. The term "force majeure" means an occurrence that is beyond the control of the Trustee and could not have been avoided by exercising due care. Force majeure shall include acts of God, terrorism, war, riots, strikes, fire, floods, earthquakes, epidemics or other similar occurrences.

Right to Rely on Documents

The Trustee shall be protected in acting upon any notice, resolution, request, consent, order, certificate, report, opinion, bonds or other paper or document believed by it to be genuine and to have been signed or presented by the proper party or parties. The Trustee may consult with counsel, who may be counsel of or to the Authority, with regard to legal questions, and the opinion of such counsel shall be full and complete authorization and protection in respect of any action taken or suffered by it under the Indenture in good faith and in accordance therewith.

The Trustee may treat the Owners of the Bonds appearing in the Bond Register as the absolute owners of the Bonds for all purposes and the Trustee shall not be affected by any notice to the contrary.

Whenever in the administration of the trusts imposed upon it by the Indenture the Trustee shall deem it necessary or desirable that a matter be proved or established prior to taking or suffering any action under the Indenture, such matter (unless other evidence in respect thereof be specifically prescribed in the Indenture) may be deemed to be conclusively proved and established by a Written Certificate, Written Request or Written Requisition of the Authority or the District, and such Written Certificate, Written Request or Written Requisition shall be full warrant to the Trustee for any action taken or suffered in good faith under the provisions of the Indenture in reliance upon such Written Certificate, Written Request or Written Requisition, but in its discretion the Trustee may, in lieu thereof, accept other evidence of such matter or may require such additional evidence as to it may deem reasonable.

The Trustee shall have the right to accept and act upon instructions, including funds transfer instructions (“Instructions”) given pursuant to the Indenture and delivered using Electronic Means (“Electronic Means” shall mean the following communications methods: e-mail, facsimile transmission, secure electronic transmission containing applicable authorization codes, passwords and/or authentication keys issued by the Trustee, or another method or system specified by the Trustee as available for use in connection with its services under the Indenture); provided, however, that the Authority shall provide to the Trustee an incumbency certificate listing officers with the authority to provide such Instructions (“Authorized Officers”) and containing specimen signatures of such Authorized Officers, which incumbency certificate shall be amended by the Authority whenever a person is to be added or deleted from the listing. If the Authority elects to give the Trustee Instructions using Electronic Means and the Trustee in its discretion elects to act upon such Instructions, the Trustee’s understanding of such Instructions shall be deemed controlling. The Authority understands and agrees that the Trustee cannot determine the identity of the actual sender of such Instructions and that the Trustee shall conclusively presume that directions that purport to have been sent by an Authorized Officer listed on the incumbency certificate provided to the Trustee have been sent by such Authorized Officer. The Authority shall be responsible for ensuring that only Authorized Officers transmit such Instructions to the Trustee and that the Authority and all Authorized Officers are solely responsible to safeguard the use and confidentiality of applicable user and authorization codes, passwords and/or authentication keys upon receipt by the Authority. The Trustee shall not be liable for any losses, costs or expenses arising directly or indirectly from the Trustee’s reliance upon and compliance with such Instructions notwithstanding the fact that such directions conflict or are inconsistent with a subsequent written instruction. The Authority agrees: (i) to assume all risks arising out of the use of Electronic Means to submit Instructions to the Trustee, including without limitation the risk of the Trustee acting on unauthorized Instructions, and the risk of interception and misuse by third parties; (ii) that it is fully informed of the protections and risks associated with the various methods of transmitting Instructions to the Trustee and that there may be more secure methods of transmitting Instructions than the method(s) selected by the Authority; (iii) that the security procedures (if any) to be followed in connection with its transmission of Instructions provide to it a commercially reasonable degree of protection in light of its particular needs and circumstances; and (iv) to notify the Trustee immediately upon learning of any compromise or unauthorized use of the security procedures.

Preservation and Inspection of Documents

All documents received by the Trustee under the provisions of the Indenture shall be retained in their respective possession and shall be subject at all reasonable times to the inspection of the Authority, the District and any Bond Owner, and their agents and representatives duly authorized in writing, at reasonable hours and under reasonable conditions.

Compensation and Indemnification

The Authority shall pay to the Trustee (solely from Additional Payments) from time to time the compensation for all services rendered under the Indenture and also all reasonable expenses and disbursements, incurred in and about the performance of its powers and duties under the Indenture. In the event the Trustee advances its own funds for the payment of the Bonds or for the protection or benefit of the Owners of the Bonds, the Authority shall promptly reimburse the Trustee for such advances with interest at the maximum rate allowed by law.

The Authority shall indemnify, defend and hold harmless the Trustee against any loss, liability or expense including legal fees and expenses incurred without negligence or willful misconduct on its part, arising out of or in connection with the acceptance or administration of this trust, including costs and expenses of defending itself against any claim or liability in connection with the exercise or performance of any of its powers under the Indenture. The rights of the Trustee and the obligations of the Authority under the Indenture shall survive the resignation or removal of the Trustee or the discharge of the Bonds and the Indenture.

MODIFICATION OR AMENDMENT OF THE INDENTURE

Amendments Permitted

(a) The Indenture and the rights and obligations of the Authority and of the Owners of the Bonds and of the Trustee may be modified or amended from time to time and at any time by an indenture or indentures supplemental thereto, which the Authority and the Trustee may enter into when the written consent of the Owners of a majority in aggregate principal amount of all Bonds then Outstanding, shall have been filed with the Trustee. No such modification or amendment shall (i) extend the fixed maturity of any Bonds, or reduce the amount of principal thereof or extend the time of payment, or change the method of computing the rate of interest thereon, or extend the time of payment of interest thereon, without the consent of the Owner of each Bond so affected, or (ii) reduce the aforesaid percentage of Bonds the consent of the Owners of which is required to effect any such modification or amendment, or permit the creation of any lien on the Net Revenues and other assets pledged under the Indenture prior to or on a parity with the lien created by the Indenture except as permitted in the Indenture or in the Installment Purchase Agreement, or deprive the Owners of the Bonds of the lien created by the Indenture on such Net Revenues and other assets (except as expressly provided in the Indenture or in the Installment Purchase Agreement), without the consent of the Owners of all of the Bonds then Outstanding, or (iii) modify any of the rights or obligations of the Trustee under the Indenture without its written consent thereto. It shall not be necessary for the consent of the Bond Owners to approve the particular form of any Supplemental Indenture, but it shall be sufficient if such consent shall approve the substance thereof.

(b) The Indenture and the rights and obligations of the Authority, of the Trustee and the Owners of the Bonds may also be modified or amended from time to time and at any time by a Supplemental Indenture without the consent of the Owners, which the Authority and the Trustee may enter into, if the Trustee has been furnished an opinion of Bond Counsel that the provisions of such Supplemental Indenture shall not materially adversely affect the interests of the Owners of the Bonds, including, without limitation, for any one or more of the following purposes:

(i) to add to the covenants and agreements of the Authority in the Indenture contained other covenants and agreements thereafter to be observed, to pledge or assign additional security for the Bonds (or any portion thereof), or to surrender any right or power reserved to or conferred upon the Authority in the Indenture;

(ii) to make such provisions for the purpose of curing any ambiguity, inconsistency or omission, or of curing or correcting any defective provision, contained in the Indenture, or in regard to matters or questions arising under the Indenture, as the Authority may deem necessary or desirable, provided that such modification or amendment does not materially adversely affect the interests of the Bond Owners;

(iii) to modify, amend or supplement the Indenture in such manner as to permit the qualification of the Indenture under the Trust Indenture Act of 1939, as amended, or any similar federal statute hereafter in effect, and to add such other terms, conditions and provisions as may be permitted by said act or similar federal statute;

(iv) to modify, amend or supplement the Indenture in such manner as to cause interest on the Bonds to remain excludable from gross income under the Code; or

(v) to facilitate the issuance of Parity Obligations by the District pursuant to the Installment Purchase Agreement.

(c) The Trustee may in its discretion, but shall not be obligated to, enter into any such Supplemental Indenture authorized by the Indenture which adversely affects the Trustee's own rights, duties or immunities under the Indenture or otherwise.

(d) Prior to the Trustee entering into any Supplemental Indenture under the Indenture, there shall be delivered to the Trustee an opinion of Bond Counsel stating, in substance, that such Supplemental Indenture has been adopted in compliance with the requirements of the Indenture and that the adoption of such Supplemental Indenture will not, in and of itself, adversely affect the exclusion from gross income for purposes of federal income taxes of interest on the Bonds.

(e) Notice of any modification of the Indenture or amendment thereto shall be given by the Authority to each rating agency which then maintains a rating on the Bonds at least fifteen (15) days prior to the effective date of the related Supplemental Indenture.

Effect of Supplemental Indenture

Upon the execution of any Supplemental Indenture pursuant to the Indenture, the Indenture shall be deemed to be modified and amended in accordance therewith, and the respective rights, duties and obligations under the Indenture of the Authority, the Trustee and all Owners of Bonds Outstanding shall thereafter be determined, exercised and enforced under the Indenture subject in all respects to such modification and amendment, and all the terms and conditions of any such Supplemental Indenture shall be deemed to be part of the terms and conditions of the Indenture for any and all purposes.

Endorsement of Bonds; Preparation of New Bonds

Bonds delivered after the execution of any Supplemental Indenture pursuant to the Indenture may, and if the Authority so determines shall, bear a notation by endorsement or otherwise in form approved by the Authority and the Trustee as to any modification or amendment provided for in such Supplemental Indenture, and, in that case, upon demand on the Owner of any Bonds Outstanding at the time of such execution and presentation of his Bonds for the purpose at the Trust Office or at such additional offices as the Trustee may select and designate for that purpose, a suitable notation shall be made on such Bonds. If the Supplemental Indenture shall so provide, new Bonds so modified as to conform, in the opinion of the Authority and the Trustee, to any modification or amendment contained in such Supplemental Indenture, shall be prepared and executed by the Authority and authenticated by the Trustee, and upon demand on the Owners of any Bonds then Outstanding shall be exchanged at the Trust Office, without cost to any Bond Owner, for Bonds then Outstanding, upon surrender for cancellation of such Bonds, in equal aggregate principal amount of the same series and maturity.

Amendment of Particular Bonds

The provisions of the Indenture shall not prevent any Bond Owner from accepting any amendment as to the particular Bonds held by him.

DEFEASANCE

Discharge of Indenture

Any portion or all of the Outstanding Bonds may be paid by the Authority in any of the following ways, provided that the Authority also pays or causes to be paid any other sums payable under the Indenture by the Authority with respect to such Bonds:

(a) by paying or causing to be paid the principal of and interest and premium (if any) on such Bonds, as and when the same become due and payable;

(b) by depositing with the Trustee, in trust, at or before maturity, money or non-callable Federal Securities in the necessary amount (as provided in the Indenture) to pay or redeem such Bonds;
or

(c) by delivering such Bonds to the Trustee for cancellation.

The Authority shall defease such portion of the Bonds outstanding when so directed by the District and upon receipt of cash or securities sufficient to defease such specified amount of Bonds.

If the Authority shall also pay or cause to be paid all other sums payable under the Indenture, then and in that case, at the election of the Authority (evidenced by a Written Certificate of the Authority, filed with the Trustee, signifying the intention of the Authority to discharge such Bonds and the Indenture with respect to such Bonds), and notwithstanding that any of such Bonds shall not have been surrendered for payment, the Indenture and the pledge of Net Revenues and other assets made under the Indenture with respect to such Bonds and all covenants, agreements and other obligations of the Authority under the Indenture with respect to such Bonds shall cease, terminate, become void and be completely discharged and satisfied. In such event, upon the Written Request of the Authority, the Trustee shall be authorized to take such actions and execute and deliver to the Authority all such instruments as may be necessary or desirable to evidence such discharge and satisfaction. In the event all Outstanding Bonds are paid as provided in the Indenture, the Trustee shall pay over, transfer, assign or deliver to the Authority all moneys or securities or other property held by it pursuant to the Indenture which are not required for the payment or redemption of any Bonds not theretofore surrendered for such payment or redemption and after payment of amounts due to the Trustee under the Indenture.

Prior to the defeasance of the Bonds, the Authority shall obtain the following items:

a. An opinion of Bond Counsel to the effect (i) that the defeasance will not adversely impact the exclusion from gross income for federal income tax purposes of interest on the Obligations or refunded bonds and (ii) that the Obligations are no longer “Outstanding” under the Indenture;

b. If the Bonds are being advance-refunded, a refunding trust or escrow agreement and an opinion of counsel regarding the validity and enforceability of the escrow agreement. In addition, such escrow agreement shall provide that:

i. Any substitution of securities shall require verification by an Independent Certified Public Accountant.

ii. The Authority will not exercise any optional redemption of Bonds secured by such escrow agreement or any other redemption other than mandatory sinking fund redemptions unless (i) the right to make any such redemption has been expressly reserved in the escrow agreement and such reservation has been disclosed in detail in the official statement for the refunding bonds.

Discharge of Liability on Bonds

Upon the deposit with the Trustee, in trust, at or before maturity, of money or non-callable Federal Securities in the necessary amount (as provided in the Indenture) to pay or redeem any Outstanding Bonds (whether upon or prior to the maturity or the redemption date of such Bonds), provided that, if such Bonds are to be redeemed prior to maturity, notice of such redemption shall have been given as provided in the Indenture or provision satisfactory to the Trustee shall have been made for the giving of such notice, then all liability of the Authority in respect of such Bonds shall cease, terminate and be completely discharged, and the Owners thereof

shall thereafter be entitled only to payment out of such money or securities deposited with the Trustee as aforesaid for their payment, subject, however, to the provisions of the Indenture.

The Authority may at any time surrender to the Trustee for cancellation by it any Bonds previously issued and delivered, which the Authority may have acquired in any manner whatsoever, and such Bonds, upon such surrender and cancellation, shall be deemed to be paid and retired.

Deposit of Money or Securities with Trustee

Whenever in the Indenture it is provided or permitted that there be deposited with or held in trust by the Trustee money or non-callable Federal Securities in the necessary amount to pay or redeem any Bonds, the money or non-callable Federal Securities so to be deposited or held may include money or non-callable Federal Securities held by the Trustee in the funds and accounts established pursuant to the Indenture and shall be:

(a) lawful money of the United States of America in an amount equal to the principal amount of such Bonds and all unpaid interest thereon to maturity, except that, in the case of Bonds which are to be redeemed prior to maturity and in respect of which notice of such redemption shall have been given as provided in the Indenture or provision satisfactory to the Trustee shall have been made for the giving of such notice, the amount to be deposited or held shall be the principal amount of such Bonds and all unpaid interest thereon to the redemption date; or

(b) non-callable Federal Securities, the principal of and interest on which when due will, in the written opinion of an Independent Certified Public Accountant filed with the Authority and the Trustee, provide money sufficient to pay the principal of and interest and premium (if any) on the Bonds to be paid or redeemed, as such principal, interest and premium become due, provided that in the case of Bonds which are to be redeemed prior to the maturity thereof, notice of such redemption shall have been given as provided in the Indenture or provision satisfactory to the Trustee shall have been made for the giving of such notice;

provided, in each case, that (i) the Trustee shall have been irrevocably instructed (by the terms of the Indenture or by Written Request of the Authority) to apply such money to the payment of such principal, interest and premium (if any) with respect to such Bonds, and (ii) the Authority has complied with the provisions of the Indenture.

Unclaimed Funds

Notwithstanding any provisions of the Indenture, and subject to applicable provisions of State law, any moneys held by the Trustee in trust for the payment of the principal of, or interest on, any Bonds and remaining unclaimed for two (2) years after the principal of all of the Bonds has become due and payable (whether at maturity or upon call for redemption or by acceleration as provided in the Indenture), if such moneys were so held at such date, or two (2) years after the date of deposit of such moneys if deposited after said date when all of the Bonds became due and payable, shall be repaid to the Authority free from the trusts created by the Indenture and at the request of the Trustee an indemnification agreement acceptable to the Authority and the Trustee indemnifying the Trustee with respect to claims of Owners of Bonds which have not yet been paid, and all liability of the Trustee with respect to such moneys shall thereupon cease; provided, however, that before the repayment of such moneys to the Authority as aforesaid, the Trustee shall (at the cost of the Authority) first mail to the Owners of Bonds which have not yet been paid, at the addresses shown on the Bond Register, a notice, in such form as may be deemed appropriate by the Trustee with respect to the Bonds so payable and not presented and with respect to the provisions relating to the repayment to the Authority of the moneys held for the payment thereof.

INSTALLMENT PURCHASE AGREEMENT

DEFINITIONS AND GENERAL PROVISIONS

“Additional Payments” means the amounts payable by the District under the Installment Purchase Agreement.

“Additional Revenues” means, with respect to the issuance of any Parity Obligations, any or all of the following amounts:

(i) An allowance for Net Revenues from any additions or improvements to or extensions of the Enterprise to be made with the proceeds of such Parity Obligations or from any other source, all in an amount equal to ninety percent (90%) of the estimated additional average annual Net Revenues to be derived from such additions, improvements and extensions for the first thirty-six (36) month period in which each addition, improvement or extension is respectively to be in operation, all as shown by the certificate or opinion of a qualified independent financial consultant employed by the District.

(ii) An allowance for Net Revenues arising from any increase in the charges made for service from the Enterprise which have been adopted prior to the incurring of such Parity Obligations, in an amount equal to the total amount by which the Net Revenues would have been increased if such increase in charges had been in effect during the whole of such Fiscal Year or during any more recent twelve (12) month period selected by the District, all as shown by the certificate or opinion of a qualified independent financial consultant.

“Agency Agreement” means that certain Agency Agreement, dated as of September 1, 2021, by and between the District and the Authority.

“Agreement” means that certain Joint Exercise of Powers Agreement, dated as of August 1, 2021, by and between the District and California Statewide Communities Development Authority (“CSCDA”) creating the Authority, together with any amendments thereof and supplements thereto.

“Authority” means the West County Facilities Financing Authority, a joint powers authority duly organized and existing under the laws of the State.

“Charges” means fees, assessments, rates and charges for services and facilities of the Enterprise furnished by the District.

“Code” means the Internal Revenue Code of 1986, as amended.

“Continuing Disclosure Certificate” means the certificate with such name executed by the District and the Authority dated September 30, 2021.

“Costs of Issuance Fund” means the fund by that name established pursuant to the Indenture.

“Date of Delivery” means the date on which the Bonds are delivered to the Original Purchaser.

“Enterprise” means the entire wastewater collection, transmission, and disposition of wastewater and sewage system owned, controlled or operated by the District, including but not limited to all facilities, properties and improvements at any time owned or operated by the District for the collection, transmission, and disposition of wastewater of residents served thereby, and any necessary lands, rights, entitlements and other property useful in connection therewith, together with all extensions thereof and improvements thereto hereafter acquired, constructed, or installed by the District.

“Fiscal Year” means any twelve-month period extending from July 1 in one calendar year to June 30 of the succeeding calendar year, both dates inclusive, or any other twelve-month period selected and designated by the District as its official fiscal year period.

“Gross Revenues” means all gross Charges received for, and all other gross income and receipts derived by the District from, the ownership and operation of the Enterprise or otherwise arising from the Enterprise, including but not limited to property tax revenues, tax increment revenues, and the District’s share of the County’s property tax and investment earnings on any funds held by the District and interest earnings on Trustee held moneys; but excluding (a) the proceeds of any *ad valorem* property taxes levied for the purpose of paying general obligation bonds of the District relating to the Enterprise, and (b) Connection Fees, unless otherwise permitted pursuant to the District’s capital facility plan, and (c) the proceeds of any special assessments or special taxes levied upon real property within any improvement district served by the District levied for the purpose of paying special assessment bonds or special tax obligations of the District relating to the Enterprise.

“Indenture” means the Indenture of Trust, dated as of September 1, 2021 by and between the Authority and U.S. Bank National Association, as originally executed or as it may from time to time be supplemented, modified, or amended by any Supplemental Indenture pursuant to the provisions thereof.

“Independent Financial Consultant,” or “Independent Certified Public Accountant” means any individual or firm engaged in the profession involved, appointed by Authority, and who, or each of whom, has a favorable reputation in the field in which his/her opinion or certificate will be given, and:

- (1) is in fact independent and not under domination of Authority;
- (2) does not have any substantial interest, direct or indirect, with Authority; and
- (3) is not connected with Authority as an officer or employee of Authority, but who may be regularly retained to make reports to Authority.

“Installment Payment Dates” means the fifteenth day of May and November or if such date is not a Business Day, the preceding Business Day.

“Installment Payments” means the payments required to be paid by the District pursuant to the Installment Purchase Agreement, including all prepayments thereof.

“Installment Purchase Agreement” means the Installment Purchase Agreement.

“Maximum Annual Debt Service” means, as of the date of any calculation and with respect to the Installment Payments or any Parity Obligations, as the case may be, the maximum sum obtained for the current or any future Bond Year during the Term of the Installment Purchase Agreement by totaling the following amount for such Bond Year:

- (a) the aggregate amount of the Installment Payments coming due and payable in such Bond Year pursuant to the Installment Purchase Agreement, except to the extent payable from a prepayment pursuant to the Installment Purchase Agreement;
- (b) the principal amount of all outstanding Parity Obligations, if any, coming due and payable by their terms in such Bond Year; and
- (c) the amount of interest which would be due during such Bond Year on the aggregate principal amount of all outstanding Parity Obligations, if any, which would be outstanding in such Bond Year if such Parity Obligations are retired as scheduled; provided, however, that with respect to any Parity Obligations which bear interest at a variable rate, such interest shall be assumed to bear interest at the highest of: (i) the then current variable interest rate borne by such Parity Obligations plus 1%; or (ii) the

highest variable rate borne over the preceding 24 months by outstanding variable rate debt issued by the Authority or, if no such variable rate debt is at the time outstanding, by variable rate debt of which the interest rate is computed by reference to an index comparable to that to be utilized in determining the interest rate for the debt then proposed to be issued.

“Maximum Annual Debt Service on Subordinate Obligations” means, as of the date of any calculation and with respect to Subordinate Obligations, as the case may be, the maximum sum obtained for the current or any future Bond Year during the Term of the Subordinate Obligations Instrument by totaling the following amount for such Bond Year:

(a) the principal amount of all outstanding Subordinate Obligations, if any, coming due and payable by their terms in such Bond Year; and

(b) the amount of interest which would be due during such Bond Year on the aggregate principal amount of all outstanding Subordinate Obligations, if any, which would be outstanding in such Bond Year if such Subordinate Obligations are retired as scheduled; provided, however, that with respect to any Subordinate Obligations which bear interest at a variable rate, such interest shall be assumed to bear interest at the highest of: (i) the then current variable interest rate borne by such Subordinate Obligations plus 1%; or (ii) the highest variable rate borne over the preceding 24 months by outstanding variable rate debt issued by the Authority or, if no such variable rate debt is at the time outstanding, by variable rate debt of which the interest rate is computed by reference to an index comparable to that to be utilized in determining the interest rate for the debt then proposed to be issued.

“Net Proceeds” when used with respect to any insurance or condemnation award, means the gross proceeds from such insurance or condemnation award, paid with respect to the Enterprise, remaining after payment therefrom of all expenses incurred in the collection of such gross proceeds.

“Net Revenues” means for any period, the Gross Revenues for such period plus the amount, if any, transferred to the Authority by the District from the Rate Stabilization Fund, less the Operation and Maintenance Costs for such period.

“Project” means the project described in the Installment Purchase Agreement, as such project may be modified or substituted.

“Operation and Maintenance Costs” means the reasonable and necessary costs and expenses paid by the District for maintaining and operating the Enterprise, including but not limited to (a) costs of electricity and other forms of energy supplied to the Enterprise, (c) the reasonable expenses of management and repair and other costs and expenses necessary to maintain and preserve the Enterprise in good repair and working order, and (d) the reasonable administrative costs of the District attributable to the operation and maintenance of the Enterprise; but in all cases excluding (i) debt service payable on obligations incurred by the District with respect to the Enterprise, including but not limited to the Installment Payments, and any Parity Obligations, (ii) depreciation, replacement and obsolescence of charges or reserves therefor and (iii) amortization of intangibles or other bookkeeping entries of a similar nature.

“Original Purchaser” has the meaning in the Indenture.

“Parity Instrument” means any resolution, indenture of trust, trust agreement, or other instrument authorizing the issuance of any Parity Obligations.

“Parity Obligations” means the SRF Loans and any indebtedness or other obligations (including leases and installment sale agreements) issued or incurred by the District and secured by a pledge of and lien on Net Revenues equally and ratably with the Installment Payments.

“Permitted Encumbrances” means as of any particular time:

(i) Liens for *ad valorem* taxes and assessments, if any, not delinquent or which the District may, pursuant to the Installment Purchase Agreement, permit to remain unpaid.

(ii) The Agency Agreement.

(iii) Easements, rights of way and other rights, reservations, covenants, conditions, or restrictions which do not impair or impede construction or operation of the Project as evidenced by the certificate of an Authorized Representative of the District filed with Trustee.

“Project Costs” means all costs of payment of, or reimbursement for, acquisition, construction and financing of the Project, including but not limited to, architect and engineering fees, construction contractor payments, costs of environmental mitigation, costs of feasibility and other reports, inspection costs, permit fees, filing and recording costs, printing costs, reproduction and binding costs, fees and charges of the Trustee, legal fees and charges, financial and other professional consultant fees in connection with the foregoing.

“Purchase Price” means the principal amount plus the interest thereon owed by the District to the Authority under the terms of the Installment Purchase Agreement as provided therein.

“Rate Stabilization Fund” means the fund by that name established by the Installment Purchase Agreement and to be held by the District.

“Revenue Fund” means the fund by that name established by the District into which all Gross Revenues are deposited.

“State” means the State of California.

“Subordinate Obligations” means any indebtedness or other obligations (including leases and installment sale agreements) issued or incurred by the District and secured by a pledge of and lien on Net Revenues subordinate to the Installment Payments.

“Subordinate Obligations Instrument” means any resolution, indenture of trust, trust agreement, or other instrument authorizing the issuance of any Subordinate Obligations.

“Trustee” means U.S. Bank National Association, acting as Trustee under the Indenture,

Rules of Construction

Words of the masculine gender shall be deemed and construed to include correlative words of the feminine and neuter genders. Unless the context otherwise indicates, words importing the singular number shall include the plural number and vice versa, and words importing persons shall include corporations and associations, including public bodies, as well as natural persons.

The terms “hereby”, “hereof”, “hereto”, “herein”, “hereunder” and any similar terms, as used in the Installment Purchase Agreement, refer to the Installment Purchase Agreement.

ACQUISITION OF PROJECT; SALE OF PROJECT

Acquisition, Construction and Installation of the Project

The Authority agrees to cause the Project to be constructed, acquired and installed by the District, as agent of the Authority. The District shall enter into contracts and provide for, as agent of the Authority, the complete construction, acquisition and installation of the Project. The District agrees by the Installment Purchase Agreement that it will cause the construction, acquisition and installation of the Project to be diligently performed and that it will use its best efforts to cause the construction, acquisition and installation of the Project to be

completed by September 1, 2026. It is expressly understood and agreed by the Installment Purchase Agreement that, except to the extent of the proceeds of the Bonds which are deposited in the Project Fund, the Authority shall be under no liability of any kind or character whatsoever for the payment of any cost of the Project. In the event the proceeds of the Bonds deposited in the Project Fund are insufficient to complete the construction, acquisition and installation of the Project, the District may, but is in no way obligated to, cause to be deposited in the Project Fund from and to the extent of legally available funds an amount equal to that necessary to complete the construction, acquisition and installation of the Project.

Changes to the Project. The District may make any changes in the composition and description of the Project or any component thereof whenever the District deems such changes to be necessary and appropriate; provided, however, that (i) no such change shall impair the ability of the District to make the Installment Payments or cause to be included in the Project any property not constituting property useful in the performance of the District's powers, projects and purposes and (ii) the cost of new components shall be equal to or greater than the components being replaced. Any such change shall be implemented by the District's filing with the Authority and the Trustee a description of such change and, upon such filing, the description of the Project contained the Installment Purchase Agreement shall be deemed to have been modified in accordance therewith. No such change shall constitute an amendment, change, modification or alteration of the Installment Purchase Agreement requiring compliance with the Installment Purchase Agreement.

Sale of Project; Term.

(a) Sale of Project. In consideration of the payment, or the causing of the payment, of Installment Payments and any other amounts due and owing under the Installment Purchase Agreement or under the Indenture provided for in the Installment Purchase Agreement by the District to the Authority or its assignee, the Authority thereby grants, conveys, bargains and sells to the District, effective upon the date of the Installment Purchase Agreement, the Project, upon the terms and conditions set forth in the Installment Purchase Agreement and the District accepts, by the Installment Purchase Agreement, said grant, conveyance, bargain and sale upon said terms and conditions.

(b) Term of Agreement. The term of the Installment Purchase Agreement shall commence upon the date of the Installment Purchase Agreement and shall terminate upon the occurrence of either of the following events: (a) the payment in full of the Installment Payments and any other amounts due and owing under the Installment Purchase Agreement or under the Indenture by the District pursuant to the provisions of the Installment Purchase Agreement or (b) a default by the District and termination pursuant to the Installment Purchase Agreement.

Title

From and after the Date of Delivery, title to each component of the Project, when completed and each and every portion thereof, shall vest in the District; provided, however, that title to the Project and each and every portion thereof remaining in the District shall be subject to the subsequent payment of Installment Payments as described in the Installment Purchase Agreement, to the remedies of the Authority and its assignee in the event of default as provided in the Installment Purchase Agreement and to Permitted Encumbrances.

Installment Payments

(a) Obligation to Pay. The District agrees to pay to the Authority, its successors and assigns, but solely from the Net Revenues and other funds pledged under the Installment Purchase Agreement as the Purchase Price of the Project which is being financed, the aggregate principal amount of \$79,575,000.00 together with interest on the unpaid principal balance, payable in Installment Payments coming due and payable in the respective amounts and on the respective dates specified in the Installment Purchase Agreement. The Installment Payments shall be paid by the District to the Trustee, as assignee of the Authority pursuant to the Indenture, in the amounts and at the times as set forth in the Installment Purchase Agreement.

(b) Effect of Prepayment. In the event that the District prepays all remaining Installment Payments in full pursuant to the Installment Purchase Agreement, the District's obligations under the Installment Purchase Agreement shall thereupon cease and terminate, including but not limited to the District's obligation to pay Installment Payments therefor under the Installment Purchase Agreement; provided, however, that the District's obligations to compensate and indemnify the Trustee, to indemnify the Authority, and to make the other Additional Payments pursuant to the Installment Purchase Agreement shall survive such prepayment. In the event that the District prepays the Installment Payments in part but not in whole pursuant to the Installment Purchase Agreement, the principal component of each succeeding Installment Payment shall be reduced as provided therein and the interest component of each remaining Installment Payment shall be reduced by the aggregate corresponding amount of interest which would otherwise be payable on the Bonds thereby redeemed pursuant to the applicable provisions of the Indenture.

(c) Assignment. The District understands and agrees that all Installment Payments have been assigned by the Authority to the Trustee in trust, pursuant to the Indenture, for the benefit of the Owners of the Bonds, and the District assents to such assignment by the Installment Purchase Agreement. The Authority directs the District by the Installment Purchase Agreement, and the District thereby agrees to pay to the Trustee at its Trust Office, all amounts payable by the District pursuant to the Installment Purchase Agreement and all amounts payable by the District to the Trustee pursuant to the Installment Purchase Agreement.

Pledge and Application of Net Revenues

(a) Pledge of Net Revenues. The Installment Payments and any Parity Obligations shall be secured by a first pledge of all of the Net Revenues. Such pledge shall constitute a first lien on the Net Revenues and such other moneys for the payment of the principal of and with interest and premium (if any) on the Installment Payments and any Parity Obligations in accordance with the terms of the Installment Purchase Agreement. The Installment Payments and any Parity Obligations shall be equally secured by a pledge, charge and lien upon the Net Revenues and such moneys without priority for series, issue, number or date; and the payment of the interest on the principal of the Installment Payments and any Parity Obligations, and any premiums upon the redemption of any thereof shall be and are secured by an exclusive pledge, charge and lien upon the Net Revenues and such moneys. So long as any of the Installment Payments and any Parity Obligations are outstanding, the Net Revenues and such moneys shall not be used for any other purpose; except that out of the Net Revenues there may be apportioned such sums, for such purposes, as are expressly permitted by the Installment Purchase Agreement.

(b) Deposits Into Revenue Fund; Transfer to Make Installment Payments. All of the Gross Revenues shall be deposited by the District immediately upon receipt in the Revenue Fund. Operation and Maintenance Costs shall be paid from Gross Revenues as they come due and payable. The District covenants and agrees that all Net Revenues will be held by the District in the Revenue Fund in trust for the benefit of the Trustee (as assignee of the rights of the Authority under the Installment Purchase Agreement) and the Bond Owners, and for the benefit of the owners of any Parity Obligations. On or before each Installment Payment Date, the District shall withdraw from the Revenue Fund and transfer to the Trustee, for deposit in the Bond Fund, an amount which, together with the balance then on deposit in the Bond Fund, the Interest Account, the Sinking Account and the Principal Account (other than amounts resulting from the prepayment of the Installment Payments pursuant to the Installment Purchase Agreement and other than amounts required for payment of principal of or interest on any Bonds which have matured or been called for redemption but which have not been presented for payment and other than amounts needed for Installment Payments), is equal to the aggregate amount of the Installment Payment coming due and payable on the next succeeding Interest Payment Date.

In addition, the District shall withdraw from the Revenue Fund such amounts at such times as shall be required to: (i) pay, on a pro-rata basis, the principal of and interest on any Parity Obligations and otherwise comply with the provisions of the instruments authorizing the issuance of any Parity Obligations; and (ii) pay all other amounts when and as due and payable under the Installment Purchase Agreement.

(c) Other Uses of Net Revenues Permitted. The District shall manage, conserve and apply the Net Revenues on deposits in the Revenue Fund in such a manner that all deposits required to be made pursuant to the Installment Purchase Agreement will be made at the times and in the amounts so required. Subject to the foregoing sentence, so long as no Event of Default shall have occurred and be continuing under the Installment Purchase Agreement, the District may use and apply moneys in the Revenue Fund for (i) the payment of Additional Payments; (ii) the payment of any Subordinate Obligations or any unsecured obligations; (iii) the acquisition and construction of extensions and betterments to the Enterprise; (iv) the prepayment of any obligations of the District relating to the Enterprise; or (v) any other lawful purposes of the District.

(d) Budget and Appropriation of Installment Payments. During the term of the Installment Purchase Agreement, the District shall adopt and make all necessary budgets and appropriations of the Installment Payments from the Net Revenues, and shall furnish to the Trustee a Written Certificate stating that the Installment Payments have been included in the final budget of the District for the current Fiscal Year. Such Written Certificate for any Fiscal Year shall be filed with the Trustee not later than September 1 in such Fiscal Year. In the event any Installment Payment requires the adoption by the District of any supplemental budget or appropriation, the District shall promptly adopt the same. The covenants on the part of the District contained in the Installment Purchase Agreement shall be deemed to be and shall be construed to be duties imposed by law and it shall be the duty of each and every public official of the District to take such action and do such things as are required by law in the performance of the official duty of such officials to enable the District to carry out and perform the covenants and agreements in the Installment Purchase Agreement.

Special Obligation of the District; Obligations Absolute

The District's obligation to pay the Installment Payments, the Additional Payments and any other amounts coming due and payable under the Installment Purchase Agreement shall be a special obligation of the District limited solely to the Net Revenues. Under no circumstances shall the District be required to advance moneys derived from any source of income other than the Net Revenues and other sources specifically identified in the Installment Purchase Agreement for the payment of the Installment Payments and the Additional Payments, nor shall any other funds or property of the District be liable for the payment of the Installment Payments and the Additional Payments and any other amounts coming due and payable under the Installment Purchase Agreement.

The obligations of the District to make the Installment Payments and the Additional Payments from the Net Revenues and to perform and observe the other agreements contained in the Installment Purchase Agreement shall be absolute and unconditional and shall not be subject to any defense or any right of setoff, counterclaim or recoupment arising out of any breach of the District, the Authority or the Trustee of any obligation to the District or otherwise with respect to the Enterprise, whether under the Installment Purchase Agreement or otherwise, or out of indebtedness or liability at any time owing to the District by the Authority or the Trustee. Until such time as all of the Installment Payments, all of the Additional Payments and all other amounts coming due and payable under the Installment Purchase Agreement shall have been fully paid or prepaid, the District (i) will not suspend or discontinue payment of any Installment Payments, Additional Payments or such other amounts; (ii) will perform and observe all other agreements contained in the Installment Purchase Agreement; and (iii) will not terminate the term of the Installment Purchase Agreement for any cause, including, without limiting the generality of the foregoing, the occurrence of any acts or destruction of or damage to the Enterprise, sale of the Enterprise, the taking by eminent domain of title to or temporary use of any component of the Enterprise, commercial frustration of purpose, any change in the tax law or other laws of the United States of America or the State or any political subdivision of either thereof or any failure of the Authority or the Trustee to perform and observe any agreement, whether express or implied, or any duty, liability or obligation arising out of or connected with the Indenture or the Installment Purchase Agreement.

Nothing contained in the Installment Purchase Agreement shall be construed to release the Authority or the Trustee from the performance of any of the agreements on its part contained in the Installment Purchase Agreement or in the Indenture, and in the event the Authority or the Trustee shall fail to perform any such agreements, the District may institute such action against the Authority or the Trustee as the District may deem

necessary to compel performance so long as such action does not abrogate the obligations of the District contained in the preceding paragraph. The District may, however, at the District's own cost and expense and in the District's own name or in the name of the Authority prosecute or defend any action or proceeding or take any other action involving third persons which the District deems reasonably necessary in order to secure or protect the District's rights under the Installment Purchase Agreement, and in such event the Authority agrees by the Installment Purchase Agreement to cooperate fully with the District and to take such action necessary to effect the substitution of the District for the Authority in such action or proceeding if the District shall so request.

Rates and Charges

(a) Covenant to Fix Rates and Charges. The District shall fix, prescribe, revise and collect charges for the services and facilities furnished by the Enterprise during each Fiscal Year, which are at least sufficient, after making allowance for contingencies and error in the estimates, to pay the following amounts in the following order:

(i) all Operation and Maintenance Costs estimated by the District to become due and payable in such Fiscal Year;

(ii) the Installment Payments and the principal of and interest on any Parity Obligations as they become due and payable during such Fiscal Year;

(iii) all other payments required for compliance with the Indenture and the Installment Purchase Agreement and the instruments pursuant to which any Parity Obligations relating to the Enterprise shall have been issued; and

(iv) all Additional Payments and other payments required to meet any other obligations of the District which are charges, liens, encumbrances upon, or which are otherwise payable from, Gross Revenues or Net Revenues during such Fiscal Year.

(b) In addition, the District shall fix, prescribe, revise and collect Charges for the services and facilities furnished by the Enterprise during each Fiscal Year which are sufficient to yield Net Revenues, which, are at least equal to one hundred twenty percent (120%) of the aggregate amount described in the preceding clauses (a)(ii) and (iii) in such Fiscal Year for Installment Payments and Parity Obligations which have a lien on Net Revenues.

Rate Stabilization Fund

(a) Creation; Deposits. There is created by the Installment Purchase Agreement a separate fund to be known as the "Rate Stabilization Fund," to be held and maintained by the District. Except as otherwise provided in the Installment Purchase Agreement, moneys in the Rate Stabilization Fund are not pledged to secure payment of Installment Payments. From time to time the District may deposit in the Rate Stabilization Fund, from Gross Revenues or other available funds of the District after the payment of Installment Payments and the payment of principal of and interest on Parity Obligations, such amounts as the District shall determine; provided deposits for each Fiscal Year may be made until (but not after) one-hundred twenty (120) days after the end of such Fiscal Year. The District may withdraw amounts from the Rate Stabilization Fund only for inclusion in Gross Revenues for any Fiscal Year, such withdrawals to be made until (but not after) one-hundred twenty (120) days after the end of such Fiscal Year.

(b) Uses of Moneys in Rate Stabilization Fund. Moneys in the Rate Stabilization Fund may be withdrawn and used by the District for any lawful purpose of the Enterprise, including but not limited to, payment of Operation and Maintenance Costs or payment of Installment Payments and Parity Obligations.

(c) Investments. Moneys in the Rate Stabilization Fund shall be invested by the District solely in Permitted Investments having maturities of not longer than five (5) years from the date of investment.

Superior Obligations

The District shall not issue or incur any additional bonds or other obligations during the Term of the Installment Purchase Agreement having any priority in payment of principal or interest out of the Net Revenues over the Installment Payments. Nothing in the Installment Purchase Agreement is intended or shall be construed to limit or affect the ability of the District to issue or incur (i) Parity Obligations pursuant to the Installment Purchase Agreement or (ii) obligations which are either unsecured or which are secured by an interest in the Net Revenues which is junior and subordinate pursuant to the Installment Purchase Agreement to the pledge of and lien upon the Net Revenues established under the Installment Purchase Agreement.

Issuance of Parity Obligations

The District shall have the right from time to time to issue Parity Obligations, upon such terms and conditions as the District shall deem advisable, but only upon compliance with the following conditions which are made conditions by the Installment Purchase Agreement precedent to the issuance of Parity Obligations:

(a) No Event of Default shall have occurred and be continuing under the Installment Purchase Agreement or any Parity Obligations.

(b) The Net Revenues, calculated in accordance with generally accepted accounting principles, as shown by the books of the District for the most recent twelve (12) month period selected by the District, but excluding any transfers from the Rate Stabilization Fund, ending not more than sixty (60) days prior to the adoption of the Parity Obligations Instrument, pursuant to which such Parity Obligations are to be issued, as shown by the books of the District shall at least equal one hundred twenty percent (120%) of Maximum Annual Debt Service, with Maximum Annual Debt Service calculated on the Installment Payments and all Parity Obligations to be Outstanding immediately subsequent to the issuance of such Parity Obligations which have a lien on Net Revenues. Additional Revenues may be added to such Net Revenues for the purpose of issuing or incurring additional Parity Obligations under the Installment Purchase Agreement.

(c) Any Parity Obligations which are issued as refunding obligations and are lowering the total aggregate debt service in any Fiscal Year can be issued without complying with (a) and (b) above.

(d) The Parity Obligations Instrument providing for the issuance of such Parity Obligations under this provision shall provide that:

(i) The proceeds of such Parity Obligations shall be applied to the acquisition, construction, improvement, financing or refinancing of additional facilities, improvements or extensions of existing facilities within the Enterprise, or otherwise for facilities, improvements or property which the District determines are of benefit to the Enterprise, or for the purpose of refunding any Installment Payments or Parity Obligations in whole or in part, including all costs (including costs of issuing such Parity Obligations and including capitalized interest on such Parity Obligations during any period which the District deems necessary or advisable) relating thereto;

(ii) Interest on such Parity Obligations shall be payable on an Interest Payment Date; and

(iii) The principal of such Parity Obligations shall be payable on July 1 in any year in which principal is payable.

(e) Subordinate Obligations. Nothing in the Installment Purchase Agreement shall prohibit or impair the authority of the District to issue bonds or other obligations secured by a lien on Net Revenues which is subordinate to the lien established under the Installment Purchase Agreement, upon such terms and in such principal amounts as the District may determine; provided, that the District may issue or incur any such Subordinate Obligations subject to the following specific conditions which are made conditions by the Installment Purchase Agreement precedent to the issuance and delivery of such Subordinate Obligations:

(1) The District shall be in compliance with all covenants set forth in the Installment Purchase Agreement.

(2) The Net Revenues calculated on sound accounting principles, as shown by the books of the District for the latest Fiscal Year or any more recent twelve (12) month period selected by the District ending not more than sixty (60) days prior to the adoption of the Subordinate Obligations Instrument pursuant to which such Subordinate Obligations are issued, as shown by the books of the District, plus, at the option of the District shall at least equal One Hundred percent (100%) of Maximum Annual Debt Service, with Maximum Annual Debt Service calculated on the Installment Payments and all Parity Obligations plus Maximum Annual Debt Service on Subordinate Obligations to be Outstanding immediately subsequent to the issuance of such Subordinate Obligations which have a lien on Net Revenues. Additional Revenues may be added to such Net Revenues for the purpose of issuing or incurring Subordinate Obligations under the Installment Purchase Agreement.

(3) The Subordinate Bonds Instrument providing for the issuance of such Subordinate Obligations under the Indenture shall provide that:

(i) The proceeds of such Subordinate Obligations shall be applied to the acquisition, construction, improvement, financing or refinancing of additional facilities, improvements or extensions of existing facilities within the Enterprise, or otherwise for facilities, improvements or property which the District determines are of benefit to the Enterprise, or for the purpose of refunding any obligations in whole or in part, including all costs (including costs of issuing such Subordinate Obligations and including capitalized interest on such Subordinate Obligations during any period which the District deems necessary or advisable) relating thereto;

(ii) Interest on such Subordinate Obligations shall be payable on an Interest Payment Date; and

(iii) The principal of such Subordinate Bonds shall be payable on July 1 in any year in which principal is payable.

Additional Payments

In addition to the Installment Payments, the District shall pay when due all costs and expenses incurred by the Authority to comply with the provisions of the Indenture, including without limitation all Costs of Issuance to the extent not paid from amounts on deposit in the Costs of Issuance Fund), and shall pay to the Trustee upon request therefor all compensation for fees due to the Trustee and all of its costs and expenses payable as a result of the performance of and compliance with its duties under the Installment Purchase Agreement or under the Indenture or any related documents, together with all amounts required to indemnify the Trustee pursuant to the Installment Purchase Agreement or the Indenture, and all related costs and expenses of attorneys, auditors, engineers and accountants. The rights of the Trustee and the obligations of the District under the Installment Purchase Agreement shall survive the termination of the Installment Purchase Agreement and the resignation or removal of the Trustee.

Option to Prepay/Defeasance

Subject to the terms and conditions of the Installment Purchase Agreement, the Authority grants by the Installment Purchase Agreement an option to the District to prepay the Installment Payments in whole or in part. Said option may be exercised with respect to Installment Payments due on and after November 15, 2031 on any date on or after May 15, 2032. Said option shall be exercised by the Authority by giving written notice to the Trustee, as the Authority's assignee, of the exercise of such option at least twenty (20) but not more than sixty (60) days prior to said date. Such option shall be exercised in the event of prepayment in whole; or in part by depositing with said notice cash or investment securities which together with interest earned thereon will provide

an amount sufficient to pay the unpaid principal amount of the Installment Payments to be prepaid (but not less than \$5,000) together with the interest component to be paid to the date of prepayment.

In the event of prepayment in part, the partial prepayment shall be applied by the Authority or its assignee against Installment Payments in the manner directed by the District, and the District shall cause to be provided to the Trustee a revised schedule of Installment Payments reflecting said partial prepayment and a revised sinking fund schedule for any term bonds affected.

Subject to the Installment Purchase Agreement, the prepayment of all of the Installment Payments from the proceeds of refunding bonds or other debt obligations to pay and discharge the outstanding Bonds as provided in the Indenture shall relieve and defease the District's obligation make further Installment Payments under the Installment Purchase Agreement; provided, however, that all of the requirements of the Indenture shall have been met.

Payment of Rebatable Amounts

The District agrees to furnish all information to, and cooperate fully with, the Authority, and its officers, employees, agents and attorneys, in order to assure compliance with the provisions of the Indenture. In the event that the Authority shall determine, pursuant to the Indenture, that any amounts are due and payable to the United States of America thereunder and that neither the Authority nor the Trustee has on deposit under the Indenture an amount of available moneys (excluding moneys on deposit in the funds and accounts established for the payment of the principal of or interest or redemption premium, if any, on the Bonds) to make such payment, the Authority shall promptly notify the District of such fact. Upon receipt of any such notice, the District shall promptly pay to the United States of America from any source of legally available funds, its pro-rata portion of the amounts determined by the Authority to be due and payable to the United States of America under the Indenture. The Trustee shall not be required to make any payment due under the Installment Purchase Agreement.

DISCLAIMER OF WARRANTIES: ACCESS

Disclaimer of Warranties

Neither the Authority nor the Trustee make any warranty or representation, either express or implied, as to the value, design, condition, merchantability or fitness for any particular purpose or fitness for the use contemplated by the District of the Project or any portion thereof, or any other representation or warranty with respect to the Project or any portion thereof. In no event shall the Authority or the Trustee be liable for incidental, indirect, special or consequential damages in connection with the Installment Purchase Agreement or the existence, furnishing, or functioning of the Project or the District's use of the Project, except such damages as may arise by reason of a breach of the Installment Purchase Agreement by the Authority or the Trustee.

Authority Access to the Project

The District agrees that the Trustee and the Authority shall have such rights of access to the Project as may be reasonably necessary to cause the proper maintenance of the Project and otherwise to have right of access to the Project in the event of failure by the District to perform its obligations under the Installment Purchase Agreement.

EVENTS OF DEFAULT AND REMEDIES

Events of Default Defined

The following shall be "Events of Default" under the Installment Purchase Agreement and the terms "Event of Default" and "default" shall mean, whenever they are used in the Installment Purchase Agreement, with respect to the Project, any one or more of the following events, namely:

(a) failure by the District to pay any Installment Payment or other payment required to be paid under the Installment Purchase Agreement at the time specified in the Installment Purchase Agreement;

(b) failure by the District to pay any Additional Payment when due and payable under the Installment Purchase Agreement, and the continuation of such failure for a period of ten (10) days.

(c) failure by the District to observe and perform any covenant, condition or agreement on its part to be observed or performed, other than as referred to in the Installment Purchase Agreement, for a period of sixty (60) days after written notice specifying such failure and requesting that it be remedied has been given to the District by the Authority or its assignee; provided, however, that the Authority or its assignee may, upon written request of the District prior to the expiration of such sixty (60) day period, consent to an extension of such time in order to cure such failure if corrective action has been instituted by the District and is being diligently pursued and will, in the judgment of the Authority or its assignee, be diligently pursued until the default is corrected;

(d) The District shall commence a voluntary case under any applicable bankruptcy, insolvency or other similar law now or hereafter in effect or shall consent to an order for relief in an involuntary case under any such law, or shall consent to the appointment of or taking possession by a receiver, liquidator, assignee, trustee, custodian, sequestrator (or similar official) of the District for any substantial part of its property, or shall make any general assignment for the benefit of creditors, or shall fail generally to pay its debts as they become due or shall take any corporate action in furtherance of any of the foregoing;

(e) default by the District under the terms of any obligation secured by a pledge of Net Revenues on a parity with the pledge under the Installment Purchase Agreement; or

(f) failure by the District to comply with the provisions of the Installment Purchase Agreement.

Any default by the District under the Installment Purchase Agreement shall not cause a default under any other installment purchase agreement to which the District is not a party.

Remedies on Default

In each and every case during the continuance of an Event of Default in the Installment Purchase Agreement, the Authority may, by notice in writing to the District, declare the entire principal amount of the unpaid Installment Payments and the accrued interest thereon to be due and payable immediately, and upon any such declaration the same shall become immediately due and payable, anything contained in the Installment Purchase Agreement to the contrary notwithstanding. A provision of the Installment Purchase Agreement is subject to, however, the condition that if at any time after the entire principal amount of the unpaid Installment Payments and the accrued interest thereon shall have been so declared due and payable and before any judgment or decree for the payment of the moneys due shall have been obtained or entered the District shall deposit with the Authority a sum sufficient to pay the unpaid principal amount of the Installment Payments due prior to such declaration and the accrued interest thereon, with interest on principal amount of such overdue Installment Payments, at the rate or rates applicable to the remaining unpaid principal balance of the Installment Payments, and the reasonable expenses of the Authority, and any and all other defaults known to the Authority (other than in the payment of the entire principal amount of the unpaid Installment Payments and the accrued interest thereon due and payable solely by reason of such declaration) shall have been made good or cured to the satisfaction of the Authority or provision deemed by the Authority to be adequate shall have been made therefor, then and in every such case the Authority, by written notice to the District may rescind and annul such declaration and its consequences; but no such rescission and annulment shall extend to or shall affect any subsequent default or shall impair or exhaust any right or power consequent thereon.

Each and all of the remedies given to the Authority or its assignee or by any law now or hereafter enacted are cumulative and the exercise of one right or remedy shall not impair the right of the Authority or its assignee to exercise any or all other remedies.

Suits at Law or in Equity and Mandamus

In addition to the remedies set forth in the Installment Purchase Agreement, in case one or more of the Events of Default shall happen, then and in every such case, the Authority or its assignee shall be entitled to proceed to protect and enforce the rights vested in the Authority by the Installment Purchase Agreement by such appropriate judicial proceeding as the Authority or its assignee shall deem most effectual to protect and enforce any such right, either by suit in equity or by action at law. The provisions of the Installment Purchase Agreement and the duties of the District and of the officers, agents and employees thereof shall be enforceable by the Authority by mandamus or other appropriate suit, action or proceeding in any court of competent jurisdiction.

Without limiting the generality of the foregoing, the Authority and its assignee shall have the right:

- (i) Accounting. By action or suit in equity to require the District and its officers, agents and employees to account as the trustee of an express trust.
- (ii) Injunction. By action or suit in equity to enjoin any acts or things which may be unlawful or in violation of the rights of the Authority or its assignee.
- (iii) Mandamus. By mandamus or other suit, action or proceeding at law or equity to enforce its or their rights against the District and its and any of its officers, agents, and employees, and to compel it or them to perform and carry out its and their duties and obligations under the law and its and their covenants and agreements with the District as provided in the Installment Purchase Agreement.

Non-Waiver

Nothing in any provision of the Installment Purchase Agreement shall affect or impair the obligation of the District, which is to pay the Installment Payments, as provided in the Installment Purchase Agreement. No delay or omission of the Authority or its assignee to exercise any right or power arising upon the happening of any event of default shall impair any such right or power or shall be construed to be a waiver of any such Event of Default or any acquiescence therein, and every power and remedy given by the Installment Purchase Agreement to the Authority and its assignee may be exercised from time to time and as often as shall be deemed expedient by the Authority or its assignee.

Remedies Not Exclusive

No remedy in the Installment Purchase Agreement or by law conferred upon or reserved to the Authority or the Trustee as its assignee is intended to be exclusive of any other remedy, but each such remedy is cumulative and in addition to every other remedy, and every remedy given under the Installment Purchase Agreement or now or hereafter existing, at law or in equity or by statute or otherwise may be exercised without exhausting and without regard to any other remedy conferred by the Installment Purchase Agreement or by any law.

Trustee and Bond Owners to Exercise Rights

Such rights and remedies as are given to the Authority under the Installment Purchase Agreement have been assigned by the Authority to the Trustee under the Indenture, to which assignment the District consents by the Installment Purchase Agreement. Such rights and remedies shall be exercised by the Trustee and the Owners of the Bonds as provided in the Installment Purchase Agreement and in the Indenture and shall be considered third party beneficiaries.

Status Quo

In case any suit, action or proceeding to enforce any right or exercise any remedy shall be brought or taken and then discontinued or abandoned, or shall be determined adversely to the Authority and its assignee,

then, and in every such case, the Authority and its assignee shall be restored to their former positions and rights and remedies as if no such suit, action or proceedings had been brought or taken.

[THIS PAGE INTENTIONALLY LEFT BLANK]

APPENDIX B

GENERAL DEMOGRAPHIC DATA AND FINANCIAL INFORMATION

General

The Authority was established pursuant to a Joint Exercise of Powers Agreement dated August 1, 2021, by and between the West County Wastewater District (the “District”) and the California Statewide Communities Development Authority (“CSCDA”). The Authority was created for the purpose of providing financing for public capital improvements jointly owned and operated by the District and CSCDA.

The District, founded in 1921, is located in the western portion of the County. The District’s jurisdiction includes San Pablo, portions of the Pinole and Richmond, and unincorporated Contra Costa County areas commonly known as Tara Hills, North Richmond, East Richmond Heights, El Sobrante, Rollingwood, and Bayview. The District encompasses approximately 16.9 square miles and serves approximately 34,000 residences and 900 commercial and industrial businesses with a population of approximately 104,000.

Population, Personal and Per Capita Income

The population of the District in January of 2020 was estimated to be 104,045 persons. The historical population of the District and County is shown below and total personal and per capita income are shown below.

WEST COUNTY WASTEWATER DISTRICT AND CONTRA COSTA COUNTY Demographic and Economic Information 2011 through 2020

Fiscal Year	District Population	District Personal Income	County Personal Income⁽¹⁾	District Per Capita Personal Income	County Per Capita Personal Income	Average County Unemployment Rate	Contra Costa County Population	District Population as Percent of County
2011	96,597	\$5,492,228,784	\$61,481,909	\$56,857	\$57,705	11.0%	\$1,059,495	9.1%
2012	97,296	5,740,526,109	66,733,882	59,001	61,921	9.4	1,069,977	9.1
2013	97,998	6,077,955,966	67,315,559	62,022	61,545	7.7	1,083,340	9.0
2014	98,724	6,104,627,626	71,152,275	61,835	64,138	6.1	1,097,172	9.0
2015	99,511	6,388,349,816	77,877,241	64,198	69,248	4.9	1,111,143	9.0
2016	102,481	6,932,319,943	82,426,924	67,645	72,483	4.9	1,123,429	9.1
2017	103,650	7,270,101,341	88,024,256	70,141	76,886	4.2	1,139,513	9.1
2018	103,759	7,510,684,560	94,900,003	72,386	82,506	3.5	1,147,879	9.0
2019	104,027	7,819,963,564	N/A	75,172	N/A	3.1	1,150,621	9.0
2020	104,045	7,812,252,006	N/A	75,086	N/A	3.2	1,153,561	9.0

⁽¹⁾ In the thousands.

Source: County of Contra Costa Demographic and Economic Information 2011-2020; Comprehensive Annual Financial Report of the District for Fiscal Year Ended June 30, 2020; Comprehensive Annual Financial Report of the County for Fiscal Year Ended June 30, 2020.

Labor Force

The following table summarizes the labor force, employment and unemployment figures over the period 2016 through 2020 for the Cities of Pinole, Richmond and San Pablo, the County, the State and the United States.

**WEST COUNTY WASTEWATER DISTRICT,
STATE OF CALIFORNIA, AND UNITED STATES OF AMERICA
Labor Force, Employment and Unemployment Yearly Average
Calendar Year 2016 through 2020**

<u>Year</u>	<u>Labor Force</u>	<u>Employment</u> ⁽¹⁾	<u>Unemployment</u> ⁽²⁾	<u>Unemployment Rate (%)</u> ⁽³⁾
2016				
Pinole	9,600	9,300	300	3.40%
Richmond	52,800	50,100	2,600	5.00
San Pablo	13,600	13,000	700	5.00
Contra Costa County	553,200	528,400	24,800	4.50
State of California	19,012,000	17,965,400	1,046,600	5.50
2017				
Pinole	10,100	9,800	300	3.20%
Richmond	52,800	50,500	2,300	4.30
San Pablo	13,900	13,300	600	4.10
Contra Costa County	558,200	536,700	21,600	3.90
State of California	19,173,800	18,246,800	927,000	4.80
2018				
Pinole	9,900	9,600	300	3.20%
Richmond	52,900	50,900	2,000	3.70
San Pablo	13,900	13,400	500	3.60
Contra Costa County	560,300	542,200	18,100	3.20
State of California	19,263,900	18,442,400	821,500	4.30
2019				
Pinole	10,100	9,800	300	3.10%
Richmond	52,800	51,000	1,900	3.60
San Pablo	13,800	13,300	500	3.50
Contra Costa County	559,700	542,100	17,600	3.10
State of California	19,353,700	18,550,500	803,200	4.20
2020				
Pinole	9,800	8,900	900	8.90%
Richmond	52,200	46,400	5,800	11.20
San Pablo	13,600	12,100	1,600	11.40
Contra Costa County	541,300	493,200	48,000	8.90
State of California	18,821,200	16,913,100	1,908,100	10.10

⁽¹⁾ Includes persons involved in labor-management trade disputes.

⁽²⁾ Includes all persons without jobs who are actively seeking work.

⁽³⁾ The unemployment rate is computed from unrounded data; therefore, it may differ from rates computed from rounded figures in this table.

Source: California Employment Development Department.

Industry Employment

The District is included in the Oakland-Hayward-Berkeley Metropolitan Division (the “MD”). The distribution of employment in the MD is presented in the following table for the calendar years 2016 through 2020. These figures are multi county-wide statistics and may not accurately reflect employment trends in the District.

OAKLAND, HAYWARD, BERKELEY MD

Industry Employment & Labor Force 2017 through 2021

(as of January 1 of each year)

<u>Category</u>	<u>2017</u>	<u>2018</u>	<u>2019</u>	<u>2020</u>	<u>2021</u>
Total, All Industries	1,137,000	1,160,500	1,170,800	1,187,400	1,074,600
Total Farm	900	1,000	1,000	1,200	1,200
Total Nonfarm	1,136,100	1,159,500	1,169,800	1,186,200	1,073,400
Total Private	962,100	985,400	997,100	1,010,800	912,600
Goods Producing	158,500	170,600	172,300	174,900	173,800
Mining, Logging, and Construction	65,900	71,700	71,300	74,200	74,200
Mining and Logging	200	200	200	300	200
Construction	65,700	71,500	71,100	73,900	74,000
Manufacturing	92,600	98,900	101,000	100,700	99,600
Service Providing	977,600	988,900	997,500	1,011,300	899,600
Private Service Providing	803,600	814,800	824,800	835,900	738,800
Trade, Transportation & Utilities	204,400	205,600	203,000	200,600	190,500
Wholesale Trade	48,200	48,100	45,800	44,400	41,300
Retail Trade	115,000	115,500	113,400	110,900	101,800
Transportation, Warehousing & Utilities	41,200	42,000	43,800	45,300	47,400
Information	26,700	27,400	27,500	27,500	25,200
Financial Activities	55,900	55,600	54,900	54,900	51,300
Professional & Business Services	179,800	182,900	187,800	193,800	183,000
Educational & Health Services	188,500	192,000	195,600	200,500	188,500
Leisure & Hospitality	109,400	111,600	115,500	117,700	69,800
Government	174,000	174,100	172,700	175,400	160,800
Federal Government	13,900	13,700	13,300	13,500	13,700
State & Local Government	160,100	160,400	159,400	161,900	147,100

Note: The “Total, All Industries” data is not directly comparable to the employment data found herein.

Source: State of California, Employment Development Department, Labor Market Information Division, Contra Costa County Average Labor Force and Industry Employment.

Largest Employers

The following tables set forth the top employers located in the County:

CONTRA COSTA COUNTY Largest Employers (Fiscal Year 2019-2020)

<u>Employer</u>	<u>Percentage of Total County Employment</u>
Chevron Corporation	2.11%
St. Mary's College	0.63
Bio-Rad Laboratories, Inc.	0.63
Job Connections	0.63
John Muir Medical Center	0.63
Kaiser Permanente	0.63
La Raza Market	0.64
Martinez Medical Offices	0.64
USS-POSCO Industries	0.64

Source: Comprehensive Annual Financial Report of the County for Fiscal Year ended June 30, 2020.

Commercial Activity

Taxable sales in the County for years 2011 through 2020 are shown in the following table.

COUNTY OF CONTRA COSTA Taxable Sales Calendar Year 2011 through 2020

<u>Calendar Year</u>	<u>Total Permits</u>	<u>Total Taxable Transactions</u>	<u>Yearly Percentage Change (%)</u>
2011	21,153	\$12,799,856,647	7.08%
2012	21,504	13,997,248,701	9.35
2013	21,449	14,471,987,821	3.39
2014	21,550	15,030,047,000	3.9
2015	23,686	15,786,867,674	5.03
2016	24,153	16,104,285,103	2.01
2017	24,114	16,757,632,402	4.05
2018	25,317	17,607,890,223	5.07
2019	26,201	18,080,745,538	2.68
2020	27,445	18,043,574,659	-0.2

⁽¹⁾ Last annual report available.

Source: "Taxable Sales in California (Sales & Use Tax)," California Board of Equalization.

[THIS PAGE INTENTIONALLY LEFT BLANK]

APPENDIX C

FORM OF FINAL OPINION OF BOND COUNSEL

September 30, 2021

West County Facilities Financing Authority
2910 Hilltop Drive
Richmond, CA 94806

Re: \$79,575,000 West County Facilities Financing Authority 2021 Wastewater Revenue Bonds

Ladies and Gentlemen:

We have reviewed the Constitution and laws of the State of California and certain proceedings taken by the West County Facilities Financing Authority (the “Authority”) in connection with the issuance by the Authority of the \$79,575,000 West County Facilities Financing Authority 2021 Wastewater Revenue Bonds (the “Bonds”), pursuant to the provisions of Article 4 of Chapter 5 of Division 7 of Title 1 of the California Government Code (the “Law”) and pursuant to an Indenture of Trust, dated as of September 1, 2021 (the “Indenture of Trust”) by and between U.S. Bank National Association, as trustee (the “Trustee”) and the Authority. The proceeds of the Bonds have been applied by the Authority to provide funds for the purpose of improving and increasing the capacity of the West County Wastewater District’s (the “District”) wastewater system. The District has purchased the improvements under an Installment Purchase Agreement, dated as of September 1, 2021 (the “IPA”), between the District and the Authority, and shall make Installment Payments thereunder which have been assigned by the Authority to the Trustee. We have also examined such certified proceedings and other papers and materials as we deem necessary to render this opinion.

As to questions of fact material to our opinion, we have relied upon the certified proceedings and other certifications of public officials furnished to us without undertaking to verify the same by independent investigation.

Based upon the foregoing, we are of the opinion, under existing law, that:

1. The Authority is a joint powers authority duly organized and validly existing under the laws of the State of California, with power to enter into the Indenture of Trust, to perform the agreements on its part contained therein and to issue the Bonds;
2. The Bonds constitute the valid and legally binding special obligations of the Authority enforceable in accordance with their terms and payable solely from the sources provided therefor in the Indenture of Trust;
3. The Indenture of Trust has been duly approved by the Authority and constitutes the valid and legally binding obligation of the Authority enforceable against the Authority in accordance with its terms;
4. The Indenture of Trust establishes a lien on and pledge of the Installment Payments (as such term is defined in the Indenture of Trust) and other funds pledged thereby for the security of the Bonds, in accordance with the terms of the Indenture of Trust;
5. The IPA has been duly authorized, executed and delivered by the Authority and the District, and is the valid and binding obligation of the Authority and the District enforceable against the Authority and the District in accordance with its terms;

6. Interest on the Bonds is exempt from California personal income taxation; and

7. The Internal Revenue Code of 1986, as amended (the “Code”), sets forth certain investment, rebate and related requirements which must be met subsequent to the delivery of the Bonds for the interest received by the owners of the Bonds to be and remain excluded from gross income for purposes of federal income taxation. Noncompliance with such requirements could cause the interest on the Bonds to be subject to federal income taxation retroactive to the date of delivery of the Bonds. Pursuant to the Indenture of Trust the Authority has covenanted to comply with the requirements of the Code. Assuming compliance with the aforementioned covenant, we are of the opinion that, under existing statutes, regulations, rulings and court decisions, the interest on the Bonds is excluded from gross income for purposes of federal income taxation. Interest on the Bonds is not a specific preference item for purposes of the alternative minimum tax provisions of the Code. Although the interest on the Bonds is excluded from gross income for purposes of federal income taxation, the accrual or receipt of interest on the Bonds, or any portion thereof, may otherwise affect the federal income tax liability of the recipient. The extent of these other tax consequences will depend on the recipient’s particular tax status or other items of income or deduction. We express no opinion regarding any such consequences.

The rights of the owners of the Bonds and the enforceability of the Bonds and the Indenture of Trust may be subject to bankruptcy, insolvency, moratorium and other similar laws affecting creditors’ rights heretofore or hereafter enacted and their enforcement may be subject to the exercise of judicial discretion in accordance with general principles of equity.

Respectfully submitted,

APPENDIX D

FORM OF CONTINUING DISCLOSURE CERTIFICATE

\$79,575,000

WEST COUNTY FACILITIES FINANCING AUTHORITY 2021 Wastewater Revenue Bonds

This Continuing Disclosure Certificate (this “Disclosure Certificate”) is executed and delivered by the West County Wastewater District (the “District”) and the West County Facilities Financing Authority (the “Authority”) in connection with the issuance of the Authority’s \$79,575,000 aggregate principal amount 2021 Wastewater Revenue Bonds (the “Bonds”). The Bonds have been issued pursuant to an Indenture of Trust dated as of September 1, 2021, between the Authority and U.S. Bank National Association, as trustee (the “Trustee”) (the “Indenture”). The District and Authority covenant and agree as follows:

Section 1. Purpose of the Disclosure Certificate. This Disclosure Certificate is being executed and delivered by the District and the Authority for the benefit of the holders and beneficial owners of the Bonds.

Section 2. Definitions.

(a) “Annual Report” means any Annual Report provided by the District, with the assistance of the Authority, pursuant to, and as described in, Sections 3 and 4 of this Disclosure Certificate.

(b) “Dissemination Agent” means, initially, West County Wastewater Authority, as Dissemination Agent, or any successor Dissemination Agent designated in writing by the District and has filed with the District a written acceptance of such designation.

(c) “Financial Obligation” means a: (A) debt obligation; (B) derivative instrument entered into in connection with, or pledged as security or a source of payment for, an existing or planned debt obligation; or (C) guarantee of (A) or (B). The term “Financial Obligation” does not include municipal securities as to which a final official statement has been provided to the Municipal Securities Rulemaking Board consistent with the Rule.

(d) “MSRB” means the Municipal Securities Rulemaking Board.

(e) “Official Statement” means the Official Statement dated September 16, 2021, prepared in connection with the issuance of the Bonds.

(f) “Participating Underwriter” means Piper Sandler & Co., or any other financial institution required to comply with the Rule in connection with the reoffering of the Bonds.

(g) “Repository” means each National Repository and the MSRB’s Electronic Municipal Market Access (EMMA) system, and any other Nationally Recognized Municipal Securities Information Repository for purposes of the Rule. The National Repositories currently recognized by the SEC are set forth in the SEC website located at <http://www.sec.gov/info/municipal/nrmsir.htm>.

(h) “Rule” means Rule 15c2-12 adopted by the SEC under the Securities Exchange Act of 1934, as the same may be amended from time to time.

(i) “SEC” means the Securities and Exchange Commission.

(j) “Significant Events” shall mean any of the events listed in Section 5 of this Disclosure Certificate.

Section 3. Provision of Annual Reports.

(a) The District shall, or shall cause the Dissemination Agent to, not later than April 1 in each year while the Bonds are outstanding commencing on April 1, 2022, provide to each Repository an Annual Report which is consistent with the requirements of Section 4 of this Disclosure Certificate. Not later than fifteen (15) business days prior to said date, the District shall provide the Annual Report to the Dissemination Agent (if other than the District), accompanied by a written representation addressed to the Dissemination Agent to the effect that such submission is the Annual Report required by this Disclosure Certificate and that such submission complies with the applicable requirements of this Disclosure Certificate, and which shall include the CUSIP numbers of the Bonds. The Annual Report may be submitted as a single document or separate documents comprising a package, and may cross-reference other information as provided in Section 4 of this Disclosure Certificate; provided that the audited financial statements of the District may be submitted separately from the balance of the Annual Report.

(b) If the District is unable to provide to the Repository an Annual Report by the date required in subsection (a), the District shall send a timely notice to the MSRB in substantially the form attached as Exhibit A hereto. If the Dissemination Agent (if other than the District) has not been provided with the Annual Report to submit to the Repository or with evidence of the submission by the District of the Annual Report by the date required in subsection (a) above, the Dissemination Agent shall, and is hereby irrevocably directed by the District to, send a notice to the MSRB in substantially the form attached as Exhibit A hereto.

(c) The Dissemination Agent shall:

(i) Determine each year prior to the date for providing the Annual Report the name and address of the Repository; and

(ii) If the Dissemination Agent is other than the District, file a report with the District certifying that the Annual Report has been provided pursuant to this Disclosure Certificate, stating the date it was provided and listing all Repositories to which it was provided.

Section 4. Content of Annual Reports. The Annual Report shall contain or incorporate by reference the following:

(a) Audited financial statements of the District, which include information regarding the funds and accounts of the District, if any, for the most recent fiscal year of the District then ended. If the audited financial statements are not available by the time the Annual Report is required to be filed, the Annual Report shall contain any unaudited financial statements of the District in a format similar to the audited financial statements, and the audited financial statements shall be filed in the same manner as the Annual Report when they become available. Audited financial statements of the District shall be audited by such auditor as shall then be required or permitted by State law or the Indenture. Audited financial statements shall be prepared in accordance with generally accepted accounting principles as prescribed for governmental units by the Governmental Accounting Standards Board; provided, however, that the District may from time to time, if required by federal or state legal requirements, modify the basis upon which its financial statements are prepared. In the event that the District shall modify the basis upon which its financial statements are prepared, the District shall provide a notice of such modification to MSRB, including a reference to the specific federal or state law or regulation specifically describing the legal requirements for the change in accounting basis.

(b) An update of the information contained in the following tables under the heading “THE WASTEWATER SYSTEM” in the Official Statement for the Bonds for the most recent fiscal or calendar year, as applicable, if the information is not included elsewhere in the Annual Report:

- Table 3 – Historical Sewage Flow
- Table 5 – Historical Wastewater Connections

- Table 6 – Wastewater Service Fee Schedule
- Table 7 – Top Ten Wastewater Payers
- Table 12 – Historical, Estimated and Projected Operating Results and Debt Service Coverage
- A description of any delinquencies in the collection of fees.
- A description of any revisions to the sewer rates which were adopted or which took effect during the most recently completed fiscal year.
- An update on the status of compliance with the existing notices of violation (“NOV”) as set forth in the section of the Official Statement entitled “THE ENTERPRISE – Sewer System Regulatory Issues.” as of December 31 of each year, commencing December 31, 2021, and disclosure of any penalties and/or remedial actions related thereto. This obligation would terminate once the District complies with the requirements of the existing NOV’s.
- A description of any additional adverse regulatory actions or fines that are imposed in the future, as of December 31 of each year, commencing December 31, 2021.

Any or all of the items listed above may be included by specific reference to other documents, including official statements of debt issues of the District or related public entities, which are available to the public on MSRB’s Internet web site or filed with the Securities and Exchange Commission. The District shall clearly identify each such other document so included by reference.

The District hereby further covenants and agrees that it shall, for so long as the Bonds are Outstanding, provide to the MSRB, in an electronic format as prescribed by the MSRB:

- (1) on an annual basis, updates regarding the use of proceeds of the Bonds, substantially in the form attached to the Official Statement as Appendix G; and
- (2) one time, once all proceeds of the Bonds have been spent, a list of projects funded with the Bonds.

The foregoing information may, but need not, be provided as part of an Annual Report.

Section 5. Reporting of Significant Events.

(a) Pursuant to the provisions of this Section 5, the District shall give, or cause to be given, notice of the occurrence of any of the following events with respect to the Bonds:

- (i) principal and interest payment delinquencies;
- (ii) non-payment related defaults, if material;
- (iii) unscheduled draws on any reserve fund for the Bonds reflecting financial difficulties;
- (iv) unscheduled draws on any credit enhancements securing the Bonds reflecting financial difficulties;
- (v) substitution of any credit or liquidity providers, or their failure to perform;
- (vi) adverse tax opinions, the issuance by the Internal Revenue Service of proposed or final determinations of taxability, Notices of Proposed Issue (IRS Form 5701-TEB), or other material notices

or determinations with respect to the tax status of the Bonds, or other material events affecting the tax status of the Bonds;

- (vii) modifications to the rights of owners of the Bonds, if material;
- (viii) Bond calls, if material, and tender offers for the Bonds;
- (ix) defeasances;
- (x) any release, substitution, or sale of property securing repayment of the Bonds, if material;
- (xi) rating changes;

(xii) any bankruptcy, insolvency, receivership, or similar event of the District [this Listed Event is considered to occur when any of the following occur: the appointment of a receiver, fiscal agent, or similar officer for the District in a proceeding under the U.S. Bankruptcy Code or in any other proceeding under state or federal law in which a court or governmental authority has assumed jurisdiction over substantially all of the assets or business of the District, or if such jurisdiction has been assumed by leaving the existing governing body and officials or officers in possession but subject to the supervision and orders of a court or governmental authority, or the entry of an order confirming a plan of reorganization, arrangement, or liquidation by a court or governmental authority having supervision or jurisdiction over substantially all of the assets or business of the District;

(xiii) the consummation of a merger, consolidation, or acquisition involving the District or the sale of all or substantially all of the assets of the District, other than in the ordinary course of business, the entry into a definitive agreement to undertake such an action or the termination of a definitive agreement relating to any such actions, other than pursuant to its terms, if material;

(xiv) appointment of a successor or additional trustee or the change of name of a trustee, if material;

(xv) the incurrence of a financial obligation of the District, if material, or agreement to covenants, events of default, remedies, priority rights, or other similar terms of a financial obligation of the District, any of which affect security holders, if material; and

(xvi) default, event of acceleration, termination event, modification of terms, or other similar events under the terms of a financial obligation of the District, any of which reflect financial difficulties.

(b) Upon and after the occurrence of a Listed Event listed under subsection (a)(ii), (a)(vii), (a)(viii), (a)(x), (a)(xiii), (a)(xiv), (a)(xv) or (a)(xvi) above, the District shall as soon as possible determine if such event would be material under applicable federal securities laws. If the District determines that knowledge of the occurrence of such Listed Event would be material under applicable federal securities laws, the District shall promptly notify the Dissemination Agent in writing. Such notice shall instruct the Dissemination Agent to report the occurrence pursuant to subsection (d) below.

(c) Upon and after the occurrence of any Listed Event (other than a Listed Event listed under subsection (a)(ii), (a)(vii), (a)(viii), (a)(x), (a)(xiii), (a)(xiv), (a)(xv) or (a)(xvi) above), the District shall promptly notify the Dissemination Agent in writing. Such notice shall instruct the Dissemination Agent to report the occurrence pursuant to subsection (d) below.

(d) If the Dissemination Agent has been instructed by the District to report the occurrence of a Listed Event, the Dissemination Agent shall file a notice of such occurrence with MSRB in a timely manner not in excess of ten (10) business days after the occurrence of such Listed Event. Such notice must be submitted in an electronic format as prescribed by MSRB, accompanied by such identifying information as prescribed by MSRB.

Notwithstanding the foregoing, notice of a Listed Event described in subsection (a)(viii) need not be given under this subsection any earlier than the notice (if any) of the underlying event is given to owners of affected Bonds pursuant to the Indenture. The District hereby agrees that the undertaking set forth in this Disclosure Certificate is the responsibility of the District and that the Trustee or the Dissemination Agent shall not be responsible for determining whether the District's instructions to the Dissemination Agent under this Section 5 comply with the requirements of the Rule.

Section 6. Termination of Reporting Obligation. The District's and the Authority's obligations under this Disclosure Certificate shall be in effect from and after the execution and delivery of the Bonds and shall extend to the earlier of (i) the date all principal and interest on the Bonds shall have been deemed paid pursuant to the terms of the Indenture; or (ii) the date that the District or the Authority shall no longer constitute an "obligated person" within the meaning of the Rule.

Section 7. Enforcement. The obligations of the District and the Authority hereunder shall be for the benefit of the Participating Underwriter and the Owners of the Bonds, including Beneficial Owners of the Bonds. Unless otherwise required by law, no owners of the Bonds shall be entitled to damages for the District's or the Authority's non-compliance with its undertakings set forth in this Disclosure Certificate; however, the Participating Underwriter and Owners of the Bonds, including Beneficial Owners of the Bonds, may enforce specific performance of such undertakings by any judicial proceeding available. Breach of the undertakings of the District hereunder shall not constitute an event of default under the Indenture and none of the rights and remedies provided by the Indenture with respect to an event of default, shall be available to the Participating Underwriter or Owners of the Bonds, including Beneficial Owners.

Section 8. Dissemination Agent; Duties. The District may, from time to time, appoint or engage a Dissemination Agent to assist the District in carrying out its obligations under this Disclosure Certificate, and may discharge any such Dissemination Agent, with or without appointing a successor Dissemination Agent.

The Dissemination Agent shall have only such duties as are specifically set forth in this Disclosure Certificate. The obligations of the District under this Disclosure Certificate shall survive resignation or removal of the Dissemination Agent.

The Dissemination Agent shall be paid compensation by the District for its services provided hereunder in accordance with its schedule of fees as amended from time to time and shall be reimbursed by the District all expenses, legal fees and advances made or incurred by the Dissemination Agent in the performance of its duties hereunder. The Dissemination Agent's obligation to deliver the information at the times and with the contents described herein shall be limited to the extent the District has provided such information to the Dissemination Agent as required by this Disclosure Certificate. The Dissemination Agent shall have no duty with respect to the content of any disclosures or notice made pursuant to the terms hereof. The Dissemination Agent shall have no responsibility for the District's failure to report to the Dissemination Agent a Significant Event or a duty to determine the materiality thereof. The Dissemination Agent shall have no duty to determine or liability for failing to determine whether the District has complied with this Disclosure Certificate. The Dissemination Agent may conclusively rely upon certifications of the District at all times. Neither the Dissemination Agent nor the Trustee shall have any duty or obligation to review or verify any information provided to it hereunder or shall be deemed to be acting in any fiduciary capacity for the District or the Authority, the holders or beneficial owners of the Bonds, the Participating Underwriter or any other party. Any company succeeding to all or substantially all of the Dissemination Agent's corporate trust business shall be the successor to the Dissemination Agent hereunder without the execution or filing of any document or any further act.

Section 9. Amendment; Waiver. Notwithstanding any other provision of this Disclosure Certificate, the District and the Authority may amend this Disclosure Certificate, and any provision of this Disclosure Certificate may be waived, if (i) such amendment or waiver does not, in and of itself, cause the undertakings herein to violate the Rule, but taking into account any subsequent change in or official interpretation of the Rule, and (ii) the amendment or waiver either (a) is approved by the Owners of the Bonds in the same

manner as provided in the Indenture for amendments to the Indenture with the consent of Owners, or (b) does not, in the opinion of nationally recognized bond counsel, materially impair the interests of the Owners or Beneficial Owners of the Bonds. The District shall provide notice of any such amendment or waiver to each Repository.

In the event of any amendment or waiver of a provision of this Disclosure Certificate, the District shall describe such amendment in the next Annual Report, and shall include, as applicable, a narrative explanation of the reason for the amendment or waiver and its impact on the type (or, in the case of a change of accounting principles, on the presentation) of financial information or operating data being presented by the District. In addition, if the amendment related to the accounting principles to be followed in preparing financial statements, (i) notice of such change shall be given in the same manner as for a Significant Event under Section 5 and (ii) the Annual Report for the year in which the change is made should represent a comparison (in narrative form and also, if feasible, in quantitative form) between the financial statements as prepared on the basis of the new accounting principles and those prepared on the basis of the former accounting principles.

The Dissemination Agent may rely conclusively on any opinion of nationally recognized bond counsel delivered pursuant to the provisions of this Section 9, and shall have no duty to determine or liability for failing to determine whether any amendment made pursuant to this Section 9 is consistent with guidance provided by the SEC with regard to permitted amendments, or the manner of effecting such amendments, under the Rule.

Section 10. Additional Information. Nothing in this Disclosure Certificate shall be deemed to prevent the District or the Authority from disseminating any other information, using the means of dissemination set forth in this Disclosure Certificate or any other means of communication, or including any other information in any Annual Report or notice of occurrence of an event other than a Significant Event, in addition to that which is required by this Disclosure Certificate. If the District or the Authority chooses to include any information in any Annual Report or notice of the occurrence of an event other than a Significant Event in addition to what is specifically required by this Disclosure Certificate, neither the District nor the Authority shall have an obligation under this Disclosure Certificate to update such information or include it in any future Annual Report or notice of occurrence of a Significant Event.

Section 11. Beneficiaries. This Disclosure Certificate shall inure solely to the benefit of the District, the Authority, the Trustee, the Dissemination Agent, the Underwriter and Owners and Beneficial Owners from time to time of the Bonds, and shall create no rights in any other person or entity.

Section 12. Counterparts. This Disclosure Certificate may be executed in several counterparts, each of which shall be an original and all of which shall constitute but one and the same instrument.

Date: _____, 2021

**WEST COUNTY WASTEWATER
DISTRICT**

By: _____

**WEST COUNTY FACILITIES
FINANCING AUTHORITY**

By: _____

EXHIBIT A

**NOTICE TO MUNICIPAL SECURITIES RULEMAKING BOARD AND EACH
STATE REPOSITORY OF FAILURE TO FILE ANNUAL REPORT**

Name of Issuer: WEST COUNTY FACILITIES FINANCING AUTHORITY

Name of Issue: 2021 Wastewater Revenue Bonds

Date of Issuance: September 30, 2021

NOTICE IS HEREBY GIVEN that the District has not provided an Annual Report with respect to the above-named Certificates as required by the Continuing Disclosure Certificate, dated September 1, 2021, executed by the West County Wastewater District and the West County Facilities Financing Authority. The District and the Authority anticipate that the Annual Report will be filed by _____.

Date: _____, 20__

WEST COUNTY WASTEWATER DISTRICT

By: _____

WEST COUNTY FACILITIES FINANCING
AUTHORITY

By: _____

APPENDIX E

INFORMATION CONCERNING DTC

The information in this Appendix concerning DTC and DTC's book-entry only system has been obtained from sources that the Authority, the District and the Underwriter believe to be reliable, but none of the Authority, the District or the Underwriter take any responsibility for the completeness or accuracy thereof. The following description of the procedures and record keeping with respect to beneficial ownership interests in the Bonds, payment of principal, premium, if any, accreted value and interest on the Bonds to DTC Participants or Beneficial Owners, confirmation and transfers of beneficial ownership interests in the Bonds and other related transactions by and between DTC, the DTC Participants and the Beneficial Owners is based solely on information provided by DTC.

The Depository Trust Company ("DTC"), New York, NY, will act as securities depository for the Bonds. The Bonds will be issued as fully-registered securities registered in the name of Cede & Co. (DTC's partnership nominee) or such other name as may be requested by an authorized representative of DTC. One fully registered bond will be issued for each annual maturity of the Bonds, each in the aggregate principal amount of such annual maturity, and will be deposited with DTC.

DTC, the world's largest securities depository, is a limited-purpose trust company organized under the New York Banking Law, a "banking organization" within the meaning of the New York Banking Law, a member of the Federal Reserve System, a "clearing corporation" within the meaning of the New York Uniform Commercial Code, and a "clearing agency" registered pursuant to the provisions of Section 17A of the Securities Exchange Act of 1934. DTC holds and provides asset servicing for over 3.5 million issues of U.S. and non-U.S. equity issues, corporate and municipal debt issues, and money market instruments (from over 100 countries) that DTC's participants ("Direct Participants") deposit with DTC. DTC also facilitates the post trade settlement among Direct Participants of sales and other securities transactions in deposited securities, through electronic computerized book-entry transfers and pledges between Direct Participants' accounts. This eliminates the need for physical movement of securities certificates. Direct Participants include both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, clearing corporations, and certain other organizations. DTC is a wholly-owned subsidiary of The Depository Trust & Clearing Corporation ("DTCC"). DTCC is the holding company for DTC, National Securities Clearing Corporation and Fixed Income Clearing Corporation, all of which are registered clearing agencies. DTCC is owned by the users of its regulated subsidiaries. Access to the DTC system is also available to others such as both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, and clearing corporations that clear through or maintain a custodial relationship with a Direct Participant, either directly or indirectly ("Indirect Participants"). DTC has a Standard & Poor's rating of AA+. The DTC Rules applicable to its Participants are on file with the Securities and Exchange Commission. More information about DTC can be found at www.dtcc.com.

Purchases of Bonds under the DTC system must be made by or through Direct Participants, which will receive a credit for the Bonds on DTC's records. The ownership interest of each actual purchaser of each Bond ("Beneficial Owner") is in turn to be recorded on the Direct and Indirect Participants' records. Beneficial Owners will not receive written confirmation from DTC of their purchase. Beneficial Owners are, however, expected to receive written confirmations providing details of the transaction, as well as periodic statements of their holdings, from the Direct or Indirect Participant through which the Beneficial Owner entered into the transaction. Transfers of ownership interests in the Bonds are to be accomplished by entries made on the books of Direct and Indirect Participants acting on behalf of Beneficial Owners. Beneficial Owners will not receive bonds representing their ownership interests in the Bonds, except in the event that use of the book-entry system for the Bonds is discontinued.

To facilitate subsequent transfers, all Bonds deposited by Direct Participants with DTC are registered in the name of DTC's partnership nominee, Cede & Co., or such other name as may be requested by an authorized representative of DTC. The deposit of Bonds with DTC and their registration in the name of Cede & Co. or such

other DTC nominee do not effect any change in beneficial ownership. DTC has no knowledge of the actual Beneficial Owners of the Bonds; DTC's records reflect only the identity of the Direct Participants to whose accounts such Bonds are credited, which may or may not be the Beneficial Owners. The Direct and Indirect Participants will remain responsible for keeping account of their holdings on behalf of their customers.

Conveyance of notices and other communications by DTC to Direct Participants, by Direct Participants to Indirect Participants, and by Direct Participants and Indirect Participants to Beneficial Owners will be governed by arrangements among them, subject to any statutory or regulatory requirements as may be in effect from time to time. Beneficial Owners of Bonds may wish to take certain steps to augment the transmission to them of notices of significant events with respect to the Bonds, such as redemptions, tenders, defaults, and proposed amendments to the Bond documents. For example, Beneficial Owners of Bonds may wish to ascertain that the nominee holding the Bonds for their benefit has agreed to obtain and transmit notices to Beneficial Owners. In the alternative, Beneficial Owners may wish to provide their names and addresses to the registrar and request that copies of notices be provided directly to them.

Redemption notices shall be sent to DTC. If less than all of the Bonds within a maturity are being redeemed, DTC's practice is to determine by lot the amount of the interest of each Direct Participant in such maturity to be redeemed.

Neither DTC nor Cede & Co. (nor any other DTC nominee) will consent or vote with respect to Bonds unless authorized by a Direct Participant in accordance with DTC's MMI Procedures. Under its usual procedures, DTC mails an Omnibus Proxy to the Authority as soon as possible after the record date. The Omnibus Proxy assigns Cede & Co.'s consenting or voting rights to those Direct Participants to whose accounts Bonds are credited on the record date (identified in a listing attached to the Omnibus Proxy).

Redemption proceeds, distributions, and dividend payments on the Bonds will be made to Cede & Co., or such other nominee as may be requested by an authorized representative of DTC. DTC's practice is to credit Direct Participants' accounts upon DTC's receipt of funds and corresponding detail information from the Authority or the Trustee, on payable date in accordance with their respective holdings shown on DTC's records. Payments by Participants to Beneficial Owners will be governed by standing instructions and customary practices, as is the case with securities held for the accounts of customers in bearer form or registered in "street name," and will be the responsibility of such Participant and not of DTC, the Trustee, or the Authority, subject to any statutory or regulatory requirements as may be in effect from time to time. Payment of redemption proceeds, distributions, and dividend payments to Cede & Co. (or such other nominee as may be requested by an authorized representative of DTC) is the responsibility of the Authority or the Trustee, disbursement of such payments to Direct Participants will be the responsibility of DTC, and disbursement of such payments to the Beneficial Owners will be the responsibility of Direct and Indirect Participants.

A Bond Owner shall give notice to elect to have its Bonds purchased or tendered, through its Participant, to the Trustee, and shall effect delivery of such Bonds by causing the Direct Participant to transfer the Participant's interest in the Bonds, on DTC's records, to the Trustee. The requirement for physical delivery of Bonds in connection with an optional tender or a mandatory purchase will be deemed satisfied when the ownership rights in the Bonds are transferred by Direct Participants on DTC's records and followed by a book-entry credit of tendered Bonds to the Trustee's DTC account.

DTC may discontinue providing its services as depository with respect to the Bonds at any time by giving reasonable notice to the Authority or the Trustee. Under such circumstances, in the event that a successor depository is not obtained, physical certificates are required to be printed and delivered.

The Authority may decide to discontinue use of the system of book-entry only transfers through DTC (or a successor securities depository). In that event, Bonds will be printed and delivered to DTC.

THE TRUSTEE, AS LONG AS A BOOK-ENTRY ONLY SYSTEM IS USED FOR THE BONDS, WILL SEND ANY NOTICE OF REDEMPTION OR OTHER NOTICES TO OWNERS ONLY TO DTC. ANY FAILURE OF DTC TO ADVISE ANY DTC PARTICIPANT, OR OF ANY DTC PARTICIPANT TO NOTIFY ANY BENEFICIAL OWNER, OF ANY NOTICE AND ITS CONTENT OR EFFECT WILL NOT AFFECT THE VALIDITY OF SUFFICIENCY OF THE PROCEEDINGS RELATING TO THE REDEMPTION OF THE BONDS CALLED FOR REDEMPTION OR OF ANY OTHER ACTION PREMISED ON SUCH NOTICE.

[THIS PAGE INTENTIONALLY LEFT BLANK]

APPENDIX F

AUDITED FINANCIAL STATEMENTS
OF WEST COUNTY WASTEWATER DISTRICT

[THIS PAGE INTENTIONALLY LEFT BLANK]



WEST COUNTY WASTEWATER DISTRICT
Richmond, CA

COMPREHENSIVE ANNUAL FINANCIAL REPORT

**For the Fiscal Years Ended
June 30, 2020 and 2019**

**Prepared by:
Administrative Services Department**

This page intentionally left blank

**WEST COUNTY WASTEWATER DISTRICT
COMPREHENSIVE ANNUAL FINANCIAL REPORT
FOR THE FISCAL YEAR ENDED JUNE 30, 2020**

TABLE OF CONTENTS

	<u>Page Number</u>
<u>Introductory Section</u>	
Letter of Transmittal	4 - 7
Certificates of Achievement	8 - 9
Mission Statement, Vision, and Core Values	10-11
Principal Officials and Management	12
Organization Chart	13
District Map	14
<u>Financial Section</u>	
Independent Auditors' Report	18 - 20
Management's Discussion and Analysis	22 - 27
Basic Financial Statements:	
Statement of Net Assets	29
Statement of Revenues, Expenses and Changes in Net Assets	30
Statement of Cash Flows	31
Notes to Financial Statements	32 - 62
<u>Required Supplementary Information Section</u>	
Schedule of Proportionate Share of the Plan's Net Pension Liability	65
Schedule of Pension Plan Contributions	65
Schedule of Changes in the Net OPEB Liability and Related Ratios	66
Schedule of OPEB Contributions	67
<u>Statistical Section (Unaudited)</u>	
Table of Contents	70
Introduction	72
Financial Trends	73 - 77
Revenue Capacity	78 - 81
Debt Capacity	82 - 83
Demographic and Economic Information	83 - 87
Operating Information	88 - 89
Independent Auditors' Report on Internal Control over Financial Reporting and on Compliance and Other Matters Based on an Audit of Financial Statements Performed in Accordance with Government Auditing Standards	90

This page intentionally left blank

INTRODUCTORY SECTION

This page intentionally left blank



December 16, 2020

To the Honorable Board of Directors and
Community of the West County Wastewater District:

State statutes require an annual audit by an independent certified public accountant. This report is published to fulfill that requirement for the year ended June 30, 2020.

Management assumes full responsibility for the completeness and reliability of the information contained in this report, based upon a comprehensive framework of internal controls that it has established for this purpose. Cost of internal control should not exceed anticipated benefits; therefore the objective is to provide reasonable, rather absolute, assurance that the financial statements are free of any material misstatement.

Cropper Accountancy Corporation, Certified Public Accountants, have issued and unmodified opinion on the West County Wastewater District's (District) financial statements for the year ended June 30, 2020. The independent auditor's report is located at the front of the financial section of this report.

Management's discussion and analysis (MD&A) immediately follows the independent auditors report and provides a narrative introduction, overview and analysis of the basic financial statements, complements this letter of transmittal and should be read in conjunction with it.

PROFILE OF THE DISTRICT

The District (formerly the San Pablo Sanitary District) was organized on December 19, 1921 and reorganized under the Sanitary District Act of 1923. In 1978, the District changed its name to West Contra Costa County Sanitary District and in 1992 changed the name again to West County Wastewater District. The District has existed for 99 years to protect public health and the environment by safely and responsibly collecting and treating wastewater - keeping our community safe, while helping to make our planet better for future generations.

The District is an independent Special District and is not financially responsible for any other governmental entity nor is a component unit of another governmental entity.

The District prepares a Two-Year Comprehensive Budget that is approved by the Board of Directors.

The District is located in the western section of Contra Costa County approximately 20 miles northeast of San Francisco and 12 miles north of Oakland. The District's service area encompasses 16.9 square miles all within Contra Costa County. Roughly 6.9 square miles (or 40% of the total) lie within the boundaries of the City of Richmond, 2.5 square miles (or 15% of the total) lie within the City of San Pablo, 0.4 square miles (or 2% of the total) within the City of Pinole and the remaining 7.2 square miles (or 43% of the total) are within unincorporated areas of Contra Costa County. The District's service area is fairly hilly, typical of the California coastal region. The population of the District is approximately 102,000. The District contains approximately 38,000 parcels. The District is governed by a five member Board of Directors elected at large for four-year over-lapping terms. The President is elected by members of the Board, customarily for a one-year term of the office. The District's daily functions are administered by a General Manager who serves at the pleasure of the Board of Directors.

The District's operation includes sewage collection, treatment, disposal, and reuse. The District also provided contract services to neighboring communities to maintain various local government facilities. Since February 1977, the District participates in the West County Agency (WCA), a joint powers authority, with the City of Richmond, and the Richmond Municipal Sewer District for the purpose of constructing and maintaining effluent and sludge disposal facilities.

The US Environmental Protection Agency, the California Regional Water Control Board, the California Health Services Department, as well as other regulatory agencies provide the permits and standards that the District must meet in order to treat, collection, recycle, reuse, and dispose of wastewater.

LOCAL ECONOMY

The COVID-19 pandemic has greatly caused a shift in the local economy causing a sharp down turn in the last quarter of FY 2020. The way of life has changed with local and state stay at home orders. The bright spot throughout the pandemic has been the real estate market. In June 2020 the median sales price in San Pablo was \$500,000, a 16% increase compared to the same time in 2019. Other areas of the District including Richmond and El Sobrante have seen similar increases in median home sales prices.

The District's Board of Directors maintains sound fiscal policies and closely monitors expenses. The District's annual Environmental Quality (Sewer Use) Charge increased 11% to \$639 up per single family residence for Fiscal Year 2020 and even with this increase it remains one of the lowest among neighboring sanitary sewer providers.

LONG TERM PLANNING

Environmental Quality (Sewer Use) Charge revenues are the main source of revenue for the District. The District partially funds capital replacement costs through operating revenues. The District has established various reserves including; Insurance Funds Reserve, State Revolving Loan Fund Reserve, and Operating and Capital Reserves. The District's Board of Directors reviews reserve levels annually as part of the budget process to determine whether the levels established provide for the

financial security required of a fiscally responsible local government.

In addition to the Environmental Quality (Sewer Use) Charge, other sources of revenues include; fees for new connections, permits and inspections, land leases, contract services, property taxes, and interest, any of which may be used to fund capital asset additions and replacements. The District has secured low interest loans and grants from the State Water Resources Control Board to provide funding for certain capital projects.

RELEVANT FINANCIAL POLICIES

A utility or other enterprise government agency is a self-supporting operation of commercial nature and the appropriate level of revenues and expenses is largely determined by the demand for service. Depending on the timing and level of demand for service, the expenses will vary. Accordingly the District's budgetary controls are established at the levels of total estimated expenses.

MAJOR INITIATIVES

In FY 2020 the Board of Directors adopted a new five year strategic plan that outlines the work of the District over the next five years, which include the following six strategic goals:

Strategic Goal 1: Adopt infrastructure maintenance and modernization strategies that maximize performance, reduce risk and ensure reliable service in collaboration with local, regional and national partners to further the mission of the District.

Strategic Goal 2: Be an environmental steward in our community through a commitment to reducing carbon emissions, maximizing resource recovery, minimizing our environmental footprint and making significant strides toward becoming a carbon-neutral enterprise.

Strategic Goal 3: Promote financial policies and practices that support sustainability, integrity, innovation and responsible resource allocation for the organization.

Strategic Goal 4: Identify and leverage information and data management systems to ensure responsible infrastructure management and promote an effective and innovative organization.

Strategic Goal 5: Recruit, develop, inspire and retain employees who embrace West County Wastewater's identity, values and culture, while also providing a working environment that supports and rewards their efforts.

Strategic Goal 6: Engage with our community, enhancing the image of West County Wastewater and building awareness of our role in keeping our community healthy.

AWARDS AND ACKNOWLEDGEMENT

In recognition of its outstanding work, the District has achieved Platinum and Gold awards from the National Association of Clean Water Agencies (NACWA) for 17 consecutive years in recognition of compliance with its National Pollutant Discharge Elimination System (NPDES) permit.

The Government Finance Officers Association of the United States and Canada (GFOA) awarded the Certificate of Achievement for Excellence in Financial Reporting to West County Wastewater District for its comprehensive annual financial report (CAFR) for the fiscal year ending June 30, 2019. This was the 21st consecutive year that the District has been recognized for its financial reporting. In order to be awarded, a government must publish an easily readable and efficiently organized CAFR. This report must satisfy both generally accepted accounting principles (GAAP) and applicable legal requirements.

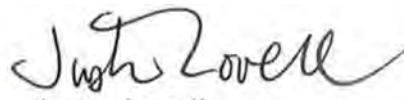
A Certificate of Achievement is valid for a period on one year only. We believe that our current CAFR continued to meet the certificate of Achievements Program's requirement and we submitting this CAFR to the GFOA to determine its eligibility for another certificate.

The preparation of this report would not have been possible without the efficient and dedicated services of the members of the Administrative Services Department. Management wishes to express its appreciation to all staff that assisted and contributed to the preparation of this report, especially, the Districts Finance Supervisor, Dean Prater. Credit also must be given to the Board of Directors in the planning and implementation of the financial affairs of the District.

Respectfully submitted,



Lisa K. Malek-Zadeh
General Manger



Justin Lovell
Administrative Services Department Manager

The District received the Government Finance Officers Association of the United States and Canada (GFOA) Certificate of Achievement award for Excellence in Financial Reporting for its Comprehensive Annual Financial Report (CAFR) for the fiscal year ending June 30, 2019.



Government Finance Officers Association

Certificate of
Achievement
for Excellence
in Financial
Reporting

Presented to

**West County Wastewater District
California**

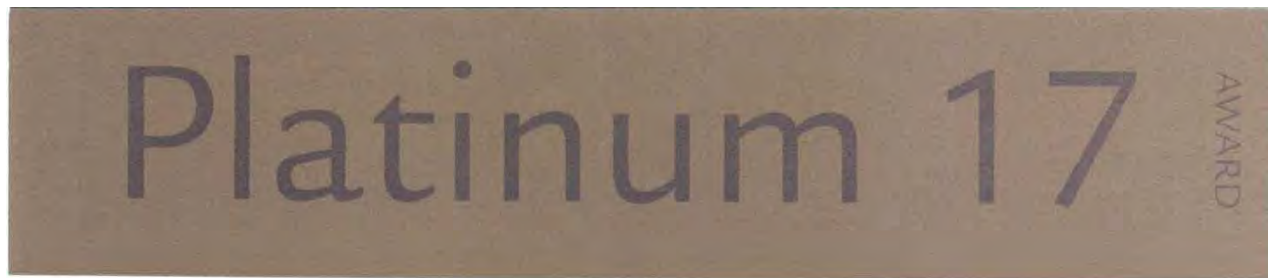
For its Comprehensive Annual
Financial Report
For the Fiscal Year Ended

June 30, 2019

Christopher P. Morill

Executive Director/CEO

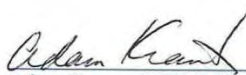
The District received the National Association of Clean Water Agencies (NACWA) Platinum 17 Peak Performance Award in recognition of seventeen years of complete and consistent National Pollutant Discharge Elimination System (NPDES) permit compliance.



The National Association of Clean Water Agencies
is pleased to present this award to

West County Wastewater District, CA
Water Pollution Control Plant

in recognition of seventeen years of complete and consistent National
Pollutant Discharge Elimination System permit compliance.


Adam Krantz, NACWA Chief Executive Officer

October 28, 2020
Date Issued



WEST COUNTY WASTEWATER DISTRICT

Mission Statement, Vision Statement, Core Values and Strategic Goals

Mission Statement

The Mission Statement defines the District's purpose. It describes what we do, who we are doing it for, and how we do it. It is a path forward toward reaching our vision. It is the foundation of how our organization operates.

Our Mission: Protect public health through safe, responsible wastewater collection and treatment, recovering the water for reuse and promoting environmental stewardship for our community.

Vision

The Vision Statement is the aspirational description of how we see the future of our organization. It harnesses the Board of Directors' foresight into a single statement and inspires staff to be part of something bigger than themselves.

Our Vision: Create a holistic plan for environmental stewardship through efficient wastewater management, extensive community engagement, inspirational leadership and integrated partnerships

Core Values

The District's Core Values describe our organization's culture. They are the tenets that describe the way the District will achieve its vision and mission. Our philosophical approach is people over process:

- ***Service*** - Delivering value with humility, agility and reliability
- ***Trust*** - Starts with truth and ends with truth
- ***Collaboration*** - More than the sum of our parts
- ***Leadership*** - Be an example that inspires others
- ***Accountability*** - If it is to be, it's up to me
- ***Sustainability*** - Securing what we have for what will be

Strategic Goals

Strategic goals are informed by the vision and mission of the District. They define the direction provided by the Board to staff in order to move the District forward. Each strategic goal is a broad statement of what the District hopes to achieve over the next five years. It is more qualitative than quantitative in nature.

The District Goals are supported by Objectives (steps toward the overarching Strategic Goal) and Milestones (measurable accomplishments). Below is the list of Strategic Goals established by the Board of Directors:

- 1. Adopt infrastructure maintenance and modernization strategies that maximize performance, reduce risk and ensure reliable service in collaboration with local, regional and national partners to further the mission of the District.***
- 2. Be an environmental steward in our community through a commitment to reducing carbon emissions, maximizing resource recovery, minimizing our environmental footprint and making significant strides toward becoming a carbon-neutral enterprise.***

3. *Promote financial policies and practices that support sustainability, integrity, innovation and responsible resource allocation for the organization.*
4. *Identify and leverage information and data management systems to ensure responsible infrastructure management and promote an effective and innovative organization.*
5. *Recruit, develop, inspire and retain employees who embrace West County Wastewater's identity, values and culture, while also providing a working environment that supports and rewards their efforts.*
6. *Engage with our community, enhancing the image of West County Wastewater and building awareness of our role in keeping our community healthy.*

**WEST COUNTY WASTEATER DISTRICT
Principal Officials and Management**

BOARD OF DIRECTORS

David Alvarado
President

Cheryl Sudduth
Vice President

Sherry Stanley
Director

Harry Wiener
Director

Cesar Zepeda
Director

General Counsel

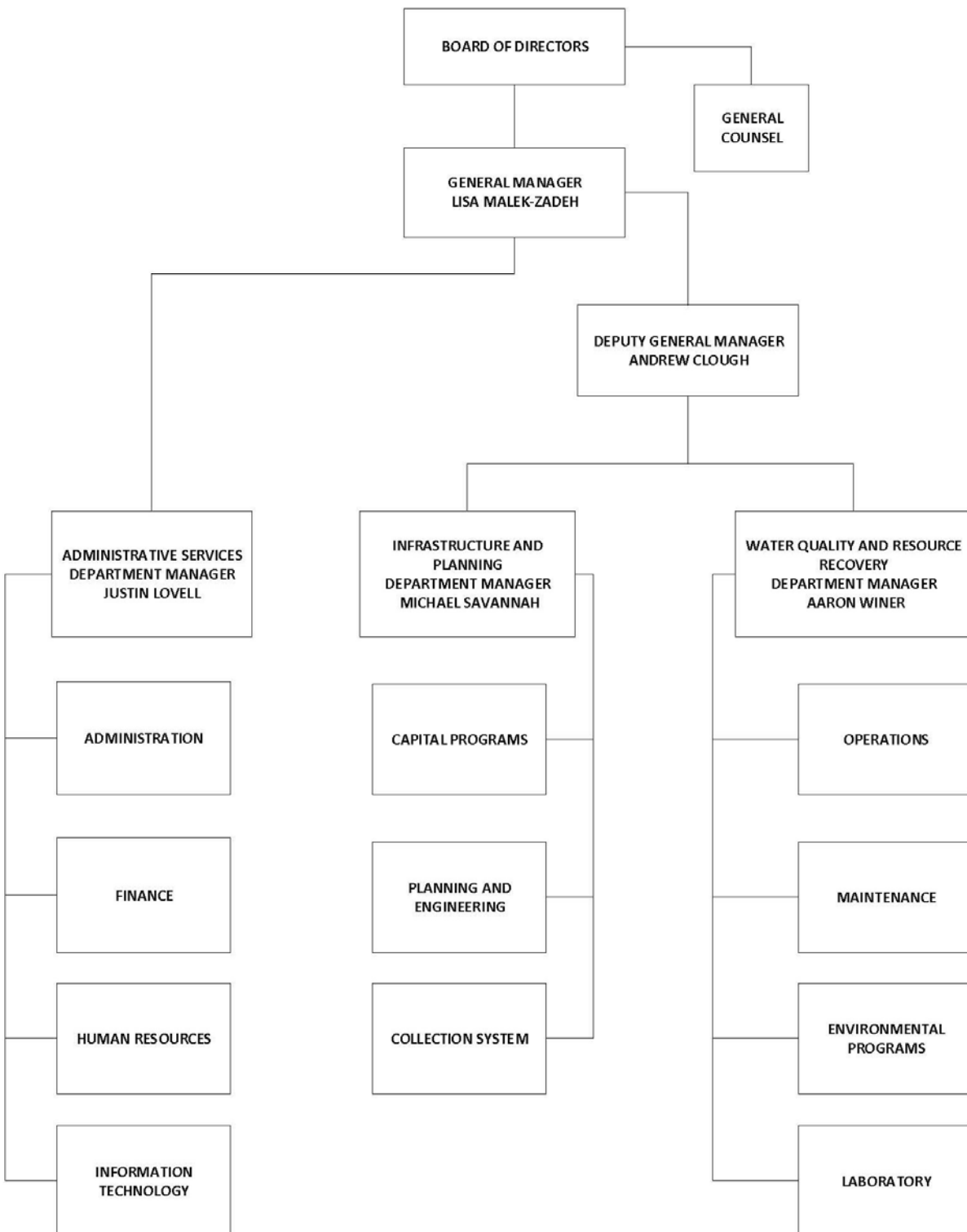
Claire Hervey Collins, Partner
Hanson Bridgett LLP

Management

Lisa Malek-Zadeh, General Manager
Andrew Clough, Deputy General Manager
Justin Lovell, Administrative Service Department Manager
Michael Savannah, Infrastructure & Planning Department Manager
Aaron Winer, Water Quality & Resource Recovery Department Manager

WEST COUNTY WASTEWATER DISTRICT

Organizational Structure Chart



WEST COUNTY WASTEWATER DISTRICT District Map

The District is located in the western section of Contra Costa County, approximately 20 miles northeast of San Francisco and 12 miles north of Oakland. The District's service area encompasses 16.9 square miles. Roughly 6.9 square miles lie within the boundaries of the City of Richmond, 2.5 square miles lie within the City of San Pablo, 0.4 square miles lie within the City of Pinole and the remaining 7.2 square miles are within the unincorporated areas of Contra Costa County. The District's service area is fairly hilly, typical of the California coastal region.



This page intentionally left blank

FINANCIAL SECTION

This page intentionally left blank

INDEPENDENT AUDITORS' REPORT

To the Board of Directors
West County Wastewater District
Richmond, California

We have audited the accompanying financial statements of the business-type activities of West County Wastewater District as of and for the years ended June 30, 2020 and 2019, and the related notes to the financial statements, which collectively comprise the District's basic financial statements as listed in the table of contents.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with accounting principles generally accepted in the United States of America; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

Auditors' Responsibility

Our responsibility is to express opinions on these financial statements based on our audit. We conducted our audit in accordance with auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Opinion

In our opinion, the financial statements referred to above present fairly, in all material respects, the respective financial position of the business-type activities of West County Wastewater District as of June 30, 2020 and 2019, and the respective changes in financial position and, where applicable, cash flows thereof for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Other Matters

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the management's discussion and analysis on pages 22 – 27, the Schedule of the District's Proportionate Share of the Plan's Pension Liability and Schedule of The District's Contributions to the Pension Plan on page 65, Schedule of Changes in the Net OPEB Liability and Related Ratios on page 66, and Schedule of OPEB Contributions on page 67 be presented to supplement the basic financial statements. Such information, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board, who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with auditing standards generally accepted in the United States of America, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Other Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise West County Wastewater District's basic financial statements. The introductory section and statistical section are presented for purposes of additional analysis and are not a required part of the basic financial statements.

The supplementary information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. Such information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the supplementary information is fairly presented, in all material respects, in relation to the basic financial statements as a whole.

The introductory and statistical sections have not been subjected to the auditing procedures applied in the audit of the basic financial statements and, accordingly, we do not express an opinion or provide any assurance on them.

Other Reporting Required by Government Auditing Standards

In accordance with *Government Auditing Standards*, we have also issued our report dated December 30, 2020, on our consideration of the District's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements and other matters. The purpose of that report is to describe the scope of our testing of internal control over financial reporting and on compliance and the results of that testing, and not to provide an opinion on internal control over financial reporting or on compliance. That report is an integral part of an audit

performed in accordance with *Government Auditing Standards* in considering the District's internal control over financial reporting and compliance.

Cropper Accountancy Corporation
CROPPER ACCOUNTANCY CORPORATION
Walnut Creek, California
December 30, 2020

This page intentionally left blank

WEST COUNTY WASTEWATER DISTRICT
Management's Discussion and Analysis
For the Fiscal Years Ending June 30, 2020 and 2019

Management's Discussion and Analysis ("MD&A") is designed to focus on the current and prior year's activities, resulting changes, and currently known facts. It should be read in conjunction with the District's basic financial statements. The MD&A also provides information regarding the economic factors affecting the District and financial contact information.

FINANCIAL HIGHLIGHTS

- The District's overall financial net position improved during fiscal year 2020. The District had a net position balance of \$106.3 million at June 30, 2020. Total net position was comprised of net invested in capital assets of \$80.2 million, restricted for debt service of \$2.8 million, and unrestricted net position of \$23.3 million. Net position increased by \$2.3 million for fiscal year 2020 and \$7.5 million for fiscal year 2019.
- The District's total operating revenues for fiscal year 2020 were \$26.0 million and total operating expenses were \$26.8 million, resulting in operating loss of \$0.8 million. This compares to operating income of \$4.1 million for fiscal year 2019 and \$2.1 million for fiscal year 2018.
- The District's non-operating revenues for fiscal year 2020 were \$3.0 million, consisting of property taxes, redevelopment allocation, rental income, and investment earnings. This compares to \$3.0 million for fiscal year 2019 and \$2.0 million for fiscal year 2018. Non-operating expenses for fiscal year 2020 were \$302,000, consisting primarily of interest expense on loans. This compares to \$451,000 for fiscal year 2019, consisting primarily of interest expense on loans. This compares to \$487,000 for fiscal year 2018, consisting of interest expense and loss on disposal of assets.
- Capital contributions were \$579,000 for fiscal year 2020, comprised of customer connection fees. This compares to capital contributions of \$809,000 for fiscal year 2019, comprised of State capital construction grants (\$355,000 and customer connection fees (\$454,000). Capital contributions were \$3.4 million for fiscal year 2018, comprised of State capital construction grants (\$2.0 million) and customer connection fees (\$1.4 million).

USING THE COMPREHENSIVE ANNUAL FINANCIAL REPORT

The comprehensive annual financial report consists of this MD&A, a series of basic financial statements (described below) and notes to those statements. These statements are organized so the reader can understand the District as a financial whole. The statements provide an increasingly detailed look at specific financial activities. The basic financial statements also include notes that explain some of the information in the financial statements and provide more detailed data.

BASIC FINANCIAL STATEMENTS

The District consists exclusively of one Enterprise (Business) Fund. Enterprise funds utilize the full accrual basis of accounting. The Enterprise method of accounting is similar to accounting utilized by the private sector accounting.

Statement of Net Position: The Statement of Net Position is designed to report the available assets, deferred outflows, liabilities, deferred inflows, and net position for the District. Net Position is reported in three broad categories within the Statement of Net Position:

- **Net investment in Capital Assets:** This component of Net Position consists of all Capital Assets, reduced by the outstanding balances of any bonds, mortgages, notes or other borrowings that are attributable to the acquisition, construction, or improvement of those assets.
- **Restricted:** This component of Net Position consists of restricted assets; when constraints are placed on the asset by creditors (such as debt covenants), grantors, contributors, laws, regulations, etc.
- **Unrestricted:** Consists of Net Position that does not meet the definition of “Net Investment in Capital Assets,” or “Restricted.”

Statement of Revenues, Expenses and Changes in Net Position: This statement is similar to an Income Statement and includes Operating Revenues and Expenses, and Non-Operating Revenue and Expenses. The focus of this Statement is the “Change in Net Position”, which is similar to Net Income or Loss.

Statement of Cash Flows: This statement discloses net cash provided by, or used for, operating activities, non-capital financing activities, and from capital and related financing activities.

SUMMARY OF THE STATEMENT OF NET POSITION

The following table reflects the condensed statement of Net Position for the current and two preceding fiscal years. The District is engaged only in Business-Type Activities.

	2020	2019	2018	% Increase (Decrease) 2020 vs. 2019	% Increase (Decrease) 2019 vs. 2018
Assets:					
Current Assets	\$ 47,215,329	\$ 42,004,508	\$ 32,777,950	12.41%	28.15%
Capital Assets	115,302,073	116,917,945	116,926,919	-1.38%	-0.01%
Other Non-Current Assets					
Total Assets	162,517,402	158,922,453	149,704,869	2.26%	6.16%
Deferred Outflows of Resources	3,650,038	3,637,274	5,401,992	0.35%	-32.67%
Total Assets and Deferred Outflows of Resources	\$ 166,167,440	\$ 162,559,727	\$ 155,106,861	2.22%	4.80%
Liabilities:					
Current Liabilities	\$ 8,099,666	\$ 7,624,735	\$ 9,450,768	6.23%	-19.32%
Non-Current Liabilities	49,064,631	49,724,389	48,003,012	-1.33%	3.59%
Total Liabilities	57,164,297	57,349,124	57,453,780	-0.32%	-0.18%
Deferred Inflows of Resources	2,718,489	1,234,654	1,172,404	120.18%	5.31%
Net Position:					
Net Investment in Capital Assets	80,174,152	82,260,957	85,238,747	-2.54%	-3.49%
Restricted	2,814,140	2,134,873	1,861,014	31.82%	14.72%
Unrestricted	23,296,362	19,580,119	9,380,916	18.98%	108.72%
Total Net Position	106,284,654	103,975,949	96,480,677	2.22%	7.77%
Total Liabilities, Deferred Inflows of Resources and Net Position	\$ 166,167,440	\$ 162,559,727	\$ 155,106,861	2.22%	4.80%

Major Factors Affecting the Statement of Net Position

- 98% of current assets consist of cash and equivalents at June 30, 2020. Current assets increased by \$5.2 million from fiscal year 2019 to 2020, primarily due to receipts in excess of expenditures. Current assets increased by \$9.2 million from fiscal year 2018 to 2019, primarily due to receipts in excess of expenditures.

- See Table 3 for a discussion of Capital Asset changes and Table 4 for a discussion of loan activity.
- Deferred outflows of resources increased by \$13,000 from fiscal year 2019 to 2020 and decreased by \$1.8 million from fiscal year 2018 to 2019, as a result of GASB 68 and 75 Deferred Outflows. This is discussed in the Notes 7 and 8 to Financial Statements.
- Current liabilities consist of accounts payable, accrued expenses, payroll related liabilities, the current portion of loans, and interest payable. Current liabilities increased \$475,000 from fiscal year 2019 to 2020 and decreased \$1.8 million from fiscal year 2018 to 2019, primarily due to capital asset spending.
- Non-current liabilities decreased by \$660,000 from fiscal year 2019 to 2020, primarily due to an increase in net loan borrowings and interest payable (\$385,000), less decreases in net pension, OPEB and compensated absences liabilities (\$1,045,000). Non-current liabilities increased from fiscal year 2018 to 2019 by \$1.7 million, primarily due to net loan borrowings and interest payable (\$2.7 million) less decreases in net pension, OPEB and compensated absences liabilities (\$1.0 million).
- The District had outstanding debt of \$35.1 million at June 30, 2020 and \$34.7 million at June 30, 2019. See Table 4 for a discussion of loan activity.
- Net Position invested in capital assets decreased from fiscal year 2019 to 2020 by \$2.1 million due to the decrease in net loan proceeds (\$0.5 million) and depreciation (\$5.7 million) over capital additions (\$4.1 million). Net Position invested in capital assets decreased from fiscal year 2018 to 2019 by \$3.0 million due to the excess of net loan proceeds (\$3.0 million) and depreciation (\$4.6 million) over capital additions (\$4.6 million).
- Net Position unrestricted increased by \$3.7 million from fiscal year 2019 to 2020, due to the excess of revenue over expense of \$2.3 million, a decrease in net investment in capital assets of \$2.1 million, less a \$0.7 million increase in Restricted fund balance. Net Position unrestricted increased by \$10.2 million from fiscal year 2018 to 2019, due to the excess of revenue over expense of \$7.5 million, a decrease in net investment in capital assets of \$3.0 million, less a \$0.3 million increase in Restricted fund balance.

SUMMARY OF THE STATEMENT OF REVENUES, EXPENSES AND CHANGES IN NET POSITION

Table 2 presents the revenues and expenses for the current and two preceding fiscal years. The District is engaged only in Business-Type Activities.

	2020	2019	2018	% Increase (Decrease) 2020 vs. 2019	% Increase (Decrease) 2019 vs. 2018
Revenues					
Operating revenues					
Sewer use charge	\$ 25,625,752	\$ 23,795,768	\$ 21,216,484	7.69%	12.16%
Inspection/permit fees	192,230	277,981	231,481	-30.85%	20.09%
Contract services	69,193	87,091	106,279	-20.55%	-18.05%
Other revenue	91,056	48,072	25,760	89.42%	86.61%
Total operating revenues	25,978,231	24,208,912	21,580,004	7.31%	12.18%
Non-operating revenues					
Property taxes	1,257,113	1,192,713	1,082,059	5.40%	10.23%
Redevelopment allocation	339,844	322,356	312,470	5.43%	3.16%
Rental income	507,694	675,254	311,948	-24.81%	116.46%
Investment earnings	922,465	817,201	298,133	12.88%	174.11%
Total non-operating revenues	3,027,116	3,007,524	2,004,610	0.65%	50.03%
Total revenues	29,005,347	27,216,436	23,584,614	6.57%	15.40%
Expenses					
Operating expenses	26,806,445	20,079,503	19,494,299	33.50%	3.00%
Non-operating expenses	469,172	450,741	487,276	4.09%	-7.50%
Total expenses	27,275,617	20,530,244	19,981,575	32.86%	2.75%
Increase (decrease) before capital contributions	1,729,730	6,686,192	3,603,039	-74.13%	85.57%
Capital contributions:					
State capital grants		354,885	2,034,947	-100.00%	
Connection fees	578,975	454,195	1,423,356	27.47%	-68.09%
Total capital contributions	578,975	809,080	3,458,303	-28.44%	-76.60%
Change in net position	2,308,705	7,495,272	7,061,342	-69.20%	6.15%
Net position, beginning	103,975,949	96,480,677	93,344,056	7.77%	3.36%
Prior period adjustments	-	-	(3,924,721)	-	-100.00%
Net position, ending	\$ 106,284,654	\$ 103,975,949	\$ 96,480,677	2.22%	7.77%

Major Factors Affecting the Statement of Revenue, Expenses and Changes in Net Position:

- Total operating revenues for fiscal year 2020 were \$26.0 million and total operating expenses were \$26.8 million, resulting in an operating loss of \$0.8 million. This compares to fiscal year 2019 operating revenues of \$24.2 million and total operating expenses of \$20.1 million, resulting in operating income of \$4.1 million. Sewer Use Charge (Environmental Quality Charge) revenue increased \$1.8 million from fiscal year 2019 to 2020 and increased \$2.6 million from fiscal year 2018 to 2019 primarily due to the 11% per year rate increase.
- Operating expenses increased \$6.7 million from fiscal year 2019 to 2020, primarily due to increased sewage collection and treatment costs, and depreciation. Operating expenses increased \$0.6 million from fiscal year 2018 to 2019, primarily due to increased professional and technical services.
- Non-operating revenues increased \$20,000 from fiscal year 2019 to 2020 primarily due to increased investment earnings and property taxes, less decreased rental income. Non-operating revenues increased \$1.0 million from fiscal year 2018 to 2019 primarily due to increase investment earnings, rental income, and property taxes.
- The District's non-operating expenses of \$0.5 million for fiscal year 2020, \$0.5 million for fiscal year 2019 and \$0.5 million for fiscal year 2018 consisted primarily of loan interest expense.
- Capital contributions were \$0.6 million for fiscal year 2020, comprised of customer connection fees. This compares to \$0.8 million for fiscal year 2019, comprised of State

capital construction grants (\$355,000) and customer connection fees (\$454,000). This compares to \$3.4 million for fiscal year 2018, comprised of State capital construction grants (\$2.0 million) and customer connection fees (\$1.4 million).

SUMMARY OF CAPITAL ASSETS

Table 3 presents a summary of the District's capital assets as of June 30, 2020, 2019, and 2018. More detailed information on capital asset activity is provided in Note 4 to the financial statements.

TABLE 3
Summary of Capital Assets

	2020	2019	2018	% Increase (Decrease) 2019 vs. 2018	% Increase (Decrease) 2018 vs. 2017
Land	\$ 2,451,806	\$ 2,451,806	\$ 2,451,806	0.00%	0.00%
Construction in process	3,746,165	2,538,816	12,310,461	47.56%	-79.38%
Sewage collection and treatment facilities	181,656,516	179,084,775	165,112,262	1.44%	8.46%
Equipment	5,695,760	5,677,394	5,668,557	0.32%	0.16%
Vehicles	3,678,643	3,343,337	2,992,278	10.03%	11.73%
Subtotal	197,228,890	193,096,128	188,535,364	2.14%	2.42%
Less accumulated depreciation	(81,926,817)	(76,178,183)	(71,608,445)	7.55%	6.38%
Total capital assets, net	\$ 115,302,073	\$ 116,917,945	\$ 116,926,919	-1.38%	-0.01%

Capital Asset Highlights:

Capital Assets decreased \$1.6 million net, from fiscal year 2019 to 2020, due to net capital asset additions of \$4.1 million, less depreciation expense of \$5.7 million. Capital Assets decreased \$9,000 net, from fiscal year 2018 to 2019, due to net capital asset additions of \$4.6 million, less depreciation expense of \$4.6 million. Capital Assets increased \$12.0 million net, from fiscal year 2017 to 2018, due to capital asset additions of \$15.5 million, less depreciation expense of \$3.2 million, and retirements of \$0.3 million. Additions for fiscal years 2020, 2019, and 2018 were primarily water pollution control plant upgrades and sewer pipe replacements.

SUMMARY OF DEBT OUTSTANDING

Table 4 presents a summary of the District's loans payable as of June 30, 2020, 2019, and 2018. More detailed information on loan activity is provided on Note 6 to the basic financial statements.

TABLE 4
Debt Outstanding

	2020	2019	2018	% Increase (Decrease) 2020 vs. 2019	% Increase (Decrease) 2019 vs. 2018
Current portion	\$ 1,782,859	\$ 1,696,526	\$ 1,456,929	5.09%	16.45%
Non-current portion	33,345,062	32,960,462	30,231,243	1.17%	9.03%
Loans Payable	\$ 35,127,921	\$ 34,656,988	\$ 31,688,172	1.36%	9.37%

Debt Highlights:

Loans payable increased \$0.5 million net from fiscal year 2019 to 2020, \$3.0 million net from fiscal year 2018 to 2019 and \$6.1 million net from fiscal year 2017 to 2018, due to State Water Control Resource loans used to fund capital asset additions. These loans will be repaid using the additional sewer use charge revenue resulting from rate increases. See Note 6 to the basic financial statements for future principal and interest payments on loans payable.

ECONOMIC FACTORS AND NEXT YEAR'S RATES

- The District did not increase sewer service charges for fiscal year 2021. While the District has the ability to raise the sewer service charge to meet its long-term needs, it does so conservatively to minimize the impact on rate payers.
- The Board of Directors approved 11% annual sewer service charge rate increases for fiscal years beginning July 1, 2015 through June 30, 2020 in order to fund \$330 million of maintenance and capital improvement costs identified by the 2012 20-Year District-Wide Master Plan.
- The District increased its sewer service charge per residence: from \$422 to \$468 (+10.9%) effective July 1, 2016; to \$519 (+10.9%) effective July 1, 2017; to \$576 (+11.0%) effective July 1, 2018; and to \$639 (+10.9%) effective July 1, 2019, with an equivalent increase for commercial and industrial customers. 2000
- In order to reduce the burden on rate payers in the near term, the District applied for low interest loans and grants from the California State Water Resources Control Board (SRF). The SRF approved \$9.4 million of grants and four loans totaling \$44.3 million with interest rates of 1.0% or 1.9%. Repayment of these loans is dependent on future rate increases.
- The District is committed to expending resources needed to treat wastewater to meet the environmental quality required by our permit. The District continues to identify areas to reduce spending and achieve efficiencies through its Strategic Plan and biennial budget process.

FINANCIAL CONTACT

The individual to be contacted regarding this report is Justin Lovell, Administrative Services Department Manager, West County Wastewater District, 2910 Hilltop Drive, Richmond, CA 94806-1974 or jlovell@wcwd.org or (510) 222-6700.

BASIC FINANCIAL STATEMENT

WEST COUNTY WASTEWATER DISTRICT

Statements of Net Position

June 30, 2020 and 2019

	2020	2019
Current assets		
Cash and investments (Note 2)	\$ 46,158,316	\$ 41,131,727
Accrued interest receivable	158,167	233,731
Accounts receivable, net (Note 3)	659,210	424,761
Materials and supplies inventory	145,325	106,600
Prepaid items and deposits	94,311	107,689
Total current assets	<u>47,215,329</u>	<u>42,004,508</u>
Noncurrent assets		
Capital assets, net of accumulated depreciation (Note 4)	115,302,073	116,917,945
Total noncurrent assets	<u>115,302,073</u>	<u>116,917,945</u>
Total assets	<u>162,517,402</u>	<u>158,922,453</u>
Deferred outflows		
Other post-employment benefits (Note 7)	63,000	-
Pension (Note 8)	3,587,038	3,637,274
Total deferred outflows	<u>3,650,038</u>	<u>3,637,274</u>
Current liabilities		
Accounts payable and accrued expenses	4,917,275	4,900,103
Accrued salaries and benefits	290,923	139,387
Accrued interest payable	226,420	201,677
Current portions of long-term liabilities		
Compensated absences (Note 5)	882,189	687,042
Loans payable (Note 6)	1,782,859	1,696,526
Total current liabilities	<u>8,099,666</u>	<u>7,624,735</u>
Noncurrent liabilities		
Compensated absences (Note 5)	518,111	283,564
Loans payable (Note 6)	33,345,062	32,960,462
Net OPEB liability (Note 7)	1,290,000	3,803,000
Net pension liability (Note 8)	13,911,458	12,677,363
Total noncurrent liabilities	<u>49,064,631</u>	<u>49,724,389</u>
Total liabilities	<u>57,164,297</u>	<u>57,349,124</u>
Deferred inflows		
Other post-employment benefits (Note 7)	1,499,000	171,000
Pension (Note 8)	1,219,489	1,063,654
Total deferred inflows	<u>2,718,489</u>	<u>1,234,654</u>
Net position		
Net investment in capital assets (Note 9)	80,174,152	82,260,957
Restricted	2,814,140	2,538,276
Unrestricted	23,296,362	19,176,716
Total Net Position	<u>106,284,654</u>	<u>103,975,949</u>

The accompanying notes are an integral part of these financial statements

WEST COUNTY WASTEWATER DISTRICT
Statements of Revenues, Expenses, and Changes in Net Position
For the years ended June 30, 2020 and 2019

	2020	2019
Operating revenues		
Sewer use charge	\$ 25,625,752	\$ 23,795,768
Inspection/permit fees	192,230	277,981
Contract services	69,193	87,091
Other revenue	91,056	48,072
Total operating revenues	<u>25,978,231</u>	<u>24,208,912</u>
Operating expenses		
Sewage collection	5,351,979	2,197,399
Sewage treatment	9,453,524	7,197,285
Administration	5,677,700	5,718,627
Contract services	31,311	64,076
West County Agency	537,834	268,066
Total operating expenses before depreciation	<u>21,052,348</u>	<u>15,445,453</u>
Operating income before depreciation	4,925,883	8,763,459
Depreciation expense	<u>(5,754,097)</u>	<u>(4,634,050)</u>
Operating income	<u>(828,214)</u>	<u>4,129,409</u>
Non-operating revenues		
Property taxes	1,257,113	1,192,713
Redevelopment allocation	339,844	322,356
Rental income	507,694	675,254
Investment earnings	922,465	817,201
Interest expense	(463,090)	(450,324)
Student scholarship	(5,000)	-
Gain (loss) on disposal of assets	(1,597)	-
Other non-operating revenue (expense)	515	(417)
Total non-operating revenues, net	<u>2,557,944</u>	<u>2,556,783</u>
Net income before capital contributions	<u>1,729,730</u>	<u>6,686,192</u>
Capital contributions		
State capital grants	-	354,885
Connection fees	578,975	454,195
Total capital contributions	<u>578,975</u>	<u>809,080</u>
Change in net position	2,308,705	7,495,272
Net position, beginning	103,975,949	96,480,677
Net position, ending	<u>\$ 106,284,654</u>	<u>\$ 103,975,949</u>

The accompanying notes are an integral part of these financial statements

WEST COUNTY WASTEWATER DISTRICT
Statements of Cash Flows
For the Years Ended June 30, 2020 and 2019

	2020	2019
Cash flows from operating activities		
Cash receipts from customers and others	\$ 26,268,648	\$ 22,877,938
Cash paid to employees for salaries and wages	(5,816,420)	(6,788,151)
Cash paid to vendors and suppliers for materials and services	(14,487,364)	(7,975,249)
Net cash provided by operating activities	<u>5,964,864</u>	<u>8,114,538</u>
Cash flows from non-capital financing activities		
Property taxes	1,257,113	1,192,713
Redevelopment allocation	339,844	322,356
Net cash provided by non-capital financing activities	<u>1,596,957</u>	<u>1,515,069</u>
Cash flows from capital and related financing activities		
Net acquisition and construction of capital assets	(4,138,225)	(4,625,076)
Gain (loss) on sale of assets	(1,597)	-
Proceeds from capital contributions	578,975	809,080
Principal paid	(1,696,526)	(1,541,717)
Interest paid	(438,346)	(415,367)
Proceeds from loan issue	2,167,458	4,510,533
Net cash provided by (used in) capital and related financing activities	<u>(3,528,261)</u>	<u>(1,262,547)</u>
Cash flows from investing activities		
Student scholarships	(5,000)	-
Investment earnings	998,029	722,455
Net cash provided by investing activities	<u>993,029</u>	<u>722,455</u>
Net increase in cash and investments	5,026,589	9,089,515
Cash and investments, beginning of the year	41,131,727	32,042,212
Cash and investments, end of the year	<u>\$ 46,158,316</u>	<u>\$ 41,131,727</u>
Reconciliation of operating income to net cash provided by operating activities		
Operating income (loss)	\$ (828,214)	\$ 4,129,409
Depreciation	5,754,097	4,634,050
Rental income	507,694	675,254
Other revenue (expense), net	515	(417)
Effect of GASB 68 on net pension liability	1,440,166	376,621
Effect of GASB 75 on net OPEB liability	(1,248,000)	659,000
(Increase) decrease in assets		
Accounts receivable	(234,449)	(79,647)
Inventory	(38,725)	48,519
Prepays	13,378	(11,169)
Note receivable	-	-
(Decrease) increase in liabilities		
AP and accrued expenses	17,172	(1,926,581)
Accrued salaries and wages	151,536	(9,597)
Compensated absences	429,694	(380,904)
Net cash provided by operating activities	<u>\$ 5,964,864</u>	<u>\$ 8,114,538</u>

The accompanying notes are an integral part of these financial statements

WEST COUNTY WASTEWATER DISTRICT
Notes to Financial Statements
For the Fiscal Years Ended June 30, 2020 and 2019

Note 1. Reporting Entity and Summary of Significant Accounting Policies

The West County Wastewater District (the District) is a sanitary district formed December 19, 1921 and operates pursuant to the provision of Section 6400 et. seq. of the State of California Health and Safety Code. The District is governed by an elected five-member Board of Directors that exercise the powers allowed by state statutes. The District is a stand-alone government entity and is not financially responsible to any other governmental unit or agency.

The criteria used in determining the scope of the financial reporting entity is based on the provisions of Governmental Accounting Standards Board Statement No. 61, *The Financial Reporting Entity*. The District is the primary governmental unit based on the foundation of a separately elected government board that is elected by the citizens in a general popular election. Component units are legally separate organizations for which the elected officials of the primary government are financially accountable. The District is financially accountable for a component (West County Agency) in which (1) the primary government and the component unit have a financial benefit or burden relationship or (2) management (below the level of the elected officials) of the primary government have operational responsibility for the activities of the component unit.

Basis of Presentation

The District's financial statements are prepared in conformity with U.S. GAAP. The Governmental Accounting Standards Board (GASB) is the acknowledged standard setting body for establishing accounting and financial reporting standards followed by governmental entities in the United States.

Measurement Focus, Basis of Accounting, and Financial Statement Presentation

The financial statements are reported using the "economic resources" measurement focus and the accrual basis of accounting. Revenues are recorded when earned and expenses and recorded when a liability is incurred, regardless of the timing of related cash flows. Grants and similar items are recognized as revenue when all eligibility requirements have been met. Interest associated with the current fiscal period is considered to be susceptible to accrual and so has been recognized as revenue of the current fiscal period. Current assets and current liabilities are those amounts expected to be received in cash, consumed, utilized, or paid within the next fiscal year.

The financial statements (i.e. the Statements of Net Position, Statements of Revenues, Expenses, and Changes in Net Position, and Statements of Cash Flows) report information on all activities of the primary government. The District accounts for its operations (a) that are financed and operated in a manner similar to private business enterprises – where the intent of the governing body is that the costs (expenses, including depreciation) of providing goods or services to the general public on a continuing basis be financed or recovered primarily through user charges; or (b) where the governing body has decided that periodic determination of revenues earned, expenses incurred, and/or net income is appropriate for capital maintenance, public policy, management control, accountability or other purposes.

In accordance with U.S. GAAP, the Statements of Net Position reports separate sections for Deferred Outflows of Resources and Deferred Inflows of Resources, when applicable.

WEST COUNTY WASTEWATER DISTRICT
Notes to Financial Statements
For the Fiscal Years Ended June 30, 2020 and 2019

Note 1. Reporting Entity and Summary of Significant Accounting Policies (continued)

Measurement Focus, Basis of Accounting, and Financial Statement Presentation (continued)

Deferred Outflows of Resources represent outflows of resources (consumption of Net Position) that apply to future periods and that, therefore, will not be recognized as an expense until that time.

Deferred Inflows of Resources represent inflows of resources (acquisition of Net Position) that apply to future periods and that, therefore, will not be recognized as revenue until that time.

Cash and Cash Equivalents

Cash and equivalents include all highly liquid investments with maturity of 90 days or less and are carried at cost, which approximates fair value.

Investments

Investments are reported at fair value. Changes in fair value that occur during a fiscal year are recognized as unrealized gains or losses and reported for that fiscal year. Investment income comprises interest earnings, changes in fair value, and any gains or losses realized upon the liquidation or sale of investments.

U.S. GAAP defines fair value, establishes a framework for measuring fair value and establishes disclosures about fair value measurement. Investments, unless otherwise specified, are recorded at fair value in the Statement of Net Position and categorized based upon the level of judgment associated with the inputs used to measure their fair value. Levels of inputs are as follows:

Level 1 – Inputs are unadjusted, quoted prices for identical assets and liabilities in active markets at the measurement date.

Level 2 – Inputs, other than quoted prices included in Level 1 that are observable for the asset or liability through corroboration with market data at the measurement date.

Level 3 – Unobservable inputs that reflect management's best estimate of what market participants would use in pricing the asset or liability at the measurement date.

Receivables

Customer accounts receivable consist of amounts owed by private individuals and organizations for services rendered in the regular course of business operations. Receivables are shown net of allowances for doubtful accounts. Uncollectable accounts are based on prior experience and management's assessment of the collectability of existing accounts.

Materials and Supplies Inventory

Inventories consist of expendable material and supplies and are valued at cost using a first-in, first-out basis.

WEST COUNTY WASTEWATER DISTRICT
Notes to Financial Statements
For the Fiscal Years Ended June 30, 2020 and 2019

Note 1. Reporting Entity and Summary of Significant Accounting Policies (continued)

Prepaid Items

Payments made to vendors for services that will benefit periods beyond the fiscal year end are recorded as prepaid items.

Capital Assets

Capital assets are valued at historical cost, or estimated historical cost, if actual historical cost was not available. Donated capital assets are valued at their estimate acquisition value of the date donated. The District policy has set the capitalization threshold for reporting capital assets at \$5,000, each of which must have an estimated useful life in excess of one year. Depreciation is recorded on a straight-line basis over estimated useful lives of the assets as follows:

Sewage collection and treatment facilities	30 – 70 years
Equipment	4 – 10 years
Vehicles	3 – 15 years

Major outlays for capital assets are capitalized as construction in progress, and repairs and maintenance costs are expensed.

Compensated Absences

The District has a policy whereby an employee can accumulate unused sick leave, compensatory time and vacation. Employees are paid for unused vacation and compensatory time upon termination. Immediately prior to retirement, employees with a satisfactory record of service who otherwise qualify for retirement may be granted time off from the job, with full compensation, for a period of time not to exceed the amount of their accumulated sick leave time, or 60 work days, whichever is shorter. Management estimates that most employees will use sick leave or work until qualified for retirement and has accrued for 100% of accumulated sick leave balances, in addition to full accrual of accumulated compensatory time and vacation leave.

Net Other Post-Employment Benefits (OPEB) Liability

For purposes of measuring the net OPEB liability, deferred outflows of resources and deferred inflows of resources related to OPEB, and OPEB expense, information about the fiduciary net position of the plan and additions to/deductions from the plan's fiduciary net position have been determined on the same basis as they are reported by the plans (see Note 7). For this purpose, benefit payments (including refunds of contributions) are recognized when due and payable in accordance with benefit terms. Investments are reported at fair value.

The following timeframes are used for OPEB reporting:

<u>PARS</u>	<u>June 30, 2020</u>	<u>June 30, 2019</u>
Valuation date	June 30, 2019	June 30, 2017
Measurement date	June 30, 2020	June 30, 2019
Measurement period	July 1, 2019 – June 30, 2020	July 1, 2018 – June 30, 2019

WEST COUNTY WASTEWATER DISTRICT
Notes to Financial Statements
For the Fiscal Years Ended June 30, 2020 and 2019

Note 1. Reporting Entity and Summary of Significant Accounting Policies (continued)

Net Pension Liability

For purposes of measuring the net pension liability, deferred outflows of resources and deferred inflows of resources related to pensions, and pension expense, information about the fiduciary net position of the plans and additions to/deductions from the plans' fiduciary net position have been determined on the same basis as they are reported by the plans (see Note 9). For this purpose, benefit payments (including refunds of employee contributions) are recognized when due and payable in accordance with benefit terms. Investments are reported at fair value.

The following timeframes are used for pension reporting:

<u>CalPERS</u>	<u>June 30, 2020</u>	<u>June 30, 2019</u>
Valuation date	June 30, 2018	June 30, 2017
Measurement date	June 30, 2019	June 30, 2018
Measurement period	July 1, 2018 – June 30, 2019	July 1, 2017 – June 30, 2018

Gains and losses related to changes in the total pension liability and fiduciary net position are recognized in pension expense systematically over time. The first amortized amounts are recognized in pension expense for the year the gain or loss occurs. The remaining amounts are categorized as deferred outflows and deferred inflows of resources related to pension and are to be recognized in future pension expense. The amortization period differs depending on the source of the gain or loss. The difference between projected and actual earnings is amortized straight-line over 5 years. All other amounts are amortized straight-line over the average expected remaining service lives of all members that are provided with benefits (active, inactive, and retired) as of the beginning of the measurement period.

Net Position

Net position represents the difference between all other elements in the Statement of Net Position and should be displayed in the following three components:

Net Investment in Capital Assets - This component consists of capital assets, net of accumulated depreciation and reduced by the outstanding balances of debt that is attributable to the acquisition, construction, or improvement of those assets.

Restricted - This component consists of constraints placed on net position use through external constraints imposed by creditors (such as through debt covenants), grantors, contributors, or law or regulations of other governments. It also pertains to constraints imposed by law or constitutional provisions or enabling legislation.

Unrestricted - This component consists of net position that do not meet the definition of "restricted" or "net investment in capital assets."

When both restricted and unrestricted resources are available for use, the District policy is to use restricted resources first, then unrestricted resources as they are needed.

WEST COUNTY WASTEWATER DISTRICT
Notes to Financial Statements
For the Fiscal Years Ended June 30, 2020 and 2019

Note 1. Reporting Entity and Summary of Significant Accounting Policies (continued)

Use of Estimates

The preparation of the basic financial statements in conformity with U.S. GAAP requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and the disclosure of contingent assets and liabilities at the date of the financial statements, and the reported amounts of revenue and expenses during the reporting period. Actual results could differ from those estimates.

Sewer Use Charge Revenue

Sewer use charges determined by the District are included on property tax bills of the County of Contra Costa (the County). Sewer use charge revenue is recorded as revenue when received due to the adoption of the "alternate method of property tax distribution," known as the Teeter Plan, by the County. The Teeter Plan authorizes the Auditor-Controller of the County to allocate 100% of the service charges billed, but not yet paid or collected to the District. Late payment fees and interest are collected by the County and not remitted to the District.

The County remits sewer use charges and property tax revenue to the District in three installments as follows:

55%	remitted in December
40%	remitted in April
5%	remitted in June

Property Tax Revenue

Property taxes are levied on July 1 and are payable in two installments: November 1 and February 1 of each year. Property taxes become delinquent on December 10 and April 10, for the first and second installments, respectively. The lien date is January 1. The County bills and collects property taxes and remits them to the District according to a payment schedule established by the County.

The County is permitted by State law to levy property taxes at 1% of full market value (at time of purchase) and can increase the property tax rate by no more than 2% per year. The District receives a share of this basic tax levy proportionate to what it received during the years 1976 – 1978. Property taxes are recognized in the fiscal year in which the taxes have been levied. The County remits property tax revenues to the District on the same schedule as sewer use charge revenues.

Subsequent Events

Management has evaluated subsequent events through the date of the audit opinion, which is the date on which the financial statements were available to be issued. No events occurred which are material to these financial statements and would require additional disclosure or adjustment.

WEST COUNTY WASTEWATER DISTRICT
Notes to Financial Statements
For the Fiscal Years Ended June 30, 2020 and 2019

Note 1. Reporting Entity and Summary of Significant Accounting Policies (continued)

New Pronouncements

For the year ended June 30, 2019, the District implemented the following GASB pronouncements:

GASB Statement No. 83, *Certain Asset Retirement Obligations*

This Statement addresses accounting and financial reporting for certain asset retirement obligations (AROs). An ARO is a legally enforceable liability associated with the retirement of a tangible capital asset. A government that has legal obligations to perform future asset retirement activities related to its tangible capital assets should recognize a liability based on the guidance in this Statement.

The objective of this Statement is to improve comparability of financial statements among governments by establishing uniform criteria for governments to recognize and measure certain AROs, including obligations that may not have been previously reported. This statement will enhance the decision-usefulness of the information provided to financial statement users by requiring disclosures related to those AROs.

The implementation of this pronouncement did not have a significant impact on the District's financial statements.

GASB Statement No. 88, *Certain Disclosures Related to Debt, including Direct Borrowings and Direct Placements*

The objective of this Statement is to improve the information that is disclosed in notes to government financial statements related to debt, including direct borrowings and direct placements. It also clarifies which liabilities governments should include when disclosing information related to debt. This Statement defines debt for purposes of disclosure in notes to financial statements as a liability that arises from a contractual obligation to pay cash (or other assets that may be used in lieu of cash) in one or more payments to settle an amount that is fixed at the date the contractual obligation is established.

The implementation of this pronouncement did not have a significant impact on the District's financial statements.

For the year ended June 30, 2020, the District implemented the following GASB pronouncement:

GASB Statement No. 95, *Postponement of the Effective Dates of Certain Authoritative Guidance*

The primary objective of this Statement is to provide temporary relief to governments and other stakeholders in light of the COVID-19 pandemic. That objective is accomplished by postponing the effective dates of certain provisions in Statements and Implementation Guides that first became effective or are scheduled to become effective for periods beginning after June 15, 2018, and later.

WEST COUNTY WASTEWATER DISTRICT
Notes to Financial Statements
For the Fiscal Years Ended June 30, 2020 and 2019

Note 1. Reporting Entity and Summary of Significant Accounting Policies (continued)

New Pronouncements (continued)

The effective dates of certain provisions contained in the following pronouncements are postponed by one year:

- Statement No. 83, *Certain Asset Retirement Obligations*
- Statement No. 84, *Fiduciary Activities*
- Statement No. 88, *Certain Disclosures Related to Debt, including Direct Borrowings and Direct Placements*
- Statement No. 89, *Accounting for Interest Cost Incurred before the End of a Construction Period*
- Statement No. 90, *Majority Equity Interests*
- Statement No. 91, *Conduit Debt Obligations*
- Statement No. 92, *Omnibus 2020*
- Statement No. 93, *Replacement of Interbank Offered Rates*

The effective dates of the following pronouncements are postponed by 18 months:

- Statement No. 87, *Leases*

Future Pronouncements

The following Governmental Accounting Standards Board Statements are effective in future years subsequent to the current financial reporting period:

GASB Statement No. 87, *Leases*

The objective of this Statement is to better meet the information needs of financial statement users by improving accounting and financial reporting for leases by governments. This Statement increases the usefulness of governments' financial statements by requiring recognition of certain lease assets and liabilities for leases that previously were classified as operating leases and recognized as inflows of resources or outflows of resources based on the payment provisions of the contract. It establishes a single model for lease accounting based on the foundational principle that leases are financings of the right to use an underlying asset. Under this Statement, a lessee is required to recognize a lease liability and an intangible right-to-use lease asset, and a lessor is required to recognize a lease receivable and a deferred inflow of resources, thereby enhancing the relevance and consistency of information about governments' leasing activities.

This Statement will increase the usefulness of governments' financial statements by requiring reporting of certain lease liabilities that currently are not reported. It will enhance comparability of financial statements among governments by requiring lessees and lessors to report leases under a single model.

WEST COUNTY WASTEWATER DISTRICT
Notes to Financial Statements
For the Fiscal Years Ended June 30, 2020 and 2019

Note 1. Reporting Entity and Summary of Significant Accounting Policies (continued)

Future Pronouncements (continued)

This Statement also will enhance the decision-usefulness of the information provided to financial statement users by requiring notes to financial statements related to the timing, significance, and purpose of a government's leasing arrangements.

The District was originally required to implement the provisions of this Statement for the fiscal year ending June 30, 2021 (effective for periods beginning after December 15, 2019), however the implementation has been delayed 18 months by GASBS No. 95. The District has not yet determined the impact of this Statement on the financial statements.

GASB Statement No. 89, *Accounting for Interest Cost Incurred before the End of a Construction Period*

The objectives of this Statement are (1) to enhance the relevance and comparability of information about capital assets and the cost of borrowing for a reporting period and (2) to simplify accounting for interest costs incurred before the end of a construction period. Such interest cost covered in the scope of this Statement includes all interest that previously was accounted for in accordance with the requirements of paragraphs 5-22 of Statement No. 62, Codification of Accounting and Financial Reporting Guidance Contained in Pre-November 30, 1989 FASB and AICPA Pronouncements, which are superseded by this Statement.

The District was originally required to implement the provisions of this Statement for the fiscal year ending June 30, 2021 (effective for periods beginning after December 15, 2019), however the implementation has been delayed one year by GASBS No. 95. The District has not yet determined the impact of this Statement on the financial statements.

GASB Statement No. 90, *Majority Equity Interests – an amendment of GASB Statements No. 14 and 61*

The primary objectives of this Statement are to improve the consistency and comparability of reporting a government's majority equity interest in a legally separate organization and to improve the relevance of financial statement information for certain component units. It defines a majority equity interest and specifies that a majority equity interest in a legally separate organization should be reported as an investment if a government's holding of the equity interest meets the definition of an investment. A majority equity interest that meets the definition of an investment should be measured using the equity method, unless it is held by a special-purpose government engaged only in fiduciary activities, a fiduciary fund, or an endowment (including permanent and term endowments) or permanent fund. Those governments and funds should measure the majority equity interest at fair value.

The District was originally required to implement the provisions of this Statement for the fiscal year ending June 30, 2020 (effective for periods beginning after December 15, 2018) but implementation has been postponed one year by GASB 95.. The District has not yet determined the impact of this Statement on the financial statements.

WEST COUNTY WASTEWATER DISTRICT
Notes to Financial Statements
For the Fiscal Years Ended June 30, 2020 and 2019

Note 1. Reporting Entity and Summary of Significant Accounting Policies (continued)

Future Pronouncements (continued)

GASB Statement No. 91, *Conduit Debt Obligations* - The primary objectives of this Statement are to provide a single method of reporting conduit debt obligations by issuers and eliminate diversity in practice associated with (1) commitments extended by issuers, (2) arrangements associated with conduit debt obligations, and (3) related note disclosures.

The requirements of this Statement will improve financial reporting by eliminating the existing option for issuers to report conduit debt obligations as their own liabilities, thereby ending significant diversity in practice. The clarified definition will resolve stakeholders' uncertainty as to whether a given financing is, in fact, a conduit debt obligation. Requiring issuers to recognize liabilities associated with additional commitments extended by issuers and to recognize assets and deferred inflows of resources related to certain arrangements associated with conduit debt obligations also will eliminate diversity, thereby improving comparability in reporting by issuers. Revised disclosure requirements will provide financial statement users with better information regarding the commitments issuers extend and the likelihood that they will fulfill those commitments. That information will inform users of the potential impact of such commitments on the financial resources of issuers and help users assess issuers' roles in conduit debt obligations.

The District was originally required to implement the provisions of this Statement for the fiscal year ended June 30, 2022 (effective for reporting periods beginning after December 15, 2020), however implementation has been delayed one year by GASBS No. 95. Earlier application is encouraged. The District has not yet determined the impact of this Statement on the financial statements.

GASB Statement No. 92, *Omnibus 2020*

The objectives of this Statement are to enhance comparability in accounting and financial reporting and to improve the consistency of authoritative literature by addressing practice issues that have been identified during implementation and application of certain GASB Statements.

This Statement addresses a variety of topics and includes specific provisions. The topics include but are not limited to leases, intra-entity transfers between a primary government and a post-employment benefit plan component unit, accounting for pensions and OPEB related assets, measurement of liabilities related to asset retirement obligations, and nonrecurring fair value measurements of assets or liabilities. The requirements of this Statement were originally effective for reporting periods beginning after June 15, 2021 (fiscal 2022) but have been postponed one year by GASBS No. 95. The District has not yet determined the impact of this Statement on the financial statements.

WEST COUNTY WASTEWATER DISTRICT
Notes to Financial Statements
For the Fiscal Years Ended June 30, 2020 and 2019

Note 1. Reporting Entity and Summary of Significant Accounting Policies (continued)

Future Pronouncements (continued)

GASB Statement No. 93, Replacement of Interbank Offered Rates

The objective of this Statement is to address those and other accounting and financial reporting implications that result from the replacement of an Interbank Offer Rate (IBOR). This Statement achieves that objective by:

- Providing exceptions for certain hedging derivative instruments to the hedge accounting termination provisions when an IBOR is replaced as the reference rate of the hedging derivative instrument's variable payment
- Clarifying the hedge accounting termination provisions when a hedged item is amended to replace the reference rate
- Clarifying that the uncertainty related to the continued availability of IBORs does not, by itself, affect the assessment of whether the occurrence of a hedged transaction is probable
- Removing LIBOR as an appropriate benchmark interest rate for the qualitative evaluation of the effectiveness of an interest rate swap
- Identifying a Secured Overnight Financing Rate and the Effective Federal Funds Rate as appropriate benchmark interest rates for the qualitative evaluation of the effectiveness of an interest rate swap.
- Clarifying the definition of reference rate, as it is used in Statement 53, as amended.

The removal of London IBOR as an appropriate benchmark interest rate were originally effective for reporting periods ending after December 31, 2021 (fiscal year 2022-23). All other requirements of this Statement were to be effective for reporting periods beginning after June 15, 2020 (fiscal year 2020-21). The effective date for all provisions of this Statement were postponed one year by GASBS No. 95. The District does not believe that the implementation of this Pronouncement will have an impact on the financial statements.

GASB Statement No. 94, Public-Private and Public-Public Partnerships and Availability Payment Arrangements

The primary objective of this Statement is to improve financial reporting by addressing issues related to public-private and public-public partnership arrangements (PPPs). As used in this Statement, a PPP is an arrangement in which a government (the transferor) contracts with an operator (a governmental or nongovernmental entity) to provide public services by conveying control of the right to operate or use a nonfinancial asset, such as infrastructure or other capital asset (the underlying PPP asset), for a period of time in an exchange or exchange-like transaction.

WEST COUNTY WASTEWATER DISTRICT
Notes to Financial Statements
For the Fiscal Years Ended June 30, 2020 and 2019

Note 1. Reporting Entity and Summary of Significant Accounting Policies (continued)

Future Pronouncements (continued)

The requirements of this Statement will improve financial reporting by establishing the definitions of PPPs and APAs and providing uniform guidance on accounting and financial reporting for transactions that meet those definitions. That uniform guidance will provide more relevant and reliable information for financial statement users and create greater consistency in practice. This Statement will enhance the decision usefulness of a government's financial statements by requiring governments to report assets and liabilities related to PPPs consistently and disclose important information about PPP transactions. The required disclosures will allow users to understand the scale and important aspects of a government's PPPs and evaluate a government's future obligations and assets resulting from PPP.

PPPs should be recognized and measured using the facts and circumstances that exist at the beginning of the period of implementation (or if applicable to earlier periods, the beginning of the earliest period restated).

The requirements of this Statement are effective for fiscal years beginning after June 15, 2022 (fiscal year 2022-23), and all reporting periods thereafter. The District has not yet determined whether the implementation of this Pronouncement will have a material impact on the financial statements.

GASB Statement No. 96, Subscription-Based Information Technology Arrangements

This Statement provides guidance on the accounting and financial reporting for subscription-based information technology arrangements (SBITAs) for government end users (governments). This Statement (1) defines a SBITA; (2) establishes that a SBITA results in a right-to-use subscription asset—an intangible asset—and a corresponding subscription liability; (3) provides the capitalization criteria for outlays other than subscription payments, including implementation costs of a SBITA; and (4) requires note disclosures regarding a SBITA. To the extent relevant, the standards for SBITAs are based on the standards established in Statement No. 87, *Leases*, as amended.

The requirements of this Statement will improve financial reporting by establishing a definition for SBITAs and providing uniform guidance for accounting and financial reporting for transactions that meet that definition. That definition and uniform guidance will result in greater consistency in practice. Establishing the capitalization criteria for implementation costs also will reduce diversity and improve comparability in financial reporting by governments. This Statement also will enhance the relevance and reliability of a government's financial statements by requiring a government to report a subscription asset and subscription liability for a SBITA and to disclose essential information about the arrangement. The disclosures will allow users to understand the scale and important aspects of a government's SBITA activities and evaluate a government's obligations and assets resulting from SBITAs.

The requirements of this Statement are effective for fiscal years beginning after June 15, 2022 (fiscal year 2022-23), and all reporting periods thereafter. The District has not yet determined whether the implementation of this Pronouncement will have a material impact on the financial statements.

WEST COUNTY WASTEWATER DISTRICT
Notes to Financial Statements
For the Fiscal Years Ended June 30, 2020 and 2019

Note 1. Reporting Entity and Summary of Significant Accounting Policies (continued)

Future Pronouncements (continued)

GASB Statement No. 97, Certain Component Unit Criteria, and Accounting and Financial Reporting for Internal Revenue Code Section 457 Deferred Compensation Plans—an amendment of GASB Statements No. 14 and No. 84, and a supersession of GASB Statement No. 32.

The primary objectives of this Statement are to (1) increase consistency and comparability related to the reporting of fiduciary component units in circumstances in which a potential component unit does not have a governing board and the primary government performs the duties that a governing board typically would perform; (2) mitigate costs associated with the reporting of certain defined contribution pension plans, defined contribution other postemployment benefit (OPEB) plans, and employee benefit plans other than pension plans or OPEB plans (other employee benefit plans) as fiduciary component units in fiduciary fund financial statements; and (3) enhance the relevance, consistency, and comparability of the accounting and financial reporting for Internal Revenue Code (IRC) Section 457 deferred compensation plans (Section 457 plans) that meet the definition of a pension plan and for benefits provided through those plans.

The requirements of this Statement that are related to the accounting and financial reporting for Section 457 plans are effective for fiscal years beginning after June 15, 2021 (fiscal year 2021-22). For purposes of determining whether a primary government is financially accountable for a potential component unit, the requirements of this Statement that provide that for all other arrangements, the absence of a governing board be treated the same as the appointment of a voting majority of a governing board if the primary government performs the duties that a governing board typically would perform, are effective for reporting periods beginning after June 15, 2021 (fiscal year 2021-22).

This space is intentionally left blank.

WEST COUNTY WASTEWATER DISTRICT
Notes to Financial Statements
For the Fiscal Years Ended June 30, 2020 and 2019

Note 2. Cash and Investments

A summary of cash, deposits and investments is as follows:

<u>Deposit or Investment</u>	<u>June 30, 2020</u>	<u>June 30, 2019</u>
Cash on-hand or in banks	\$ 2,600,130	\$ 2,571,570
Local Agency Investment Fund	<u>43,558,186</u>	<u>38,560,157</u>
Total Cash and Investments	<u>\$ 46,158,316</u>	<u>\$ 41,131,727</u>

Cash Deposits

At June 30, 2020 and 2019, the carrying amount of the District's demand deposits, including petty cash, were \$2,600,130 and \$2,571,570, respectively, and the financial institution balances were \$2,764,334 and \$2,959,878, respectively. The differences of \$164,204 at June 30, 2020 and \$388,308 at June 30, 2019 represent outstanding checks, deposits-in-transit, and/or other reconciling items.

The California Government Code requires California banks and savings and loan associations to secure a district's deposits by pledging government securities with a value of 110% of a district's deposits. California law also allows financial institutions to secure a district's deposits by pledging first trust deed mortgage notes having a value of at least 150% of a district's total deposits. The District's Treasurer may waive the collateral requirement for deposits which are fully insured up to \$250,000 by the FDIC.

The collateral for deposits in federal and state chartered banks is held in safekeeping by an authorized agent of depository recognized by the State of California Department of Banking. The collateral for deposits with savings and loan associations is generally held in safekeeping by the Federal Home Loan Bank in San Francisco, California as an agency of depository. These securities are physically held in an undivided pool for all California public agency depositors. Under Government Code Section 53655, the placement of securities by a bank or savings and loan association with an agent of depositor has the effect of perfecting the security interest in the name of the local governmental agency. Accordingly, all collateral held by California agents of depository are considered to be held for, and in the name of the local government.

Custodial Credit Risk

The custodial credit risk for *deposits* is the risk that, in the event of the failure of the depository institution, the District will not be able to recover the value of its investments or collateral securities that are in possession of an outside party. The District's investment policy requires that collateral be held by an independent third party with whom the District has a current custodial agreement.

Note 2. Cash and Investments (continued)

Custodial Credit Risk (continued)

The custodial credit risk for *investments* is the risk that, in the event of the failure of the counterparty to a transaction, the District will not be able to recover the value of investment or collateral securities that are in the possession of an outside party. The District's investment policy requires that security transaction be conducted on a delivery-versus-payment (DVP) method and that all securities are held by a qualified, third-party custodian, provided that the custodian agreement is separate from the banking agreement. With respect to investments, custodial credit risk generally applies only to direct investments

WEST COUNTY WASTEWATER DISTRICT
Notes to Financial Statements
For the Fiscal Years Ended June 30, 2020 and 2019

in marketable securities. Custodial credit risk does not apply to a local government's indirect investment in securities through the use of mutual funds or government investment pools (such as LAIF).

As of June 30, 2020, and 2019, none of the District's deposits and investments were exposed to disclosable custodial credit risk.

Investments

The District's investments were in the Local Agency Investment Fund (LAIF) as follows:

	Measurement Input	Credit Rating	Fair Value	Maturity 12 months or Less
June 30, 2020	Uncategorized	N/A	\$43,558,186	\$43,558,186
June 30, 2019	Uncategorized	N/A	\$38,560,157	\$38,560,157

Cash balances are invested to the extent possible pursuant to the District's approved Investment Policy and Guidelines and State Government Code. Investments are stated at the current fair value. Fair value information is provided as quoted on June 30, 2020 and 2019. The District does not plan to liquidate the investments before maturity and intends to hold the investments to maturity.

Authorized Deposits and Investments

The District is legally empowered by statute and resolution to invest in certificates-of-deposit and the California State Investment Pool – Local Agency Investment Fund (LAIF). The District's investment policy identifies other investment types that are authorized for the District to invest in under California Government Code.

Investment in State Investment Pool

The District is a voluntary participant in LAIF, which is regulated by California Government Code Section 16429 under the oversight of the Treasurer of the State of California. The fair value of the District's investment in this pool is reported in the accompanying financial statements at amounts based upon the District's pro-rata share of the fair value provided by LAIF for the entire LAIF portfolio (in relation to the amortized cost of that portfolio). The balance available for withdrawal is based on the accounting records maintained by LAIF, which are recorded on an amortized cost basis.

Note 2. Cash and Investments (continued)

Investment in State Investment Pool (continued)

The District's investments with LAIF at June 30, 2020 and 2019 included a portion of the pool funds invested in structured notes and asset-backed securities.

Structured Notes are debt securities (other than asset-backed securities) whose cash flow characteristics (coupon rate, redemption amount, or stated maturity) depend upon one or more indices and/or that have embedded forwards or options.

WEST COUNTY WASTEWATER DISTRICT
Notes to Financial Statements
For the Fiscal Years Ended June 30, 2020 and 2019

Asset-Backed Securities, the bulk of which are mortgage-backed securities, entitle their purchasers to receive a share of the cash flows from a pool of assets such as principal and interest repayments from a pool of mortgages (such as Collateralized Mortgage Obligations) or credit card receivables.

The District had \$43,558,186 and \$38,560,157 invested with LAIF at June 30, 2020 and 2019, respectively. At June 30, 2020 and 2019 LAIF had invested 3.37% and 1.77%, respectively, of the pooled investment funds in structured notes and asset-backed securities. The fair value factors of 1.004912795 and 1.001711790 were used to calculate the fair value of the investments in LAIF as of June 30, 2020 and 2019, respectively.

Fair Value Measurement Input

The District categorized its fair value measurement inputs within the fair value hierarchy established by generally accepted accounting principles. The District has presented its measurement inputs as noted in the above table.

Interest Rate Risk

Interest rate risk is the risk that changes in market interest rates will adversely affect the fair value of an investment. Generally, the fair values of investments with longer maturities have greater sensitivity to changes in market interest rates. The District's investment policy follows the Code as it relates to limits on investment maturities as a means of managing exposure to fair value losses arising from increasing interest rates. The District has elected to use the segmented time distribution method of disclosure for the maturities of its investments as related to interest rate risk as noted in the table above.

Concentration of Credit Risk

The District's investment policy contains no limitations on the amount that can be invested in any one governmental agency or non-governmental issuer beyond that stipulated by the California Government Code. There were no investments in any one governmental or non-governmental issuer that represented 5% or more of the District's total investments except for those in LAIF.

WEST COUNTY WASTEWATER DISTRICT
Notes to Financial Statements
For the Fiscal Years Ended June 30, 2020 and 2019

Note 3. Accounts Receivable

At June 30, accounts receivable is comprised of the following:

	<u>2020</u>	<u>2019</u>
EBMUD	\$ 448,693	\$ 270,344
Chevron	16,129	88,317
Pretreatment inspections	-	30,534
Service contracts	-	7,880
Permits and trucked waste	47,732	-
West County Agency	62,581	-
All other	85,610	65,370
Subtotal	660,745	462,445
Allowance for doubtful accounts	(1,535)	(37,684)
Net Accounts Receivable	<u>\$ 659,210</u>	<u>\$ 424,761</u>

Note 4. Capital Assets

A summary of changes in capital assets and depreciation is as follows:

	Balance July 1, 2019	Additions	Deletions	Transfers and Reclasses	Balance June 30, 2020
Non-depreciable assets:					
Land	\$ 2,451,806	\$ -	\$ -	\$ -	\$ 2,451,806
Construction in progress	2,538,816	3,790,626	(2,583,277)	-	3,746,165
Total non-depreciable assets	4,990,622	3,790,626	(2,583,277)	-	6,197,971
Depreciable assets					
Sewage collection & treatment facilities	179,084,775	3,043,910	(472,169)	-	181,656,516
Equipment	5,677,394	26,291	(7,925)	-	5,695,760
Vehicles	3,343,337	339,842	(4,536)	-	3,678,643
Total depreciable capital assets	188,105,506	3,410,043	(484,630)	-	191,030,919
Less accumulated depreciation:					
Sewage collection & treatment facilities	(68,603,676)	(5,087,926)	-	1,484,849	(72,206,753)
Equipment	(5,690,782)	(429,860)	5,463	(1,074,824)	(7,190,003)
Vehicles	(1,883,725)	(236,311)	-	(410,025)	(2,530,061)
Total accumulated depreciation	(76,178,183)	(5,754,097)	5,463	-	(81,926,817)
Depreciable capital assets, net	111,927,323	(2,344,054)	(479,167)	-	109,104,102
Total capital assets, net	<u>\$116,917,945</u>	<u>\$ 1,446,572</u>	<u>\$(3,062,444)</u>	<u>\$ -</u>	<u>\$115,302,073</u>

WEST COUNTY WASTEWATER DISTRICT
Notes to Financial Statements
For the Fiscal Years Ended June 30, 2020 and 2019

Note 4. Capital Assets (continued)

	Balance July 1, 2018	Additions	Deletions	Transfers from CIP	Balance June 30, 2019
Non-depreciable assets:					
Land	\$ 2,451,806	\$ -	\$ -	\$ -	\$ 2,451,806
Construction in progress	12,310,461	4,288,741	(83,291)	(13,977,095)	2,538,816
Total non-depreciable assets	14,762,267	4,288,741	(83,291)	(13,977,095)	4,990,622
Depreciable assets					
Sewage collection & treatment facilities	165,112,263	40,932	(45,515)	13,977,095	179,084,775
Equipment	5,668,556	8,838	-	-	5,677,394
Vehicles	2,992,278	415,371	(64,312)	-	3,343,337
Total depreciable capital assets	173,773,097	465,141	(109,827)	13,977,095	188,105,506
Less accumulated depreciation:					
Sewage collection & treatment facilities	(66,028,028)	(2,657,744)	-	82,095	(68,603,676)
Equipment	(4,197,087)	(1,475,912)	64,312	(82,095)	(5,690,782)
Vehicles	(1,383,330)	(500,394)	-	-	(1,883,725)
Total accumulated depreciation	(71,608,445)	(4,634,050)	64,312	-	(76,178,183)
Depreciable capital assets, net	102,164,652	(4,168,909)	(45,515)	13,977,095	111,927,323
Total capital assets, net	\$116,926,919	\$ 119,832	\$ (128,806)	\$ -	\$116,917,945

Note 5. Accrued Compensated Absences

The accrued liabilities for compensated absences for the fiscal years ending June 30, 2020 and 2019 were as follows:

Balance at July 1, 2019	Additions	Reductions	Balance at June 30, 2020	Current Portion	Non-current portion
\$ 970,606	\$ 1,036,447	\$ (606,753)	\$ 1,400,300	\$ 882,189	\$ 518,111

Balance at July 1, 2018	Additions	Reductions	Balance at June 30, 2019	Current Portion	Non-current portion
\$ 1,351,510	\$ 140,134	\$ (521,038)	\$ 970,606	\$ 687,042	\$ 283,564

WEST COUNTY WASTEWATER DISTRICT
Notes to Financial Statements
For the Fiscal Years Ended June 30, 2020 and 2019

Note 6. Loans Payable

Summary changes in long-term debt balances for the years ended June 30, 2020 and 2019 were as follows:

Description	Balance July 1, 2019	Additions	Deletions	Balance June 30, 2020	Due Within One Year	Interest Payable
Loans Payable:						
SRF Loan – Phase I, Segment 1	\$ 1,293,841	\$ -	\$ (65,191)	\$ 1,228,650	\$ 66,431	\$ 3,454
SRF Loan – Phase I, Segment 2	284,736	1,986,632	-	2,271,368	94,417	-
SRF Loan – Phase I, Segment 3	13,755,553	180,826	(646,216)	13,290,164	627,041	42,201
SRF Loan – Recycled Water Upgrades	19,322,858	-	(985,119)	18,337,739	994,970	13,560
Total loans payable	<u>\$ 34,656,988</u>	<u>\$ 2,167,458</u>	<u>\$ (1,696,526)</u>	<u>\$ 35,127,921</u>	<u>\$ 1,782,859</u>	<u>\$ 59,215</u>

Description	Balance July 1, 2018	Additions	Deletions	Balance June 30, 2019	Due Within One Year	Interest Payable
Loans Payable:						
SRF Loan – Phase I, Segment 1	\$ 1,357,817	\$ 25,799	\$ (89,775)	\$ 1,293,841	\$ 65,192	\$ 3,704
SRF Loan – Phase I, Segment 2	267,134	17,602	-	284,736	-	-
SRF Loan – Phase I, Segment 3	10,800,274	3,422,272	(466,993)	13,755,553	646,215	183,679
SRF Loan – Recycled Water Upgrades	19,262,947	1,044,860	(984,949)	19,322,858	985,119	14,294
Total loans payable	<u>\$ 31,688,172</u>	<u>\$ 4,510,533</u>	<u>\$ (1,541,717)</u>	<u>\$ 34,656,988</u>	<u>\$ 1,696,526</u>	<u>\$ 201,677</u>

SRF Loan Payable – Wastewater Facility and Collection System Rehabilitation Project Phase I, Segment 1

In 2015, the District entered into an agreement with the California State Water Resources Control Board (SWRCB) for a 20-year State Revolving Fund (SRF) loan in an amount not-to-exceed \$1,654,505 with an interest rate of 1.90% per annum for capital projects.

SRF Loan Payable - Wastewater Facility and Collection System Rehabilitation Project Phase I, Segment 2

In 2015, the District entered into an agreement with the California State Water Resources Control Board (SWRCB) for a 20-year State Revolving Fund (SRF) loan in an amount not-to-exceed \$2,881,758 with an interest rate of 1.90% per annum for capital projects.

SRF Loan Payable - Wastewater Facility and Collection System Rehabilitation Project Phase I, Segment 3

In fiscal year 2015, the District entered into an agreement with the California State Water Resources Control Board (SWRCB) for a 20-year State Revolving Fund (SRF) loan in an amount not-to-exceed \$14,593,521 with an interest rate of 1.90% per annum for capital projects.

SRF Loan Payable - Recycled Water Reliability Upgrades

In fiscal year 2015, the District entered into an agreement with the California State Water Resources Control Board (SWRCB) for a 20-year State Revolving Fund (SRF) loan in an amount not-to-exceed \$30,457,093 with an interest rate of 1.00% per annum for capital projects.

WEST COUNTY WASTEWATER DISTRICT
Notes to Financial Statements
For the Fiscal Years Ended June 30, 2020 and 2019

Note 6. Loans Payable (continued)

Principal and interest payments on all loans are due and payable each year as follows:

Fiscal Year	Principal	Interest	Total
2021	\$ 1,782,859	\$ 501,484	\$ 2,284,343
2022	1,806,872	477,471	2,284,343
2023	1,832,158	452,185	2,284,343
2024	1,857,834	426,508	2,284,342
2025	1,883,907	400,436	2,284,343
Thereafter	25,964,291	2,649,413	28,613,704
Total	<u>\$ 35,127,921</u>	<u>\$ 4,907,497</u>	<u>\$ 40,035,418</u>

Note 7. Net Other Post-Employment Benefits

Plan Description

The District provides Other Post-Employment Benefits (OPEB) to employees who retire from the District and meet certain eligibility requirements. Eligibility is based upon active employee status of the District at the time of retirement, completion of at least five years of employment with the District, having achieved the age of 50 or older, eligibility to retire under CalPERS, and not receiving health care benefits from any other source other than Medicare or workers' compensation. The maximum employer's contribution is limited to \$1,500 per month, regardless of which coverage the retiree has selected. The contribution requirements of Plan members and the District are established, and may be amended by, the Board of Directors.

A minimum of ten years of CalPERS service is required to receive 50% of the defined benefit. Five of those ten years must be at the District. The benefit increases by 5% for every year above ten. At twenty years, the beneficiary is eligible for 100% of the benefit. An employee who performs twenty years of service solely with the District is eligible for 100% of the benefit, even if they do not retire within 120 days of separation from the District.

The District contracts with CalPERS to administer its retiree health benefits plan (an agent multiple-employer defined benefit plan). In 2009, the District created a trust with Public Agency Retirement Services (PARS) for the purpose of prefunding obligations for past services.

WEST COUNTY WASTEWATER DISTRICT
Notes to Financial Statements
For the Fiscal Years Ended June 30, 2020 and 2019

Note 7. Net Other Post-Employment Benefits (continued)

Employees Covered

The following current and former employees were covered by the benefit terms under the Plan:

Actuarial measurement date	<u>June 30, 2020</u>	<u>June 30, 2019</u>
Active employees	56	49
Inactive employees or beneficiaries currently receiving benefits	48	46
Inactive employees entitled to, but not yet receiving benefits	1	4
Total	<u>105</u>	<u>99</u>

Contributions

The District's plan and its contribution requirements are established by Memoranda of Understanding with the applicable employee bargaining units and may be amended by agreements between the District and the bargaining units. The annual contribution is based on the actuarially determined contribution. The District's contributions were as follows:

	Fiscal year ended <u>June 30, 2020</u>	Fiscal year ended <u>June 30, 2019</u>
Cash contributions to the trust	\$ 1,231,000	\$ 798,000
Benefit payments	475,000	416,000
Implied subsidy	99,000	68,000
Total contributions	<u>\$ 1,805,000</u>	<u>\$ 1,282,000</u>

Net OPEB Liability

The District's Net OPEB Liability was measured on June 30, 2020, using a measurement period of July 1, 2019 to June 30, 2020. Update procedures were used to roll forward the Total Pension Liability from the valuation date (June 30, 2019) to the measurement date (June 30, 2020), based on the following actuarial methods and assumptions:

This space intentionally left blank

WEST COUNTY WASTEWATER DISTRICT
Notes to Financial Statements
For the Fiscal Years Ended June 30, 2020 and 2019

Note 7. Net Other Post-Employment Benefits (continued)

Net OPEB Liability (continued)

Actuarial Assumptions:

Measurement date	June 30, 2020
Actuarial valuation date	June 30, 2019
Contribution policy	District contributes full ADC
Discount rate	6.00% at June 30, 2020 6.00% at June 30, 2019
Expected long-term rate of return on investments	Expected District contributions projected to be sufficient to accumulate sufficient plan assets to pay all benefits from the trust
General inflation	2.75% per annum
Mortality, retirement, disability, termination	CalPERS 1997 – 2015 experience study
Mortality improvement	Mortality projected fully generational with Scale MP-2018
Medical trend	• Non-Medicare – 7.25% for 2021, decreasing to an ultimate rate of 4.0% in 2076 • Medicare – 6.3% for 2019, decreasing to an ultimate rate of 4.0% in 2076
Participation at retirement	100%
Medical plan at retirement	• Pre-Medicare: Anthem Select – 10%, Anthem Traditional – 10%, Health Net SmartCare – 10%, Kaiser – 60%, Blue Shield Access+ – 10% • Post-Medicare: Kaiser – 45%, UnitedHealthcare – 15%, PERSCare – 30%, PERS Choice – 10%

Discount Rate

The discount rate used to measure the total OPEB liability was 6.00 percent. The projection of cash flows used to determine the discount rate assumed that District contributions will be made at rates equal to the actuarially determined contribution rates. Based on those assumptions, the OPEB plan's fiduciary net position was projected to be available to make all projected OPEB payments for current active and inactive employees and beneficiaries. Therefore, the long-term expected rate of return on OPEB plan investments was applied to all periods of projected benefit payments to determine the total OPEB liability.

WEST COUNTY WASTEWATER DISTRICT
Notes to Financial Statements
For the Fiscal Years Ended June 30, 2020 and 2019

Note 7. Net Other Post-Employment Benefits (continued)

Changes in the OPEB Liability

	Total OPEB Liability (a)	Plan Fiduciary Net Position (b)	Net OPEB Obligation (Asset) = (a) – (b)
Balance at June 30, 2018 (Measurement date June 30, 2017)	\$10,907,000	\$ 6,573,000	\$ 4,334,000
Changes recognized for the measurement period			
Service cost	1,435,000	-	1,435,000
Interest	1,430,000	-	1,430,000
Employer contributions	-	2,473,000	(2,473,000)
Net investment income	-	962,000	(962,000)
Benefit payments to retirees	(854,000)	(854,000)	-
Administrative expense	-	(39,000)	39,000
Net changes	2,011,000	2,542,000	(531,000)
Balance at June 30, 2019 (Measurement date June 30, 2019)	\$ 12,918,000	\$ 9,115,000	\$ 3,803,000
Changes recognized for the measurement period			
Service cost	750,000	-	750,000
Interest	803,000	-	803,000
Actual vs. expected experience	(1,547,000)	-	(1,547,000)
Assumption changes	(310,000)	-	(310,000)
Employer contributions	-	1,805,000	(1,805,000)
Employee contributions	-	68,000	(68,000)
Net investment income	-	360,000	360,000
Benefit payments to retirees	(574,000)	(574,000)	-
Administrative expense	-	(24,000)	24,000
Net changes	(878,000)	1,635,000	(2,513,000)
Balance at June 30, 2020 (Measurement date June 30, 2020)	\$ 12,040,000	\$10,750,000	\$ 1,290,000

WEST COUNTY WASTEWATER DISTRICT
Notes to Financial Statements
For the Fiscal Years Ended June 30, 2020 and 2019

Note 7. Net Other Post-Employment Benefits (continued)

Sensitivity of the Net OPEB Liability to the Changes in the Discount Rate

The following presents the Net OPEB Liability of the District if it were calculated using a discount rate that is one percentage point higher or lower than the current discount rate, for the measurement periods ended:

	1% Decrease (5.00%)	Current Discount Rate (6.00%)	1% Increase (7.00%)
June 30, 2020	\$ 2,900,000	\$ 1,290,000	\$ (26,000)
June 30, 2019	\$ 5,506,000	\$ 3,803,000	\$ 2,407,000

Sensitivity of the Net OPEB Liability to the Changes in the Health Care Cost Trend Rates

The following presents the net OPEB liability of the District if it were calculated using health care cost trend rates that are one percentage point higher or lower than the current rate, for the measurement periods ended:

	1% Decrease	Current Trend Rate	1% Increase
June 30, 2020	\$ 260,000	\$ 1,290,000	\$ 3,208,000
June 30, 2019	\$ 2,046,000	\$ 3,803,000	\$ 5,975,000

OPEB Plan Fiduciary Net Position

An audited financial report for the plan is prepared by the plan administrator, Public Agency Retirement Services (PARS) 4350 Von Karman Avenue, Ste. 100, Newport Beach, CA 94660-2043; (800) 731-7884.

Recognition of Deferred Outflows and Deferred Inflows of Resources

Gains and losses related to changes in total OPEB liability and fiduciary net position are recognized in OPEB expense systematically over time. Amounts are first recognized in OPEB expense for the year the gain or loss occurs. The remaining amounts are categorized as deferred outflows and deferred inflows of resources related to OPEB and are to be recognized in future OPEB expense.

The recognition period differs depending on the source of the gain or loss:

- Net difference between projected and actual earnings on OPEB plan investments – 5 years
- All other amounts – Expected average remaining service lifetime (EARS�)

WEST COUNTY WASTEWATER DISTRICT
Notes to Financial Statements
For the Fiscal Years Ended June 30, 2020 and 2019

Note 7. Net Other Post-Employment Benefits (continued)

OPEB Expense and Deferred Outflows/Inflows of Resources Related to OPEB

For the years ended June 30, 2020 and 2019, the District recognized OPEB expense of \$557,000 and \$659,000, respectively. The District reported deferred outflows of resources and deferred inflows of resources related to OPEB from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
<u>Year Ended June 30, 2020</u>		
Differences between expected and actual experience	\$ -	\$(1,249,000)
Changes in assumptions	-	(250,000)
Net differences between projected and actual earnings on plan investments	63,000	-
Total	<u>\$ 63,000</u>	<u>\$(1,499,000)</u>
	Deferred Outflows of Resources	Deferred Inflows of Resources
<u>Year Ended June 30, 2019</u>		
OPEB contributions subsequent to measurement date	\$ -	\$ -
Net differences between projected and actual earnings on plan investments	-	(171,000)
Total	<u>\$ -</u>	<u>\$ (171,000)</u>

Other amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized as OPEB expense as follows:

Fiscal Year Ending:	Deferred Outflows/(Inflows) of Resources
2021	(367,000)
2022	(367,000)
2023	(322,000)
2024	(313,000)
2025	(67,000)

WEST COUNTY WASTEWATER DISTRICT
Notes to Financial Statements
For the Fiscal Years Ended June 30, 2020 and 2019

Note 8. Defined Benefit Pension Plan

General Information about the Pension Plans

Plan Description - All qualified permanent and probationary employees are eligible to participate in the District's Miscellaneous Employee Pension Plan (the Plan), a cost-sharing multiple employer defined benefit pension plan administered by the California Public Employees' Retirement System (CalPERS). Benefit provisions under the Plan are established by State statute and District resolution. CalPERS issues publicly available reports that include a full description of the pension plan regarding benefit provisions, assumptions and membership information that can be found on the CalPERS website.

Benefits Provided - CalPERS provides service retirement and disability benefits, annual cost of living adjustments and death benefits to plan members and beneficiaries. A Classic CalPERS Miscellaneous member becomes eligible for service retirement upon attainment of age 55 with at least 5 years of credited service. Public Employees' Pension Reform Act (PEPRA) Miscellaneous members become eligible for service retirement upon attainment of age 62 with at least 5 years of service. The service retirement benefit is a monthly allowance equal to the product of the benefit factor, years of service, and final compensation. The final compensation is the monthly average of the member's highest 36 full-time equivalent monthly pay. Retirement benefits for Classic Miscellaneous members are calculated as a percentage of their plan based on the average final 36 months' compensation. Retirement benefits for PEPRA Miscellaneous members are calculated as a percentage of their plan based on the average final 36 months' compensation.

The Plan provisions and benefits in effect at June 30, 2020 and 2019, are summarized as follows:

	Tier 1	PEPRA
Benefit formula	3.0% @ 60	2.0% @ 62
Benefit vesting schedule	5 Years	5 Years
Benefit payments	Monthly for Life	Monthly for Life
Retirement age	50 – 67 & up	52 – 67 & up
Monthly benefits as a % of eligible compensation	2.0 – 3.0%	1.0 – 2.5%
Required employer contribution rates 2020	14.398%	6.985%
Required employer contribution rates 2019	13.439%	6.842%

Contributions - Section 20814(c) of the California Public Employees' Retirement Law requires that the employer contribution rates for all public employers be determined on an annual basis by the actuary and shall be effective on the July 1 following notice of a change in the rate. Funding contributions for the Plan are determined annually on an actuarial basis as of June 30 by CalPERS. The actuarially determined rate is the estimated amount necessary to finance the costs of benefits earned by employees during the year, with an additional amount to finance any unfunded accrued liability. The District is required to contribute the difference between the actuarially determined rate and the contribution rate of employees.

WEST COUNTY WASTEWATER DISTRICT
Notes to Financial Statements
For the Fiscal Years Ended June 30, 2020 and 2019

Note 8. Defined Benefit Pension Plan (continued)

General Information about the Pension Plans (continued)

For the years ended June 30, 2020, and 2019, the contributions recognized as part of pension expense for the Plan were as follows:

	<u>Miscellaneous</u>		
	<u>Classic</u>	<u>PEPRA</u>	<u>Total</u>
Employer contributions 2020	\$ 1,355,733	\$ 191,139	\$ 1,546,872
Employer contributions 2019	\$ 1,222,675	\$ 109,415	\$ 1,332,090

Pension Liabilities, Pension Expenses and Deferred Outflows/Inflows of Resources Related to Pensions

The District reported net pension liabilities for its proportionate shares of the net pension liability of the Plan as follows:

	<u>Miscellaneous Plan</u>	
	<u>June 30, 2020</u>	<u>June 30, 2019</u>
Proportionate share of the net pension liability	<u>\$ 13,911,458</u>	<u>\$ 12,677,363</u>

The District's net pension liability for the Plan is measured as the proportionate share of the net pension liability. The net pension liability of the Plan is measured as of June 30, 2019, and the total pension liability for the Plan used to calculate the net pension liability was determined by an actuarial valuation as of June 30, 2018 rolled forward to June 30, 2019 using standard update procedures. The District's proportion of the net pension liability was based on a projection of the District's long-term share of contributions to the pension plan relative to the projected contributions of all participating employers, actuarially determined. The District's proportionate share of the net pension liability for the Plan as of June 30, 2019, 2018, and 2017 measurement dates was as follows:

	<u>PERF C</u>
Proportion – June 30, 2018	0.13156%
Proportion – June 30, 2019	0.13576%
Change in Proportions	<u>0.00420%</u>

	<u>PERF C</u>
Proportion – June 30, 2017	0.13046%
Proportion – June 30, 2018	0.13156%
Change in Proportions	<u>0.00110%</u>

WEST COUNTY WASTEWATER DISTRICT
Notes to Financial Statements
For the Fiscal Years Ended June 30, 2020 and 2019

Note 8. Defined Benefit Pension Plan (continued)

Pension Liabilities, Pension Expenses and Deferred Outflows/Inflows of Resources Related to Pensions (continued)

For the years ended June 30, 2020, and 2019 the District recognized pension expense of \$2,987,038 and \$1,708,711, respectively. The District reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Year Ended June 30, 2020		
Pension contributions subsequent to measurement	\$ 1,546,872	\$ -
Changes in assumptions	663,363	(235,157)
Differences between expected and actual experiences	966,209	(74,862)
Change in employer's proportion	410,597	-
Differences between the employer's contributions and employer's proportionate share of contributions	-	(666,255)
Net differences between projected and actual earnings on plan investments	-	(243,215)
Total	<u>\$ 3,587,038</u>	<u>\$ (1,219,489)</u>
Year Ended June 30, 2019		
Pension contributions subsequent to measurement	\$ 1,332,090	\$ -
Changes in assumptions	1,445,257	(354,205)
Differences between expected and actual experiences	486,408	(165,522)
Change in employer's proportion	310,845	-
Differences between the employer's contributions and employer's proportionate share of contributions	-	(543,927)
Net differences between projected and actual earnings on plan investments	62,674	-
Total	<u>\$ 3,637,274</u>	<u>\$ (1,063,654)</u>

Of the \$3,587,038 reported as deferred outflows of resources at June 30, 2020, \$1,546,872 related to contributions subsequent to the measurement date that will be recognized as a reduction of the net pension liability in the year ended June 30, 2021.

WEST COUNTY WASTEWATER DISTRICT
Notes to Financial Statements
For the Fiscal Years Ended June 30, 2020 and 2019

Note 8. Defined Benefit Pension Plan (continued)

Pension Liabilities, Pension Expenses and Deferred Outflows/Inflows of Resources Related to Pensions (continued)

Other amounts reported as deferred outflows of resources and deferred inflows of resources related to pensions will be recognized as pension expense as follows:

Fiscal Year Ending:	Deferred Outflows (Inflows) of Resources
2021	\$ 886,290
2022	(193,611)
2023	78,852
2024	49,146

Actuarial Assumptions - The total pension liabilities in the June 30, 2018 actuarial valuations were determined using the following actuarial assumptions:

Valuation Date	June 30, 2018
Measurement Date	June 30, 2019
Measurement Period	July 1, 2018 to June 30, 2019
Actuarial Cost Method	Entry Age Normal in accordance with the requirements of GASB No. 68
Actuarial Assumptions:	
Discount Rate	7.15%
Inflation	2.50%
Salary Increases	Varies by Entry Age and Service
Mortality Rate Table	Derived using CalPERS' membership data for all funds.
Post-retirement benefit increase	Contract COLA up to 2.5 % until Purchasing Power Protection allowance floor on purchasing power applies

The mortality table used was developed based on CalPERS-specific data. The table includes 15 years of mortality improvements using Society of Actuaries Scale 90% of scale MP 2016. For more details on this table, please refer to the December 2017 experience study report (based on CalPERS demographic data from 1997 to 2015) that can be found on the CalPERS website.

Discount Rate - The discount rate used to measure the total pension liability was 7.15%. The projection of cash flows used to determine the discount rate assumed that contributions from plan members will be made at the current member contribution rates and that contributions from employers will be made at statutorily required rates, actuarially determined. Based on those assumptions, the Plan's fiduciary net position was projected to be available to make all projected future benefit payments of current plan members. Therefore, the long-term expected rate of return on plan investments was applied to all period of projected benefit payments to determine the total pension liability.

WEST COUNTY WASTEWATER DISTRICT
Notes to Financial Statements
For the Fiscal Years Ended June 30, 2020 and 2019

Note 8. Defined Benefit Pension Plan (continued)

Pension Liabilities, Pension Expenses and Deferred Outflows/Inflows of Resources Related to Pensions (continued)

Long-term Expected Rate of Return – The long-term expected rate of return on pension plan investments was determined using a building-block method in which ranges of expected future real rates of return (expected returns, net of pension plan investment expenses and inflation) are developed for each major asset class.

In determining the long-term expected rate of return, CalPERS took into account both short-term and long-term market return expectations as well as the expected pension fund cash flows. Using historical returns of all the funds' asset classes, expected compound returns were calculated over the short-term (first 10 years) and the long-term (11+ years) using a building-block approach. Using the expected nominal returns for both short-term and long-term, the present value of benefits was calculated for each fund. The expected rate of return was set by calculating the single equivalent expected return that arrived at the same present value of benefits for cash flows as the one calculated using both short-term and long-term returns. The expected rate of return was then set equivalent to the single equivalent rate calculated above and adjusted to account for assumed administrative expenses.

The table below reflects the long-term expected real rate of return by asset class. The rate of return was calculated using the capital market assumptions applied to determine the discount rate and asset allocation. These rates of return are net of administrative expenses.

Allocation by Asset Class	New Strategic Allocation	Real Return Years 1 – 10 (a)	Real Return Years 11+ (b)
Global Equity	50.0%	4.80%	5.98%
Fixed Income	28.0%	1.00%	2.62%
Inflation Assets	—	0.77%	1.81%
Private Equity	8.0%	6.30%	7.23%
Real assets	13.0%	3.75%	4.93%
Liquidity	1.0%	—	-0.92%
Total	<u>100.00%</u>		

The following presents the District's proportionate share of the net pension liability for the Plan, calculated using the discount rate for the Plan, as well as what the District's proportionate share of the net pension liability would be if it were calculated using a discount rate that is 1- percentage point lower or 1- percentage point higher than the current rate:

	Discount Rate – 1% (6.15%)	Current Discount Rate (7.15%)	Discount Rate +1% (8.15%)
June 30, 2020	\$ 21,851,106	\$ 13,911,458	\$ 7,537,839
June 30, 2019	\$ 20,118,323	\$ 12,677,363	\$ 6,534,972

WEST COUNTY WASTEWATER DISTRICT
Notes to Financial Statements
For the Fiscal Years Ended June 30, 2020 and 2019

Note 8. Defined Benefit Pension Plan (continued)

Pension Plan Fiduciary Net Position

Detailed information about each pension plan's fiduciary net position is available in the separately issued CalPERS financial reports.

Note 9. Net Investment in Capital Assets

Net investment in capital assets consisted of the following at June 30:

Description	2020	2019
Net investment in capital assets:		
Capital assets not being depreciated	\$ 6,197,971	\$ 4,990,622
Capital assets being depreciated, net	109,104,102	111,927,323
Loans payable – current	(1,782,859)	(1,696,526)
Loans payable – noncurrent	(33,345,062)	(32,960,462)
Total net investment in capital assets	<u>\$ 80,174,152</u>	<u>\$ 82,260,957</u>

Note 10. Deferred Compensation Savings Plan

For the benefit of its employees, The District participates in IRC No. 457 Deferred Compensation Programs. The purpose of these programs is to provide deferred compensation for public employees that elect to participate in the Program. Generally, eligible employees may defer receipt of a portion of their salary until termination, retirement, death, or unforeseeable emergency. Until the funds are paid or otherwise made available to the employee, the employee is not obligated to report the deferred salary for income tax purposes.

Federal law requires deferred compensation assets to be held in trust for the exclusive benefit of the participants. The District is in compliance with this legislation. Therefore, these assets are not the legal property of the District and are not subject to claims of the District's general creditors.

The District has implemented GASB Statement No. 32, *Accounting and Financial Reporting for Internal Revenue Code Section 457 Deferred Compensation Plans*. Since the District has little administrative involvement and does not perform the investing function for this plan, the assets and related liabilities are not shown on the statement of net position.

WEST COUNTY WASTEWATER DISTRICT
Notes to Financial Statements
For the Fiscal Years Ended June 30, 2020 and 2019

Note 11. Risk Management

The District participates in a joint venture under a joint power agreement (JPA) with the California Sanitation Risk Management Authority (CSRMA). The relationship between the District and CSRMA is such that CSRMA is not a component unit of the District for financial reporting purposes. CSRMA arranges for and provides workers' compensation, property, liability, errors, and omissions insurance for its member governmental entities. A board consisting of representatives from its member entities governs the CSRMA. The board controls the operations of the CSRMA including selection of management and approval of operating budgets, independent of any influence by the member agency beyond their representation on the board. Each member agency pays a premium commensurate with the level of coverage required and shares surpluses and deficits proportionate to their participation in the CSRMA. CSRMA has budgeting and financial reporting requirements independent of member units and its financial statements are not presented in these financial statements. Audited financial statements are available from the respective entity.

In addition to the primary insurance types provided for through CSRMA listed above, the District also maintains commercial fidelity bonds, public employee dishonesty and public official bonds, to protect against employee theft or defalcation. Settled claims for CSRMA or the District's commercial fidelity bonds have not exceeded coverage in any of the past three fiscal years.

Note 12. Commitments and Contingencies

West County Agency – A Joint Venture

The West County Agency (the Agency) operates under a joint exercise of powers agreement (JPA) between the District, the City of Richmond, and the Richmond Municipal Sewer District. The Agency is a joint venture, which is legally separate from its participants and is governed by a Board of Directors appointed by and from the governing boards of its member agencies. The Board of Directors establishes the Agency's operating budget, which sets the contributions required from each of the member agencies and exercises the other powers specified in the JPA agreement. Expenses consist of pipeline and outfall operations and maintenance costs. Agency assets are held separately from the District's assets, and the Agency does not hold any significant assets or liabilities at this time. As of June 30, 2020, and 2019, the Agency had an unrestricted net position of \$113,854 (unaudited) and \$29,856 (audited), respectively. For more detail, the financial statements of the Agency are available at the District's office.

Grant Awards

Grant funds received by the District are subject to audit by grantor agencies. Such audits could lead to requests for reimbursements to the grantor agencies for expenditures disallowed under terms of the grant. Management of the District believes that such disallowances, if any, would not be significant.

Litigation

In the ordinary course of operations, the District is subject to claims and litigation from outside parties. The District has reviewed all potential and pending litigation and provided for these liabilities and potential liabilities as part of accounts payable at June 30, 2020 and 2019.

This page intentionally left blank

REQUIRED SUPPLEMENTARY INFORMATION

WEST COUNTY WASTEWATER DISTRICT
Required Supplementary Information
June 30, 2020

Schedule of Proportionate Share of Net Pension Liability
Last 10 Years¹

	Fiscal Year End June 30,					
	2020	2019	2018	2017	2016	2015
Measurement date	6/30/2019	6/30/2018	6/30/2017	6/30/2016	6/30/2015	6/30/2014
Proportion of net pension liability	0.135760%	0.131560%	0.130457%	0.127600%	0.120987%	0.116172%
Proportionate share of the net pension liability	\$ 13,911,458	\$ 12,677,363	\$ 12,937,710	\$ 11,041,346	\$ 8,304,443	\$ 7,228,755
Covered payroll	\$ 5,637,238	\$ 6,127,535	\$ 5,941,774	\$ 5,722,480	\$ 5,320,757	\$ 4,275,865
Proportionate share of the net pension liability as a percentage of covered payroll	246.78%	206.89%	217.74%	192.95%	156.08%	169.06%
Plan's fiduciary net position as a percentage of the Plan's total pension liability	75.26%	75.26%	73.31%	74.06%	78.40%	83.03%

Schedule of Pension Plan Contributions
Last 10 Years¹

	2020	2019	2018	2017	2016	2015	2014
Fiscal year ended							
Contractually required contributions (actuarially determined)	\$ 1,546,872	\$ 1,332,090	\$ 1,206,117	\$ 1,145,214	\$ 978,212	\$ 808,084	\$ 809,429
Contributions in relation to actuarially determined contributions ²	(1,546,872)	(1,332,090)	(1,206,117)	(1,145,214)	(978,212)	(808,084)	(809,429)
Contribution deficiency (excess)	-	-	-	-	-	-	-
Covered payroll	\$ 6,442,006	\$ 5,637,238	\$ 6,127,335	\$ 5,941,774	\$ 5,722,480	\$ 5,320,757	\$ 4,275,865
Contributions as a percentage of covered payroll	24.01%	23.63%	19.68%	19.27%	17.09%	15.19%	18.93%

¹ Historical information is presented only for measurement periods for which GASB 68 is applicable. This required supplementary information is intended to present information for ten years. Additional years' information will be presented as it becomes available.

² Employers are assumed to make contributions equal to the actuarially determined contributions. However, some employers may choose to make additional contributions towards their side-fund or their unfunded liability. Employer contributions for such plan exceed the actuarial determined contributions. CalPERS has determined that employer obligations referred to as *side-funds* are not considered separately financed specific liabilities.

Actuarially Determined Contribution Assumptions:

Valuation date	June 30, 2017
Actuarial cost method	Entry age normal cost method
Amortization method	Level percent of pay, direct rate smoothing
Remaining amortization periods	Differs by employer reate plan but not more than 30 years
Asset valuation method	Market value of assets
Inflation	2.625%
Salary increases	Varies by entry age and service
Discount rate**	7.25% (net of administrative expenses)
Mortality	Derived using CalPERS' Membership Data for all Funds. The post-retirement mortality rates include 15 years of projected on-going mortality improvement using 90 percent of Scale MP 2016 published by the Society of Actuaries

WEST COUNTY WASTEWATER DISTRICT
Schedule of Changes in the Net OPEB Liability and Related Ratios
for the Measurement Period Ended June 30, 2019

	2020	2019	2018
Total OPEB Liability			
Service cost	\$ 750,000	\$ 1,435,000	\$ 686,000
Interest on the OPEB liability	803,000	1,430,000	626,000
Actual vs. expected experience	(1,547,000)	-	-
Changes in assumptions	(310,000)	-	-
Benefits paid to retirees	(574,000)	(854,000)	(304,000)
Net change in total OPEB liability	(878,000)	2,011,000	1,008,000
Total OPEB Liability - beginning	12,918,000	10,907,000	9,899,000
Total OPEB Liability - ending	(a) \$ 12,040,000	\$ 12,918,000	\$ 10,907,000
Plan Fiduciary Net Position			
Employer contributions	\$ 1,805,000	\$ 2,473,000	\$ 1,119,000
Employee contributions	\$ 68,000	\$ -	\$ -
Net investment income	360,000	962,000	553,000
Benefits paid to retirees	(574,000)	(854,000)	(304,000)
Administrative expense	(24,000)	(39,000)	(14,000)
Net change in plan fiduciary position	1,635,000	2,542,000	1,354,000
Plan fiduciary net position- beginning	9,115,000	6,573,000	5,219,000
Plan fiduciary net position- ending	(b) \$ 10,750,000	\$ 9,115,000	\$ 6,573,000
Net OPEB liability- ending	(a) - (b) \$ 1,290,000	\$ 3,803,000	\$ 4,334,000
Plan fiduciary net position as a percentage of the total OPEB liability	89.29%	70.56%	60.26%
Covered payroll	\$ 7,242,000	\$ 6,318,000	\$ 6,590,000
Net OPEB liability as a percentage of covered payroll	17.81%	60.19%	65.77%

Notes to Schedule:

Historical information is required only for measurement periods for which GASB No. 75 is applicable. Future years' information will be displayed, up to 10 years, as information becomes available.

WEST COUNTY WASTEWATER DISTRICT
Schedule of OPEB Contributions
Last Ten Fiscal Years¹

Fiscal Year Ended June 30,	2020	2019	2018
Actuarially determined contributions (ADC)	\$ 1,312,000	\$ 1,118,000	\$ 962,000
Contributions in relation to the ADC	(1,805,000)	(1,282,000)	(1,191,000)
Contribution deficiency (excess)	\$ (493,000)	\$ (164,000)	\$ (229,000)
Covered-employee payroll	7,242,000	6,318,000	6,625,000
Contributions as a percentage of covered-employee payroll	24.92%	20.29%	17.98%

Notes to Schedule:

Actuarial methods and assumptions used to set the actuarially determined contributions for Fiscal Year 2020 were selected by the District after consultation with the actuary.

¹Historical information is required only for measurement periods for which GASB No. 75 is applicable. Future years' information will be displayed, up to 10 years, as information becomes available

Method and assumptions used to determine contribution:

Valuation date	June 30, 2017
Actuarial Cost Method	Entry Age Normal, Level Percentage of Payroll
Amortization Method	Level percent of payroll
Amortization Period	20-year fixed period for 2019/20
Asset valuation method	Market value of assets
Discount rate	6.00%
General inflation	2.75%
Medical trend	Non-Medicare - 7.5% for 2019, decreasing to an ultimate rate of 4.0% in 2076 Medicare - 6.5% for 2019, decreasing to an ultimate rate of 4.0% in 2076
Mortality	CalPERS 1997-2011 experience study
Mortality Improvement	Mortality projected fully generational with Scale MP-2017

STATISTICAL INFORMATION

This page intentionally left blank

WEST COUNTY WASTEWATER DISTRICT COMPREHENSIVE ANNUAL FINANCIAL REPORT FOR THE FISCAL YEAR ENDED JUNE 30, 2020

STATISTICAL SECTION TABLE OF CONTENTS

	<u>Page Number</u>
Introduction	
<u>Financial Trends</u>	
Changes in Net Position and Statement of Net Position	68 - 69
Revenues by Type	70 - 71
Operating Expenses by Function	72
<u>Revenue Capacity</u>	
Major Revenue Base and Rates	73
Principal Revenue Sources	74
Property Tax Information	75
Schedule of Capacity Charges	76
<u>Debt Capacity</u>	
Debt Capacity and Loan Repayment Schedule	77-78
<u>Demographic and Economic Information</u>	
District Population, Income and Unemployment	78
Charts of Population Served and Unemployment Rate	79
Charts of Total Personal Income and Per Capita Personal Income	80
Principal Employers	81
Full Time Equivalent Employees	82
<u>Operating Information</u>	
Engineering Permits Completed	83
Collection System Activity	83
Treatment Plant Activity	84
Facility Capacity Data	84

Unless otherwise noted, the source of the information is the comprehensive annual financial reports for the each year.

This page intentionally left blank

WEST COUNTY WASTEWATER DISTRICT STATISTICAL SECTION - INTRODUCTION

This section of the District's comprehensive annual financial report presents detailed information as a context for understanding what the information in the financial statements, note disclosures and required supplementary information says about the District's overall financial health.

Financial Trends

These schedules contain trend information to help the reader understand how the District's financial position has changed over time.

Revenue Capacity

These schedules contain trend information to help the reader assess the District's most significant revenue sources.

Debt Capacity

This schedule contains trend information to help the reader assess the District's debt burden and its ability to issue additional debt in the future.

Demographic & Economic Information

These schedules offer demographic and economic indicators to help the reader understand the environment within which the District's financial activities take place.

Operating Information

These schedules contain trend information about the District's operations and resources to help the reader in using the District's financial report to understand and assess its economic condition.

FINANCIAL TRENDS

WEST COUNTY WASTEWATER DISTRICT CHANGES IN NET POSITION AND STATEMENT OF NET POSITION Last Ten Fiscal Years

Change in Net Position	2020	2019	2018	2017	2016
<u>Operating revenues:</u>					
Sewer use charge	\$ 25,625,752	\$ 23,795,768	\$ 21,047,634	\$ 19,780,211	\$ 17,290,831
Inspection/permit fees	192,230	277,981	231,481	300,183	248,888
Contract services	69,193	87,091	106,279	221,643	300,737
Other revenue	91,056	48,072	194,610	170,067	221,698
Total operating revenues	25,978,231	24,208,912	21,580,004	20,472,104	18,062,154
<u>Operating expenses:</u>					
Sewage collection	5,351,979	2,197,399	4,236,904	3,783,288	3,815,139
Sewage treatment	9,453,524	7,197,285	7,298,501	6,784,087	5,976,699
Administration	5,677,700	5,718,627	4,553,523	3,899,443	2,631,540
Contract services	31,311	64,076	84,834	147,060	272,421
West County Agency	537,834	268,066	121,698	174,212	148,541
Depreciation expense	5,754,097	4,634,050	3,198,839	3,071,113	3,119,615
Total operating expenses	26,806,445	20,079,503	19,494,299	17,859,203	15,963,955
Operating Income (loss)	(828,214)	4,129,409	2,085,705	2,612,901	2,098,199
<u>Non-operating revenues (expenses):</u>					
Property taxes	1,257,113	1,192,713	1,082,059	1,057,151	977,876
Redevelopment allocation	339,844	322,356	312,470	160,943	141,994
Rental income	507,694	675,254	311,948	90,941	353,536
Investment earnings	922,465	817,201	298,133	61,556	70,451
Interest expense	(463,090)	(450,324)	(390,000)		
Other revenue (expense), net	(6,082)	(417)	(97,276)	(109,312)	
Total non-operating revenues (expenses), net	2,557,944	2,556,783	1,517,334	1,261,279	1,543,857
Net income before capital contributions	1,729,730	6,686,192	3,603,039	3,874,180	3,642,056
<u>Capital contributions:</u>					
State capital grants		354,885	2,034,947	6,966,498	
Connection fees	578,975	454,195	1,423,356	970,975	453,178
Contributed sewer lines					
Total capital contributions	578,975	809,080	3,458,303	7,937,473	453,178
Change in net position	2,308,705	7,495,272	7,061,342	11,811,653	4,095,234
Net position					
Beginning of year	103,975,949	96,480,677	93,344,056	81,532,403	77,437,169
Prior period adjustments			(3,924,721)		
Net Position - End of year	\$ 106,284,654	\$ 103,975,949	\$ 96,480,677	\$ 93,344,056	\$ 81,532,403
Net position					
Invested in Capital Assets	\$ 80,174,152	\$ 82,260,957	\$ 85,238,747	\$ 79,395,085	\$ 80,006,751
Restricted	2,284,343	2,134,873	1,861,014	918,426	
Unrestricted	23,826,159	19,580,119	9,380,916	13,030,545	1,525,652
Total Net Position	\$ 106,284,654	\$ 103,975,949	\$ 96,480,677	\$ 93,344,056	\$ 81,532,403

Source: West County Wastewater District Audited Financial Statements
Continued on Page 74

FINANCIAL TRENDS

WEST COUNTY WASTEWATER DISTRICT CHANGES IN NET POSITION AND STATEMENT OF NET POSITION Last Ten Fiscal Years (continued)

	2015	2014	2013	2012	2011
<u>Operating revenues:</u>					
Sewer use charge	\$ 15,650,703	\$ 14,038,949	\$ 13,854,746	\$ 12,239,921	\$ 12,182,304
Inspection/permit fees	316,476	192,139	189,166	45,645	46,062
Contract services	329,339	316,961	551,075	332,037	339,517
Other revenue	25,302	24,182	194,429	45,097	64,979
Total operating revenues	16,321,820	14,572,231	14,789,416	12,662,700	12,632,862
<u>Operating expenses:</u>					
Sewage collection	3,768,123	3,639,837	3,372,341	2,908,773	3,176,367
Sewage treatment	5,704,464	5,208,478	6,798,874	5,712,477	5,940,831
Administration	2,740,638	2,868,589	2,935,722	2,554,171	2,515,705
Contract services	303,888	269,874	474,623	287,977	239,973
West County Agency	107,463	133,670	172,391	105,041	148,273
Depreciation expense	3,222,967	2,940,249	2,921,783	2,735,155	2,856,717
Total operating expenses	15,847,543	15,060,697	16,675,734	14,303,594	14,877,866
Operating Income (loss)	474,277	(488,466)	(1,886,318)	(1,640,894)	(2,245,004)
<u>Non-operating revenues (expenses):</u>					
Property taxes	900,157	790,139	749,228	737,902	834,524
Redevelopment allocation	215,512	120,307	23,864	70,857	
Rental income	258,827	341,007	155,448	199,974	246,948
Investment earnings	43,743	34,712	30,257	49,106	64,645
Other revenue (expense), net	(2,275,124)			(256,871)	(108,804)
Total non-operating revenues (expenses), net	(856,885)	1,286,165	958,797	800,968	1,037,313
Net income before capital contributions	(382,608)	797,699	(927,521)	(839,926)	(1,207,691)
<u>Capital contributions:</u>					
State capital grants					
Connection fees	816,533	202,478	167,916	192,636	1,068,927
Contributed sewer lines					
Total capital contributions	816,533	202,478	167,916	192,636	1,068,927
Change in net position	433,925	1,000,177	(759,605)	(647,290)	(138,764)
Net position					
Beginning of year	86,070,895	85,070,718	85,830,323	86,477,613	86,616,377
Prior period adjustments	(9,067,651)				
Net Position - End of year	\$ 77,437,169	\$ 86,070,895	\$ 85,070,718	\$ 85,830,323	\$ 86,477,613
Net Position					
Invested in Capital Assets	\$ 67,486,623	\$ 70,302,862	\$ 69,404,267	\$ 69,725,812	\$ 69,663,380
Unrestricted	9,950,546	15,768,033	15,666,451	16,104,511	16,814,233
Total Net Position	\$ 77,437,169	\$ 86,070,895	\$ 85,070,718	\$ 85,830,323	\$ 86,477,613

Source: West County Wastewater District Audited Financial Statements
Continued from Page 73

FINANCIAL TRENDS
WEST COUNTY WASTEWATER DISTRICT
REVENUES BY TYPE
Last Ten Fiscal Years



Source: West County Wastewater District Audited Financial Statements

FINANCIAL TRENDS
WEST COUNTY WASTEWATER DISTRICT
REVENUES BY TYPE
Last Ten Fiscal Years

OPERATING REVENUES

FYE June 30	Sewer Use Charge	Inspection/ Permit fees	Contract Services	Other Revenue	Total Operating
2011	12,182,304	46,062	339,517	64,979	12,632,862
2012	12,239,921	45,645	332,037	45,097	12,662,700
2013	13,854,746	189,166	551,075	194,429	14,789,416
2014	14,038,949	192,139	316,961	24,182	14,572,231
2015	15,650,703	316,476	329,339	25,302	16,321,820
2016	17,290,831	248,888	300,737	221,698	18,062,154
2017	19,780,211	300,183	221,643	170,067	20,472,104
2018	21,047,634	231,481	106,279	194,610	21,580,004
2019	23,664,880	277,981	87,091	178,960	24,208,912
2020	25,522,924	192,230	69,193	193,884	25,978,231

Source: West County Wastewater District Audited Financial Statements

NON-OPERATING REVENUES

FYE June 30	Property Taxes	Investment Earnings	Rental Income	Other	Total Non- Operating
2011	834,524	64,645	246,948		1,146,117
2012	808,759	49,106	199,974		1,057,839
2013	773,092	30,257	155,448		958,797
2014	910,446	34,712	341,007		1,286,165
2015	1,115,669	43,743	258,827		1,418,239
2016	1,119,870	70,451	353,536		1,543,857
2017	1,218,094	61,556	90,941		1,370,591
2018	1,394,529	298,133	311,947		2,004,609
2019	1,515,069	817,201	675,254		3,007,524
2020	1,596,957	922,465	507,694		3,027,116

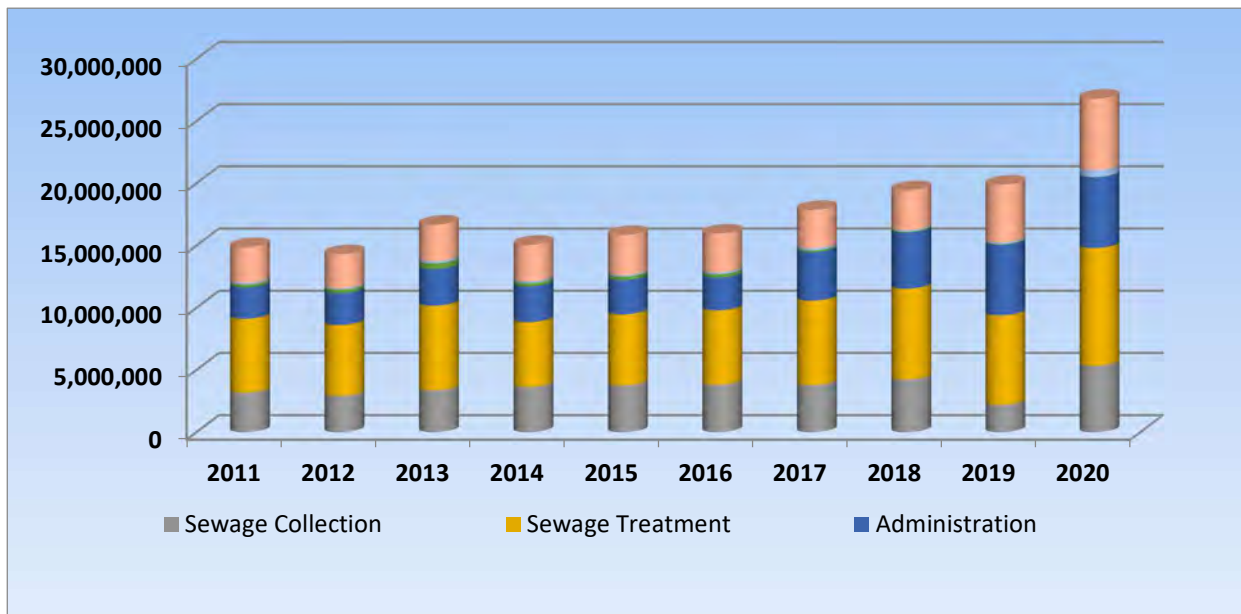
Source: West County Wastewater District Audited Financial Statements

Property Taxes include reductions due to the shift in property taxes related to the San Pablo Redevelopment Allocation and ERAF.

WEST COUNTY WASTEWATER DISTRICT

FINANCIAL TRENDS
OPERATING EXPENSES BY FUNCTION
Last Ten Fiscal Years

OPERATING EXPENSES



Source: West County Wastewater District Audited Financial Statements

OPERATING EXPENSES

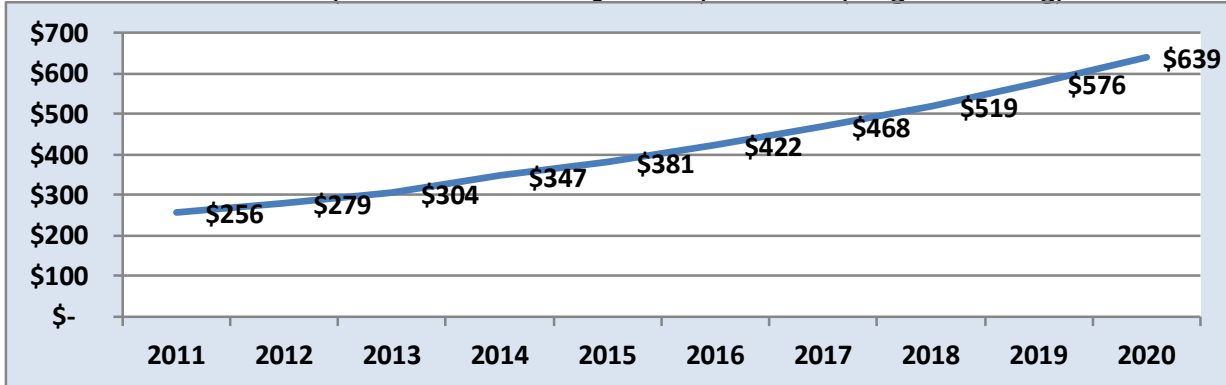
FYE June 30	Sewage Collection	Sewage Treatment	Administration	Service Contracts	WCA	Depreciation	Total
2011	3,176,367	5,940,831	2,515,705	239,973	148,273	2,856,717	14,877,866
2012	2,908,773	5,712,477	2,554,171	287,977	105,041	2,735,155	14,303,594
2013	3,372,341	6,798,874	2,935,722	474,623	172,391	2,921,783	16,675,734
2014	3,639,837	5,208,478	2,868,589	269,874	133,670	2,940,249	15,060,697
2015	3,768,123	5,704,464	2,740,638	303,888	107,463	3,222,967	15,847,543
2016	3,815,139	5,976,699	2,631,540	272,421	148,541	3,119,615	15,963,955
2017	3,783,288	6,784,087	3,899,443	147,060	174,212	3,071,113	17,859,203
2018	4,236,904	7,298,501	4,507,522	84,834	121,698	3,198,839	19,448,298
2019	2,197,399	7,197,285	5,661,627	64,076	138,066	4,634,050	19,892,503
2020	5,351,979	9,453,524	5,677,700	31,311	537,834	5,754,097	26,806,445
	20%	35%	21%	0%	2%	21%	100%

Source: West County Wastewater District Audited Financial Statements

REVENUE CAPACITY

WEST COUNTY WASTEWATER DISTRICT MAJOR REVENUE BASE AND RATES Last Ten Fiscal Years

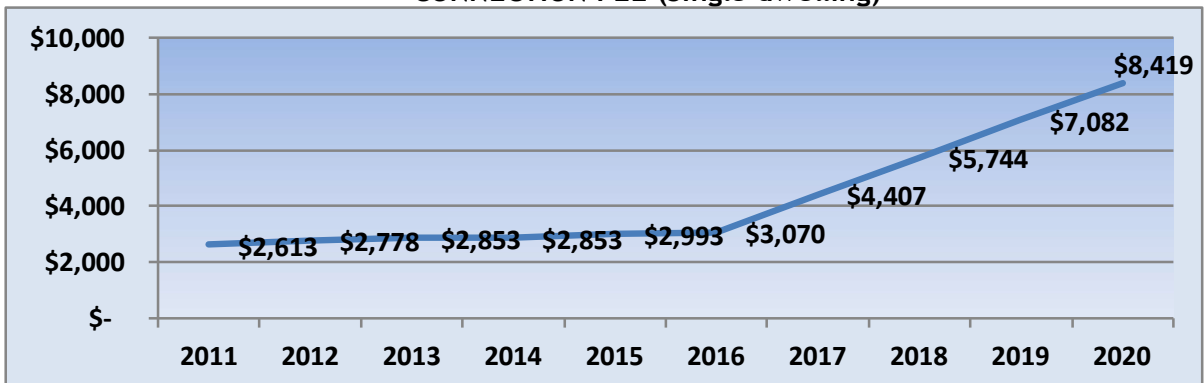
ANNUAL SEWER SERVICE (ENVIRONMENTAL QUALITY) CHARGE (Single dwelling)



Source: West County Wastewater District Schedule of User Fees

Note: All residential accounts pay a flat sewer service charge per household. Charges for commercial and industrial users consist of an annual rate based upon measured volume of water usage.

CONNECTION FEE (Single dwelling)



Source: West County Wastewater District Schedule of User Fees

Note: New customers connecting to the wastewater collection and treatment system are charged a connection fee to share the cost of existing infrastructure with all customers.

WEST COUNTY WASTEWATER DISTRICT
PRINCIPAL REVENUE SOURCES
Current and Ten Years Ago

PRINCIPAL REVENUE SOURCES
Current and Ten Years Ago

Customer	Type of Business	FY 2020			FY 2010		
		Sewer Use Charge	Rank	% of SUC	Sewer Use Charge	Rank	% of SUC
East Bay MUD	Public Agency/Industrial	1,119,943	1	4.4%	568,006	1	5.8%
Guardian & KW Hilltop LLC	Multi-family residential	561,456	2	2.2%			
Richmond Essex LP	Multi-family residential	240,624	3	0.9%	97,858	5	1.0%
FF Hills LP	Multi-family residential	190,494	4	0.7%			
Steadfast Hilltop Commons LP	Multi-family residential	180,468	5	0.7%	73,224	7	0.8%
Pacific Mobile IV LP	Mobile Home Park	139,250	6	0.5%			
US REIF Sierra Ridge CA LLC	Multi-family residential	133,680	7	0.5%			
Contra Costa County Junior College District	Schools	122,109	8	0.5%			
West Contra Costa Unified School District	Schools	114,793	9	0.4%			
BRE Piper MF Tides CA LLC	Multi-family residential	111,400	10	0.4%			
Hilltop Bayview	Multi-family residential				228,034	2	2.3%
Berlex Laboratories, Inc.	Light Industry				120,073	3	1.2%
Quality Carriers, Inc.	Light Industry				108,589	4	1.1%
Casino San Pablo of Lytton	Commercial/Restaurants				84,299	6	0.9%
Hilltop Mall	Commercial/Restaurants				68,175	8	0.7%
United States of America	Public Agency						
The Summit at Hilltop- Prime Richmond Housing	Multi-family residential				54,466	9	0.6%
San Pablo Redevelopment Agency	Public Agency				48,127	10	0.5%
Total		2,914,217		11.4%	1,450,851		14.9%

Source: West County Wastewater District Customer Billings.

j

Customer Type	FY 2020		FY 2010	
	Sewer Revenue	% of Total	Sewer Revenue	% of Total
Residential	\$ 20,896,039	82%	\$ 7,002,606	72%
Commercial	3,169,890	12%	1,939,783	20%
Industrial	1,456,995	6%	820,486	8%
Total	\$ 25,522,924	100%	\$ 9,762,875	100%

Source: West County Wastewater District Audited Financial Statements

WEST COUNTY WASTEWATER DISTRICT
PROPERTY TAX INFORMATION
Last Ten Fiscal Years

Assessed Valuation of Taxable Property within the District

FYE June 30	County Secured	County Unsecured	Total	% Change
2011	6,190,398,465	192,496,264	6,382,894,729	
2012	6,555,576,933	195,169,554	6,750,746,487	5.8%
2013	6,135,176,625	232,644,475	6,367,821,100	-5.7%
2014	5,967,088,206	179,265,098	6,146,353,304	-3.5%
2015	6,747,353,358	184,879,011	6,932,232,369	12.8%
2016	7,355,374,837	204,228,652	7,559,603,489	9.1%
2017	7,907,856,769	199,944,749	8,107,801,518	7.3%
2018	8,484,774,635	197,601,420	8,682,376,055	7.1%
2019	9,029,026,935	210,535,422	9,239,562,357	6.4%
2020	9,666,121,527	216,671,679	9,882,793,206	7.0%

Source: Contra Costa County Auditor-Controller "Certificate of Assessed Valuations"

Property Tax and Sewer Service Charge Fees Collected

FYE June 30	Property Tax	Sewer Service Charges
2011	834,524	12,182,304
2012	808,759	12,239,921
2013	773,092	13,854,746
2014	910,446	14,038,949
2015	1,115,669	15,650,703
2016	1,119,870	17,290,831
2017	1,218,094	19,780,211
2018	1,394,529	21,047,634
2019	1,515,069	23,664,880
2020	1,596,957	25,522,924

Source: West County Wastewater District Audited Financial Statements

Note: In FY 2011, a settlement by Contra Costa County with Chevron reduced property tax revenue.

WEST COUNTY WASTEWATER DISTRICT SCHEDULE OF CAPACITY CHARGES

	<u>FY 2020</u>	<u>FY 2019</u>	<u>FY 2018</u>	<u>FY 2017</u>	<u>FY 2016</u>
Beginning Balance July 1	403,403	270,363	-	-	677,564
Capacity charge fee revenue received:					
Connection fees	56,061	80,289	255,343	175,260	82,111
Flow zone fees	70,329	52,752	114,041	50,206	33,237
Toll zone 6			14,767	45,729	544
Toll zone 22				551	
Capacity charge revenue for the Fiscal Year	126,391	133,041	384,151	271,745	115,893
Interest earned on investments					2,039
Capacity construction project cost incurred:					
Market Street sewer replacement Project 14CS204 (1)				(146,216)	(795,495)
Church Lane to Road 20 sewer replacement Project 14CS214 (2)			(113,789)	(125,529)	
Pipe bursting of sanitary sewers (18CS202) (3)		(188,700)			
Priority Sewer Replacements Project 15CS201	(192,005)				
Ending Balance	529,794	403,403	270,363	-	-

Source: West County Wastewater District accounting records.

(1) Total cost of Project 14CS204 was \$941,711 as of 6/30/16.

(2) Total cost of Project 14CS214 was \$239,318 as of 6/30/17.

(3) Bid item 2- 370 linear feet of 8" pipe at \$510/foot.

Note: A portion of connection fees are considered to be capacity related. Such fees must be used for projects that increase system capacity.

WEST COUNTY WASTEWATER DISTRICT DEBT CAPACITY AND LOAN REPAYMENT SCHEDULE

Debt Capacity

The District's ability to borrow is dependent upon the capacity to increase sewer usage fees to pay for the proposed debt. The District is committed to balancing the costs of operations, maintenance, environmental compliance, and administration with the goal of minimizing the burden on ratepayers. The District has no current legal debt limit and there is no maximum amount of debt that the District may borrow.

<u>Fiscal Year</u>	<u>Ratio of Debt to</u>	
	<u>Personal</u>	<u>Debt per</u>
	<u>Income</u>	<u>Capita</u>
2015	0.00%	\$ 0.75
2016	0.04%	\$ 25.01
2017	0.35%	\$ 247.03
2018	0.42%	\$ 305.40
2019	0.44%	\$ 333.15
2020	0.45%	\$ 337.62

During fiscal year 2015, the District applied for and was granted approval for four California State Water Resources Control Board (SRF) loans to fin

<u>Loan</u>	<u>Repayment Dates</u>		<u>Interest Rate</u>	<u>Loan Offered</u>	<u>Loan Amount</u>	<u>Loan Available</u>
	<u>Agreement #</u>	<u>Start</u> <u>End</u>				
	7876-110	5/6/2017 5/6/2036	1.90%	1,654,505	1,228,650	
	7876-120	5/31/2020 5/31/2039	1.90%	2,881,758	2,271,368	2,614,624
	7876-130	8/30/2018 8/30/2037	1.90%	14,593,521	13,290,164	180,826
	8043-110 (1)	6/3/2018 6/3/2037	1.00%	30,457,093	18,337,739	
Total as of 6/30/20				49,586,877	35,127,921	2,795,450

Repayment Schedule (2):

	<u>Principal</u>	<u>Interest</u>	<u>Total</u>
FYE 6/30/21	1,782,859	501,484	2,284,343
FYE 6/30/22	1,806,872	477,471	2,284,343
FYE 6/30/23	1,832,158	452,185	2,284,343
FYE 6/30/24	1,857,834	426,508	2,284,342
FYE 6/30/25	1,883,907	400,436	2,284,343
FYE 6/30/26	1,910,383	373,960	2,284,343
FYE 6/30/27	1,937,269	347,074	2,284,343
FYE 6/30/28	1,964,571	319,772	2,284,343
FYE 6/30/29	1,992,297	292,046	2,284,343
FYE 6/30/30	2,020,454	263,889	2,284,343
Thereafter	16,139,317	1,052,673	17,191,990
Total	35,127,920	4,907,498	40,035,418

(1) Loan Offered amount is before grants awarded under Proposition 1 of \$5,356,330 and Proposition 13 of \$4,000,000. In the fiscal year ending June 30, 2018, grant proceed of \$9,001,445 were received. In the fiscal year ending June 30, 2019, grant proceed of \$354,885 were received.

(2) This is a tentative payment schedule. The final payment schedule will be provided by the SRF after all disbursements are paid and project construction is complete.

The District incurs the costs of the projects and submits claims for reimbursement to the SRF. To pay for these loans, the District adopted resolutions to increase sewer use fees by 11% each year for the five years July 1, 2015 through June 30, 2020. District sewer use rates remain below the average for Bay Area special districts.

WEST COUNTY WASTEWATER DISTRICT DEMOGRAPHIC AND ECONOMIC INFORMATION Last Ten Fiscal Years

DISTRICT POPULATION, INCOME AND UNEMPLOYMENT

Fiscal Year	District Population	Total Personal Income (A)	Per Capita Personal Income	Average County Unemployment Rate (B)	Contra Costa County Population	District Population as % of County
2010	125,096	6,938,449,640	55,465	11.2%	1,049,025	11.9%
2011	96,597	5,492,228,784	56,857	11.0%	1,059,495	9.1%
2012	97,296	5,740,526,109	59,001	9.4%	1,069,977	9.1%
2013	97,998	6,077,955,966	62,022	7.7%	1,083,340	9.0%
2014	98,724	6,104,627,626	61,835	6.1%	1,097,172	9.0%
2015	99,511	6,388,349,816	64,198	4.9%	1,111,143	9.0%
2016	102,481	6,932,319,943	67,645	4.9%	1,123,429	9.1%
2017	103,650	7,270,101,341	70,141	4.2%	1,139,513	9.1%
2018	103,759	7,510,684,560	72,386	3.5%	1,147,879	9.0%
2019	104,027	7,819,963,564	75,172	3.1%	1,150,621	9.0%
2020	104,045	7,812,252,006	75,086	3.2%	1,153,561	9.0%

Sources: * Population: State of California Department of Finance, Demographic Research Unit, including adjustments, as of January 1019, based upon the approximate percentage of total population served in each of the following areas: through Fiscal Year 2010 - San Pablo 100%, Pinole 18%, Richmond 28%, and unincorporated Contra Costa County 35%; effective Fiscal Year 2011 - San Pablo 100%, Pinole 8%, Richmond 31%, and unincorporated Contra Costa County 21%.

* Total Personal Income: State of California, Department of Finance, Demographic Research Unit,

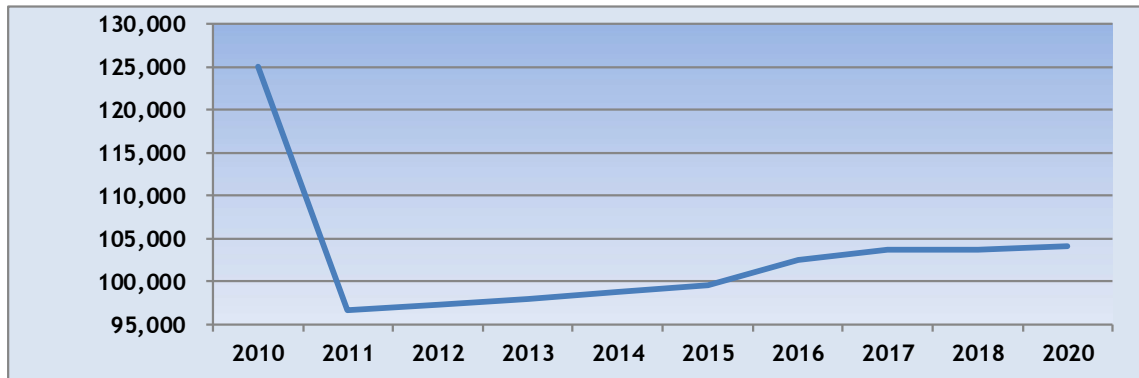
* Unemployment Rate: State of California, Economic Development Department, as of January 2020.

Notes: (A) Data calculated by multiplying District Population by Per Capita Personal ncome .

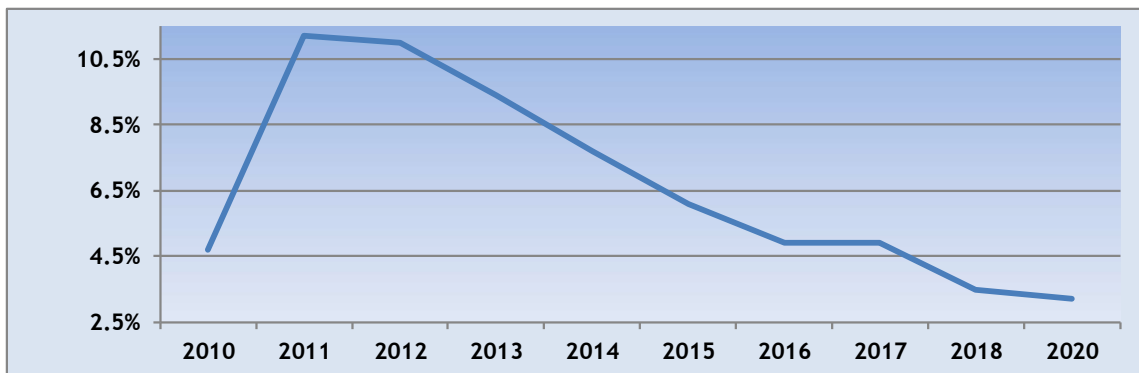
(B) Data presented for Contra Costa County - data not available at the District level.

WEST COUNTY WASTEWATER DISTRICT
DEMOGRAPHIC AND ECONOMIC INFORMATION
Last Ten Fiscal Years

Population Served

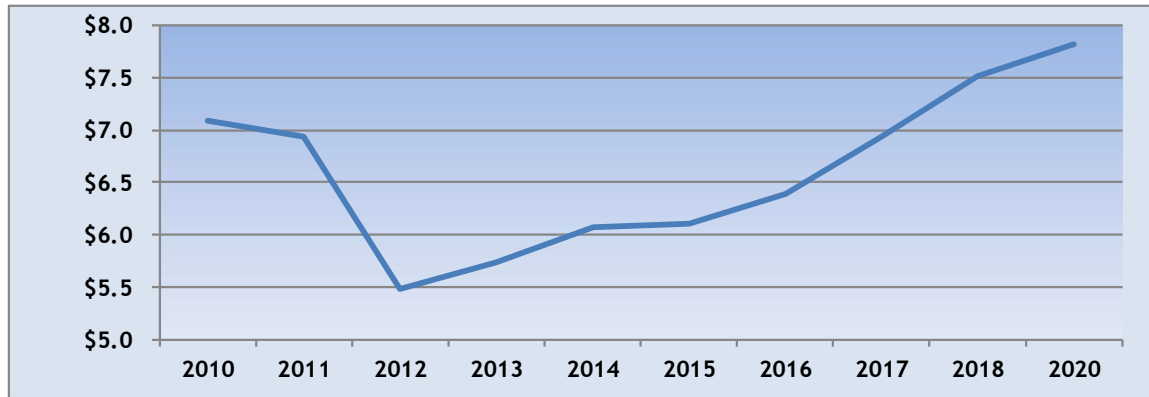


Unemployment Rate - Contra Costa County

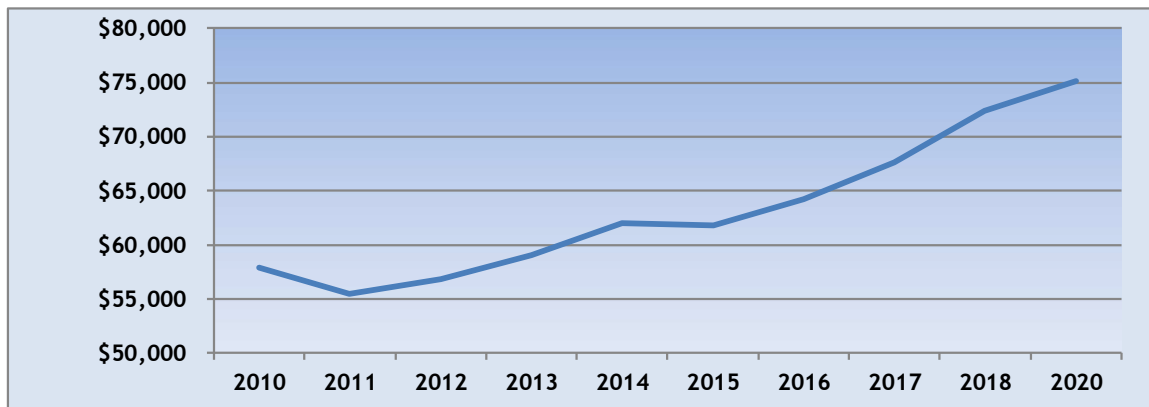


WEST COUNTY WASTEWATER DISTRICT
DEMOGRAPHIC AND ECONOMIC INFORMATION
Last Ten Fiscal Years

Total Personal Income (in billions)



Per Capita Personal Income



WEST COUNTY WASTEWATER DISTRICT
DEMOGRAPHIC AND ECONOMIC INFORMATION
PRINCIPAL EMPLOYERS
Current and Ten Years Ago

Employer	FY 2019			FY 2009		
	Number of Employees	Rank	% of Total District Employment	Number of Employees	Rank	% of Total District Employment
Chevron Refinery	3,443	1	2.9%	2,461	1	2.1%
West Contra Costa Unified School District	1,881	2	1.6%			
Social Security Administration	1,259	3	1.1%			
Amazon.com Services	1,257	4	1.1%			
Blue Apron, Inc.	1,201	5	1.0%			
U. S. Postal Service	1,047	6	0.9%			
Contra Costa College	892	7	0.8%	599	3	0.5%
City of Richmond	865	8	0.7%			
Permanente Medical Group	854	9	0.7%	786	2	0.7%
Contra Costa County	844	10	0.7%			
Casino San Pablo				503	4	0.4%
Doctors Medical Center				394	5	0.3%
Costco Wholesale #482				352	6	0.3%
Vale Care Center				266	7	0.2%
California Autism Foundation, Inc.				250	8	0.2%
Walmart Store 3455				245	9	0.2%
Target				243	10	0.2%
Macy's Hilltop				226		0.2%
Subtotal	13,543		11.5%	6,325		5.5%
All Others	104,218		88.5%	108,408		94.5%
Total workforce	117,761		100.0%	114,733		100.0%

Source: Comprehensive Annual Financial Reports for Fiscal Year Ending June 30, 2019 for City of Richmond, City of San Pablo and City of Pinole. Data is not available for June 30, 2020.

Note: Includes City of Richmond employers not within the District. Excludes employers in unincorporated Contra Costa County within the District.

**WEST COUNTY WASTEWATER DISTRICT
DEMOGRAPHIC AND ECONOMIC INFORMATION
FULLTIME EQUIVALENT EMPLOYEES - BUDGETED
Last Ten Fiscal Years**

	<u>2011</u>	<u>2012</u>	<u>2013</u>	<u>2014</u>	<u>2015</u>	<u>2016</u>	<u>2017</u>	<u>2018</u>	<u>2019</u>	<u>2020</u>
Administration Services										
Administration	9	11	11	11	8	8	6	8	8	15
Finance					4	4	4	4	4	4
Subtotal- Administration Services	9	11	11	11	12	12	10	12	12	19
Infrastructure and Planning										
Capital Programs and Mapping	6	6	8	9	9	9	9	9	9	11
Collection Systems	12	12	12	12	12	13	14	14	14	13
Subtotal- Infrastructure and Planning	18	18	20	21	21	22	23	23	23	24
Water Quality and Resource Recovery Plant										
Enviornmental Programs and Compliance	5	5	5	5	4	4	4	4	4	5
Plant Operations	12	12	11	11	11	11	13	14	14	15
Maintenance	10	9	9	9	9	9	10	11	11	9
Subtotal- Water Quality and Recovery	27	26	25	25	24	24	27	29	29	29
Total District	54	55	56	57	57	58	60	64	64	72

Source: West County Wastewater District Budget.

WEST COUNTY WASTEWATER DISTRICT
OPERATING INFORMATION
Last Ten Fiscal Years

Engineering Permits Completed

Fiscal Year	Repairs	Single Family	Multi-Family	Commercial	Industrial	Misc.	Total
2011	186	-	-	1	-	-	187
2012	357	5	1	1	-	1	365
2013	328	2	-	3	1	1	335
2014	378	5	-	1	-	6	390
2015	445	15	-	2	-	2	464
2016	413	15	-	2	-	2	432
2017	353	21	1	3	-	6	384
2018	310	16	1	-	-	-	327
2019	177	9	-	1	-	5	192
2020	282	12	-	1	-	1	296

Source: West County Wastewater District operating information from monitoring systems.

Collection System Activity

Fiscal Year	Pipeline Cleaning (1,000 Feet)	Video Inspections (1,000 Feet)	Number of Service Calls	Number of Main Stoppages	Total
2011	2,410	271.7	141	11	2,834
2012	2,077	295.9	122	13	2,508
2013	2,101	326.4	136	11	2,574
2014	2,030	372.4	163	15	2,580
2015	2,175	345.5	154	15	2,690
2016	1,861	158.3	131	14	2,164
2017	1,588	154.0	131	11	1,884
2018	1,809	104.9	122	9	2,045
2019	1,638	123.3	133	13	1,907
2020	1,363	86.7	121	12	1,583

Source: West County Wastewater District operating information from monitoring systems.

WEST COUNTY WASTEWATER DISTRICT
OPERATING INFORMATION
Last Ten Fiscal Years

Treatment Plant Activity						
Fiscal Year	Effluent Flow (Millions of Gallons)	Recycled Water Produced (Millions of Gallons)	Effluent BOD (mg/L)	Effluent TSS (mg/L)	Electricity Used (MWh)	Gas Produced (k ft3)
2011	3,258		6.6	8.5	5,218	42,798
2012	3,001		7.6	11.7	5,143	45,044
2013	2,898		6.1	8.0	5,156	45,532
2014	3,124	1,547	8.7	13.9	5,042	39,388
2015	2,763	1,669	7.3	9.8	5,446	41,332
2016	2,820	1,884	9.3	13.0	5,710	38,973
2017	3,675	1,394	12.0	15.0	5,840	47,533
2018	2,884	1,279	8.0	10.0	4,613	32,269
2019	3,247	887	6.7	5.5	4,533	45,575
2020	2,670	1,942	7.6	5.3	4,850	42,167

Source: West County Wastewater District operating information from monitoring systems.

Facility Capacity Data

Fiscal Year	Sewer Gravity Pipeline Miles	Sewer Force Mains Miles	Pump Stations	Treatment Plant Permitted Capacity (ADWF) MGD*	Treatment Plant Amount in Use (ADWF) MGD*
2011	248.9	10.3	18	12.5	7.1
2012	248.9	***5.5	17	12.5	7.7
2013	248.9	5.5	17	12.5	**6.8
2014	248.9	5.5	17	12.5	6.5
2015	248.9	5.5	17	12.5	6.3
2016	250.0	5.5	17	12.5	**5.9
2017	249.0	6.0	17	12.5	6.9
2018	249.0	6.0	17	12.5	7.0
2019	249.0	6.0	17	12.5	6.2
2020	249.0	6.0	17	12.5	6.4

* ADWF=Average Dry Weather Flow; MGD=Millions of Gallons per Day

** Decrease due to drought conditions and water conservation imposed by East Bay Municipal Utility District.

*** The decrease in miles for force mains is due to a change in the interpretation of the definition of force main. The variance accounts for the removal of the outfall from the force main calculation.

Source: West County Wastewater District operating information from monitoring systems.

INDEPENDENT AUDITORS' REPORT ON INTERNAL CONTROL OVER FINANCIAL REPORTING AND ON COMPLIANCE AND OTHER MATTERS BASED ON AN AUDIT OF FINANCIAL STATEMENTS PERFORMED IN ACCORDANCE WITH *GOVERNMENT AUDITING STANDARDS*

To the Board of Directors
West County Wastewater District

We have audited, in accordance with the auditing standards generally accepted in the United States of America and the standards applicable to financial audits contained in *Government Auditing Standards* issued by the Comptroller General of the United States, the financial statements of the business-type activities of the West County Wastewater District, as of and for the year ended June 30, 2020, and the related notes to the financial statements, which collectively comprise the West County Wastewater District's basic financial statements, and have issued our report thereon dated December 30, 2020.

Internal Control over Financial Reporting

In planning and performing our audit of the financial statements, we considered the West County Wastewater District's internal control over financial reporting (internal control) to determine the audit procedures that are appropriate in the circumstances for the purpose of expressing our opinions on the financial statements, but not for the purpose of expressing an opinion on the effectiveness of the West County Wastewater District's internal control. Accordingly, we do not express an opinion on the effectiveness of the West County Wastewater District's internal control.

A *deficiency in internal control* exists when the design or operation of a control does not allow management or employees, in the normal course of performing their assigned functions, to prevent, or detect and correct, misstatements on a timely basis. A *material weakness* is a deficiency, or a combination of deficiencies, in internal control, such that there is a reasonable possibility that a material misstatement of the entity's financial statements will not be prevented, or detected and corrected, on a timely basis. A *significant deficiency* is a deficiency, or a combination of deficiencies, in internal control that is less severe than a material weakness, yet important enough to merit attention by those charged with governance.

Our consideration of internal control was for the limited purpose described in the first paragraph of this section and was not designed to identify all deficiencies in internal control that might be material weaknesses or significant deficiencies. Given these limitations, during our audit we did not identify any deficiencies in internal control that we consider to be material weaknesses. However, material weaknesses may exist that have not been identified.

Compliance and Other Matters

As part of obtaining reasonable assurance about whether the West County Wastewater District's financial statements are free from material misstatement, we performed tests of its compliance with certain provisions of laws, regulations, contracts, and grant agreements, noncompliance with which could have a direct and material effect on the determination of financial statement amounts. However, providing an opinion on compliance with those provisions was not an objective of our audit, and accordingly, we do not express such an opinion. The results of our tests disclosed no instances of noncompliance or other matters that are required to be reported under *Government Auditing Standards*.

Purpose of this Report

The purpose of this report is solely to describe the scope of our testing of internal control and compliance and the results of that testing, and not to provide an opinion on the effectiveness of the entity's internal control or on compliance. This report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering the entity's internal control and compliance. Accordingly, this communication is not suitable for any other purpose.


CROPPER ACCOUNTANCY CORPORATION
Walnut Creek, California
December 30, 2020

[THIS PAGE INTENTIONALLY LEFT BLANK]

APPENDIX G

FORM OF GREEN BOND PROJECT REPORT

\$79,575,000

**WEST COUNTY FACILITIES FINANCING AUTHORITY
2021 WASTEWATER REVENUE BONDS
(GREEN BONDS)**

Date of issuance: September 30, 2021
CUSIP:

NOTICE IS HEREBY GIVEN, that the West County Wastewater District has financed the following project with the above-referenced bonds (the “Bonds”):

<u>Amount Financed</u>	<u>Project Description</u>
\$	

This notice is to provide interested parties with information regarding the use of proceeds of the Bonds. [Once all proceeds of the Bonds have been spent, no further updates will be provided.] [All proceeds of the Bonds have been spent; no further updates on the projects or the use of the Bonds will be provided.]

Dated: _____

[THIS PAGE INTENTIONALLY LEFT BLANK]

APPENDIX H
FORM OF SECOND PARTY OPINION

[THIS PAGE INTENTIONALLY LEFT BLANK]



Second Party Opinion

EXECUTIVE SUMMARY

ISSUER

West County Facilities Financing Authority

OPINION ON

2021 Wastewater Revenue Bonds (Green Bonds)

GREEN STANDARD AND CATEGORIES



- Renewable Energy
- Sustainable Wastewater Management

EVALUATION DATE

September 9, 2021

SUMMARY

Kestrel Verifiers is of the opinion that the 2021 Wastewater Revenue Bonds (Green Bonds) ("Bonds") conform with the four core components of the Green Bond Principles 2021 as follows:

▪ Use of Proceeds

The Bonds will finance multiple capital improvement projects ("Project") for the West County Wastewater District ("District"). The Project will increase storage capacity to accommodate large storm events, reduce potential for release of untreated water across the system, install solar arrays, improve biosolids recovery and upgrade the anaerobic digester and cogeneration systems. The Project is expected to reduce wastewater treatment plant greenhouse gas emissions by approximately 93% and solar arrays are expected to reduce grid energy demand by approximately 20%. The Bonds align with the *Sustainable Wastewater Management* and *Renewable Energy* eligible project categories under the Green Bond Principles.

▪ Process for Project Evaluation and Selection

The Bonds finance activities which directly align with the District's core mission, goals to eliminate greenhouse gas emissions by 2031, goals to become a carbon negative enterprise, and strategic goals related to environmental stewardship. Projects were originally identified through an integrated master planning process.

▪ Management of Proceeds

Bond proceeds shall be allocated to a separately managed subaccount and used to pay for the Project. A portion of proceeds will also finance costs of issuance. Proceeds may be held in temporary investments in accordance with the Permitted Investments defined in the Indenture.

▪ Reporting

The District and the Authority commit to posting continuing disclosures to the Municipal Securities Rulemaking Board annually through the Electronic Municipal Market Access ("EMMA") system. The District will also produce annual reports on the allocation of Bond proceeds and post these reports on EMMA until all proceeds have been spent, or approximately 18 months. After the Project is operational, reports on renewable energy generation from the cogeneration and solar systems are expected to be available on the District's website.

▪ Impact and Alignment with United Nation Sustainable Development Goals

By financing digester upgrades, resource recovery infrastructure, solar arrays, and upgrades to the wastewater collection and treatment system, the Bonds support and advance multiple UN SDGs, including

▪ **Monica Reid, CEO**
monica.reid@kestrelverifiers.com
+1 541-399-6806

▪ **April Strid, Lead ESG Analyst**
april.strid@kestrelverifiers.com
+1 503-860-1125

▪ **Melissa Audrey, ESG Analyst**
melissa.audrey@kestrelverifiers.com
+1 856-495-5003

Goals 6: *Clean Water and Sanitation*, 7: *Affordable and Clean Energy*, 9: *Industry, Innovation and Infrastructure*, and 12: *Responsible Consumption and Production*.



Second Party Opinion

Issuer:	West County Facilities Financing Authority
Issue Description:	2021 Wastewater Revenue Bonds (Green Bonds)
Project:	Wastewater System Improvements
Green Standard:	Green Bond Principles
Green Categories:	Sustainable Wastewater Management Renewable Energy
Par:	\$81,885,000*
Evaluation Date:	September 9, 2021

*Preliminary, subject to change

GREEN BONDS DESIGNATION

Kestrel Verifiers, an Approved Verifier accredited by the Climate Bonds Initiative, conducted an independent external review of this bond to evaluate conformance with the Green Bond Principles (June 2021) established by the International Capital Market Association.

This Second Party Opinion reflects our review of the uses and allocation of proceeds and oversight and conformance of the bonds with the Green Bond Principles. In our opinion, the 2021 Wastewater Revenue Bonds ("Bonds") are aligned with the four core components of the Green Bond Principles and qualify for green bonds designation.

ABOUT THE ISSUER

The West County Facilities Financing Authority ("Authority") was created in 2021 under a joint exercise of powers agreement between West County Wastewater District (the "District") and the California Statewide Communities Development Authority for the purpose of financing and refinancing capital improvement projects for the District. The Bonds issued by the Authority will directly benefit the District and the system it operates. California Statewide Communities Development Authority will have no other role in the bond financing.

The District was founded in 1921 with a primary purpose of collecting and treating wastewater in its service area. Located entirely in western Contra Costa County, the District serves the City of San Pablo and parts of the City of Pinole, City of Richmond, the communities of Tara Hills, North Richmond, East Richmond Heights, El Sobrante, Rollingwood, and Bayview and unincorporated areas of the county. The system serves approximately 34,000 residential accounts and 900 commercial and industrial businesses.

The District operates 249 miles of sewer pipelines, 17 lift stations, six miles of pressure force mains, and one wastewater treatment plant, the Water Quality Resource and Recovery Plant ("WQRRP"), that has a capacity of 12.5 million gallons per day. Water treated at the WQRRP is delivered to East Bay Municipal Utility District, specifically to the Richmond Treatment Plant, for additional treatment and distribution as recycled water for irrigation, industrial, and other non-potable uses.

The District has a history of environmental stewardship, as evidenced by reliable conformance with strict regulations and by its pursuit of innovative projects to reduce impacts. The District received the *Platinum Peak Performance Award* from National Association of Clean Water Agencies (“NACWA”) in 2019. The award is the highest possible recognition from NACWA and demonstrates complete compliance the EPA’s National Pollutant Discharge Elimination System regulations for 14 consecutive years. A recent solar development also illustrates the District’s commitment to stewardship; through a collaboration with Premier Power and Solar Power Partners, Inc, a site contaminated from historic use as sludge storage was repurposed for stormwater detention and a 10-acre solar farm.

ALIGNMENT TO GREEN STANDARDS

Green Bonds are any type of bond instrument where the proceeds will be exclusively applied to finance or refinance, in part or in full, new and/or existing eligible Green Projects and which are aligned with the four core components of the Green Bond Principles (International Capital Market Association definition).

Use of Proceeds

The Bonds will be used to finance the Comprehensive Energy and Sustainability Upgrades Project which includes replacement and modernization of equipment and infrastructure at the WQRRP, as well as installation of solar photovoltaic generation facilities and upgrades to increase sustainability of operations (“Project”). The purpose of the Project is to reduce energy consumption and improve operational efficiency.

The activities are eligible projects as defined by the Green Bond Principles in the project categories of *Sustainable Wastewater Management* and *Renewable Energy*.

Approximately \$71 million of Bond proceeds will be used for the Energy and Sustainability Upgrades Project (Table 1) which is expected to result in annual energy savings of 26,247 kWh at the headquarters office and 129,683 kWh at the WQRRP. Approximately \$19 million will finance replacement of force mains and gravity sewer mains. Appendix B provides a more detailed breakdown of uses of proceeds of the Bonds. The environmental benefits of the Project are discussed in detail in Table 1 and include the following:

- Decrease wastewater treatment plant greenhouse gas emissions by 93%¹
- Maximize biogas yield from anaerobic digesters
- Increase storage capacity to accommodate a 100-year storm event
- Reduce potential for sewage overflows and release of untreated water across the system
- Maximize resource recovery through production of biosolids for soil amendment
- Maximize resource recovery through cogeneration facilities to harness waste heat
- Reduce energy demand by approximately 20% through installation of solar arrays and energy efficiency upgrades

Table 1. Purpose and environmental benefit of projects to be fully or partially financed with the Bonds. The majority of activities are part of the District’s Comprehensive Energy and Sustainability Upgrades Project.

Bond-Financed Project	Description
Influent Pumps Upgrade	Pumps raise wastewater to allow it to flow through the WQRRP by gravity. New influent pumps will and more reliably adapt to changes in influent flow and reduce energy use.
Grit Removal System Upgrade	Upgrades will more effectively remove sand and other particles larger than 75 microns (approximately the size of a human hair). Grit removal reduces wear on equipment and supports efficient operation of biogas digesters.

Green Standard



The

Green Bond

Principles

Eligible Project Categories:

- Sustainable Wastewater Management
- Renewable Energy

¹ Based on the Biosolids Emissions Assessment Model (BEAM), annual emissions are expected to decrease from 6,313 Mt CO₂e to 430 Mt CO₂e.

Bond-Financed Project	Description
Carbon Redirection in the Primary Clarifiers	Reducing biochemical oxygen demand improves the production of primary sludge, and ultimately, increases potential biogas yield.
High Efficiency Turbo Blowers Install	Blowers are used to stimulate breakdown of waste by microorganisms through aeration of the activated sludge. The existing blowers require replacement. Upgrades will reduce maintenance costs and increase efficiencies.
Redundant Rotary Drum Thickener Install	Sludge is thickened prior to digestion by microorganisms to produce biogas. Two new rotary drum thickeners will be installed to maximize biogas production.
Anaerobic Digester Install	Two existing digesters will be replaced with new digesters (approximately 68 feet in diameter, each).
Biogas Cogeneration System Install	Any biogas produced through the digester requires treatment to remove hydrogen sulfide (metal corrosion concern) and siloxanes (becomes abrasive when combusted). Installation of two new cogeneration systems (450 kilowatt each) will (1) generate power from treated biogas and (2) harness waste heat that will be used to heat the digester and to dry biosolids. The cogeneration building will be approximately 10 feet wide and 78 feet long.
Centrifuge Install	Currently, dewatering (removing liquids) from remaining sludge after digestion is achieved by leaving sludge in sludge ponds. Install of two new centrifuges will allow for faster separation of liquids and solids and eliminate greenhouse gas emissions associated with the open-air sludge ponds.
Install of Thermal Dryer for Digested Sludge	A thermal dryer will be installed to dry biosolids that remain after digestion. Waste heat from the cogeneration system will be used to operate the dryer. Dried biosolids meet "Class A" standards so the product can be used as a soil amendment for non-food crops.
Increase Capacity of the Influent Equalization Basins	Influent storage capacity in equalization basin will be increased from 53 million gallons to 76 million gallons. Increased storage is necessary to accommodate large rain events and related stormwater influx.
Solar Photovoltaic Facility Install	Install of solar panels at the headquarters building, WQRRP, and three pump stations will increase generation of renewables. The total installed capacity of the planned arrays is approximately 1.1 MW.
LED Lighting Improvements	Lighting upgrades in the headquarters building and WQRRP will reduce energy use and maintenance costs.
Electric Vehicle Charging Stations	Two electric vehicle charging stations will be installed at the headquarters building.
Force Main Upgrades*	Replacement of aging and inadequate force mains will reduce need for emergency repairs. Assessments of all force mains are in progress.
Gravity Sewer Upgrades*	Maintenance and improvements on gravity sewer mains are necessary to ensure system reliability and reduce inflow and infiltration of stormwater, which can

* Activities are not part of the Energy and Sustainability Upgrades Project

Bond-Financed Project	Description
	overwhelm the collection system. A comprehensive inflow and infiltration study identified priority areas for maintenance across the 249 mile collection system.

Process for Project Evaluation and Selection

The bond-financed Project was identified through a master planning process initiated in 2011 and directly aligns with the environmental stewardship objectives articulated in the District's Strategic Goals and Climate Action Plan.

The District uses an integrated master planning approach to ensure all facets of facilities and operations are considered in the project prioritization process. The District-wide Master Plan was initiated in 2011 to evaluate existing infrastructure, including the WQRRP, the collection system, and supporting facilities. The Master Plan, which was adopted in December 2014, included a recommended 20 year Capital Improvement Plan. The Project to be financed by the Bonds was identified in this Capital Improvement Plan.

Parallel to the Master Plan, the District uses the Effective Utility Management ("EUM") framework to measure its effectiveness in achieving the utility's primary mission. The EUM framework was developed by the American Water Works Association, Water Environment Federation, National Association of Clean Water Agencies, and the US Environmental Protection Agency. Through use of the EUM framework, the District's mission, goals, and objectives are frequently re-evaluated and documented in the Strategic Plan.

The Project directly aligns with the District's Strategic Goals 1 and 2 and the objectives of each that are outlined in the Strategic Plan. By financing the sustainability improvements and upgrades to increase reliability and energy efficiency, the Project advances these goals:

- *Strategic Goal 1:* Adopt infrastructure maintenance and modernization strategies that maximize performance, reduce risk and ensure reliable service in collaboration with local, regional and national partners to further the mission of the District
- *Strategic Goal 2:* Be an environmental steward in our community through a commitment to reducing carbon emissions, maximizing resource recovery, minimizing our environmental footprint and making significant strides toward becoming a carbon-neutral enterprise.

In addition to advancing the vision in the Strategic Plan, the Project is a direct implementation of the District's Climate Action Plan which was adopted in April 2019. The Climate Action Plan set an organizational goal of eliminating the District's carbon footprint entirely by December 31, 2031, and establishing its status as a Carbon Negative enterprise.

Management of Proceeds

Bond proceeds shall be allocated to a separately managed subaccount (Project Fund) and used to pay for the Project. A portion of proceeds will also finance costs of issuance. Proceeds may be held in temporary investments in accordance with the Permitted Investments defined in the Indenture. These allowable temporary investments consist of instruments including, but not limited to, money market funds, certificates of deposit, and bonds or notes guaranteed by US federal agencies or the US government.

Reporting

The District and the Authority intend to submit continuing disclosures to the Municipal Securities Rulemaking Board ("MSRB") so long as the Bonds are outstanding. The Authority will also provide reports in the event of material developments. This reporting will be done annually on the Electronic Municipal Market Access ("EMMA") system operated by the MSRB.

The Authority has also committed to preparing a Green Bond Project Report to provide assurance on the allocation of proceeds to the wastewater sustainability and energy efficiency projects. This reporting will be completed annually until all proceeds have been spent, or approximately 18 months. The form of this report is included in Appendix G of the official statement. Additionally, reports on renewable energy generation

from the cogeneration and solar systems are expected to be available on the District’s website once the Project is operational.

IMPACT AND ALIGNMENT WITH UN SDGS

By financing projects that increase the reliability, sustainability and efficiency of the wastewater treatment system the Bonds are helping to address UN Sustainable Development Goals 6, 7, 9, and 12. By funding the installation of approximately 1.1 MW of solar generation capacity, the Bonds advance Target 7.2. By funding energy efficiency improvements at the WQRRP and in the headquarters building the Bonds support Target 7.3. The resource recovery projects and upgrades to ensure efficient system operation and prevent sewer system overflows directly advance Targets 6.3, 6.5, 9.4, and 12.2.

Full text of the Targets for Goals 6, 7, 9, and 12 is available in Appendix A, and additional information is available on the United Nations website: www.un.org/sustainabledevelopment



6 CLEAN WATER AND SANITATION	Clean Water and Sanitation (Targets 6.3, 6.5) <u>Possible Indicators</u> ▪ Increased storage capacity for influent ▪ Amount of treated wastewater ▪ Documentation of integrated water resource management
7 AFFORDABLE AND CLEAN ENERGY	Affordable and Clean Energy (Targets 7.2, 7.3) <u>Possible Indicators</u> ▪ Installed renewable generation capacity ▪ Reduction in greenhouse gas emissions as a result of on-site power generation or energy efficiency improvements
9 INDUSTRY INNOVATION AND INFRASTRUCTURE	Sustainable Infrastructure (Target 9.4) <u>Possible Indicators</u> ▪ Increased resource-use efficiency (energy or other)
12 RESPONSIBLE CONSUMPTION AND PRODUCTION	Sustainable Use of Natural Resources (Target 12.2) <u>Possible Indicators</u> ▪ Increased energy use efficiency ▪ Reduction in inflow and infiltration ▪ Reduction in grid energy demand due to digesters and cogeneration facilities

CONCLUSION

Based on our independent external review, the Bonds (Green Bonds) conform, in all material respects, with the Green Bond Principles (2021) and are in complete alignment with two eligible project categories: *Sustainable Wastewater Management* and *Renewable Energy*. The Bonds will be used to finance an exemplary set of projects to advance the energy efficiency and sustainability of the District’s system. The District is demonstrating leadership by integrating the best practices for wastewater utilities to exceed compliance requirements and advance environmental stewardship goals.

© 2021 Kestrel 360, Inc.

ABOUT KESTREL VERIFIERS



For 20 years Kestrel has been a trusted consultant in sustainable finance. Kestrel Verifiers, a division of Kestrel 360, Inc. is a Climate Bonds Initiative Approved Verifier qualified to verify transactions in all asset classes worldwide. Kestrel is a US-based certified Women's Business Enterprise.

For more information, visit www.kestrelverifiers.com

DISCLAIMER

This Opinion aims to explain how and why the discussed financing meets the ICMA Green Bond Principles based on the information which was available to us during the time of this engagement (September 2021) only. By providing this Opinion, Kestrel Verifiers is not certifying the materiality of the projects financed by the Green Bonds. It was beyond Kestrel Verifiers' scope of work to review for regulatory compliance and no surveys or site visits were conducted. Furthermore, we are not responsible for surveillance on the project or use of proceeds. Kestrel Verifiers relied on information provided by the Authority and publicly available information. The Opinion delivered by Kestrel Verifiers does not address financial performance of the Green Bonds or the effectiveness of allocation of its proceeds. This Opinion does not make any assessment of the creditworthiness of the Authority, or its ability to pay principal and interest when due. This is not a recommendation to buy, sell or hold the Bonds. Kestrel Verifiers is not liable for consequences when third parties use this Opinion either to make investment decisions or to undertake any other business transactions. This Opinion may not be altered without the written consent of Kestrel Verifiers. Kestrel Verifiers reserves the right to revoke or withdraw this Opinion at any time. Kestrel Verifiers certifies that there is no affiliation, involvement, financial or non-financial interest in the Authority or the projects discussed. Language in the offering disclosure supersedes any language included in this Second Party Opinion.

Use of the United Nations Sustainable Development Goal (SDG) logo and icons does not imply United Nations endorsement of the products, services or bond-financed activities. The logo and icons are not being used for promotion or financial gain. Rather, use of the logo and icons is primarily illustrative, to communicate SDG-related activities.

Appendix A.

UN SDG TARGET DEFINITIONS

Target 6.3

By 2030, improve water quality by reducing pollution, eliminating dumping and minimizing release of hazardous chemicals and materials, halving the proportion of untreated wastewater and substantially increasing recycling and safe reuse globally

Target 6.5

By 2030, implement integrated water resources management at all levels, including through transboundary cooperation as appropriate

Target 7.2

By 2030, increase substantially the share of renewable energy in the global energy mix

Target 7.3

By 2030, double the global rate of improvement in energy efficiency

Target 9.4

By 2030, upgrade infrastructure and retrofit industries to make them sustainable, with increased resource-use efficiency and greater adoption of clean and environmentally sound technologies and industrial processes, with all countries taking action in accordance with their respective capabilities

Target 12.2

By 2030, achieve the sustainable management and efficient use of natural resources

Appendix B.

PROJECT BUDGET

Table 1. Estimated cost of the Project to be financed with the Bonds, including Energy and Sustainability Upgrades Project activities, gravity sewer, and force main projects.

Bond-Financed Project	Cost
Replacement of Influent Pumps and Motors	\$639,326
New Grit Separation System	\$5,997,016
Carbon Redirection System	\$985,006
Primary Sludge Pumps and Comminutors	\$605,359
Rotary Drum Thickeners	\$4,679,605
High Efficiency Aeration Blower	\$1,527,446
New Digesters	\$18,337,697
Cogeneration System	\$4,995,053
Sludge Centrifugal Dewatering System	\$3,981,725
Sludge Thermal Dryer System	\$11,828,100
Richmond Sludge Piping Upgrade	\$89,683
Equalization Basins	\$4,686,705
Solar - 57 kW at the District Office	\$333,258
Solar - 27 kW at Atlas Road Pump Station	\$161,204
Solar - 61 kW at Lakeside Pump Station	\$260,091
Solar - 136 kW at Tara Hills Pump Station	\$462,962
Solar - 849 kW at Wastewater Treatment Plant	\$2,511,688
Electric Vehicle Charging Stations	\$54,729
LED Lighting Upgrades - District Office	\$94,206
LED Lighting Upgrades - WWTP	\$197,369
Project Management for Energy and Sustainability Upgrades	\$1,800,000
Construction Management/Inspection for Energy and Sustainability Upgrades	\$6,800,000
Gravity Sewer Main Projects	\$10,000,000
Force Main Projects	\$9,000,000

